

Caplin Point Laboratories Ltd. (CAPLIPOINT)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Nov 2022

Page 1 of 13

"Caplin Point Laboratories Limited
Q2 FY '23 Earnings Conference Call "
November 12, 2022

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED

MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED

DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED

MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED

MR. M. SATHYANARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

Caplin Point Laboratories Limited
November 12, 2022

Page 2 of 13

Moderator: Good day, ladies and gentlemen, and welcome to the Q2 FY '23 Earnings Conference Call of Caplin Point Laboratories hosted by Mirae Asset Capital Markets Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshal Patil from Mirae Asset Capital Markets. And over to you, sir.

Harshal Patil: Okay. Good afternoon, all. On behalf of Mirae Asset Capital Markets, I would welcome you all to Q2 FY '23 earnings conference call of Caplin Point Laboratories Limited. The management would be represented by Mr. C.C. Paarthipan, the Chairman; Mr. Vivek Partheeban, the Chief Operating Officer; Dr. Sridhar Ganesan, the Managing Director; Dr. D. Muralidharan, the Chief Financial Officer; Mr. D. Sathyanarayanan, Deputy Chief Financial Officer.

I would hand over to Vivek now for the opening remarks. Over to you, Vivek.

Vivek Partheeban: Thank you, Harshal. Hello, and good afternoon, everyone. I'm pleased to welcome you all to our earnings call to discuss our Q2 and first half results. Please note that a copy of all our disclosures are available on the Investors section of our website as well as on stock exchanges. And also note that anything said on this call, which reflects our outlook for the future or which could be construed as a forward-looking statement might be reviewed in conjunction with the risks that the company faces.

I now hand over the call to our Chairman for his opening remarks, please.

C. C. Paarthipan: Thank you. Good afternoon, ladies and gentlemen. After me, the MD of our company will present you the fact sheets, with facts and figures. Then the COO will detail the developments of Caplin Steriles Limited. Now I will highlight a few things that I think is very pertinent to our business. Number one, our pipeline is the key to our success. The pipeline profits stayed in the form of liquid assets, which is at INR 1,440 crores, whereas our payables are around INR 100 crores only. We are sure of creating a deposit of INR 250 crores to INR 300 crores in the current financial year, too. Further our work in progress is the indicator of the future. Regarding the projects, now that we are in the process of creating a vertical integration of various process of our all pharmaceutical formulations right from research and development and also manufacturing of key starting materials, intermediates, API, formulation and also front-end presence in small, medium and larger geographies.

Our transit goods to our subsidiaries prevent short supply in our main markets of Latin America. The sustainability of cash flow and profits are guaranteed in the last 10 years due to our unique business model in LatAm. The next three key pillars for sustainability to scalability are: number one, people first; number two, technology; number three, business model differentiation. As you know well, we're people first because of the talent that is not static, either it grows or depreciates,

or deteriorates if the attitude towards work is not adaptable. We attract the talent with attractive
Caplin Point Laboratories Limited
November 12, 2022

Page 3 of 13

results, which are our offering at par value of INR 2 for the share that's quoting somewhere around 730 to 740. We also understand the employee engagement and the importance of operational excellence. Hence, we appointed new training managers, for our freshers, to handle the attrition.

As we are in the process of creating many projects, I have moved my residence from the city next to Caplin's Steriles Limited. I also hail from a nearby village, and I am also confident of not only monitoring these projects effectively, but also create the cultural fit, which is the need of the hour. The system, as you know well, culture makes progress cumulative. Coming to technology, our new people are from the best of best pharma companies who handle the technology for complex products. And the entire new machineries for our new projects are either imported from Germany or Italy.

Now, the markets and models. Our immediate focus will be more on US, Mexico and Russia. We are also filing dossiers in Brazil, Europe, China and South Africa. But then we are also concentrating in the smaller geographies of CIS and Southeast Asia. We are in the process of doing everything like any other company, which has already grown. It's a question of 3 to 5 years before we also become part of the fast-moving companies.

It will take 2 to 3 years to complete the facilities and the registrations, and especially the registration of products in the bigger geographies. Once it is done, we will be in the road well-traveled from the road less traveled that of our past.

Thank you. Now I invite the MD to give his presentation. Thank you. Thank you very much.

Sridhar Ganesan: Yes. Thank you, Chairman. I would like to highlight some of the happenings in the last few months. To begin with, the US market revenue crosses INR 100 crores mark in the first six months of FY22-23. And our overall order pipeline is at INR 175 crores and from that we will touch the breakeven point for the first time for our Caplin Steriles. The total revenue of the half year FY22-23 grew by about 18.4% Y-o-Y to INR 736 crores.

The profit after tax increased by 20.2% to INR 178.34 crore in H1 FY22-23 against INR 148.38 crores in H1 FY21-22. The cash and cash surplus is at INR 778 crores as on September '22. Free cash flow from operations, FCFO, stood at INR 88 crores in H1 FY22-23. The receivables have been stable at around 95 days as of September '22. The inventories are at INR 296 crore, which includes the in-transit inventory.

Our Chairman as he has been often telling, that if we have good inventory very close to the customer, we will be fast growing in our business, especially in this disturbed world circumstances. Company's liquid assets, that is cash, inventory and receivables, is at INR 1,444 crores.

Caplin has won two institutional tenders at El Salvador for USD 6.2 million and in Ecuador, USD 14.5 million, which we have already started sending the materials. Company has acquired an API plant in Vizag, a backward integration initiative. Again, as Chairman has pointed out, we have 2 R&D APIs, 1 in Hyderabad and 1 in Perungudi. These have already developed about
Caplin Point Laboratories Limited
November 12, 2022

Page 4 of 13

50 products, and many of them will see the scale-up in this API plant in Vizag. We will be refurbishing the plants, which may take about three to four months, after which, it will go live. Caplin Steriles completes two complex injectable products and on track to complete 3 more in the next 3 or 4 months.

Company's CRO wing, Amaris Clinical, receives approval from Chile and in addition to the U.S. FDA EIR. There's

an expansion of soft gelatin division in Pondicherry to double the capacity.

There has been good response from the market. And right now, there's a shortage. Therefore, we are doubling the capacity. The capacity was about 2 crores. It will become 4 crores capsules per month. We are entering into new geographies as market expansion in Turkmenistan, Uzbekistan,

Vietnam, Cambodia, Mexico, Iraq and Russia.

With that, I hand over the mic to our COO for his presentation for Caplin Steriles Limited. Thank you.

Vivek Partheeban: Thank you, Doctor. So I'll give a very quick introduction especially a brief into Caplin Steriles, which is our regulated market business into injectables and ophthalmics. So we are seeing good progress on the revenue front where we have almost caught up with last year's full year revenue within the first 6 months itself. This is a healthy mix of product revenue, which is around 70%, 72%, and the milestone on profit share revenue, which is the remaining 28% to 30%. Going forward, as well, since we have a hybrid model of filing our own products and licensing them and also taking on CMO work, we expect to see this split up continue into the future as well. We have about 13 ANDAs approved in Caplin Steriles name, and another 4 approved in partner's names, all but one have been launched in the US. And the last one should be launched in the next 3 to 4 months. We are occupying a reasonably good market share on most of the products that we have launched so far. And by and large, the pricing has remained stable. We have 7 ANDAs under review with the US FDA, and we also have 4 more products to be filed in the next few weeks, and about 2 to 3 more within March '23. In addition to US, we've also filed several products in Canada, Mexico, a couple of them in South Africa, Australia and one in China through a partner.

Coming to capacity expansion. We have what we call as Phase II, which will have two additional lines. And one of those lines, have already been received, this is a high-speed vial filling line from Bosch, now called as Syntegon, which is ready for installation at our site right now. In the next 4 months, we hope to transfer maximum number of, what we call as terminally sterilized products on to this line because the turnaround time and also larger batch sizes is going to be possible out of this new expansion, which will free up space for some of our additional projects to get completed, they're what we call, as exhibit batches. We complete these exhibit batches before filing the ANDA.

We will also have a pre-fill syringe line that will be installed in the next couple of months. This is a new drug delivery form that we have not had previously and is also a little niche in the sense that there is only a shortage of capacity around the world for pre-fill syringes, so we hope to leverage on that as well.

Caplin Point Laboratories Limited

November 12, 2022

Page 5 of 13

The company is certainly looking at additional CMO orders now that our capacities are being expanded significantly. And especially from existing customers who have worked with us well in the past, they know how well we work together once the project has been finalized. So there is no dearth of repeat inquiries coming in.

We also will start to scout out for more in the coming few months. As part of our overall move towards digitalization, we have gone almost paperless at our quality control department, stability department, the microbiology department, etcetera. Now with the SAP also completing implementation, we will be very close to full-scale digitalization at our plant, which gives further more transparency and integrity into our systems and additional comfort level internally and externally as well.

We continue to remain bullish on our earlier target that we've given, which is to go as close as possible to 200 crores, where we

will be achieving a comfortable breakeven. And this is despite our in-house spending on the filing fees for ANDA, GDUFA fees for the US, the facility fees, et cetera. So I think 2023 and '24 will have similar kind of growth, at least that is what we expect. And we hope for a larger revenue potential from the new capacities that we are installing as well. Finally, there is also a Phase III of our plan that we are fast tracking right now, which will have high Lyophilization capacity, another area where there is significant shortages worldwide. And they will also be provisions to add 5 more filling lines in that Phase III plan. Once everything is completed, of course, we don't have a definitive time line on when the additional 5 lines will be completed, but once all that goes through, Caplin Steriles would be considered one of the large standalone injectable facilities catering to the regulated markets.

With that, we complete our presentation, and we hand over the floor for the question and answer, please.

Moderator: We have the first question from the line of Anika Mittal from Nvest Research.

Anika Mittal: Sir, my question is from the side of these new projects coming online. Some of them are coming in December this year and some of them will be next year, quarter 1, quarter 2. So what will be the incremental revenue potential from these upcoming projects?

C. C. Parthipan: Can you please repeat again? I've not been able to hear, please?

Anika Mittal: Yes, sir. I was asking your new projects are coming online. Some of them are coming this year. And some of them are next year, quarter one, quarter two. So my question is from the revenue

front. I mean, how much do you expect the incremental revenue from these projects?

C. C. Paarthipan: Okay. We will put it this way. As far as the revenue is concerned, it should be in the region of actually 15% to 20% as a whole. But what is important to us, as I have been telling actually from the start, is the cash flow and profit. We are sure of maintaining the cash flow and profit. That's the reason I mentioned in the course of my speech, that we would be in a position to actually create a deposit of INR 250 crores to INR 300 crores this year. This will continue, that is for sure. At this juncture, when the whole world is going through a recession and inflation, giving
Caplin Point Laboratories Limited
November 12, 2022

Page 6 of 13

numbers will not be that feasible. And we are very sure of our business model. Hence, we don't face any major challenges in business.

Anika Mittal: And sir, what is that deficit you were talking about, sir? I'm not actually, that was not clear. What you were talking about the INR 250 deficit?

C. C. Paarthipan: Yes. INR 250 crores this year, we are very confident of creating a deposit of INR 250 crores to INR 300 crores. That's what I told in the course of my speech. Are you able to hear now?

Vivek Partheeban: Yes. It is a cash deposit. Basically, we are increasing our surplus to the tune of INR 250 crores compared to last year. It's not a deficit. It's a deposit.

Anika Mittal: Okay. Understood, sir.

C. C. Paarthipan: Deposit, not deficit. Deposit.

Anika Mittal: Right, right, right. Understood, sir. Understood. And you're talking this will be the 15% to 20% of whole -- overall revenue rate. So how much do you expect from the...

C. C. Paarthipan: 15% to 20%, so it's better to under promise and overachieve.

Anika Mittal: And how much do you expect on the bottom line side, sir, of the overall bottom line?

C. C. Paarthipan: More or less, we will maintain the same.

Anika Mittal: 15% or 20%, incremental, sorry, of the overall.

C. C. Paarthipan: Not Incremental. Whatever is happening now, we'll continue to maintain there -- maintain that, especially the bottom line and profits -- sorry, bottom line and cash flow.

Anika Mittal: Th

at is the CAGR you're talking about, right, 15% to 20%.

C. C. Paarthipan: Yes, more or less the same.

Anika Mittal: And our overall target to get double in every three years, I think....

C. C. Paarthipan: Not every three years. I think five years more. I don't want to give you something. This will happen even every three years, after three years.

Anika Mittal: Actually, that was written in your annual report. I was going through your annual report and it was written there. Your top line will become your bottom line every six years, so that's where I calculated this.

C. C. Paarthipan: That's correct, not in three years, but after six years.

Moderator: We have the next question from the line of Girish Bakhru from OrbiMed.

Caplin Point Laboratories Limited

November 12, 2022

Page 7 of 13

Girish Bakhru: Congrats on good quarter. Did I hear you correctly saying that you were expecting similar growth in Steriles to continue for '23, '24?

Vivek Partheeban: Yes. So as we are obviously starting from a smaller base, the numbers do look like they're entering the high double digits. 2023, '24, when I'm talking about calendar year. So our order book looks very healthy and some of the products that we have launched recently will start to show up in the repeat orders coming in the next six to nine months. 2024 is a year that we are very, very confident about. 2023, we can still show growth because some of our products are still under review. But if I have to really stick my neck out and give you a projection, I think 2024 will be certainly a much better year for us.

Girish Bakhru: And I mean, on the overall -- this 3x expansion that you've talked about, I was under impression that you already have like a PFS line, which I know Sir mentioned is a new form for you. Could you comment on like from, let's say, this 140 million units that you have in liquid vials and PFS of 16 million, is it the expanded capacity number or this is going to get expanded basically?

Vivek Partheeban: So we have a prefilled syringe line at our ROW plant. That is catering to the existing market. So the new prefilled syringe line that we are adding is in our Caplin Steriles plant, which is going to be mostly catering towards our regulated market plants. So the expanded capacities have not yet been declared. I think that will happen in the next press release once we have some information to show.

Girish Bakhru: Okay. On the API plant, can you give some more details? Like what kind of plant, I mean, of course, you are spending some more capex on this. So what kind of capabilities and backward

integration that you see coming out in, let's say, a year or two? So any color on when will we see the benefits of backward integration playing out?

C. C. Paarhipan: Yes. I mean, Vivek, please go ahead.

Vivek Partheeban: Yes. So we are trying to achieve a couple of things over here. Number one is when it comes to our general category, injectable products, which we are filing in the US and other large regulated markets, we want to make sure that we have a control over the continuity of supply, which is something that is going to be very, very crucial for any generic manufacturer going forward. Because as it stands, the price erosion that has happened in the market even in injectables, I would say, has largely bottomed out, especially generic injectables.

So what makes company A different from company B is how good a track record of compliance and continuity of supply is going to matter. So typically, what happens is API is something in regulated markets, you can't really change the source that quickly. If you want to change your source, you need six months of data and another 6 months of what we call as the filing of the PAS. This might take up to 15 months for you to change the plans. And if you don't have products supplied from your primary source, then you

are stuck about 1.5 years.

So this is where we feel that our API piece will really come into play. How we are looking at it now is we are going to start with the primary source for most of the products where we have already developed like our MD said, there are over 50 products that we have already developed

Caplin Point Laboratories Limited

November 12, 2022

Page 8 of 13

at a large scale. We need to scale that up and then start filing for most of that. That's number one.

Number two is we also have a new OSD plant that is going to come up very close to Caplin Steriles. Now this is also going to be aimed at the larger markets of Latin America and also US and EU eventually. And we want to be backward integrated on the APIs for this. Now here, not just continue to supply.

I think cost control is also going to be achieved with our own API. And when it comes to oncology, we want to be directly backward integrated from day one. And even if it takes a little bit longer for us to start up, we will continue along this route. And basically, we acquired around four buildings around 2.5 years or more, of which the first two buildings have already been converted into the formulation part of the oncology division. And then the next two buildings, we're in the process of changing them into our oncology API section.

Girish Bakhrui: And with this plant, how much did you acquire it for?

Vivek Partheeban: I will let CFO add some color on this one.

D. Muralidharan: The API facility is a net asset purchase, so the unit, we paid a consideration of INR 25 crores for the land and building, and the plant and machinery, as they are today. So as you can see and also, we have elaborated in the press release, we'll have to evaluate the current status of the plant and machinery and re-estimate their additional capex that is required to cap it early, that we are in the process of working out. It will take a while. And the next four months to five months, it will all be operational.

Vivek Partheeban: Yes. So internally, we feel that it might require a capex of around INR 35 crores to INR 45 crores for us to bring it to regulated market compliant plant, and this could take anywhere between four to five months from our side. The good thing is most of the R&D work for the products have already been completed. It's been completed for the last 1.5 years or more. So that part of it, we don't see any delays or anything like that. So as long as the facility is up and running, I think we can very quickly start looking at our first filing.

Girish Bakhrui: And just on the -- this overall margin this quarter, I mean, gross margins have been trending down. Any particular reason? Or is that the Q2 had a very high base in itself?

C. C. Paarhipan: Can I ask the CFO to answer, please?

D. Muralidharan: Yes, sir. Actually, as we have been telling in the past also, the gross margin will average around 54% to 55%. And then the product mix also plays a role, and then the customers whom we have dispatched, play a role here. Some of the orders, which are tender based will not have the same margin as the normal products. There are various reasons. As the year ends, we'll come back to about 55% average for the year as a whole. That's what we could probably do.

C. C. Paarhipan: Let me add one more thing. It's true, actually, in some of the products, the margins are lower.

However, we are very keen actually to make sure that it will be a cash and carry transaction. We

Caplin Point Laboratories Limited

November 12, 2022

Page 9 of 13

don't entertain anything in the form of credit. When the things actually are normal, you don't

know what is happening worldwide. Yes, it's true -- let me repeat. It's true that there are some , to a certain extent, I think profitability is low. That is because of the fact, actually, worldwide, ther

e are issues, which you are aware. However, what we do is we make sure that our transaction is cash and carry. We don't entertain any credit for the products where the margins are slightly lower. Anything else would you like to ask please ?

Girish Bakhru: Yes. And so I mean, when you actually blend all this together, I know there is, of course, investment phase going on. '23 calendar year here, eventually, there are still some more investment and cost pressure. And the API scale up is happening. So should we assume that '23, you will not see major change in the margins, but '24, there can be substantial improvement?

C. C. Paarthipan: You know about the business, there are entry barriers when we get into bigger geographies. But I hope you would agree with me , the most important factor for us we still a debt free company with a deposit of INR 700 -plus crores. Second, as I told actually that we will be building our deposits every year to the tune of INR 250 crores, at least minimum. So the process that we create in the form of actually the vertical integration, which is very similar to any big companies, which is already doing well, it may be one year this way or that -- which we are not in the position to assure you at this juncture, but we are assured to do well in the future.

Girish Bakhru: And just last one, if I can squeeze. There was 1/12 approved for review in China market. And probably, you have hands full with limited capacity. So is China something that is in horizon in the next two, three years? And if you could talk about what is the process in which you will enter the market.

C. C. Paarthipan: Yes. Definitely, China is one country where we have been exporting our products from China to South America. Now our next level of actually business will be totally differentiated. Some of them, I don't want to disclose at this juncture because disclosing it would lead to self - victimisation . We'll definitely do it, but it cannot be that faster as it happened before. Because the regulated market, anything in the form of regulated market, whether it is China, US or other country, it takes its own time. But we have plans, and we're not able to continue because of the fact, which you know two years of COVID. And subsequently, we have not been able to travel also because of quarantines that's happening in China.

Girish Bakhru: So this JV that you had was -- and that got liquidated also. Was it created before COVID?

C. C. Paarthipan: That's created before COVID, and the JV is liquidated. However, actually, they are, in fact, in a smaller way, they are taking some intermediates from India through us. But we will definitely associate again, and we're talking to each other. But of course, we'll let you know when it happens.

Moderator: We have the next question from the line of Chirag from RatnaTraya Capital.

Chirag: Congratulations on great traction in such a difficult environment, which is across the board. Just had three questions, sir. One, can you share the H1 EBITDA number for Sterile on just an

Caplin Point Laboratories Limited

November 12, 2022

Page 10 of 13

approximate basis? I know at the year -end, we always get to see it . but could you just share a ballpark number of the EBITDA quantum that Steriles has generated in H1?

C. C. Paarthipan: Yes. Of course, the CFO to speak

D. Muralidharan: Yes, H1 CSL EBITDA is around INR 17 crores.

Chirag: INR 17 crores, got it. So that would imply that core business EBITDA is INR 191 crores, which would be around the 32% margin. I just wanted to take an input. Is that something that we think is a sustainable margin from here onwards for the core business? Or are there some pressures because of all the things that are happening in the world, that once we get relieved, this will inch up? What is your opinion about that number, sir?

Vivek Partheeban: So I'll just m

ake one comment. Because we are still in investment phase when it comes to regulated markets. Because we don't really capitalize any of our R&D or filings or anything like that. We charge -off all of them as expenses. So until we complete or we get close to completion of our investments into R&D and filing, we can't really compare like -for-like to the parent company. Parent company is obviously a more mature business. But going forward, I would say two years hence we would probably say that it would be closer to the parent company in terms of overall EBITDA.

Chirag: Actually, my question was for the parent company only. So if I back into the core business margin that for the first half come down to be around 32 odd percent for the core Sterile -- the LatAm and Central America business, there is what I'm sort of looking for a guidance. Where do you think sustainable margins for the core parent business is? Sterile, I understand, we are investment grade. But for the core parent business, those margins have been in 35%, 36% range over the years. The core business, where do you think they will be in the future?

Vivek Partheeban: Yes. So that question had been already answered in the previous question. We expect our EBITDA margins to remain sustainable at the same level going forward. I mean, of course, one quarter here or there, if it goes up by a couple of points, you can't really compare on a quarter-on-quarter basis. But by and large, we feel that the EBITDA that we are reporting right now is very much sustainable.

Chirag: So the current EBITDA is what you think is a sustainable rate going forward, right, that's what you're saying.

Vivek Partheeban: Yes. Again, as a matter of us being very conservative about, of course you can always come back to the -- it's less than saying that Caplin Steriles system and investment trades once it comes out and it breaks even, then obviously, they should go up. And that is for sure what is going to happen. But we would like to be conservative on this and then maintain the current -- I think, as current level itself, I think we have very good EBITDA numbers for a company that's mostly to generic products.

Chirag: Right. I understand, sir. Understand. So that's very helpful. Just on the growth rate part also for the core business, last two quarters have been slightly lower than the kind of execution that we've

Caplin Point Laboratories Limited

November 12, 2022

Page 11 of 13

all gotten used to for the core business. Is this something that is -- that we are working on actively? Or do you think that given the large base now, incrementally, again, that number also has to be sort of moderated down for the growth of the core business?

Vivek Partheeban: Yes. Request Chairman to take this.

C. C. Paarthipan: Let me give an answer to this, please. What is happening today is there will be like -- sometimes it may go up, sometimes, it may go down because we have not been in the position to travel and take care of the marketing. And then we are focusing more on new markets. At the end of the day, what is important is we want to achieve one quarter -- what is important is actually the indicators and in fact, the process that we are creating, the pipelines that we are creating in the form of projects, in the form of R&D, in the form of actually creating a vertically integrated business model. So ultimately, in the short run, it may be a few percentage lesser. But in the long run, maybe two years from now, we will continue to do the way we have been doing in the past, and we may actually do better than before also.

Moderator: We have the next question from the line of Shivam Agarwal from Mirae Asset Capital Markets.

Shivam Agarwal: So sir, I have a question. Can you talk a bit on the cost front and how should we look at the margins spanning out for over the next 2 to 3 years?

And what are the factors determining as the US business, the Caplin Steriles business could pick up?

C. C. Paarthipan: Gentlemen actually, I think most of the questions are actually in line with one and the same. However, the most important, as you all will agree with me, as we told you before, first is debt free and year-on-year, we will be in a position to create a deposit of INR 250 crores, which is not actually a small sum. And we are bringing something in the form of process, not in the form of pipeline, in the form of work in progress. Everything leads to growth. It may or may not happen in this year or next year, it's going to happen in future in a big way. If you look at any company, which is in the process of growing, they are actually right from key starting material, intermediates, API to formulation front.

We are there in some of the markets, and we are going to be there in all the biggest geography also in the future. That's why we are building facilities, we are also going for people by offering ESOP, we're offering them at INR 2, attractive ESOPs. So the things that we do today, whether it is in the form of attracting people or going for the technology, best of the best of products and going for the business model differentiation in the regulated markets, we are sure of doing well. The reason being, we have been catering to the bottom of the pyramid.

The only thing which is permanent in the world is change, as people say, the one more thing which is permanent also is poverty. When we address to that one, poverty is one thing which is there everywhere. If you take the one in US, even in US, you have uninsured and underinsured to the extent of 33%. But it takes time because of entry barriers. There is no way we can compress the entry barriers because the registration takes its own time, the facilities and the SOPs and the way in which we'll have to do things, we cannot compromise with the integrity, quality or safety in pharmaceutical business.

Caplin Point Laboratories Limited

November 12, 2022

Page 12 of 13

That's why when we graduate from one level to the next level, it takes time. And you also know it's not actually a commodity business. Even if there's a commodity business and pharmaceutical

it is gone into the regulations, we have to stick to the regulations. Hence, the profitability on quarter -on-quarter basis sometimes its maybe for eventually, it will make it big, that is for sure. It's a question of time before we really make it.

Moderator: We have the next question from the line of Anupam Agarwal from Lucky Investment Managers Private Limited.

Anupam Agarwal: My question is on the US business. Sir, if you can highlight to us the 55 ANDAs, which are under development with the market has a \$5 billion. The competitive dynamics of that overall market in terms of the number of players were fight for those products. Also the current INR 100 crores half yearly run rate, what kind of market share have you been able to gain, the product have already in the market?

Vivek Partheeban: Yes. So when it comes to competitive dynamics, I think most, it's a well-known information that is available. Typically, in injectables, there are always, for most generic injectables, there are always five to six players in the market, and these are all very large companies, the kind of companies that have 100, 150 over ANDAs in their names. So we are very niche in the sense that we are a small to mid-sized company, especially in the US, that has the unique proposition of having our own assets to our name. And also we are doing CMO business as well. So I would say that we are very well positioned going forward in the longer run. When it comes to market share, it differs from product-to-product. There are products where we have high double-digit market share.

There are ones where we are in single digits as well.

So it also is probably not the right time to look at market share right now because people are just coming out of COVID. And this year might not be the best indicator of market share because what happens is outpatient services, especially at hospitals, which is where most of our injectable products go to, was not open until about seven, eight months ago. So the view that you will take from any sort of market share credits would be a little distorted. So I think 12 months from here might be a good place for us to look at what kind of market share that each of our products are taking.

Anupam Agarwal: If I am not wrong, do we have around 10, 12 products in the market already? Or...

Vivek Partheeban: In Caplin's own name, we have 13 products in the market. And with partners, we have another four.

Anupam Agarwal: Another four, okay. Can you, sir, highlight to what is the kind of filing targets do we have planned?

Vivek Partheeban: Okay. So we have seven products under review, of which three of them are at late stage reviews, where we expect approval in the next two to three months. And four more have been filed in the last couple of months. So we expect that to come by FY '24. When it comes to filing targets, we actually are ready to file about four ophthalmic products ready, that will happen in the next few
Caplin Point Laboratories Limited
November 12, 2022

Page 13 of 13

weeks. And before the end of this financial year, we expect to file another at least two products of which one of them will be a complex emulsion.

Moderator: As that was the last question for today, I would now like to hand the conference over to the management for closing comments.

C. C. Paarthipan: Thank you. Thank you, everyone that has participated with our earnings call for today. And also thanks to Mirae Asset and Harshal for taking all this initiative and we expect to be in touch with you quite soon. Thank you, everyone.

Sridhar Ganesan: Thanks to all of you. Thank you. Thank you very much.

Vivek Partheeban: Thank you.

Moderator: On behalf of Mirae Asset Capital Markets, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

Page 1 of 18

"Caplin Point Laboratories Limited
4QFY23 Earnings Conference Call"
May 27, 2023

MANAGEMENT : M R. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED

M

R. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED

D

R. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED

M R. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED

M R. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

Caplin Point Laboratories Limited
May 27, 2023

Page 2 of 18

Moderator: Good day, Ladies and gentlemen, good day and welcome to 4Q and FY2023 Earnings Conference Call of Caplin Point Laboratories, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over to you.

Prashant Nair: Thanks a lot, Yashashvi. Good afternoon, everyone and thank you for dialling in. I am Prashant Nair, healthcare analyst from Ambit Capital. I would like to thank the Caplin Point management for giving us the opportunity to host this call. From the management team today, we have with us Mr. C C Paarthipan. Chairman; Mr. Vivek Partheeban, Chief Operating Officer; Dr. Sridhar Ganesan, Managing Director; Mr. D. Muralidharan, CFO and Mr. M. Sathyanarayanan, Deputy CFO.

I will now hand over the call to Vivek for his opening remarks, post which we can go to Q&A. Over to you, Vivek.

Vivek Partheeban: Thank you, Prashant. Hello and good evening to everyone. Welcome to our earnings call to discuss Q4 and FY23 results. Please note that a copy of all our disclosures are available on the Investors section of our website, as well as on stock exchanges. Please note that anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces.

The conference call is being recorded and the transcript along with audio of the same will be made available on the company's website, as well as the exchanges. Also, do know that the audio of this conference call are the copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Now, I would like to hand over the floor to our Chairman for his opening remarks.

C. C. Paarthipan: Thank you. Good evening to all. Welcome to our investor's call. First, the two most important salient features of our company despite our strong top line and bottom-line growth supplemented by benchmark cash flows are, one, the return on capital employed stands at 26.19%. Two, the cash-and-cash equivalents has increased some INR17 crores to INR770 crores in the last 10 years, despite investing INR650 crores in capex during the same period. We are aware that living comfortable in the present business without understanding our today is a friend or foe is not a sustainable solution.

However, the following will make you understand that we are building our tomorrows today. One, our additional line of Softgel we produce a business of INR80 crores to INR90 crores from Caplin Point Laboratories Limited
May 27, 2023

Page 3 of 18

LatAm markets for the current year. Two, the brand marketing that we started in Central America, that is LatAm would also fetch us a revenue of INR30 crores to INR40 crores. Three, the introduction of generic businesses in West Africa might also result in an additional revenue of INR10 crores. You are aware that we are currently doing only brand marketing in this part of the world.

Four, our new initiatives in CIS and Southeast Asia could also fetch us a business of INR20 crores to INR25 crores for the current financial year. Five, Caplin Steriles would generate an additional income of INR90 crores to INR100 crores for the current year. Six, Caplin's liquid assets are in excess of INR1,450 crores, whereas the payables are only INR160 crores. Now, accruals to cash balance has been INR300 crores each year in the last two years and

this

will definitely continue for the future also. Further, we are aware that the four important factors that contribute to sustainability and scalability of companies are, a. men, b. materials, c.

machineries, d. markets. Now the men and women. Employable talent comes at a cost, we at Caplin not only offer good salaries, but also performance bonus, ESOP and engage in employee experience. Recently we selected around 100 youngsters from various places and offered them good food and accommodation free of cost and also trained them for our necessary skills for the new normal.

Materials, we've already developed 65 API's in our R&D in the last three years that consist of both general category and oncology. The API facility that we bought in Vizag will go on-stream in the current year itself. This will help us in reducing the cost of goods and also consistency in supplying over a period of time.

Machinery, currently, all of our new expansions in the existing and new facilities consist of imported machineries from Germany, Italy. These machineries are capable of increasing our productivity without any hassles in future. For example, the capacity of our new line from our Phase II in Caplin Steriles is higher than the combined capacities of two of our machines from Phase I.

Markets, since the generic business is based on the concept of supply and demand for profitability, it's not the markets that matter, but the models. We are also aware that 85% of our business with benchmarking cash flows and profits comes from six smaller geographies of LatAm due to the business model differentiation. However, we are very keen to introduce the same model of end-to-end in the bigger geographies too in the next two to three years. We will also cater to the bottom of the pyramid which is what brought us to where we are today.

Once we complete the expansions of our oncology, OSD and API project and also the product registration in the next two to three years, we are sure of being one among the few of best companies of our size. Finally, we sincerely believe that every phase of our business offers something relevant to all our stakeholders. We also understand that it depends on us whether we analyse the positive trends or just turn the pages, it is for you to decide. Thank you. Thank you very much.

Caplin Point Laboratories Limited
May 27, 2023

Page 4 of 18

Vivek Partheeban: Thank you, Chairman. So, I would like to give a brief about our regulated market business, specifically the U.S. We are, of course, very happy with the progress Caplin Steriles has made in the last financial year, where we have grown nearly 70% and also achieved the full break even with a small profit as well. We need to also take into account that this includes all of the expenses that we incur in the way of ANDA filing, the R&D cost, the regulatory costs, etcetera which I believe amounted to close to INR20 crores, which is a direct hit and now specifically most companies I believe capitalize these expenses, whereas we charge them off with expenses. So, achieving the break-even despite a large regulatory and filing fees is something that we can all be appreciative of.

The mix at this point is still quite healthy we feel, the mix is around 70% product sales and 30% milestone and profit share. In the last quarter, we've received three approvals in quick succession. One of these products has just been launched and then two more are being launched in the coming few months. As we've explained many times in the past, our all-recent deals have been non-exclusive and brings me to the next point where we'd like to inform you that we have just launched our first four co-labelled markets in the product, co-Caplin labelled product in the market. This we will start to see some sales of this in the coming few quarters.

We have eight products under review with the FDA. We feel it can be approved withi

n the

coming three to four quarters and there is also another 13 products under stability right now, which includes four complex products as well, including ophthalmics, bags and vial. All of these together we are targeting a revenue of an additional 50% growth in the coming year amounting to close to INR300 crores.

It will not be out of place to mention that we are sitting on an order book of close to INR230 crores to INR240 crores as we speak. So, the key is to make sure that we execute the production with high degree of compliance like what we have always maintained. The focus right now is to complete the validation of our new line, especially the ones that Chairman explained, which is high-speed and highly compliant line that we've bought from Bosch.

Now we feel that this is going to significantly reduce our turnaround time. It will significantly increase our productivity as well. We are hopeful that this should go onstream by October of this year and that will free up quite a bit of capacity for us to continue doing our R&D work and exhibit batches work and stuff, which is the last thing that we need to do before filing the

ANDAs.

We have also made some progress with regards to our front end in the U.S., but I'll be able to give you more information on this in the next three to four months because quite a lot of this is a work in progress as we speak. We also have some approvals that have come through in Canada and Australia. These are products that are the same for which we have received ANDA approvals in the U.S. At this point, the revenue potential from these are quite small, so we're not really taking into consideration these approvals as anything significantly material.

Caplin Point Laboratories Limited

May 27, 2023

Page 5 of 18

In terms of market share, for a majority of the products that we have live in the market, we have increased our market share. This is despite many of our peers complaining that there is significant price erosion and market share erosion, etcetera. We continue to maintain a lot of focus on our products and we make sure that we are increasing our market share as much as possible without reducing the prices in any way.

But of course, the most important thing for us is to make sure that our business model is differentiated because that is the one that is going to be impactful over the long run and that is what is going to make it even more sustainable. This should happen once we start making more regular visits to the U.S., which will start in the coming couple of months onward.

In addition to this, once we complete our Line 6, which is a pre-filled syringe line and also Line 7, which is our lyophilised products line, it will give us a complete portfolio of products and also by which time we will have quite a lot of visibility on our label products and our front in the U.S. as well, along with a good business model differentiation that we have showed in the past with Latin American markets, we feel that this could be a good potential combination for everyone. That's it from my side. I will hand over to our CFO for a brief description on the numbers that we've had in the last year. Thank you.

D. Muralidharan: Thank you, Mr. Vivek. Good afternoon, everyone. This is Muralidharan. I will just take you through briefly on the numbers, as it already available with you, but still I thought I would take you through the salient features. Last year, we delivered good growth which is 16.4%, resulting in terms of INR it is INR214 crores a total increase in the revenue and the gross margin plus other income increase is amounting to INR109 crores, of which INR66 crores has been spent on expenses, basically on employee cost about INR22 crores, other expenses about INR24 crores, INR46 crores is expenses increase and INR66 crores is thrown into the profit loss account directly.

So, the consistency is evidenced by the CAGR we ha

ve reported, which is at 27% for the 10-

year period, even at a larger base, it is 22.8% on revenue and 21.1% on PAT, which is more than evident in the consistent growth year-on-year the company is delivering and the gross margins hover around 55%, which is what we committed in the last year's meeting as well. EBITDA is at healthy 33%, it is about 33% and then PBT is also around 30%.

And PAT is about 25%, which is very good margins by industry standard. We happen to compare our process to comparable peers and very, very proud to say that we are ranking number one in almost all the parameters with respect to the peers be it revenue, growth, be it ROCE which

Chairman mentioned, ROE or EBITDA percentage or PBT percentage. Vivek was modest enough to include only the regulatory cost, we also spent INR35 crores on employee costs and R&D consumables, that is also added, our profitability would have been more on pure commercial sense. This year, CSL has seen a very impressive growth of 67% and reaching PAT level break-even is a very good gratification.

And as he said, we have very good order book and then the key is to deliver and then take this company forward. In the front of cash flow and the cash and cash equivalents, Chairman has already mentioned, we are having about INR1,500 crores worth of liquid assets, whereas about INR150 crores to INR160 crores is the creditors that we need to service and INR772 crores of cash what we have today will take us through the entire Capex that is planned for the current year, as well the accrual that is happening which is planned to be around INR300 crores as our Chairman mentioned will see us in good stead. And this is it from my side in terms of numbers and we will be happy to take the questions.

Over to Mr. Vivek.

Vivek Partheeban: Thank you, sir. Prashant, we can open the floor for questions right now.

Moderator: Thank you very much. We have our first question from the line of Girish Bakhru from Orbimed. Please go ahead.

Girish Bakhru: Just on the U.S. thing to begin with, I mean, right now, I mean, given that you have a good order book visibility, I mean, just trying to assess in the longer time frame, I mean, couple of, I think quarters ago we had painted a possibility of \$100 million sales by CY '26. So, I mean just trying to assess if that number is still quite visible in terms of the launches? And if you could comment on these three approvals, Carboprost, Thiamine and Rocuronium, my understanding is Carboprost could be a very decent opportunity given that there are very few players?

Vivek Partheeban: Yes, so the overall projection in terms of what we targeted, we continue to believe that this is possible. Of course, we are not able to give you year-on-year what we expect the market is going to be like, obviously, because it is still a very dynamic situation in the U.S. If you consider the approval that we've got recently, we believe they are all very good products, I mean, each of them have different types of markets like you said, Carboprost probably doesn't have too much by way of competition, even Thiamine doesn't have too much by way of competition, whereas a product like Ketorolac or Rocuronium for that matter has more competition, but the volumes are also larger. As a smaller company, we would like to believe that over a longer broader portfolio, we would have a good hold on the COGS. And once we go for backward integration on a few of these products, we will have even more control on COGS as well. So, we can be certainly encouraged by what we would see in the market on these products.

C. C. Paarthipan: Yes, one more thing, I would like to add...

Girish Bakhru: Yes, sure. Go ahead.

C. C. Paarthipan: Sales which you mentioned from my speech that is likely to come in somewhere by October or November, where the capacity actually in terms of pro

duction will be high, that would also reduce the cost of goods actually. Thank you. Thank you very much.

Girish Bakhru: Correct. And when you actually talk about these high-speed lines, higher capacity, you mean there is room to take more market share in existing products, right? Is that the correct understanding?

Vivek Partheeban: Yes. So, as we -- actually, the truth is, because we have a large pipeline of products that we are working on, we are constantly balancing between what would take up commercial production, what slots would be taken up for exhibit batch if, et cetera. So, because we only have two lines and we have multiple approvals, this third line vial line I'm talking about, which is basically Line 5, will significantly increase our production capacity and also without getting too technical, there are certain kinds of products called terminally sterilized products versus other kinds of products on accepting products.

Now the former is the one that we are going to be doing in Line 5 and we will be dedicating with both terminally sterilized products, which have larger volumes and quicker turnaround time. So typically, this is what we are trying to achieve with higher productivity and by all means I think you can say that we will be aiming for higher market share because right now we're actually sitting on more back orders than before because of the amount of orders that we have received and also the newer approval.

Girish Bakhru: And when do you expect PFS line to commercialize?

Vivek Partheeban: Our first choice is to make this Bosch line ready that we expect to happen sometime in October and November. PFS line will be in two months after that.

Girish Bakhru: Just on the non-U.S. piece, this branded generic versus generic mix right now being 25 to 75, I mean you were talking about this in the initial remarks that West Africa launch and brand

marketing in LatAm. How should we read this? Is that mix going to change significantly over, let's say, next three years and what will be the two margins?

C. C. Paarthipan: We will go step-by-step on this. The volumes, as I told you, that might even result in INR30 crores to INR40 crores, but the profitability will be quite high. And the advantages that we have today is in the form of bio equivalents and bioavailability, which we can do it in our own Amaris clinical lab, which has been approved by USFDA. We've already completed eight to 10 products now. We are likely to do another 20 products also in the future.

As we increase the bio studies, that will actually somehow represent the quality and also it will create a new image for our generics in LatAm. So, we are sure that we would be in a position to increase our brand marketing over a period of time. The idea is to generate a new revenue stream that will increase the cash flow and profitability.

Girish Bakhrui: And just one more if I can squeeze before I join the queue. On the audit side only where you're mentioning, there's been no audit on the U.S. side, right, since 2019.

C. C. Paarthipan: We are in the midst of USFDA audit five days are completed, three more days to go.

Moderator: Thank you. We have our next question from the line of Karan Dubey from Anubhuti Advisors LLP. Please go ahead.

Caplin Point Laboratories Limited

May 27, 2023

Page 8 of 18

Karan Dubey: Just two questions from my end. First, regarding the delay in series of our projects, first, Caplin Steriles the commercial batches was supposed to start from first quarter of FY '24, now it has been delayed to third quarter FY '24 and same for oncology, oral solid dosage was supposed to be completed by December '22, now it has also moved further.

So, what would be the reason for the thing, first? And second, regarding the cash and cash equivalents, in the presentation, it has

as mentioned INR772 crores. But according to us, it should be INR724 crores, so what mistakes are we doing? Can you please provide the break-up of cash and cash equivalents? Thank you.

C. C. Paarthipan: I'd like to talk about the project overrun. See normally, this is quite common for any first generation entrepreneur. You see, we, in fact, we had sufficient professionals to take care of it. However, there is a delay, but that has not resulted in a huge cost overrun, but there is a delay in projects. Luckily, we have not been borrowing money to complete the project. Hence there is nothing in the form of action, you know last two, last in the form of like you know, if you borrow money, then there is the interest cost. But of course, there is a loss in the form of opportunity, but again, we'll be able to offset it once we actually start our commercials.

And the second one, we, in fact, we went for simultaneously three, four projects, in between, we had to buy a API project and then the priority was shifted towards first Phase II in Caplin Steriles. Now also some 30%, 40% of the work is completed in Phase III. Then we recently bought a key API facility in Vizag, we are trying to actually remodel the whole thing to suit to the U.S. FDA, so that the API that we manufacture in Vizag can be used in our products that we have already registered in U.S. FDA. So, it's happening, it's a question of time. It may happen actually few months later, but that doesn't mean actually we are in trouble, there's no such thing.

It happens to every businessman today. Post-COVID days, this creates a new normal in the form of actually difficult to understand the mindset of the people. There are people who are getting sick, there are people whose attitude also slightly changed. So, this is part of our new normal, of course, each and every entrepreneur has to undergo this one. That way we haven't lost anything as I told you, there is a delay, but there is no denial of opportunity.

For your second question, can you please repeat regarding the cash flow?

Karan Dubey: Yes, in the presentation, the cash and cash equivalent is mentioned of INR772 crores, but as per balance sheet, the breakup, I mean like as per balance sheet we had calculated, it comes to INR724 crores. So can you...

C. C. Paarthipan: Now I request our CFO to answer your question.

D. Muralidharan: I will just take the question and then thanks to Ind AS, the cash and cash equivalents, it will take some trouble to figure out for anybody for that matter, this is scattered around five to six places. Just let me repeat what is stated. Ind AS adoption, the cash and cash equivalent is not reported in the balance sheet in one place, it is split over four to five places depending on whether it is current, non-current, whether it is bank balance, whether it is fixed deposit, et cetera, et cetera.

I can give just the breakup for INR772 crores. In the interest of time, we don't want to do that,

Caplin Point Laboratories Limited

May 27, 2023

Page 9 of 18

the INR46 crores what our friend has pointed out is part of other financial assets, intercorporate deposits.

About couple of years back, we had large mutual funds, post Franklin Templeton fiasco, we withdrew everything from mutual funds, we are not into mutual funds at all. We invest our funds in scheduled bank and AAA rated Company deposits and intercorporate bonds. So INR46 crores, I think our friend has missed out, is sitting in INR71 crores other financial assets.

Karan Dubey: Okay.

D. Muralidharan: Yes, that will add INR71 crores.

Karan Dubey: And one more question, sir, from my side, so in other expenses has been dropped INR52 crores this quarter from INR62 crores last quarter, INR64 crores last quarter. So, what is the reason for drop in that?

D. Muralidharan: Primarily, last quarter, we paid a huge facility fees of INR7 crores, INR7.5 crores in CSL, which is

paid in October annual fee. So, which is not repeated this time. So that's the main reason for that.

Moderator: Thank you. We have our next question from the line of Chirag Fialoke from Ratnatraya Capital. Please go ahead.

Chirag Fialoke: Good evening, thank you so much for the opportunity and congratulation. I have a couple of questions just on the Central America and the LatAm business. Firstly, could you share what the gross margin of that business right now must be running out, even if it's an approximate number for the year or for the quarter?

C. C. Paarthipan: I will leave this actually to our CFO to answer this.

D. Muralidharan: 54.5% to 55%, that is average what we get.

Chirag Fialoke: And for Steriles, what would be this quarter's EBITDA number, sir, if you can just share that as a bookkeeping question.

D. Muralidharan: EBITDA number for the quarter?

Chirag Fialoke: Yes.

D. Muralidharan: INR135.33 crores.

Chirag Fialoke: Sorry, sir, I couldn't hear that, can you repeat that please?

D. Muralidharan: INR135.33 crores.

Chirag Fialoke: This is the EBITDA number for steriles?

D. Muralidharan: No, no, are you talking about Steriles or the company, when we talk, we about Caplin as a group.

Caplin Point Laboratories Limited

May 27, 2023

Page 10 of 18

Chirag Fialoke: Okay, okay. Sterile?

D. Muralidharan: Steriles EBITDA, just give us a minute, I will just...

Vivek Partheeban: You want steriles EBITDA for the quarter, quarter four?

Chirag Fialoke: Yes, yes.

Vivek Partheeban: It is around INR8.5 crores.

Chirag Fialoke: So, this year that means we would have probably made close to around INR23 crores -- INR33 crores, INR34 crores of EBITDA in Sterile right for year-on-year?

Vivek Partheeban: For this year, sterile EBITDA is around INR20.3 crores.

Chirag Fialoke: And just back to the question that I had for Chairman sir. You outlined a large number of initiatives that might come on board in '24, things that you have been working on in the past and will bring fruits in '24. Could you just talk about the Latin America business a little bit more, sir? I'm going back to your opening remarks, if you can just detail out a couple of more initiatives that you are taking there, obviously, growth has been sluggish in that part of the business for the last couple of quarters. But how do you see going forward? And particularly, is there any geography that is under stress because of any microeconomic or macro indicators? That will be my last question. Thank you.

C. C. Paarthipan: Yes, to tell you, to put it in a nutshell, if you look at actually in the form of a holistic approach, overall, actually, the cash flows and profits are the thing, I think, I think we are very, very comfortable. As you rightly said, in some geographies, there is a slight decrease or increase that happened because of the focus, sometimes that will happen, given the business profile and the profitability sometimes from the private market or the government market are little competitive.

However, we, in fact, we are not only getting into generic businesses, we're also getting into the various areas of brand marketing. And to create a niche to our brand marketing, as I told you before, we are adding our bioequivalence and bioavailability which normally only the big companies do it in their smaller geographies, like especially the multinational. The Indian companies, big companies they are not interested in smaller geographies, they always go bigger geographies for the cash, Mexico, Brazil, Argentina, Columbia that kind of stuff.

So, these particular market where we are today, we will continue to grow, but only thing post COVID, our focus has been actually on the U.S. market, it's not only the market, but also the facility and as you know well last four years there was no inspection, so were all focusing actually on the U.S. FDA inspection which is happening now.

So going forward

maybe one to two months from now you all will get into the market, we will also increase actually the sales and profitability. So, is there anything you would like to want me to continue please?

Chirag Fialoke: No, this is very helpful sir and if I'm not wrong...

Caplin Point Laboratories Limited

May 27, 2023

Page 11 of 18

C. C. Paarthipan: Please, please go ahead.

Chirag Fialoke: Well, in your opening remarks, if I'm not wrong what you said is that the soft gel line will help us bring around INR80 crores to INR90 crores this financial year and INR30 crores to INR40 crores on brand marketing initiatives that we have taken in LatAM geographies, is that broadly right?

C. C. Paarthipan: This is broad guidelines and suppose which we are suppose -- we'll definitely be able to do it in the current year, we'll be able to increase the sales.

Chirag Fialoke: One last question from my side sir, on the core business, outside of Sterile, if I just look at the core outside of Steriles business, what would you think is a sustainable EBITDA margin for that part of the business?

C. C. Paarthipan: Our core business as of today, as you know well is LatAm business. Today, generally, whether it is U.S. or other markets, as I told you before, it is not actually the technology or other things which really matters - except in complex areas of maybe a biological product or biosimilar. And most of the products whether it's in U.S. or in any of the regulated market, the competitors are there.

The only way which we can create actually a substantial differentiation is to create a value monopoly. And we look at it this way, there are only two things that are permanent in the world, one is change and the other one is poverty.

As long as you cater to the bottom of the pyramid, by removing the intermediaries and the bottom of the pyramid business itself will become a creamy layer and that is what actually has helped the company to where it is today. So, we'll continue to do the same business, we'll try and do the same thing in the regulated markets, ROW and the bigger geographies. Only difference is it takes time.

It's not like actually the ROW market where the registration gets completed in six months, their own places where we have studies, their own in fact expect the kind of dossiers and the regulatory hurdles that we have in the bigger geographies is not there. However, we will continue to grow in this domain and we will also go for something long term in the regulated markets where the big boys are ruling currently.

Chirag Fialoke: Any views on the margin front, EBITDA margin for the core business? Is there any view there that you might have?

C. C. Paarthipan: So far, we don't have any issue in the form of margins and there will be small challenges in the top line. Top line challenges is bound to happen, maybe for two, three years, but our cash flow and the profitability will continue to remain, as I told you in course of my talk, last year and last before what I mentioned in the form of accrual to cash balance in the form of INR300 crores each for last two years has been happening and it will continue to happen.

Caplin Point Laboratories Limited

May 27, 2023

Page 12 of 18

That means most important as you understand I hope you will understand with me, is you have bottom line and cash flow, top line is vanity, bottom line is vanity, cash is, I hope you would agree with me.

Moderator: Thank you. We have a question from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: So just taking up on where the previous participant was asking, the LatAM growth has been one of the lower through the last couple of years and I understand that because we were prioritizing on growth in the U.S. market and as you highlighted will still lead to a low teens kind of growth. Is that the kind of aspiration that we have

at least for the next year?

C. C. Paarthipan: Yes, we need to see that our growth in LatAm actually is decreasing, am I right?

Alisha Mahawla: Yes.

C. C. Paarthipan: Yes, I look at it this way, if the growth is decreasing, you will not have this kind of cash flow and profit. That's the reason I said, we are not focusing on the top line, we are focusing on the cash flow and profits. We will continue to have the cash flow and profits. If you ask us actually about the top line, top line is not very important because when you think of top line, then we'll push our people to sell in credit, which we don't want.

Alisha Mahawla: And the last couple of quarters, we were talking about entering into bigger markets, so looking

at some tenders in Brazil and Mexico. Any update on that on the entry of these markets, will they -- have they contributed in the current year or will they be significant in the next year?

C. C. Paarthipan: Yes, you mean to say that actually the individual break up of actually the countries or something?

Alisha Mahawla: Yes, because we were talking of entering Brazil and Mexico and...

C. C. Paarthipan: Yes, yes, yes. Mexico, see, the model that we will be adopting in Mexico definitely is going to be very unique. But again, Mexico is a market where the registration and other things takes long time. And now we are in the process of registering our injectables there and we will also get into OSD and other products shortly.

Once we get a basket of actually 50, 60 products with different buckets in the form of tablets, capsules and injectables, probably we'll start our business. We are doing actually a bit small business, not a big business, the consistency will start, say, one to two years from now in a big way, maybe two years from now, that would be the right timeline.

Alisha Mahawla: And Brazil?

C. C. Paarthipan: Sorry?

Alisha Mahawla: Brazil?

C. C. Paarthipan: I couldn't hear properly.

Caplin Point Laboratories Limited

May 27, 2023

Page 13 of 18

Vivek Partheeban: I think she is asking about Brazil.

C. C. Paarthipan: Brazil, no, like Brazil know, we are still in the registration stage. Here, the arrangement is totally different, it's not a continuation of what we do in Central America in the form of our work. We have a partner; he is registering the products. Again, it will take actually as we told you right now, Mexico, it will be still more, maybe definitely not less than two years.

Alisha Mahawla: Okay. So, both of these markets will only significant in two years?

C. C. Paarthipan: Yes, we'll still actually do well and as I told you, what is important is the cash flow and profit we'll continue to have that. And the top line, the real top line with good cash flow is probably the kind of things that we expect to happen maybe in two years from now.

Alisha Mahawla: And this tax rate for the current year was 16%, slightly lower than what we had earlier. What is the reason for the lower tax rate and what is the kind of tax rate we can expect for next year?

C. C. Paarthipan: I would request our CFO to answer to these questions, please. Hello?

D. Muralidharan: Yes, Chairman, I'll take that question.

C. C. Paarthipan: Yes, please.

D. Muralidharan: The tax rate, madam, is net tax rate is what we are referring to, which has two components, gross tax is about 18.2%. It is coming down because the deferred tax assets which we have created in Caplin Steriles. That is reducing the total tax liability INR73.88 crores resulting in INR74.36

crores as a net tax liability. So, 16.48%, last year it is about 20%, we will be around 20% the sustainable level is what we feel is that's right because now that CSL started breaking even and we think that we'll be able to sustain 20% as an effective tax rate.

Alisha Mahawla: And for the current year excluding other income, our EBITDA margin was around 30%, if now with Steriles also breaking EBITDA at PAT level

and has been significant amount of momentum, can we expect EBITDA margins to start improving and crossing a 30% threshold sustainability?

D. Muralidharan: Yes.

Moderator: Thank you. We have our next question from the line of CA Garvit Goyal from Nvest Research. Please go ahead.

CA Garvit Goyal: My question is on ROCE side. So, our ROCE is getting depleted over the years and part of the reason is our unutilized cash balances. I did a little bit calculation around this and found that if we exclude the high cash balances from capital input and its corresponding interest from EBITDA, then ROCE comes out to be more than 40%, which is obviously in force these significant balances are getting invested in lower returns than letting instruments, which is not good for shareholders.

So why are we not considering rewarding shareholders in terms of buyback or high dividends?

I understand we have a good line of good capex line there, but still the kind of cash flows you

Caplin Point Laboratories Limited

May 27, 2023

Page 14 of 18

are talking about and we are generating also year-on-year basis. It can take care of the upcoming capex, I think, so that is my first question.

C. C. Paarthipan: Here what is important actually is building, you know our business model has been asset-light, now that we are building the assets heavy model and we would prefer actually to build a

vertically integrated business model, which is something similar to all the big companies that are rich too.

So, at this juncture, we would prefer to invest more and more cash in the project so that what happens, any customer who comes to our place will be in a position to understand that they will be in a position to get all kinds of products under one roof. So maybe in future your suggestion, of course, we'll discuss with the Board and we'll take a decision.

CA Garvit Goyal: And sir, on LatAm part, you are saying growth obviously is not there and it will come after two years. So how you will manage the profitability from here going ahead in that particular part of core business, sir?

C. C. Paarthipan: I didn't say LatAm as a whole, she was asking about Mexico, we will continue to have, if you look at -- if you remember what I told in course of my speech is, we are increasing our business through soft gel and also through brand marketing, where the profitability will be good and we will continue to increase our cash flow and profit, whatever profits which we made, which we are making now, also the cash flow that we have -- which is happening now, it will continue to happen. Growth in the sense, growth in credit sales is not a real growth. We will definitely have a growth, if you look at the holistic way, we are growing compared to some of our peers most of our peers of our size.

CA Garvit Goyal: And sir, overall basis, what will be your guidance for FY '24 in terms of top line and bottom line?

C. C. Paarthipan: See, we will continue to grow the way we have been growing and I would prefer to give actually good numbers, maybe starting from '25, '26, because that's a trend we will have actually lot of products registered in the regulatory markets too. So, we'll do well that's now actually dented to under promise and over rather than giving you some numbers.

CA Garvit Goyal: And sir, you mentioned overall sustainable EBITDA margin 30% and still we are saying U.S. is at EBITDA margin of 10%. So how is it going to be in the next couple of years like U.S. EBITDA margin shaping up from this level to whatever your target levels are?

C. C. Paarthipan: That's why I request you to look at it in the holistic way, sir, any business that you do in the initial stages especially if it is a business in the form of Steriles to U.S. market, the sustainability without borrowing money that itself actually, I sincerely hope you would accept with me is actually a good business model.

We have never bo

orrowed anything; we have been completing new projects. We still file more and more ANDAs, the parent company has been helping the sister concern, the subsidiary, hence, don't you feel that actually it's a good business model, otherwise would not have been would have been debt trapped by now.

Caplin Point Laboratories Limited

May 27, 2023

Page 15 of 18

Vivek Partheeban: Yes, in addition to that, note that, as I said during the course of my speech, we are not capitalizing any of our R&D spend on our ANDA filing spend or regulatory fees nothing, right? So, all of it is expensed out and it's a direct hit to our bottom line.

As the CFO was saying, if you took out the R&D spend of INR30 plus crores and the filing fee was INR20 plus crores, you're looking at another INR50 crores that could have potentially been added to the EBITDA, which we don't do because we want to be fully conservative and R&D is very much a part and parcel of the U.S. side, part and parcel of the LatAm side as well.

So, I think going forward, obviously, there will be an increase in EBITDA as we -- as the revenue grows and the filings catch up with our revenues as well. But at this point, I think we should be appreciative of the fact that we have a high R&D and a filing spend at this point.

C. C. Paarthipan: I also would like to add one more thing here. If you look at companies of our size, most of the companies would we see most contract manufacturing facility, where they will not have their own ANDA. Today, we have around 17 ANDAs in our name, eight are in the pipeline, another eight to nine products are going to be filed actually in the next six months to nine months.

So, these -- all these products have a cost, right, from R&D to file increase and good for fees.

So, to take this out, probably our should be one of the profit-making company, I'm talking about the Caplin Steriles.

So, all that in the form of actually happening, this is our investment, I won't consider as an expense. One day, maybe two years from now, we will do extremely well, although the prices are crushing in some of the regulated markets with a new undifferentiated approach to business model and the number of ANDAs which are coming actually over a period of time, we will definitely we'll do well actually, that's for sure.

Moderator: We have our next question from the line of Girish Bakhru from Orbimed. Please go ahead.

Girish Bakhru: Yes, no, just catching on this point on the pipeline front, when you said that you will have decent product probably pipeline created for growth in '25, '26, I mean would that be like -- I mean, I mean, I'm just thinking from that acceptability point of view, is there like a mathematical model you're running that certain products do take a higher load in terms of growth after this low base

is done? Or will there be some big products, which could take off in the...

C. C. Paarthipan: Vivek, go ahead.

Vivek Partheeban: So, I would, Girish, at this point, if there is anything that I've learned from my little stint in the U.S. market profile is that we cannot be dependent on products, right? So, you need to be dependent on a good business model, a unique business model and also identifying something that is differentiated from what everybody else is doing.

Because whatever products that you are doing, you can rest assure that five or six others are going to be doing the same product, right? There is no first to file concept, there is no exclusivity or anything like that, unless you're targeting only LTE kind of molecule. So, while we are

Caplin Point Laboratories Limited

May 27, 2023

Page 16 of 18

developing a very broad portfolio of good product, we need to make sure that our business model is a little bit differentiated compared to others.

So, we have not changed our portfolio. In fact, we made minor additions recent

here and there,

but whatever that we started with five years ago, 90%, 95% of the portfolio still remains the same. So, I would say that if you take our track record to account what we have done, there are some products where there are 16 players on the market, but we are occupying 14%, 15% market share. So, I don't think we are specifically looking at one particular product or five particular products will really take the company to the next or anything like that.

We are trying to target something from the other side, which is being completely integrated back to front, having a very high level of compliance, making sure that continuity of supply is ensured.

So, we want to play the patient game, we want to be one of the last ones standing rather than going after one particular product that will change the dimension or anything like that because those days, in my opinion, are gone.

Girish Bakhrui: Yes, and there is no need of a strong like risk management here, right? Because I mean, I'm assuming at this stage, you would assume most of the products will get approved easily in one go or maybe in the next go or do you think that because the space we have seen typically many companies struggle even if it's small or large their other space is not a very easy space to operate in U.S. So, what is the confidence that most of these products will come through and we have a basket on this let's say, 40, 50 products in three years?

Vivek Partheeban: Of course, I mean, the thing is touch wood, we have filed by ourselves around 25 products and we have filed another five with partners. We have not even received one refusal so far, we have not had any product that has taken more than 18 months to get approved, right? So, we have an excellent track record for a company that is very new in this space.

So, we are very much confident that not even one of our products are going to be rejected or anything like that. So, we remain very confident with our R&D capabilities and stuff. What is more important for us is to make sure that we have a good business model depreciation similar to what we've done in LatAm.

For that, we need to continue traveling there and to identify those nations, identify those pockets because as Chairman was saying, change and poverty are two things that prevail in every country in the world today. And catering to the bottom of the pyramid is a pattern that has worked for us in the past. We need to try and see how we can replicate this in the newer markets that we are entering into.

Moderator: Thank you. We have our next question from the line of Rusmik Oza from 9 Rays Equiresearch. Please go ahead.

Rusmik Oza: Sir, my question was on R&D front, if I'm referring to Slide number 15, between '17 to '20, we had a big jump in R&D spend from INR30 crores, INR34 crores to almost INR70 crores to INR85 crores. There after the last three years, which was FY '21 to '23 static at around between INR60 crores to INR66 crores. And similarly, the number of team members have also gone down from 362 in FY '20 to around 331. And if I relate similar numbers as a percent of revenue,

Caplin Point Laboratories Limited

May 27, 2023

Page 17 of 18

R&D expense is to be around 10% between FY '19, '20, comes under 4.5%, you know the revenue is almost doubled from that pace of '19, '20. So, I just want to understand your thought process going forward, what kind of emphasis in terms of amount in terms of percentage of revenue is going to go in for R&D because that's going to determine your future product pipeline.

That's it from my side, sir.

C. C. Paarthipan: Okay, that of course a proper, a brief reply I would like to give on this one. R&D, yes, R&D matters, but again, as I told you before, it's not an R&D for a biosimilar or biological product.

So, the most important I sincerely feel is the model. As you know well, you must have also read

actually what I have read in the papers.

When Warren Buffett says about Charlie Munger, he is my mentor because of his model he says.

So, at the end of the day whether it were a small company or a bigger investor like Warren Buffett, the models that really matters, whether you are an investor or a manufacturer. So, coming to R&D and the other logics which you mentioned, I would ask one of either the COO or CFO to answer to your question.

D. Muralidharan: Thank you, Chairman. If we can take partly, the R&D expense consists of two parts, one is opex other one is capex. As we have been telling in the initial years also as we repeatedly told, capex in the initial period was high, so it was representing in terms of quantum as positive sales. Now that most of the capex has already been incurred, what is remaining is opex, there is no net of fund allocation to opex and then it is being sustained. I request Vivek to supplement.

Vivek Partheeban: Yes, so as a percentage of revenue, I think we do not want to broaden base against our revenue or anything like that, but our R&D spend will continue to remain in similar kind of a space going forward as well in terms of absolute numbers. Like CFO was saying, we have an initial high spend when it came to capex and stuff.

Now most of these equipment and all that will be good to go for the next five, six years also.

Now we might at some point reduce the number of projects that we are working on and increase the complexity of some of these projects. But in terms of absolute numbers, I don't see the R&D moving up significantly or anything like that because quite a lot of that is already a work in progress or has already been completed.

For example, if you take our API R&D, before actually having a factory in place, we've already completed 66, 65 products development over the last three years. So, this has been a company that was actually smaller in size, we've been exiting our R&D strength for quite some time now.

Now it's important to put that into the factory scale that up and make sure that, that API or formulation gets approved.

Rusmik Oza: Second question was on capex, can you give us some broad guidance, what will be the capex amount we plan to spend in FY '24 this year and next year FY '25?

C. C. Paarhipan: Yes, I would request CFO to just take this call, please.

Caplin Point Laboratories Limited

May 27, 2023

Page 18 of 18

D. Muralidharan: Yes, what is visible as of today is the ongoing CSL project, Phase II and Phase III, which will consume anywhere between INR150 crores and INR170 crores. The Onco project will consume another INR50 crores, INR60 crores.

And as Chairman was mentioning, another OSD plant, greenfield plant is being initiated this year. The total outlay is about INR150 crores, I'm not sure how much of that will get consumed within this year. Between FY24 and H125 anything between INR350 crores and INR360 crores will be capex as planned today.

C. C. Paarhipan: Correct, correct.

Moderator: We have our next question from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Hi, sir. Thank you for the opportunity again. My question is also on capex, is INR350 crores only for FY '24 or with over the next two years?

D. Muralidharan: So, as you mentioned, madam, one project is yet to be commissioned, that's where the INR150 crores. So, between these two years H1 of '25, it will be INR350 crores, INR360 crores. It could be -- if it's expedited, it could get all hit consumed. Our endeavour is to do as much as possible, but this is on what is firmed up with this. And in the meantime, if something new comes up, it will get added.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, this was the last question for today. I now hand over the call to Prashant Nair for closing comments. Over to you.

Prashant Nair: Yes. Thank you, Ya

shashvi. And once again, thanks to the Caplin Point management for giving us the opportunity to host this call and thanks to all the participants for dialing in. Thank you.

C. C. Paarhipan: Yes, thanks to all of you. Thank you. Thank you very much.

Vivek Partheeban: Thank you everyone. Thank you.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

C. C. Paarhipan: Thank you.

Call: Aug 2023

Page 1 of 17

"Caplin Point Laboratories Limited
Q1 FY '24 Earnings Conference Call "
August 08, 2023

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED

MR. VIVEK PARTH EEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED

DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED

MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED

MR. M. SATHYANARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

MODERATOR : MS. RASHMI SHETTY – DOLAT CAPITAL

Caplin Point Laboratories Limited
August 08, 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Limited Q1 FY24 conference call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rashmi Shetty from Dolat Capital. Thank you and over to you, ma'am.

Rashmi Shetty: Thank you and good morning, everyone. I, Rashmi Shetty, Healthcare Analyst from Dolat Capital, extend a warm welcome to everyone joining us today to discuss Q1 FY24 earnings conference call of Caplin Point Laboratories. On this call, we have with us Mr. C.C. Paarthipan, Chairman, Mr. Vivek Partheeban, COO, Dr. Sridhar Ganesan, Managing Director, Mr. Murali dharan, CFO, and Mr. Sathyanarayanan, Deputy CFO. Over to you, sir.

Vivek Partheeban : Thank you, Rashmi. Hello and good morning to everyone. Welcome to our earnings call to discuss the results of Q1 of 2023 and 2024. Please note that a copy of all our disclosures are available on the investor section of our website as well as on the stock exchanges. And please note that anything said on this call which reflects our outlook for the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with audio of the same will be made available on the company's website as well as the exchanges. Also do note that the audio of this conference call are copyright material of Caplin Point and cannot be copied, rebroadcasted, or attributed in press or media without specific written consent of the company. Now I would like to hand over the floor to our chairman for his opening remarks.

C.C. Paarthipan: Good morning, ladies, and gentlemen. Welcome to our Investors Call. The saying of Brad Gilbert is a good result in the present is not an indicator of good result in future, but a good process. Now, let us look at our sustainable progress and process of our business. Value research report on June 2022 rated Caplin as number one in India for most consistent profitable growth across the last 10 years.

Further, economic times noted Caplin as the second largest wealth creator for the decade ending 2020. Our ROE and ROCE has been unique in the last 10 years compared to our peers. Currently the liquid assets of Caplin Point stand at INR1,540 crores as on 30th June 2023, which includes INR807 crores of cash and cash equivalents. It's not the profit in the book, but cash in the bank. I'm also sure that you'd agree with me, truth does not require maintenance and truth cannot be

detracted too.

Our operating manual for longevity with details of what has been completed and what we are currently doing, which is in the form of work in progress and how it will strengthen the company in the years to come. Now, let us look at Caplin Point. We call it a s CP1, where we manufacture and export our products to Latin America. Here, we created a second line for Softgel formulation, and we just started to increase the revenues. We also have registered 92 products in Chile using our CP1.

Caplin Point Laboratories Limited

August 08, 2023

Page 3 of 17

And most of the products in addition to that, more of our products are also in the pipeline. We are moving one of our marketing guys from Central America to Chile to start our warehouse business model in Chile. Now, Caplin Steriles. You are aware that the USFDA inspection is completed successfully after four and a half years. Our phase two will become operational

in

October and we'll be shipping most of all the terminal s sterilized product s from phase two.

The state of the art machinery will increase the production multi -fold. The status of phase two and phase three of Caplin Steriles and our creation of US front end and digitalization will be detailed by COO after I complete my speech. Now, we are in the middle of the good growth story and the fundamentals are as follows. First, the ones that are completed and also the one that are work in progress. R&D for API, which is for general API and Onco API.

Second, we will complete our API facilities, the general one in six months and the oncology one in one year from now. R&D for injectable for the US, you are aware that we have been actually filing the documents, we also obtained 18 ANDAs using this R&D. Now, the rest of it will be detailed by the COO. The Onco injectables is a work in progress. It will be completed and at least 25 to 30 products in the next two years from now, both for Onco injectables and Onco OSD in the form of tablet and capsule.

The CRO, which you are aware has already been completed. Currently we're doing these studies for Chile. We'll also do it for Mexico, US, and Chile in future too. Happily, in Onco, the tablet and capsule will be ready in six months from now. And injectables will take one year for the completion. And we already received an order of some \$4 million from Latin America, which will run as CMO. And this clearly shows that you have huge opportunities, not only in the regulated markets, but also in the ROW market for the oncology product that we are planning to manufacture in the future.

The product that we received now, although it will be manufactured in a CMO, the testing will be conducted in our QC and QA before export. And the general OSD, the construction is in progress and is about to be completed between 18 to 24 months before we start the commercials. Once we complete the entire activities in two years, Caplin will be unlike any other company in the form of good to great with all segments of pharmaceutical formulations and API, which is vertical integration.

That's what is happening with all the big players in India. Whether you are aware that our sustainability and reasonable scalability is already ensured without all these new initiatives. However, with all these activities that we are about to complete in two years would make a lot of difference. And let me give you the key differentiators as follows. We will have new projects, and most of these projects are for the regulated market, and these are all bigger projects, which are likely to happen as I told you before in 18 to 24 months, some of them in six months, some of them in 12 months too.

And we will move to bigger markets in addition to maintaining our business in the smaller markets. Number three, we continue to be a debt -free company with strong cash flows. For example, we've already invested INR500 crores in the capex the last five years. If you add this INR500 crores with our liquid assets of INR1,540 crores, it will be in the region of 2,040 crores.

Caplin Point Laboratories Limited

August 08, 2023

Page 4 of 17

This is in addition to the operating costs for the last five years. Our CSL is not just a CMO like most of the companies of our size. We own 18 ANDAs and many more to come. The new normal in our company is in the form of employee engagement. For example, what I have found in Caplin Steriles, I have found actually some of the operators and first -line managers who are coming for the test shoot.

They are from the bottom of the Pyramid. I just checked with some of the people as I'm staying closer to the factory now. I've come to know they all live in actually one -room houses. I asked them, in case if your child, which is two years or three years old, come and actually wake you

up, what you need is, will you wake up o

r continue to sleep? He said, I will not be able to sleep.

I will definitely wake up, which means, it will create fatigue for him when he comes to work.

When I told them, we are appointing new boys, freshers, most of them are bachelors.

And if you develop these boys, there will be a thought shift and they are very happy to accept it.

Now, we are building a hostel for 120 to 130 freshers who will stay here, they'll get three times of the food and accommodation. We're also creating a small playground for them as a recreation also after they complete the work. In addition to that, we will also ensure increments, performance bonus, and attractive ESOPs, which you are aware that we have been actually offering to retain the talent.

Finally, ours is a journey of passion, purpose, and potential for all stakeholders. And it's not the concept of red rubber ball. You throw a ball against a concrete wall, and it just bounces up. It looks pretty and makes noise, but the wall does not move. Our business is not maintaining the status quo. It's a journey for patience for excellence. Thank you. Thank you very much. Now I hand over to COO, I will ask him to give a presentation.

Vivek Partheeban: Thank you, Chairman. Once again, welcome to everyone that is part of the call. I will give you a little update on the regulated markets business and also an insight into the company's digitalization activities going on. So as Chairman said, our USFDA audit has been completed and we are satisfied with the outcome. All of the observations that we have seen were procedural in nature and nothing to do with repeat observations.

In fact, if we were to take a clue from the USFDA website, our status has already been updated as VAI, which is what we were expecting. But of course, officially we need to have the EAR in our hands before we can declare it. So obviously this is a satisfactory outcome for us after not having an audit for the last four years. And it shows that we've been significantly improving our processes, automating our processes, and also creating a good culture of compliance at the company for so long.

An important step for us in our US and regulated market journey is our establishment of a front-end presence over there. As you know Caplin's mantra in the last two decades has been being closer to the customer. So in less-attended markets, in markets where front-end presence have been few and far between, we were able to successfully do that in Latin America. The US obviously is a much more mature market, so even though we could have probably done it a little while back, we did not have the right amount of products or the right portfolio of products for us to launch in US.

Caplin Point Laboratories Limited

August 08, 2023

Page 5 of 17

We feel right now is the time for that and we're in the process of incorporating our company over there and in the next six to eight months we should have all of the licenses in the 50 states for us to launch our own label there. Several years ago, exhibitions such as CPHI, IFEX, etc. bridged the gap between the markets and the manufacturers. Similar to this, there are multiple fares and means that are available in the US that we will start to participate in through our front end, just to understand the unmet needs of the underinsured and uninsured population there. And sticking true to our pattern, we want to cater to the bottom of the pyramid, also in the largest market in the world. Once we establish our presence over there and then sales start coming in, we expect the profitability to be boosted by this move because we are currently sharing 50% of our profits with our front-end partners. We may still continue to supply existing products and even potentially a couple of the new products to front end because we need to have a hybrid model of making sure that the larger players continue with us, whereas we try and occupy th

e

Tier 1, Tier 2 spaces that we've been doing in Latin America also.

-Coming to numbers, we had a good Q1, and in line with our guidance, we expect good Q2 performance, with much stronger growth in Q3 and Q4 when our additional line 5 comes into operation. Line 5 will be used specifically for terminally sterilized products and today over 70 percent of our products are terminally sterilized, and we will be focusing much more on the commercial products so our output will significantly be boosted in Q3 and Q4 of this year. Please also note that we are continuously doing exhibit batches, which is the last step before filing ANDAs throughout this time as well.

Despite having multiple products that are approved and then in the process of commercializing, many companies may make the mistake of choosing only commercial over what is going to be driving long-term growth, which is the ANDAs that we will continue to find, you know. So in line with that, we have almost 14, 15 products that are under stability right now, which we will file over the next four to five quarters.

Our overall pipeline remains robust with over 55 products that are under various stages of

development. This includes injectables, suspension emulsions, bags etcetera. Additionally, we have also done several filings in Canada, South Africa, Mexico, Australia, and Philippines, and this will start to get approved sometime next year and the years after that. As we evolve as an organization in the regulated markets, we are also taking up higher complexity products for development shortly. We shortlisted four to five highly complex drug-device combination for development that we intend to file in the next 10 years.

Being highly complex in nature, we see that there is minimum price erosion in this segment. Once they start to come through, we'll have a very differentiated basket of products comprised in the entire gamut of offerings that are used in the hospital or any critical care segment. Added to this, our backward integration initiative is starting to pick up steam. We foresee completion of the API projects in the next few quarters, and we will start using the site initially to qualify as a second source API for our existing products and prime resource for our new and more complex formulations. In this day of continuing shortages in the U.S., we feel that having Caplin Point Laboratories Limited
August 08, 2023

Page 6 of 17

good control over our input materials will certainly hold us in good stead compared to peers of a similar size.

I'll take a couple of minutes to explain our move towards digitalization towards the entire organization. Two years ago, especially during the late stage of COVID, we started to take up overall automation activities at our plants. We implemented LIM systems at Caplin Steriles and also at Amaris Clinical, our CRO. And right now, our quality control microbiology and soon validation activities are all close to being as perfect as possible.

Soon, we will start implementing the process of also having electronic batch manufacturing records and batch packing a record to become a truly paperless facility. All of our training modules, document archival modules, etcetera, are already automated. Our CRO has actually been completely automated from day one. So the fact that we've gotten through three audits without any observation is a testament to the controls that we have in place there.

We've also implemented SAP across all locations, and we start to see the benefit of that as a unique player that is focused on an end-to-end business model, our supply chain strength is the blood line for the company, and this SAP implementation has already started to make our processes more aligned and predictable. As the world moves towards AI and associated evolution, we at Caplin has already started incorporating this shift. Our latest procurement has been towards machi

nes and equipment with AI and Machine Learning enabled. This will be particularly useful in specific equipment related to the visual inspection of the vial leak detection of the bag, testing of prices involved and continuous manufacturing, etcetera.

Overall, we feel that as a company, we are on the cusp of breakout growth with some of the capex and R&D that we're investing in. The next couple of years will be crucial in charting our next trajectory of growth. Most importantly, we are doing all of this with internally accrued funds and not taking external loans, and they are a little within our needs.

And at the end of this, we feel that we will be similar to what the top 15 to 20 companies of India have done before. Our intention is to ensure that we remain cash focused despite this huge capex outflow and our bottom line and cash flow remains a benchmark during this whole process of our next level growth for the company and all stakeholders.

Now I request our CFO, to give us remarks before we open the floor for questions.

D. Muralidharan: Good morning, Mr. Vivek. Good morning to one and all, have taken time to take part in the investors call of Caplin Point Laboratories, discussing the Q1 results of FY '23, '24. We have had a very gratifying quarter. Why gratifying because of the following reasons. The revenues have grown by 13.1% over last year's corresponding quarter.

The EBITDA has grown by 19.3%, and PBT has grown by 20.8%. This evidence that our costs are under control, our gross margins are under growth. And then on all the parameters, we have led some very good ratios in terms of their increase as compared to the last year and the previous quarter as well. The EBITDA is at 34% and PBT was 31.2% and PAT had a significant 25.6%.

It is also gratifying for the following reasons.

Caplin Point Laboratories Limited
August 08, 2023

Page 7 of 17

Whatever our turnover was for the full year 2017, which is INR401.64 crores on an annual basis, is less than the current quarter turnover of INR407.36 crores. That is, the turnover has grown fourfold in the last 5 years. Coming to PBT, our full year PBT of INR122 crores, INR121.78 crores to be precise. It is already achieved in the first quarter of current year, which is INR126.99

crores.

Coming to PAT. Our whole year PAT was INR96.16 crores in 2017, now we are at INR104.23 crores for the quarter and a wonderful 25.6% PAT level, which is a very significant milestone. And in terms of cash and cash equivalents, which we lay stress on has grown more than five times what we had INR152 crores in 2017 in 2019, we have a INR772 crores, and it has grown to INR807 crores as of June '23. This has been our strength and our Chairman has put it and Mr. Vivek as reinstated, we will always lay focus on our cash and cash flow and then work -in-progress.

So this is from my side. We would be glad to take any questions and over to Mr. Vivek.

Vivek Partheeban: Thank you, sir. So we can open the floor for questions now, please.

Moderator: The first question comes from the line of Sudarshan Padmanabhan from JM Financial PMS, please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question and congrats on great set of number. Sir, my question is on Caplin Sterile. It's been heartening to see that we are INR45 crores, closer to INR50 crores. And the addressable market is \$5 billion for the ANDAs we have filed and what we have. My question is beyond the FY24. If I'm taking a 3 year view where do we see this division because we will also see oncology scaling up in terms of scale and profitability.

And how are we looking at investing into this? I mean, I'm talking about investing in the front end because companies as the scale, you invest their resources back into the business to keep profits and improve their own business, just wanted your views?

C.C. Paarthipan: Coming to Caplin Sterile, the most impor

tant one is actually our Phase 2 and Phase 3. The reason being, the last 10 years, we have been actually continuing to do business with legacy machines. And everyone when you start the project, especially if he's a non-technocrat, he may not be very thorough actually in terms of selection of machineries and people. Now after having been in this business for so many years, I am next to the factory. And in the position to understand the character and quality of my people, and I'm also in the process of building a culture. Second, the machines that we have are all state-of-the-art machineries many of them are from Germany and some of them are Italy and the best of the best also from India. So the capacity of the machines are going to be manifold now. So we are very sure that the production capability will increase. And that alone actually can give us a bigger advantage in terms of export. Whenever people say there is a shortage in U.S. market, especially in generics, it is a simple, actually mental arithmetic that when there is a shortage of the product, the price has to go up because the shortage means supply is less than the demand is more. It is true that they say there is a shortage, but the profit doesn't actually increase for the manufacturer.

Caplin Point Laboratories Limited

August 08, 2023

Page 8 of 17

The reason being the manufacturer has not set up the front end. That's what we are planning to do now. We've already sent a person to create our actually front-end office there and the COO of the company will leave on the 20th. And every 2 months he will spend, 15 days actually in U.S. to understand how exactly we will be in a position to identify the uninsured and underinsured.

In addition to that, currently, we have around 570 people, of which 540 are Latins. And many of them, they have their own groups actually in U.S. And the second largest population in the U.S. is Latin. We already identified some people from our Latin American team to go and work in the market to understand which are the products that moves well.

This will also help us to change. One, we will now be in a position to register a product, which may or may not have scope in future. Next, we will get the information from the market, not in addition to IMS and the other one. Mostly, the data that we see that comes actually not from the bottom of the pyramid more of actually the one which is in the form of tender business are from the one which import actually.

If you look at US, there are three or four major companies that import the product, and the data is separated in IMS. But when we work in the market, when we attend the exhibitions at actually the COO too, that is the time we will come to know what kind of customers you come to the exhibition, what type of information, which is the real knowledge because you know very well information is not knowledge and opinion is not a fact. So all these things will come to know as we enter in the market. This is with regard to Caplin Steriles.

Coming to Caplin Onco. Today, the ROW business is very, very attractive, and we will enter into markets like U.S. and Europe also, but the focus will be on ROW until we get the regulatory approvals. As a token, we in fact we have tried to see how exactly the market response. And this is very important to tell you also that we receive, we have a loan license company with a EU approved facility in the north. And this one, we already registered also 20 to 30 products and some countries even 40 products for which we received a very good order. We are planning to

manufacture in the next three months as a CMO.

And in addition to testing in their own lab, as I told you before, we'll also test it in our lab and send it because we always value quality as very important because the reputation, especially the character and reputation in pharmaceutical industry is very, very important. Otherwise, you

are

aware actually what is happening worldwide today. We don't want those things to happen when we manufacture a product, whether it is an oncology product or any other product that you outsource in India or China.

So the business, as I told you in the course of my talking here, the work in progress is much more actually a bigger opportunity than the current one because the market all six, seven markets put together where we are in Central America as I told before it's not even the population of Tamil Nadu. This is the business which has brought around INR1,200 crores with sufficient cash flow and good profits. The remaining INR300 crores, INR200 crores has come from US and another INR100 crores from West Africa.

Caplin Point Laboratories Limited

August 08, 2023

Page 9 of 17

And although, we received INR200 crores in US, which is going to be, as this is the gold standard of the international, in the world market. One day, this will definitely be the best market for us, although we are not the early entrant. We may be the last man standing and we assure, we will be the last one to get affected and the least one to get affected. Thank you. I hope I answered your questions.

Sudarshan Padmanabhan: Sure, sir. In terms of scale in three years, sir, the US currently they are running at around INR45 crores a quarter, given that the addressable market for our product is \$5 billion.

C.C. Paarthipan: In fact, we have a lot of orders from the US market. As I told you, the phase 2 production will start in October. And whatever machinery I told you will be operational in third and fourth quarter. The machinery, as I told you before, are German machine and the state-of-the-art machine from India and Italy. The machines are capable of doing something extraordinary compared to our legacy machines in our phase 1. So the sale of INR45 crores is not the one which we are going to continue. This will actually, will double from the third and fourth quarter.

Sudarshan Padmanabhan: Sure, sir. And sir, can you talk a little bit on the PFS opportunity in Latin America, sir? The eight products that we have signed?

Vivek Partheeban: Yes, so similar to the Softgel segment that we had launched a few years ago, which we've seen quite a lot of growth in, quite a lot of profitability coming out of that segment. We realized that this segment is something that is very, very underpenetrated. In fact, outside of the very large, branded companies, almost there is no competition in this space because it's a highly technical area also.

We started out with a couple of products last year and we've seen that there is a significant amount of interest and there is a lot of repeat sales as well you know. So what we typically try and do is wherever there is a product that is available as an ampoule or a vial and it can be administered directly at clinics and stuff, we try to replicate this into the form of a Pre-Filled Syringe. So that you remove one step of the equation.

And number two is, also the fact that many of these products that we have launched also have an oral equivalent option. So that's how we have looked at it. Still very early stages in this segment, but we remain quite positive on the overall profitability of this segment.

Sudarshan Padmanabhan: One final question before I get back to the queue, is on profitability. Already in this quarter, we have seen that below the gross margin, we've seen a good 180 bps expansion, which I would assume is primarily operating leverage and good cost control. Now, given that the base of infrastructure is in place and the growth is just taking off, where do we see the margins expanding even from here? Or do we see that, like you mentioned in the front end that they're going to create infrastructure in the US, that a part of the margins will basically be invested into the front end? Just wanted to understand how the margins effect

ed over the years?

C.C. Paarthipan: Yes, I would like to answer to this question. The margin comes not because of the market, but because of the model. If you look at the companies, most of the companies of our size, they export their product to the importer. If you sell your product to the importer, the importer buys products from many companies of our size. And all of us, even we did the same thing, and we

Caplin Point Laboratories Limited

August 08, 2023

Page 10 of 17

built our bridges, it's a turnaround story. That's how we understood that we should remove the

intermediaries.

Whether it is US or some other market, it's okay for the people who entered early, for them actually it was extraordinary. Today, the prices are eroded in every market. There is no market which you can say, like you can come with a product and you are 100% sure of actually making a lot of money. So the models are the one which is going to give you the best returns. Everyone is not your customer. It's here that the concept of what we call an ideal lead comes in. This is a prospect who is interested in what you have to offer.

So if you are offering something to the needy, as you know well, the only thing we call is permanent is change. In addition to that, there is one more thing which is permanent is poverty. If you have something in a form of a strategy to address actually its pain point then this tool will become your 3D layer and that will give you the profit which we have already experienced in Central America will do the same in the other parts of the world also.

Sudarshan Padmanabhan: That's all, sir. Thanks a lot. Thank you very much.

C.C. Paarhipan : Thank you very much.

Moderator: Thank you. The next question comes from the line of CA Garvit Goyal from Nvest Analytics.

Please go ahead.

CA Garvit Goyal: Hello. Good afternoon, sir. My question is on the API expansion side. So, are API expansion getting delayed quarter-over-quarter? I remember in quarter 1, FY '23 con call, you mentioned about the inorganic facility expansion at Vizag. So at that time you mentioned that the inorganic expansion will become precede in three months and our organic will get completed in 15 months from there. Going forward each quarter you put a delay to the timeline and now we are seeing that the oncology API will get completed by Q1, FY '25. And I think, Vizag needs to be refurbished by Q3 FY '24.

What I am not understanding is that why such delays are happening. It is not like some COVID situation is there or any hindrance is there. Because capex are happening across the industries. So why are we not able to execute the projects in a timely manner? I understand one quarter, two quarter delay might be there, but it almost I think two years delay, sir. So kindly put some color on it and give the firm timeline to the investor community by which these extensions will get completed and start contributing to the Revenue? .

Vivek Partheeban: I think the question is on the lines of Vizag API plan. So of course, I'll let Chairman to answer that. I just clarify one point. A couple of years ago, we had the opportunity to acquire a company that was already into manufacturing intermediates and API, but towards the end of that, it fell through because of valuation mismatch and also the fact that we were not very comfortable in terms of turning that around into a regulated market plan. So we had to almost go back to the drawing board. So we lost around one year in that and the rest of the missing timelines, I'll let Chairman answer this.

Caplin Point Laboratories Limited

August 08, 2023

Page 11 of 17

C.C. Paarhipan: Yes. This is not, as he rightly said, actually, it's not the facility which we told you sometimes back. And here, the one important thing, this is a facility which we are trying to take it to the US market for our formulation injectable. And later, we also found t

here is an opportunity for us to go for OSD also. That's one of the reasons there's a slight delay in the form of three, four months. And you're also aware actually, if you're a first-generation entrepreneur and that to a non-technical person, delays are bound to happen, but delays will not actually in the form of actually create issues to the company, which disturbs the bottom line of the company. I don't think this is such a big issue in the form of that affects the bottom line of the company. And moreover, actually, it's not the factory, which we have talked to you earlier.

Vivek Partheeban: Yes, just to supplement Chairman's note, why we mean that this is not going to affect the company adversely or anything like that, these small delays is that we are not derailing our projects or anything. Our R&D continues to go at a very high rate. And wherever we feel that the opportunity is time bound, we actually buy the API from outside and we will use our own API as a secondary source.

Which is why during the course of my speech, I explained most of the initial targets that we'll be focusing on in terms of DMR filing, etcetera, will be on secondary source. So technically we're not really losing any time, even if it gets delayed by another quarter, the API project I'm talking about.

C.C. Paarhipan: One more issue is we don't borrow any money also from the bank, because it has a cost to it, actually in the form of interest or repayment of time loans.

CA Garvit Goyal: Okay. And so, secondly, on the US growth, like in, I know you explained earlier as well, from quarter 3 to quarter 4, I think the value will be double down. But the thing is, is there any specific reason why there is Y-on-Y slower growth on the US side in this particular quarter? Or it's likely we will get the further growth on the Q3 and Q4 for phase 2 and phase 3?

Vivek Partheeban: So as we explained, even prior to this, we've given the guidance that Q3 and Q4 are going to be much stronger compared to Q1 and Q2. This is specifically to do with the fact that we are going to be transferring many of our commercial products as I said, over 70% of our commercial products that are terminal-related products. And we will be transferring them onto this line 5. Now line 5, individually has higher capacity than all the other couple of lines combined. Right, so number one. And number two, we also do balance our commercial products and exhibit products. So what happens is if you focus only on commercial products, what will happen is in 2025, our pipeline might start to look thin. So we need to make sure that we have our longer horizon aspirations are in place, and we're not missing out on some of these time-bound opportunities that we focus on. So quarter 1 and quarter 2, as we explained before itself, is going to be slightly more moderate compared to quarter 3 and 4.

C.C. Paarthipan: Sir, once again, I would like to repeat what I told you in the course of my speech. A good result in the present is not an indicator of good result in future, but a good process is. So the process which I mentioned, the COO and CFO mentioned, that really matters actually compared to what
 Caplin Point Laboratories Limited
 August 08, 2023

Page 12 of 17

has actually, is what exactly is missed, which is not something in the form of a big actually impact to the bottom line.

CA Garvit Goyal: Understood, sir. And lastly, sir, on the high cash balance, are you guys considering any kind of buyback to reward the shareholders in the terms of like these high balances are basically generating lower returns than you are generating from the businesses. So overall ROCE is getting depleted sir.

C.C. Paarthipan: So we will discuss it in the board meeting and take a decision.

Moderator: Thank you. The next question comes from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Hi, sir. Good morning.

Thank you for the opportunity. A couple of questions. First question, in our opening commentary, did we mention that we won a tender for \$4 million? And if yes, for which market is this?

C.C. Paarthipan: It's actually not a tender. The market is \$4 million. It's the business that we received for oncology products. And it's definitely a good business considering the size of actually the countries. And then these are markets which are not regulated. It's a RoW market. That's why I specifically mentioned the volume of the business really matters for a facility which we are planning to complete, say, six months from now, one year from now. That's why I mentioned.

Alisha Mahawla: So this order for Onco products, \$4 million RoW market, will we start supplying from H2?

C.C. Paarthipan: Yes, you are right. Some of them will start actually maybe 15 days to 20 days from now also some seven, eight products.

Alisha Mahawla: Okay. And just a clarification on phase 1 and phase 3 for the Caplin Steriles that we refer to. Phase 2 will be the vials and Prefilled syringes facility which is coming, which is commercializing next quarter. And what will phase 3 be?

C.C. Paarthipan: No, we are not commercializing PFS in the phase 2. In fact, by October we are going to start, as I told you before, we are starting line 5 in October. Of course, followed by PFS will start. PFS is one, anything that you start in PFS, you'll have to do the scale up and exhibit. Not that you want to start the commercial there. So that will not create any impact to our bottom line because we'll have to complete the scale up exhibit and then you'll have to keep it in six months and file it and get the registration at a later date.

Vivek Partheeban: Yes, so as Chairman said, phase 2 has two lines, which is line 5, where there'll be direct commercial supply from there. And phase 3, right now, we have one Lyophilization line. It's a high-speed diode line. And we have provision to add another three to five lines over there, which we've not yet decided on what to use because we also want to make sure that we have complete control over the entire operations. We don't want to stretch ourselves too thin. So phase 3, as it stands, we'll have one Lyo line and provision for additional injectable lines.

Alisha Mahawla: Phase three will come in Q4 of FY '24?

Caplin Point Laboratories Limited
 August 08, 2023

Page 13 of 17

Vivek Partheeban: So right now, the physical completion of the structure is done and we expect overall completion by March to June of next year.

Alisha Mahawla: Sure, and on our Latam business currently, we've been talking since a while entry in Mexico and Brazil, which like you mentioned last time, will probably be some one to two years downline. Is there any update on that? And for the next couple of quarters, will growth only be driven by this

new onco order that we have received.

C.C. Paarthipan : Yes, Mexico and Brazil, mainly Mexico. Our focus will be on Mexico in the next two to three years. But the issue with Mexico, these are all markets, which are actually, as you know well, it's a regulated market. Probably next best after US and all. The time for registration, it takes long time. And then what happens, see, this is one country, where when the product goes to the market, they keep the product in the port and get the product tested also. So we have to be very choosy in selecting the products.

On one side, we are filing the dossiers, which we registered in US. On the other side, we are doing actually the market survey. That alone will help us to identify the right product for registration. These are markets, which will take time. When we make it, these are the market which allows you to change. It's going to be a game changer for the company in addition to what we do currently.

Alisha Mahawla: So contribution from new markets is not expected say this year

or next year?

C.C. Paarthipan : New markets currently, what we are doing is, we started doing business with smaller geographies like actually in Southeast Asia, Cambodia and Laos. Then we started with Turkmenistan in CIS.

And we are also doing business actually in Chile in bits and pieces, but this big business will start once we open our warehouse. And we are also getting some orders from Peru. Peru, we are increasing the number of registrations.

The business which we do, and as I told you before, the maximum amount of business comes from countries, where we have our stock and sale. That's the model, which increases the profitability. That's the model, which gives us actually sustenance and outsource scalability. So we will do business in the bigger geographies after we complete the registration. Smaller geographies, yes.

In some countries, where we do not want to go for actually our own warehouse, the reason being, for example, the import duty in countries like Peru is very high. Then your VAT also is quite high, which means in addition to investing in your own product, you'll have to invest also in duties and other things.

If the profitability is quite high and if your number of registration is very high, then of course what we can do is, we can take the products to a neutral warehouse and then we can supply to the market. So we're working on various methodologies to get in to this type of market. So simply doing business, yes, it's very easy to do the business, but that's not going to be lucrative. There the top line will grow, not the cash flow or bottomline.

Caplin Point Laboratories Limited

August 08, 2023

Page 14 of 17

Moderator: Thank you. The next question comes from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: Yes, Thanks for the opportunity. My first question was, on the emerging market side, can you give a sense of what is the growth in our top three markets? I'm just trying to understand, we are entering a bunch of new markets. So how is that core growth on a like to like basis?

C.C. Paarthipan : See, I told you before, the new markets, mostly the bigger geographies, bigger markets, it takes its own time. Either it is in the form of first selection of products, then of course the registration as it takes time also. Then we start the markets, depends, as I told you, more that the markets with the model that gives you the profit and cash flow than the top line. So what we do is, we will continue to grow the way we are growing for the next two to three years.

Afterwards, our growth will be manifold. That is for sure, because we'll complete our facilities, and then some of the advantages, this facility will create, once we go for a vertical integration here. Even if you participate in CPHI, the visitors who come to CPHI will understand the difference between other companies and us. A company of our size will not have all actually in the form of starting from these starting materials, intermediaries, then formulations, then front end persons in some areas, and also, CROs and everything.

That gives us actually opportunity to choose the customer, even if it is actually not the warehousing model in the form of stock and sale, you can still choose the customer, if he's prepared to buy a quality product and he'll definitely give us actually a better margin compared to some of the generic players. So we will continue to do our homework as the way we have been doing and the growth will be something similar. It's better to give under promise and overachieve, rather than giving numbers and underperforming.

Naysar Parikh: No, sorry, my question is a bit different. What I'm trying to understand is, if we exclude the new markets that you've entered in the last 12 months, what is the growth in your core emerging markets? In your top three, top four emerging markets, what is your growth?

C.C. Paarthipan : Last 12 m

onths, of course, we have not entered in many markets. On the contrary, we increased the product portfolio. The growth has come mainly because of actually, first, soft gels, as I told you in the course of my speech. Second, the growth is happening because of some of the orders, which we are getting actually in the oncology product.

And if you look at actually the one country, where we entered and we did a business of 200 crores in US. And there will be some 40% to 50% increase in US market in the current year.

Other than that, our growth is coming mainly from the existing markets.

Naysar Parikh: Got it. And from a distribution perspective, how do you see this share of direct sales increasing in the emerging markets? So where do you want it to be in the next two, three years?

C.C. Paarthipan : You said direct sales, sales from India to direct to the importers. Are you saying?

Vivek Partheeban : I think his question is towards our breakup of sales between wholesalers and distributors and retail. So is that correct?

Caplin Point Laboratories Limited

August 08, 2023

Page 15 of 17

C.C. Paarthipan : Hello, is it what you're trying to convey?

Naysar Parikh: Yes, it is.

C.C. Paarthipan : No, that of course, this is one thing, we'd like to see. Disclosing everything leads to self-victimization. Because what is important actually, how much is the sales we do that we want to convey. See, when I say, what is the exact sales of actually distributors, retailer, and other things in smaller geographies, like, five, six countries, that will not be like, I don't want to give you those details, which helps some other competitors also.

Your intention may be good, but at the end of the day, I'm sorry, I will not be interested to give that details, please. One thing I'd like to convey, we are increasing the last mile connect. We are increasing the sale of actually retailers because we can remove the intermediaries in the form of importer and distributor. That's how the cash flow gets increased. If I give you the breakup, I don't want to give you something, which is false and it's better to say, no, I don't want to disclose it. Don't mistake me because that's our strategy.

Naysar Parikh: Okay, now, what I was asking is, today you're around 20% is direct sales, right? So what I was trying to understand is that, over the next few years, what is the potential for these direct sales?

And when you go direct versus when you go to a distributor, is there a difference in terms of sales?

Vivek Partheeban: See, actually, the truth is that the breakup remains the same and we are not going direct, right?

We've always been direct in this market. From day one in Latin America, we've been directly present. So, we need to create the right balance between what we have to do with regards to distributor sales, what we have to do with regards to retail sales.

We don't also want to trade it to each other's parts and then one side becomes lopsided after that.

And also some of these places are not the safest places in the world as well, right? So you need to make sure the right amount of balance is struck. We would like to leave it at this stage, please.

Like Chairman said, our focus has always been to hit the last mile. And that's something that we continuously work on. That's about it.

Naysar Parikh: And on the mix, which is there between some of your specialty products and Oncology. So, going forward in your emerging markets, what percentage do you see coming from Oncology from high potent APIs? If you could just throw some light over that?

C.C. Paarthipan: Most of the APIs is going to go for our own consumption. We will not be interested actually to commercialize to start with because these are APIs when it adds value to a formulation when you go for your own front end. Usually, we will not chase economies of scale in the form of manufacturing a huge quantity of APIs. So, it

is difficult to quantify it.

Overall, actually, the basket of formulation will get increased. So, APIs play a role in the form of actually captive consumption, that's it.

Moderator: Thank you. Due to time constraints, the last question comes on the line of Rushabh Shah from Anubhuti Advisors LLP. Please go ahead.

Caplin Point Laboratories Limited

August 08, 2023

Page 16 of 17

Rushabh Shah: Thank you so much for the opportunity. Sir, my question is we will be spending around INR550 crores on capex in the next one and half year. Our FY'23 operating profit is around INR440 crores, which is enough to fund the capex. So, why we are holding INR800 crores of cash in our books which is causing a dent in our ROE form which ROE was roughly 46% in FY'18 and which is 22% in FY'23. So, can't we consider rewarding shareholders in terms of providing a special dividend or buyback?

C.C. Paarthipan : Okay. Anyway, the first question is -- you're right that now we are planning to spend INR550

crores to complete all the projects. The second one, rewarding the shareholders, one is short term and long term also. Short term, of course, I think which is the final dividend will be rewarding somewhere around 225% this year.

And conserving the cash is going to help us in the long run in the form of going for actually inorganic growth. For example, if you find some companies, if you look at most of the companies which have grown, they have grown organically, then they started actually acquiring companies in the form of meaningful fit. So, the money that we consume now, one day it will help, that is going to help the shareholder in the long run.

Rushabh Shah: Okay, but sir, our annual operating profit is sufficient enough to cover the capex?

C.C. Paarthipan : No, but somewhere when I say inorganic actually opportunity, the inorganic opportunity can be in the form of INR100 crores, can be in the form of INR1,000 crores also. It all depends. We don't know what kind of opportunity we get. We'll cross the bridge when we reach there. When we get an opportunity, that's going to actually double the profit and cash flow more than the sale. You'd prefer to invest more also. That kind of a situation will happen maybe four to five years from now.

Rushabh Shah: So, we are looking for any inorganic growth? There is something in the pipeline?

C.C. Paarthipan : See what will happen now, the balance is to consolidate and expand. Now consolidating, the consolidation in the form of actually completing the project and going for the best of the best talent and then you have to think of inorganic growth also. That's what happens in every industry, especially in pharmaceutical industry.

Rushabh Shah: Okay, okay, understood. And sir, one more question. We have achieved the target that we have guided that 2016 top line will be the bottom line of 2022. Same we have guided for 2028 also that 2022 top line will be the bottomline of FY'28. So, can you share how, what will be the path that we will go through to achieve this targets?

C.C. Paarthipan : See, as we grow actually, to tell you honestly, we will have a very healthy growth and coming to these types of things what happened in the past, it may or may not be repeated, but the growth actually in the form of what we have been growing and CAGR and other things will continue to be there. And it can even go beyond that also after three, four years, that is for sure. So year-on-year, yes.

Rushabh Shah: My question was, the base has also increased, so growing on the higher base?

Caplin Point Laboratories Limited

August 08, 2023

Page 17 of 17

C.C. Paarthipan : What is that increase sir you said?

Vivek Partheeban : No, he says the base has also increased. So, 2022, of course, was a much larger base.

C.C. Paarthipan : That's what I'm telling you. When the base increases, it's not easy for us to give you a promise in the form of

the top line of yester years will become the bottom line of future.

Rushabh Shah: Okay but yet what will be the paths, what are your plans for the next five years?

C.C. Paarthipan : I've already told you in course of my speech.

Rushabh Shah: I might have missed.

C.C. Paarthipan : What we are doing in the current level. See most of them to put it very simply, the smaller geographies are the ones who brought the company where it is today. Now the work in progress is in the form of all kinds of pharmaceutical formulation manufacturing, in addition to API and others.

That means the markets will be larger as we go move forward. The factories will be bigger, and we love the best of the best talent to manage the facilities. Then the markets and models also, which we told you, although the markets are bigger, it is the model of the business that makes us actually more profit and the cash flow also just increase that way. So that's what I told you everything.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments.

Vivek Partheeban : Yes, thank you everyone for joining the call. Thanks for Dolat Capital also to organize. It was a pleasure interacting with you all and we hope to remain in touch. Thank you very much.

C.C. Paarthipan : Thanks to all of you. Thank you. Thank you very much. Thank you.

Moderator: Thank you. On behalf of Dolat Capital, this concludes the conference. Thank you for joining us today and you may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Nov 2023

Page 1 of 18

"Caplin Point Laboratories Limited
Q2 & H1 FY2024 Earnings Conference Call"

November 09, 2023

MANAGEMENT : MR. C. C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL
OFFICER – CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

ANALYST : MR. RISHIKESH - BATLIVALA & KARANI SECURITIES
INDIA PRIVATE LIMITED

Caplin Point Laboratories
November 09, 2023

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Limited H1 FY2024 Earnings Call hosted by Batlivala and Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishikesh from Batlivala and Karani Securities India Private Limited. Thank you and over to you Sir!

Rishikesh : Thank you. Good evening to all the participants present on the call. Hope everyone is in good health and I wish Happy Diwali to you all. On behalf of Caplin Point today, we have with us Mr. C.C. Paarthipan - Chairman, Mr. Vivek Partheeban - Chief Operating Officer, Dr. Sridhar Ganesan - Managing Director, Mr. D. Muralidharan – CFO, Mr. M. Sathya Narayanan - Deputy CFO. I would like to thank you and pass over the call. Over to you Sir!

Vivek Partheeban: Thank you Rishikesh and Rohit. Hello and good evening to everyone. Welcome to our earnings call to discuss the results of Q2 and H1 FY2024. Please note that a copy of all our disclosures are available on the investor section of our website as well as on the stock exchanges and please note that anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the company's website as well as the exchanges and do note that the audio of this conference call are copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company. Now I would like to hand over the floor to our Chairman for his opening remarks.

C.C. Paarthipan : Good evening ladies and gentlemen. Welcome to you all to our earnings call. As you know well today's sustainable business is all about maximizing the revenue and profit, minimizing the cost and risk. You are aware that our profit does not sit in the books, but in the form of cash and cash equivalents. Our way of reducing the cost is to follow our asset light model in the form of outsourcing from India and China for products that are pure vanilla generics; here the overhead is also very, very low. When coming today it is true that we should not attempt anything such as blind race while deploying our funds, but again it is the physical risk that made us to notice the unnoticed in the smaller countries of Latin America and you know the outcome is our benchmark in cash flows and profits. The three reasons for our increase in Q2 EBITDA and PAT are as follows : A. oncology sales outsourced, B. soft gel sales increase, C. reasonable increase in the revenue of Caplin Steriles. Now let us look at the growth drivers for the next three years. A. in the financial year 2023-2024 outsourcing of onco business has continued to contribute our revenue and profits, B. CSL line 5 which is a new line which increased the capacity, C. the new registration of soft gel will also contribute to the top and bottomline of our current financial year. We are sure of

maintaining current metrics such as EBITDA and PAT in financial year 2023-2024. Coming to financial year 2024-2025 again CSL line 5 and line 6 will contribute to our growth which COO will explain in detail, number two increased ANDAs, number three replacement of Caplin Point Laboratories
November 09, 2023

Page 3 of 18

line one with a high speed lines, number four co

mpletion of onco OSD such as tablet and capsule will also increase the revenue as we can guarantee the deliveries by handling effective supply chain challenges. For FY2025-2026, we expect completion of onco injectables in addition to OSD to expand OSD general facilities for the new markets. New and larger geographies of various countries such as Mexico and others where the increase in registration will also contribute to our growth. Let me assure you that all our expansions such as API in Vizag, Onco facility in Kakkalur, Thiruvallur and the new OSD general facility in Gummidipundi and line 6 in CSL will be completed between 12 to 18 months without fail. Further, our conceptual framework of catering to the bottom of the pyramid has been the bottomline enabler for growth. Our goods next to the customer and the warehouse have created a new ecosystem of preventing the supply chain challenges. Hence, the customer next to our warehouses buy quality products at affordable price, further you are aware that we do not have any intermediates, which avoids cash flow issues and price erosions. Here since we do not have any intermediates, that helps to increase the company's profits and also get the best price which is also affordable price to the customer. Let me also highlight the noteworthy new initiative of Caplin Point's stall in CPhI Barcelona and the benefits of it. Although CPhI is a platform for all small and big companies there are very few companies of our size who will have the entire range of products in addition to various R&D's and CRO. This has opened up various possibilities of entering into new markets which we have not visited before. Further we also have opportunity to import biosimilars and insulin in bulk and do the fill, finish and sell locally and export after completing the phase three clinical trials for which we have our own CRO that is approved by US FDA. The full and finished business was done by many big companies in the initial stages and later they went into their own manufacturing. It is also time for us to understand how many of our people will become the perfect soil in many ways for the company. Hence, we conduct interviews with our shop floor people to maintain their discipline, which alone will eliminate the deviations. We also have created a kind learning environment where the rules are fixed, players are known, feedback is timely and accurate, practice and relationships are predictable to ensure integrity, quality, safety, and productivity in our factory. Finally, a quote before I finish. The ordinary gives the world its existence, the extraordinary gifts its value, and the value comes from grit, gut, gumption, and glory. Caplin is shrewd to achieve the glory and contribute the best to all our stakeholders. Thank you. Thank you very much.

Vivek Partheeban: Thank you, Chairman. So, I would like to give a little insight into specifically Caplin Steriles but before that our Chairman always talks about identifying patterns whether it is in work or in personal life when you identify patterns it so happens that patterns tend to repeat themselves so as long as we are able to identify them they can become measurable potentially manageable also. So as a company earlier we were known as a company that was able to convert the topline into the bottomline every six years, in fact I believe we have repeated that twice, so sticking to something similar has come up recently, which is basically the Q2 sales and profits of this current quarter is higher than the full year revenue and profits of 2016-2017, which is 6-7 years ago and a similar pattern also has sort of emerged from Caplin Steriles where the first half sales of Caplin Steriles this year is greater than a full year sales of the entity just two years ago. So, consistency has always been key to our operations and we are happy to present another set of consistent

numbers this

quarter. When it comes to Caplin Steriles the important news is that we have already established Caplin Point Laboratories
November 09, 2023

Page 4 of 18

our front-end subsidiary in the US in New Jersey it is called Caplin Steriles USA Incorporated. Again, speaking on patterns what we have done over a long-period of time in Latin America was when we started we were catering predominantly to the smaller and mid-sized warehouses over there, but over a period of time what has really strengthened our company's stickiness and also bottomline strengthening is our move towards supplying directly to retail. So, if you sort of draw a parallel, our Caplin Steriles business has been 100% B2B. Now with this front-end we will be starting our potential B2C as well because we will be catering directly to the buyer, so obviously what we did over a period of time in LATAM was to make sure that this balance was very finely articulated so that they are not disturbing the existing business as well while catering to the next stream of revenue, so that is what we are going to do in Caplin Steriles USA as well.

We are applying for all 50 states licenses at this point and in the next 6 to 9 months I think we can start to look at some sort of revenue using Caplin Steriles its own label. Year two is likely to be more meaningful rather than year one, but we will obviously keep you updated as and when things progress.

The next point is on capex as Chairman is explaining our phase two of Caplin Steriles capex is completed and line 5 which is the Bosch line as they call right now. This line is already running commercial batches over the last couple of weeks. In fact, this machine runs at a speed which is more than double of the existing line in fact it is higher than both the lines combined together. So soon enough we will also be replacing line one which is a legacy line and in our facility with another Bosch line thereby more than doubling our existing capacity. Within the same phase two we also have a prefilled syringe line for which qualifications are ongoing right now and we will be in a position to complete that before end of this financial year. When it comes to approvals and revenues we are expecting another two to three ophthalmic product approvals in the next three to five months, which should boost our bottomline for Caplin Steriles because obviously that being line three, the expenses of the line three is already factored into our current operational expenses. So, we expect revenue and bottomline to be strengthened as and when these approvals come through in the coming quarters. Our order book continues to remain healthy, continues to grow, we just need to pick and choose what makes maximum sense for the company in terms of the right product mix. In terms of approvals we have 24 approvals so far from the entity of which 18 belongs to Caplin's name, another 13 are under review with FDA at this point of which again 11 are in Caplin Steriles name. This comprises of around six ophthalmic products, four premixed bags, which is a niche area without too much competition and three injectable products of which one is a complex emulsion. In the next six months we will also be filing a good range of niche differentiated products for which exhibit batch etc., are all completed and they are all waiting for dossier compilation. This mix includes injectable emulsions, injectable suspension, ophthalmic emulsion, and also injections in plastic vials, which is another niche segment without too much competition. So overall the pipeline remains robust, we will be filing another 20 odd products in the next 2 to 2-1/2 years. Going forward we will be developing on filing products based on global sales and not just US and this includes evergreen products such as Propofol and Enoxaparin, etc., which are all well received in most countries

around the world and we have our own API developed

for this and once our API plant goes live this will be one of the first few products that we will be looking at filing. We obviously have a very sharp focus towards the larger markets of Latin

Caplin Point Laboratories

November 09, 2023

Page 5 of 18

America such as Mexico and Brazil and we will be targeting these countries for product filling and we already have several products filed in Mexico. So this brings me to an interesting concept which Chairman also touched upon, which is CPHI, the fair that we all attended just a few weeks ago. This is a global fair very well renowned and happens in Europe once a year. We created a very nice looking stall over there it was very well received, in fact it brought an almost 1000 new contacts and many of them in geographies where we are not present. How we look at it is even if 1% of these convert into business that will be very good additional streams of revenue for the company. Of particular interest in these are countries like Brazil where we do not have a presence yet and also MENA region where large markets such as Saudi represent high potential for our company especially as an FDA approved plant which enables us to fast track some of our outdoor sales there. I believe from whatever information that we have received our own pipeline for Saudi itself could be worth as much as \$80 million and all in all I believe it is going to be a very crucial and exciting next few years for Caplin Point and Caplin Steriles with many of these new initiatives that we are embarking on. Most important of all is to ensure that we are maintaining adequate fiscal discipline, stay debt free, focus on our cash flow, bottomline and topline in that particular order in all of our areas of expansion. I would like to just hand over the floor to our CFO for a brief highlight of the figures before we open up the floor for questions. Thank you.

D. Muralidharan: Thank you Mr. Vivek. Good evening to one and all who have taken time off to participate in this investors call. Good evening once again. Wishing you all happy and safe Diwali in advance. As far as the financials are concerned it has been a very good quarter, not only very good quarter very good H1 I would say and all the parameters we have fared much better than the last year corresponding period gross margins from 54.3% to 57.4% and we were EBITDA 32.4% to 35.4%, EBIT 29.3 to 32.6% and PAT 24.2 to 26.3%. Our Chairman has already explained the reasons for the increase in the contribution margins on account of niche products. There are two kinds of niche products as we mentioned Softgel line two has been operational and then there are value added products and we have got some good order for all oncology products which has also added much value both in terms of top line and the bottomline. Apart from what we have explained in the press release apart from hitting the 2016-2017 turnover and PAT in one quarter which is Q2 we have also realized that without understanding or realizing we have achieved the entire FY2020 revenue

and PAT in H1 of 2023-2024 that is INR 863 Crores was our revenue for the entire year FY2020 and INR 215 Crores PAT for the entire year 2015 whereas the standard 838 which is very close to FY2020 in terms of revenue and in terms of profits we have already surpassed. We are at INR 219 Crores as against 215 Crores. So as Chairman said we are hopeful of continuing the same and only one caveat is that gross margin of 57.4% I think may not be sustainable in the long run. We will always hope it should be anywhere between 55 and 56% and PAT of about 24 to 25%. That will be a realistic estimate or target that we would set ourselves and we would always work towards under the guidance of Chairman and management team to surpass the target what we fix to ourselves and as per our line of thinking that the

inventory closer to the customer our inventory has gone up and which may temporarily result in the cash flow from operations taking a dip, but that does not matter because the yearend would be the same. We have about INR 95 Crores of inventory in transit over various subsidiaries which would get converted into the sales in Q4. So, these are conscious decisions and then receivables also are slightly higher due to two reasons CSL
Caplin Point Laboratories
November 09, 2023

Page 6 of 18

has surpassed the entire year revenue of H1 current year and the payment will get realized in the month of November and December. For the information of the audience present we have already received about INR 1.10 Crores in terms of collection in the month of October and till date in Q3. So, though the receivable days have slightly gone up from 97 to 103 days to be precise so there is no cause for concern, there are no bad debts or unrealized amount from customers. The same is the case with our inventory where there are no expired goods or obsolete stock which we carry which are very minuscule percentage of our entire inventory and the results are there for you to see and then I leave it there and then if there are any questions specific on the financials we would like to take them and address them. Over to you Mr. Vivek

Vivek Partheeban : Thank you Sir. We can open up the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Anika Mittal from Nvest Analytics Advisory LLP. Please go ahead.

Anika Mittal : Good evening Sir. Congrats for a good set of numbers. Like in your commentary you mentioned the inventory has gone up and the receivables are also higher can you please repeat the reason for these two things?

C.C. Paarthipan: Whenever the inventory is high actually in a model that we have this is an opportunity to increase the cash flow and sales. The reason is the inventory is not lying in the head office; most of the inventory lies next to the customer and the warehouse and the rest of it are in transit. The amount of inventory which is there in the head office is very, very minimal, so rise in inventory does not cause any issue actually to us. Coming to receivables and inventory our bad debts and inventory loss are very, very minimal because any customer who buys our product always comes back because of our range, volume, variety and novelty. For example, we have registered 550 to 560 products in six to seven countries of Central America and Caribbean, so when the customer has to come back to you he will definitely pay you, otherwise he will not get actually the goods which he has to sell on a day-to-day basis. That is the advantage of having warehouse next to the customer. That is the reason in course of my actual speech I also told you there is no intermediaries in our business. We are the manufacturer importer also in many areas we are the whole sellers.

Anika Mittal : Trade receivables will remain at this level or we will further come back to the normal range?

C.C. Paarthipan: We will continue to actually have the same metrics.

Vivek Partheeban: So just one point I think industry average is anywhere between 90 to 120 days, so I think we are still in very good shape and as you would have seen our increase in cash flows over the last couple of years it is testament to the fact that we have a very strong hold on this and as Chairman said inventory in our position cannot be comparable to another company in the same because actually inventory and our warehouses in Latin America in other places, so it is not that it is sitting in our factory, so obviously this can be liquidated very quickly.

Caplin Point Laboratories
November 09, 2023

Page 7 of 18

Anika Mittal : I agree. I was looking towards CFO divided by EBITDA ratio of Caplin. Caplin

has always been

maintaining such higher ratio and this time I think H1 it is somewhere around 42% so that is why I was asking from the cash flow conversion point of view like EBITDA means this ratio will further improve or how it is going to be, means you must have tracking internally also this ratio going down, right?

C.C. Paarthipan: We are comfortable. In spite of it actually dipping a bit I would like to tell you also it is because of certain political issues in Guatemala, 10 to 15 days there was nothing actually happening; however,

eventually the sales was increased to 3.8 million which we normally do in every month and slightly there is a dip in collection which you would see actually as increase in this month. Number two in Dominican Republic there is actually issue between Dominican Republic and Haiti; however, the sales has increased, the dip also is not actually very bad, it is very, very narrow, so this type of issues happens to every company. The cash flow if it is not actually that good you would not be in a position to have INR 825 Crores as cash and cash equivalents. I hope you would agree with me. Anika Mittal : There has been a delay in our expansion of injectables in oncology like from Q4 2024 earlier to now it is Q2 2025 so similarly there is quarter delay in oncology API as well so is there any specific reason for the delay?

C.C. Paarthiban: Oncology tablet and capsule, I am sure we will be able to actually start the commercial production in the next six months. Although I told you in general everything will be completed in 12 to 18 months that one is applicable for a factory as a whole because if you look at oncology there is tablet, capsule, injectable and API and the API in Vizag will also be completed in six to eight months or maximum nine months. The rest of it like OSD in general and in addition to onco, OSD or onco injectables and all the machinery is on the way that will take a little time. See anything which is going to actually cost a little delay will not have any impact actually on our fundamentals.

Vivek Partheeban: Correct and in addition to that just one more point is especially on oncology there are two points here. Number one is we are not denying the company any opportunity to create this because we are currently using outsource manufacturers for some of these oncology orders that we are servicing. Number two is the API piece of it being delayed does not really impact us too much at this point because there is API available from outside, so it is still status quo. When our own API comes in our cost control and our compliance and everything gets even better it is not the other way around.

Anika Mittal : Can you give a number like where we will end in FY2024 in terms of consolidated revenues like line 5 and line 6 will also come in Q3 and Q4 so what is the expected internal number that we are targeting for FY2024 ?

C.C. Paarthiban: Let us not actually quote the numbers, you know it is a public company it is better to under promise and over achieve. Thank you. Thank you very much.

Anika Mittal : Thank you and all the best.

Caplin Point Laboratories

November 09, 2023

Page 8 of 18

Moderator : Thank you. The next question is from the line of Rishikesh. Please go ahead.

Rishikesh : So regarding your aspirations for new markets of Brazil and Mexico, so how has been the progress for those markets and probably what sort of product portfolio would we be taking there like you will be leveraging the US injectable pipeline to the Central American portfolio so what are your thoughts on that?

C.C. Paarthiban: I will tell you all about the rest of the world and South America coming to the US I will ask the COO to explain everything. New markets, as we told you before, the bigger geographies involves long time for registration; however, there are emergency orders which of course we also cater

to

and we have been exporting that way and our registrations in Chile has reached to a level of 100 plus and shortly we are going to open a warehouse there and coming to Mexico there are two ways to do business here one is private market other one is actually the institutional sales, the tender business. Most of the people who do standard business in fact they come and meet us actually our people in CPHI. In fact, my elder son is in Mexico and he is meeting all those people. The advantage of going through actually this type of people for tender business is they have the extraordinary contacts actually in that country and moreover being a foreigner especially in tenders we do not want to go directly into that area because there are certain issues which may affect people personally. So coming to this business especially in South America and various countries we are doing the registrations which really helps us is the expansion of projects in the form of soft gel capsules and next year we are planning to go for actually a PFS and double-barreled syringes. These are the things which will also increase our revenue. The registrations, yes, in the newer geographies it takes time unlike the RoW market. Now I will ask COO to explain about the US.

Vivek Partheeban: So your second question was around the portfolio and I will just explain. So obviously there are three things that we are targeting number one is like you said the Caplin Steriles portfolio itself I think whichever product that makes sense for Mexico and Brazil we will focus on that, in fact several files have already been submitted and now that INVIMA approval has also come through for Caplin Steriles we will be filling more wherever those things are ready. Number two there is something else that we realize which is there are many EU-GMP and other high regulatory body approved facilities in India that do not really have any sort of a presence in Latin America especially in Mexico. So we identified two or three of these companies, in fact two from India and one from China as well who have been giving us their dossiers to file in Caplin's name and in due course of time when some of these products get approved we will start outsourcing. It is very similar to what we did in some of the smaller markets of Latin America and finally our own OSD

facility hopefully which will come through in the next 12 to 18 months like Chairman said will also be used to cater to this market. So it will be a wide portfolio of injectables, ophthalmics, outsourced manufacturing products and in-house OSD products, so we will be targeting a wide portfolio as explained.

Rishikesh : Sir would we require a front end sales force on the ground in this market?

Caplin Point Laboratories

November 09, 2023

Page 9 of 18

Vivek Partheeban: So obviously our mantra has always been remaining close to the customer, right. So in fact as Chairman was saying my brother is in Mexico as we speak he has made 10-15 visits over the last one year itself, we will be assembling a very good field force over there, very similar to what we have done in other parts of Latin America. Of course, in the earlier stages we will be focusing much more on the product registration because this will obviously take around 9 to 12 months' time in most cases while we lay the groundwork, we will be meeting all the distributors, existing parallel markets, etc., that are over there, but yes we will be certainly having our own front end presence over there.

Rishikesh : Is it fair to say that these regions which start contributing post FY2025 or around FY2025?

Vivek Partheeban: In the next 18 months I think we can start to see something meaningful. We already have over a million-dollar business in Mexico from last year itself, but yes if we are looking at some meaningful numbers I think you can expect in about 18 months and beyond.

Rishik

esh : Sure. Thank you and that is it from my side.

Moderator : Thank you. The next question is from the line of Gaurang Shah from Kotak Mahindra Bank. Please go ahead.

Gaurang Shah: So my question is to the CFO. I think a bit of cash on the balance sheet in September and this was basically if I look at the breakup it is in the form of bank balances, now I presume if it is in a current account it is not only the interest how do we manage this, do we keep company some of investments and also in terms of the ROEs, the ROEs, and ROCEs have been dipping probably the reason could be they are good product to have to private company generating cash, but what is our large ticket plans or the big ticket plans of capex or do you plan to do some buyback at some point of time?

D. Muralidharan : Actually the bank and bank balances they are not in current accounts just to confirm they are in the form of fixed deposits, in the accounting standard which comes in the form of Ind AS is cash and cash equivalent of INR 825 Crores is figuring in about four to five places in the balance sheet it is not in one straight line and there is no fund which is idle and this is not yielding you an interest, so even the balances in Hong Kong it is not giving very good returns now it has started giving me a return of 5.5-6% tax free. Okay pre-tax it will be equivalent of 8% in India terms, so that is as far as the deployment of funds is concerned. Secondly as per the ROE and ROCE as we have been in the expansion mode for the last three years which will all bear fruits in the coming years. Just for the information of the audience in the call we have spent about INR 459 Crores to be precise in the last three years in various projects and another INR 370 Crores is identified as you see today, which is very visible to be spent in the next 12 to 18 months as our Chairman explained. So as we have told in the past, keeping our ears and eyes open for any opportunities that are available in the market so it is always better to keep cash which is yielding. If you see your other income, the interest income has gone up substantially so that means that we have been deploying at more productive assets and we are not keeping anything idle I would say for sure and these are funds kept for capex and also for any other opportunity that may come up in our way. So our focus has

Caplin Point Laboratories

November 09, 2023

Page 10 of 18

been cash flow and cash flow, cash flow. The three if can repeat three times. Chairman's primary objective is to grow cash flow and no borrowing.

Gaurang Shah : Thanks.

Moderator : Thank you. The next question is from the line of Sachin from Sivan Investment. Please go ahead.

Sachin : Thank you for taking my question and congrats to the entire Caplin team for showing such good numbers. I had few questions. Sir one was on the US business the Caplin Steriles business so we had guided for INR 200 Crores of revenue for the current financial year, but I think the current momentum is very strong so what type of numbers now we are looking for the current year and secondly for the next financial year if you could give us some type of sense what type of work we are doing and we had also desperation to reach \$100 million revenue by FY2027 if I remember in FY2026 so if you could just also comment a bit on that aspiration of \$100 million in revenue for Caplin Steriles?

Vivek Partheeban : So I think the INR 200 Crores that you are talking about, we already achieved that last year. What we said was we will grow well of course obviously it is coming off a smaller base. We will obviously be growing well this year we do not want to put a figure to it, but definitely above

industry average figure is what we will be targeting for Caplin Steriles this year and when it over the next three to four years targeting 2027 \$100 million figure is something of a bench

mark for us.

We remain confident that we can get to this figure or get very, very close to this figure and we are putting in all efforts to make sure we get there.

Sachin : Sure but in terms of your EBITDA margins at Caplin Steriles what type of offset do we see from the current level and the 70 :30 mix that is there currently between milestone and revenues how do we see that changing over the next 2 -3 years?

Vivek Partheeban: I will answer the second question first so milestone and profit share I think this is a very healthy mix because if you see we are not a company that is a pure placed CMO and we do not do any development for other companies either , so we are a company that develops and tries around products and so far has been licensing our products to front end partners such as Baxter and some of these people . Going forward I see that tilting a little bit more towards the product revenue because we will be having our own front end and we stop ped doing exclusive deals for a few years ago itself, right. So as long as our front end gets established we will have lesser and lesser inclination to do licensing deals with others because we want to be selling all of it by ourselves. This is going to obviously strengthen the bottomline as well because all of our B2B business that we do right now there is a profit share to our front end partner so obviously without giving any numbers away that 70 :30 will start to tilt much towards the product revenue and lesser towards the milestone and profit share revenue in the year s going forward.

Sachin : Over a medium term we need to stabilize it will be like 80 :20 or to be like more like 90 :10 over the next two years where do you see it stabilized?

Caplin Point Laboratories

November 09, 2023

Page 11 of 18

Vivek Partheeban: I would safely assume 80 :20 would be a more reasonable figure at least over the mid-term.

Sachin : Sure and on the EBITDA margins most of the high quality ?

Vivek Partheeban: EBITDA margins especially for us you will have to look at it a little bit differently compared to others because of the fact that again I repeat we are not CMO we develop and file our own products so our costs right when we are talking about the fees, the filing fees, A&D fees, facility fees, all of these are significant for a company our size, but as the revenue continues to grow , as the bottom line will get strengthened and our EBITDA number if you took away all of our R&D expenses, etc., that we do not capitalize we expense out our EBITDA numbers are actually very similar to the parent companies number. So this will start to reflect as the revenue catches up a little bit more and our filing starts to go down and we focus a little bit more towards complex products alone.

Today we have a lot of simple solution products so the numbers in terms of number of vendors we are finding and all that is higher compared to what we would be doing let us say 24 months hence, right. So a shorter answer to your question is if we remove all of these heavy R MDCs and everything, our filing fees and all that our numbers are very similar to our parent company number.

Sachin : Sure I understand that our accounting is far more conservative, but that is the way I think we have chosen to be so in that scenario when do you expect that our reported EBITDA margin should start to run and will it take another 2 -3 years or you think that could happen much faster going by the type of traction we are seeing in the market

Vivek Partheeban: It would be safe to assume two years because I think this year already we are profitable , in fact last year also we have turned around the profit despite the heavy expense out, but two years hence I think could be something for us to look forward to.

Sachin : Sure my next question was for the CFO. On this slide #18 that is mentioned the capex of INR 600 to 650 Crores where we out

lined six projects so if you could qualify Sir how much of the INR 600

to 650 Crores has already been spent and how much is pending completion?

D. Muralidharan : As I just answered the previous queries as explained that INR 459 Crores has been spent since last three years and as we speak today INR 370 Crores we have visibility, not everything is crystallized, we have visibility about INR 370 Crores of which about INR 200 and 250 Crores is crystallized . For example, API onco which we said will take some shape over INR 50 Crores is the plan we have for that and the OSD general what Chairman said we will consume about INR 150 Crores over the next 12 -18 months , 650 and 700 is inclusive of what we have spent and then what we see in the next 18 months' time so that what we would have spent in the last three years plus next 18 months.

Sachin : This is little confusing for me on this slide #18 of your presentation, you mentioned that the Caplin has allocated INR 600 to 650 Crores and you have mentioned six projects, so of this INR 650 Crores of this six projects that we have outlined how much we have spent is it that 250 the number that you are mentioning is instead of the six projects?

Caplin Point Laboratories

November 09, 2023

Vivek Partheeban: I will just clarify you Sachin Obviously if you are looking at whatever capex that we started from 2020 itself this is going to be close to INR 800 Crores figure, right so some of this was Brownfield , so we took away that Brownfield figure out and then for most of the new initiatives including phase two and phase three of Caplin Steriles we mentioned that INR 600 to 650 Crores, a shorter answer to your question is more than half of which has been already spent and the remaining half will be spent I would say over the next 18 months as Chairman was saying 18 to 20 months .

Sachin : But as per the presentation all the projects will get completed by Q3 FY 2025, which is like 12 months from now ?

Vivek Partheeban: So we want to be conservative when we see. So some of these are very, very close to completion like the onco facility is around three months away from completion and there is an opportunity for us to fast track our OSD facility as well, but again we want to be a little conservative because some of this requires qualification, timelines and everything, right. So capex completion is only one part of it, in pharmaceuticals you need to qualify all the equipment to start commercialization as well and some of these areas that require licenses are going to be received. So Capex completion is only one part and then there will be definitely a six-month period which will be what will be required for us to ramp up to commercialization so that is how you need to be looking at this rather than black and white and do what numbers alone is being mentioned over there.

Sachin : Sure and what is the type of peak revenue we can achieve once fully utilized this INR 650 Crores of capex can generate for us?

C.C. Paarhipan: See the most important here is one area, which is two more completion of the facility; second most important area here especially in OSD onco and OSD general you will have to actually invest on the bioequivalent and bioavailability it is not the question of money it is a question of timelines. We have to complete the R&D first then go for the registration . Then the third issue is we will have to file the dossiers. So especially in the regulated space it takes long time. Luckily, we have been very successful in the ROW markets, especially in LATAM so we will start the business to start within the LATAM market that alone will give us a very good actually returns so we are sure of actually continuing the same EBITDA and other things going forward and exact numbers today is not easy to predict .

Sachin : Just a ballpark estimation this INR 600 Crores will give us INR 1

,000 Crores, INR 1,500 Crores a very ballpark number ?

C.C. Paarhipan: If you ask me in five years from now we should aim actually at least INR 4,000 to 5,000 Crores but if you ask me what will happen actually in 2024-2025, I am sure we are aiming for a sale of actually INR 2,000 Crores that is the only one I can tell you.

Sachin : Sure and Sir one question was in some of these new large market that you have been talking about Mexico, Brazil, Chile what is your vision for the next 3 -4 years there and how large do you think they can be for Caplin as a company overall ?

Caplin Point Laboratories
November 09, 2023

C.C. Paarhipan: When you are thinking of opening up your own company as a subsidiary company , the number of registrations which are in the form of like 20 -30 does not give you actually big volume we should reach to a level of say 100 products. If it reaches to a level of 100 products in Mexico it will take at least two and half year or maybe three years that time we think of actually like something extraordinary. It can even go up to \$75 million to 80 to 100 million, also the reason being half of the business which is in the form of tender business we will not be directly involved but we know people who can influence the decision makers and then sell the product. There also they are interested in quality product and they know we have been selling our products in Central America which is much closer to Mexico. Guatemala is just one-hour drive by flight actually to Mexico and again cross -border business, although we are not interested in that one people who live in the borders, they come actually and buy and go also. So most of the people they are aware of our quality of the product also. So once we complete actually different buckets of products in the form of oncology then general products injections, various injections in the form of liquid injections and then you have ophthalmic products, bags all that put together I am sure we are aiming for something extraordinary , but again this is what I could say , say if you ask me, 2024-2025, yes, we will target Rs 2000 Crores again, there is a market in Mexico which takes time. Sometimes it may be sooner, sometime it may be later, but not actually whether we can do it and it is something which is done or in the process of doing it. It is a possibility but the question of timing ranges between two and half to three years' maximum to do the maximum distance.

Sachin : So basically next two or three years will be slow and steady we have to get more products registered so FY2027 or 2028 is when we can see larger contributions from this one.

C.C. Paarhipan: Exactly that is one way of looking at it. The second way is in Mexico there is a lot of opportunity to acquire companies, but the meaningful acquisitions also will add value to us at the same time

now we are focusing more on completion of the projects. We do not want to add one more facility outside the country and that is why we are not interested to go for anything in the form of acquiring a facility in places like Mexico or Brazil also. We will complete everything here then we will have to consolidate our efforts whatever the balance between consolidation and expansion also has to be very meaningful. There are opportunities, there are challenges, but at the end of the day the people really back us also. There are things which can be delegated as removal, the promoter creates it and the professional comes to protect it and today after COVID the environment, the ecosystem has not been that extraordinary, you will have to understand the people well, you have to take care of them very well and we will have to wait for that to happen also. You cannot be in a position to rush and make things happen. It is not that easy, to be very honest with you.

Sachin : Sure. Thank you and wish you all the best.

Moderator

: Thank you. The next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain : Sir this question is related to the US market, the Caplin Sterile so congratulations on getting the approval for Rocuronium through Lupin or let us say Lupin is the marketing partner I just wanted

Caplin Point Laboratories

November 09, 2023

Page 14 of 18

to understand our philosophy of let us say partnering in the US market because I understand we are still doing nonexclusive deals we are also having our own distribution setup where we are targeting let us say not the most competitive distribution part of the chain and we are also having our own label. So how are we ensuring that there is no conflict in the chain and the customer is not confused because the same product should not be offered by multiple entities, right, cutting themselves or looping or some other partner or whatever ?

Vivek Partheeban: So I will answer this in two parts. Number one is you spoke specifically on Rocuronium Bromide that was probably because Lupin came out with a press release for that one. Now obviously these are nonexclusive deals and Lupin is not the only company that we have licensed the product too there is one more as well but at the same time these are completely nonexclusive on both sides right so whenever Caplin decides to enter the market with its own label we are free to do so. In every one of our agreements that we have signed so far over the last five years we have ensured of this. Now number two is again drawing a parallel to what we are doing in Latin America. We do not want to go to the very large GPOs and distributors and then try and sell our product because that is a space that sort of crowded with big boys, right including the Lupins of the world. What we want to do is there is a certain amount of markets and depending on who you speak to, it could be anywhere between 20% to 30% that is outside of these large GPOs and IDMs and stuff where we can actually sell our product even if it is smaller volumes we can actually sell it to for higher margins and it could become a very sticky business as long as your supply continuity is maintained, right. So that is what we will be doing and we will not be competing in the same channels because we will not be operating in the same channel. Even the kind of people that we recruit in the US we are very clear to them that we going the tried and tested model of going to a GPO, crashing prices and then entering with our label that is not what we want to do and even in Latin America as you see we never went to the largest distributor over there and then tried to give him anything exclusively. We went to smaller distributors. We went to smaller wholesalers, we went to retail directly. So we want to sort of try and replicate something similar in the US as well.

Nikhil Jain : Right but how do you ensure that there is no conflict, right so because you are trying to cover all the distribution channels some through partners ?

Vivek Partheeban: That is what I am trying to say. Number one even if there is a conflict there is nothing that prevents us from doing anything even if we choose to do with the GPOs but having said that, what I was trying to say in my earlier response is that we are not going to be operating in the same channels where some of these larger companies operate because they typically go through very large GPOs and healthcare networks. We want to be playing basically in Tier-2 and Tier-3 spaces so by default there will not be any conflict.

C.C. Paarthipan : One more thing actually I would like to add here. I hope you would agree with me in war and business definitely there will be conflict. We will cross the bridge when we reach there in the form of a conflict resolution that is the only way out. You can not predict everything actually now itself. I hope you would

agree with me on this thing.

Caplin Point Laboratories

November 09, 2023

Page 15 of 18

Nikhil Jain : Fair enough. Thank you.

Moderator: Thank you. The next question is from the line of Chirag from Ratna Traya Capital. Please go ahead.

Chirag : Hi good evening Sir thank you so much for the opportunity and congratulations on continued execution. I had one bookkeeping question and a larger question. I will first take the bookkeeping question. If my numbers are correct we did around INR 46 Crores of sales in the first quarter for Caplin Steriles and INR 75 Crores of sales for Caplin Steriles in second quarter so both quarters could you tell us the EBITDA for Caplin Steriles ?

Sathya Narayanan : The EBITDA for the current quarter Q2 of 2024 is INR 10 Crores and for Q1 it was around INR 2.5 Crores so please look at it in the manner which was explained by Mr. Vivek that this is after charging off all the R&D expenses and the ANDA registration fees, everything which we expense out immediately on incurrences? Thank you.

Chirag : Sorry Sir, I could not hear that number. Could you repeat that number again, INR 2.5 Crores you said?

Sathya Narayanan : Yes perfect.

Chirag : Understood and the second question is little bit broader I would love to hear the Chairman's view on this is that we have a bunch of expansion plans going on, right, we have oncology, API backward integration, sterile, there is an expansion in Latin America we are doing geographic as well as product expansion. In all of these 4-5 areas where is it that the team feels there is the most amount of stress or the most amount of sort of delay or the most amount of uncertainty and where is it that you feel that we are very close to conceptually where we were very close to the end ?

C.C. Paarthipan: I would like to actually say a few things of course this will help to understand where we are today. In general, I hope you would agree with me. What is important, what cannot be cured must be endured and endurance is the key. When we have the great, definitely whatever delay which happens actually eventually it will be complete not that I do not want to say there is no delay in the form of actually projects, project overrun or cost overrun is part of any business, but at the end of the day we have not been borrowing money from any bank it is all happening from our own internal accrual. Second, the biggest challenge that we face actually is getting the licenses and the other issues, sometimes people issues, this of course you cannot change. We live in a world where the pedestrians walk on the road and the motorists drive on the pavement with impunity. So these are the individual liberties which come in the form of social anarchy what we can do to avoid that one? So anything that we do I would put actually this way as long as you have the grit and your model is not in the form of borrowed money and borrowed system, we are sure of completing it when we complete it yes, it takes time, it takes actually a certain amount of pressure to the promoters of the companies. Eventually when we make it we will also achieve it. Whatever we believe we will achieve it.

Caplin Point Laboratories

November 09, 2023

Page 16 of 18

Chirag : Understood. Anything in specific amongst these 4-5 where there is the most amount of stress oncology, backward integration, steriles or the geography?

C.C. Paarthipan: I read one this year and I would like to convey this. This is a research which happened in 2014 where they have understood that poverty runs in generations, poverty actually incorporates the cognitive issues and the lack of awareness in the genes, henceforth, with the result into few generations so anyone who starts his life as an entrepreneur from a family which is not part of business community is bound to see pressure but the pressure that we had when we did not have

money is much more than actually the pressure that we have today. When we have money in the bank and that to the money is not borrowed money it is taken one as I told you, borrowed this term in the sense that unless and until you understand something which not many people know you will not be in a position to do things actually, which will be affected. So it is not that stress or pressure is going to break you but it how you take it. What you make of it and how you take it that really matters that is what I would like to convey to you.

Chirag : Thank you.

Moderator : Thank you. The next question is from the line of Alisha from Envision Capital. Please go ahead.

Alisha : I was just trying to understand that if I compare this quarter versus last quarter, which is Q1 there is a dip in the LATAM revenue, it was about INR 350 Crores in Q1, which has now become INR 335 Crores just wanted to understand what caused this dip are we seeing any slowdown pressures, any logistical issue causing this delay anything?

C.C. Paarthipan: There is not a major issue, but again you must have seen in the newspapers the incumbent President and the new President there are some issues in Guatemala that has come to a grinding halt for about 10 or 12 days of maximum 15 days but again, people have to buy medicine, they would prefer to buy medicines only when the medicines are next to them and the warehouse. With the result now that 15 days of work loss actually has not caused major issue and in fact now we have done more business than before, slight dip in the receivables that also is not in the form of actually 50-60% reduction it is in the form of 10 to 15% which will happen actually in the next month and coming to what you said in the form of Q1 versus Q2 I would request the CFO to clear the air.

D. Muralidharan : The reason is already answered by our Chairman and there is a concern it is very marginal this

thing and that will be more than made up in the current quarter.

Vivek Partheeban : Alisha just one point I would make in pharmaceuticals especially when you are doing business with multiple geographies and stuff I think comparing quarter -on-quarter is a bit of a misnomer.

Year-on-year is much more in fact if you ask us internally we look at ourselves on the three to five-year basis so quarter -on-quarter there will be minor dips or increases here and there but I think like CFO that much more or a rounding rather than anything else .

Caplin Point Laboratories

November 09, 2023

Page 17 of 18

Alisha : No Sir I absolutely agree with you that it should be Y -O-Y and it should be on a more medium term basis. It is just that all the newer initiatives that we have been talking about the same kind of stage and hence I thought of clarifying it. My next question is just being it right to understand that the next step up in the LATAM business will now only come once some of the capex that we have been speaking about will come on stream which will be towards the end of the year, early next year?

Vivek Partheeban : So obviously with many of the initiatives that we are taking up right now there will be a gestation period right, but there are two ways in which we are tackling that. Number one is if you look at the oncology space we are not exactly waiting for our facilities to get ready at that start registration then. We have actually started registering many of our products several quarters ago, which is why over the last almost six months or more you can see that there are several oncology products that they are supplying to emergency tenders were actually supplying to private markets also in one or two markets and so we are not denying ourselves an opportunity to fill that gap over there as and when our facilities come through this is going to enhance the business , this is going to enhance the supply chain . Number two is we have a breakup of course not everyth

ing can be put down and

opened up the public as many of this is confidential information, but we have actually been able to grow quite well with the existing markets with the existing products but little bit of tweaks to our offerings such as pharmaceutical soft gels , pre-filled syringes and everything. So it is not that all of the growth will depend only on the new capex coming in that will be augmenting our growth rather than depending entirely on it.

Alisha : Got it and just one last bookkeeping question. There is a spike in our other expenses and it is quite sharp sequentially what would this be with respect to?

D. Muralidharan : Are you referring to the current quarter versus sequential or the H1 itself Madam ?

Alisha : No, Q2 of this year versus Q1 INR 73 Crores versus INR 55 Crores .

D. Muralidharan : As we have said we have filled with more than three ANDAs as compared to the last quarter that each ANDA costs about INR 2 Crores and the R&D expenses have also gone up , these are the primary reasons for increasing expenses .

Alisha : Got it. Thank you so much and all the best.

Moderator: Thank you. As there are no further queries from the participants I now hand the conference over to Mr. Vivek for the closing remarks .

Vivek Partheeban: Thank you everyone for joining and then taking time off and understanding our company and your wishes mean a lot to us. Once again thank you all and have a very Happy Diwali and we will be in touch with you. Thank you.

C. C. Paarthipan: Thank you all and wish you all a very Happy Diwali.

Caplin Point Laboratories

November 09, 2023

Page 18 of 18

Moderator: Thank you. On behalf of Batlivala and Karani Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Nov 2023

Page 1 of 18

"Caplin Point Laboratories Limited
Q2 & H1 FY2024 Earnings Conference Call"

November 09, 2023

MANAGEMENT : MR. C. C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL
OFFICER – CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

ANALYST : MR. RISHIKESH - BATLIVALA & KARANI SECURITIES
INDIA PRIVATE LIMITED

Caplin Point Laboratories
November 09, 2023

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Limited H1 FY2024 Earnings Call hosted by Batlivala and Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishikesh from Batlivala and Karani Securities India Private Limited. Thank you and over to you Sir!

Rishikesh : Thank you. Good evening to all the participants present on the call. Hope everyone is in good health and I wish Happy Diwali to you all. On behalf of Caplin Point today, we have with us Mr. C.C. Paarthipan - Chairman, Mr. Vivek Partheeban - Chief Operating Officer, Dr. Sridhar Ganesan - Managing Director, Mr. D. Muralidharan – CFO, Mr. M. Sathya Narayanan - Deputy CFO. I would like to thank you and pass over the call. Over to you Sir!

Vivek Partheeban: Thank you Rishikesh and Rohit. Hello and good evening to everyone. Welcome to our earnings call to discuss the results of Q2 and H1 FY2024. Please note that a copy of all our disclosures are available on the investor section of our website as well as on the stock exchanges and please note that anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the company's website as well as the exchanges and do note that the audio of this conference call are copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company. Now I would like to hand over the floor to our Chairman for his opening remarks.

C.C. Paarthipan : Good evening ladies and gentlemen. Welcome to you all to our earnings call. As you know well today's sustainable business is all about maximizing the revenue and profit, minimizing the cost and risk. You are aware that our profit does not sit in the books, but in the form of cash and cash equivalents. Our way of reducing the cost is to follow our asset light model in the form of outsourcing from India and China for products that are pure vanilla generics; here the overhead is also very, very low. When coming today it is true that we should not attempt anything such as blind race while deploying our funds, but again it is the physical risk that made us to notice the unnoticed in the smaller countries of Latin America and you know the outcome is our benchmark in cash flows and profits. The three reasons for our increase in Q2 EBITDA and PAT are as follows : A. oncology sales outsourced, B. soft gel sales increase, C. reasonable increase in the revenue of Caplin Steriles. Now let us look at the growth drivers for the next three years. A. in the financial year 2023-2024 outsourcing of onco business has continued to contribute our revenue and profits, B. CSL line 5 which is a new line which increased the capacity, C. the new registration of soft gel will also contribute to the top and bottomline of our current financial year. We are sure of

maintaining current metrics such as EBITDA and PAT in financial year 2023-2024. Coming to financial year 2024-2025 again CSL line 5 and line 6 will contribute to our growth which COO will explain in detail, number two increased ANDAs, number three replacement of Caplin Point Laboratories
November 09, 2023

Page 3 of 18

line one with a high speed lines, number four co

mpletion of onco OSD such as tablet and capsule will also increase the revenue as we can guarantee the deliveries by handling effective supply chain challenges. For FY2025-2026, we expect completion of onco injectables in addition to OSD to expand OSD general facilities for the new markets. New and larger geographies of various countries such as Mexico and others where the increase in registration will also contribute to our growth. Let me assure you that all our expansions such as API in Vizag, Onco facility in Kakkalur, Thiruvallur and the new OSD general facility in Gummidipundi and line 6 in CSL will be completed between 12 to 18 months without fail. Further, our conceptual framework of catering to the bottom of the pyramid has been the bottomline enabler for growth. Our goods next to the customer and the warehouse have created a new ecosystem of preventing the supply chain challenges. Hence, the customer next to our warehouses buy quality products at affordable price, further you are aware that we do not have any intermediates, which avoids cash flow issues and price erosions. Here since we do not have any intermediates, that helps to increase the company's profits and also get the best price which is also affordable price to the customer. Let me also highlight the noteworthy new initiative of Caplin Point's stall in CPhI Barcelona and the benefits of it. Although CPhI is a platform for all small and big companies there are very few companies of our size who will have the entire range of products in addition to various R&D's and CRO. This has opened up various possibilities of entering into new markets which we have not visited before. Further we also have opportunity to import biosimilars and insulin in bulk and do the fill, finish and sell locally and export after completing the phase three clinical trials for which we have our own CRO that is approved by US FDA. The full and finished business was done by many big companies in the initial stages and later they went into their own manufacturing. It is also time for us to understand how many of our people will become the perfect soil in many ways for the company. Hence, we conduct interviews with our shop floor people to maintain their discipline, which alone will eliminate the deviations. We also have created a kind learning environment where the rules are fixed, players are known, feedback is timely and accurate, practice and relationships are predictable to ensure integrity, quality, safety, and productivity in our factory. Finally, a quote before I finish. The ordinary gives the world its existence, the extraordinary gifts its value, and the value comes from grit, gut, gumption, and glory. Caplin is shrewd to achieve the glory and contribute the best to all our stakeholders. Thank you. Thank you very much.

Vivek Partheeban: Thank you, Chairman. So, I would like to give a little insight into specifically Caplin Steriles but before that our Chairman always talks about identifying patterns whether it is in work or in personal life when you identify patterns it so happens that patterns tend to repeat themselves so as long as we are able to identify them they can become measurable potentially manageable also. So as a company earlier we were known as a company that was able to convert the topline into the bottomline every six years, in fact I believe we have repeated that twice, so sticking to something similar has come up recently, which is basically the Q2 sales and profits of this current quarter is higher than the full year revenue and profits of 2016-2017, which is 6-7 years ago and a similar pattern also has sort of emerged from Caplin Steriles where the first half sales of Caplin Steriles this year is greater than a full year sales of the entity just two years ago. So, consistency has always been key to our operations and we are happy to present another set of consistent

numbers this

quarter. When it comes to Caplin Steriles the important news is that we have already established Caplin Point Laboratories
November 09, 2023

Page 4 of 18

our front-end subsidiary in the US in New Jersey it is called Caplin Steriles USA Incorporated. Again, speaking on patterns what we have done over a long-period of time in Latin America was when we started we were catering predominantly to the smaller and mid-sized warehouses over there, but over a period of time what has really strengthened our company's stickiness and also bottomline strengthening is our move towards supplying directly to retail. So, if you sort of draw a parallel, our Caplin Steriles business has been 100% B2B. Now with this front-end we will be starting our potential B2C as well because we will be catering directly to the buyer, so obviously what we did over a period of time in LATAM was to make sure that this balance was very finely articulated so that they are not disturbing the existing business as well while catering to the next stream of revenue, so that is what we are going to do in Caplin Steriles USA as well.

We are applying for all 50 states licenses at this point and in the next 6 to 9 months I think we can start to look at some sort of revenue using Caplin Steriles its own label. Year two is likely to be more meaningful rather than year one, but we will obviously keep you updated as and when things progress.

The next point is on capex as Chairman is explaining our phase two of Caplin Steriles capex is completed and line 5 which is the Bosch line as they call right now. This line is already running commercial batches over the last couple of weeks. In fact, this machine runs at a speed which is more than double of the existing line in fact it is higher than both the lines combined together. So soon enough we will also be replacing line one which is a legacy line and in our facility with another Bosch line thereby more than doubling our existing capacity. Within the same phase two we also have a prefilled syringe line for which qualifications are ongoing right now and we will be in a position to complete that before end of this financial year. When it comes to approvals and revenues we are expecting another two to three ophthalmic product approvals in the next three to five months, which should boost our bottomline for Caplin Steriles because obviously that being line three, the expenses of the line three is already factored into our current operational expenses. So, we expect revenue and bottomline to be strengthened as and when these approvals come through in the coming quarters. Our order book continues to remain healthy, continues to grow, we just need to pick and choose what makes maximum sense for the company in terms of the right product mix. In terms of approvals we have 24 approvals so far from the entity of which 18 belongs to Caplin's name, another 13 are under review with FDA at this point of which again 11 are in Caplin Steriles name. This comprises of around six ophthalmic products, four premixed bags, which is a niche area without too much competition and three injectable products of which one is a complex emulsion. In the next six months we will also be filing a good range of niche differentiated products for which exhibit batch etc., are all completed and they are all waiting for dossier compilation. This mix includes injectable emulsions, injectable suspension, ophthalmic emulsion, and also injections in plastic vials, which is another niche segment without too much competition. So overall the pipeline remains robust, we will be filing another 20 odd products in the next 2 to 2-1/2 years. Going forward we will be developing on filing products based on global sales and not just US and this includes evergreen products such as Propofol and Enoxaparin, etc., which are all well received in most countries

around the world and we have our own API developed

for this and once our API plant goes live this will be one of the first few products that we will be looking at filing. We obviously have a very sharp focus towards the larger markets of Latin

Caplin Point Laboratories

November 09, 2023

Page 5 of 18

America such as Mexico and Brazil and we will be targeting these countries for product filling and we already have several products filed in Mexico. So this brings me to an interesting concept which Chairman also touched upon, which is CPHI, the fair that we all attended just a few weeks ago. This is a global fair very well renowned and happens in Europe once a year. We created a very nice looking stall over there it was very well received, in fact it brought an almost 1000 new contacts and many of them in geographies where we are not present. How we look at it is even if 1% of these convert into business that will be very good additional streams of revenue for the company. Of particular interest in these are countries like Brazil where we do not have a presence yet and also MENA region where large markets such as Saudi represent high potential for our company especially as an FDA approved plant which enables us to fast track some of our outdoor sales there. I believe from whatever information that we have received our own pipeline for Saudi itself could be worth as much as \$80 million and all in all I believe it is going to be a very crucial and exciting next few years for Caplin Point and Caplin Steriles with many of these new initiatives that we are embarking on. Most important of all is to ensure that we are maintaining adequate fiscal discipline, stay debt free, focus on our cash flow, bottomline and topline in that particular order in all of our areas of expansion. I would like to just hand over the floor to our CFO for a brief highlight of the figures before we open up the floor for questions. Thank you.

D. Muralidharan: Thank you Mr. Vivek. Good evening to one and all who have taken time off to participate in this investors call. Good evening once again. Wishing you all happy and safe Diwali in advance. As far as the financials are concerned it has been a very good quarter, not only very good quarter very good H1 I would say and all the parameters we have fared much better than the last year corresponding period gross margins from 54.3% to 57.4% and we were EBITDA 32.4% to 35.4%, EBIT 29.3 to 32.6% and PAT 24.2 to 26.3%. Our Chairman has already explained the reasons for the increase in the contribution margins on account of niche products. There are two kinds of niche products as we mentioned Softgel line two has been operational and then there are value added products and we have got some good order for all oncology products which has also added much value both in terms of top line and the bottomline. Apart from what we have explained in the press release apart from hitting the 2016-2017 turnover and PAT in one quarter which is Q2 we have also realized that without understanding or realizing we have achieved the entire FY2020 revenue

and PAT in H1 of 2023-2024 that is INR 863 Crores was our revenue for the entire year FY2020 and INR 215 Crores PAT for the entire year 2015 whereas the standard 838 which is very close to FY2020 in terms of revenue and in terms of profits we have already surpassed. We are at INR 219 Crores as against 215 Crores. So as Chairman said we are hopeful of continuing the same and only one caveat is that gross margin of 57.4% I think may not be sustainable in the long run. We will always hope it should be anywhere between 55 and 56% and PAT of about 24 to 25%. That will be a realistic estimate or target that we would set ourselves and we would always work towards under the guidance of Chairman and management team to surpass the target what we fix to ourselves and as per our line of thinking that the

inventory closer to the customer our inventory has gone up and which may temporarily result in the cash flow from operations taking a dip, but that does not matter because the yearend would be the same. We have about INR 95 Crores of inventory in transit over various subsidiaries which would get converted into the sales in Q4. So, these are conscious decisions and then receivables also are slightly higher due to two reasons CSL
Caplin Point Laboratories
November 09, 2023

Page 6 of 18

has surpassed the entire year revenue of H1 current year and the payment will get realized in the month of November and December. For the information of the audience present we have already received about INR 1.10 Crores in terms of collection in the month of October and till date in Q3. So, though the receivable days have slightly gone up from 97 to 103 days to be precise so there is no cause for concern, there are no bad debts or unrealized amount from customers. The same is the case with our inventory where there are no expired goods or obsolete stock which we carry which are very minuscule percentage of our entire inventory and the results are there for you to see and then I leave it there and then if there are any questions specific on the financials we would like to take them and address them. Over to you Mr. Vivek

Vivek Partheeban : Thank you Sir. We can open up the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Anika Mittal from Nvest Analytics Advisory LLP. Please go ahead.

Anika Mittal : Good evening Sir. Congrats for a good set of numbers. Like in your commentary you mentioned the inventory has gone up and the receivables are also higher can you please repeat the reason for these two things?

C.C. Paarthipan: Whenever the inventory is high actually in a model that we have this is an opportunity to increase the cash flow and sales. The reason is the inventory is not lying in the head office; most of the inventory lies next to the customer and the warehouse and the rest of it are in transit. The amount of inventory which is there in the head office is very, very minimal, so rise in inventory does not cause any issue actually to us. Coming to receivables and inventory our bad debts and inventory loss are very, very minimal because any customer who buys our product always comes back because of our range, volume, variety and novelty. For example, we have registered 550 to 560 products in six to seven countries of Central America and Caribbean, so when the customer has to come back to you he will definitely pay you, otherwise he will not get actually the goods which he has to sell on a day-to-day basis. That is the advantage of having warehouse next to the customer. That is the reason in course of my actual speech I also told you there is no intermediaries in our business. We are the manufacturer importer also in many areas we are the whole sellers.

Anika Mittal : Trade receivables will remain at this level or we will further come back to the normal range?

C.C. Paarthipan: We will continue to actually have the same metrics.

Vivek Partheeban: So just one point I think industry average is anywhere between 90 to 120 days, so I think we are still in very good shape and as you would have seen our increase in cash flows over the last couple of years it is testament to the fact that we have a very strong hold on this and as Chairman said inventory in our position cannot be comparable to another company in the same because actually inventory and our warehouses in Latin America in other places, so it is not that it is sitting in our factory, so obviously this can be liquidated very quickly.

Caplin Point Laboratories
November 09, 2023

Page 7 of 18

Anika Mittal : I agree. I was looking towards CFO divided by EBITDA ratio of Caplin. Caplin

has always been

maintaining such higher ratio and this time I think H1 it is somewhere around 42% so that is why I was asking from the cash flow conversion point of view like EBITDA means this ratio will further improve or how it is going to be, means you must have tracking internally also this ratio going down, right?

C.C. Paarthipan: We are comfortable. In spite of it actually dipping a bit I would like to tell you also it is because of certain political issues in Guatemala, 10 to 15 days there was nothing actually happening; however,

eventually the sales was increased to 3.8 million which we normally do in every month and slightly there is a dip in collection which you would see actually as increase in this month. Number two in Dominican Republic there is actually issue between Dominican Republic and Haiti; however, the sales has increased, the dip also is not actually very bad, it is very, very narrow, so this type of issues happens to every company. The cash flow if it is not actually that good you would not be in a position to have INR 825 Crores as cash and cash equivalents. I hope you would agree with me. Anika Mittal : There has been a delay in our expansion of injectables in oncology like from Q4 2024 earlier to now it is Q2 2025 so similarly there is quarter delay in oncology API as well so is there any specific reason for the delay?

C.C. Paarthiban: Oncology tablet and capsule, I am sure we will be able to actually start the commercial production in the next six months. Although I told you in general everything will be completed in 12 to 18 months that one is applicable for a factory as a whole because if you look at oncology there is tablet, capsule, injectable and API and the API in Vizag will also be completed in six to eight months or maximum nine months. The rest of it like OSD in general and in addition to onco, OSD or onco injectables and all the machinery is on the way that will take a little time. See anything which is going to actually cost a little delay will not have any impact actually on our fundamentals.

Vivek Partheeban: Correct and in addition to that just one more point is especially on oncology there are two points here. Number one is we are not denying the company any opportunity to create this because we are currently using outsource manufacturers for some of these oncology orders that we are servicing. Number two is the API piece of it being delayed does not really impact us too much at this point because there is API available from outside, so it is still status quo. When our own API comes in our cost control and our compliance and everything gets even better it is not the other way around.

Anika Mittal : Can you give a number like where we will end in FY2024 in terms of consolidated revenues like line 5 and line 6 will also come in Q3 and Q4 so what is the expected internal number that we are targeting for FY2024 ?

C.C. Paarthiban: Let us not actually quote the numbers, you know it is a public company it is better to under promise and over achieve. Thank you. Thank you very much.

Anika Mittal : Thank you and all the best.

Caplin Point Laboratories

November 09, 2023

Page 8 of 18

Moderator : Thank you. The next question is from the line of Rishikesh. Please go ahead.

Rishikesh : So regarding your aspirations for new markets of Brazil and Mexico, so how has been the progress for those markets and probably what sort of product portfolio would we be taking there like you will be leveraging the US injectable pipeline to the Central American portfolio so what are your thoughts on that?

C.C. Paarthiban: I will tell you all about the rest of the world and South America coming to the US I will ask the COO to explain everything. New markets, as we told you before, the bigger geographies involves long time for registration; however, there are emergency orders which of course we also cater

to

and we have been exporting that way and our registrations in Chile has reached to a level of 100 plus and shortly we are going to open a warehouse there and coming to Mexico there are two ways to do business here one is private market other one is actually the institutional sales, the tender business. Most of the people who do standard business in fact they come and meet us actually our people in CPHI. In fact, my elder son is in Mexico and he is meeting all those people. The advantage of going through actually this type of people for tender business is they have the extraordinary contacts actually in that country and moreover being a foreigner especially in tenders we do not want to go directly into that area because there are certain issues which may affect people personally. So coming to this business especially in South America and various countries we are doing the registrations which really helps us is the expansion of projects in the form of soft gel capsules and next year we are planning to go for actually a PFS and double-barreled syringes. These are the things which will also increase our revenue. The registrations, yes, in the newer geographies it takes time unlike the RoW market. Now I will ask COO to explain about the US.

Vivek Partheeban: So your second question was around the portfolio and I will just explain. So obviously there are three things that we are targeting number one is like you said the Caplin Steriles portfolio itself I think whichever product that makes sense for Mexico and Brazil we will focus on that, in fact several files have already been submitted and now that INVIMA approval has also come through for Caplin Steriles we will be filling more wherever those things are ready. Number two there is something else that we realize which is there are many EU-GMP and other high regulatory body approved facilities in India that do not really have any sort of a presence in Latin America especially in Mexico. So we identified two or three of these companies, in fact two from India and one from China as well who have been giving us their dossiers to file in Caplin's name and in due course of time when some of these products get approved we will start outsourcing. It is very similar to what we did in some of the smaller markets of Latin America and finally our own OSD

facility hopefully which will come through in the next 12 to 18 months like Chairman said will also be used to cater to this market. So it will be a wide portfolio of injectables, ophthalmics, outsourced manufacturing products and in-house OSD products, so we will be targeting a wide portfolio as explained.

Rishikesh : Sir would we require a front end sales force on the ground in this market?

Caplin Point Laboratories

November 09, 2023

Page 9 of 18

Vivek Partheeban: So obviously our mantra has always been remaining close to the customer, right. So in fact as Chairman was saying my brother is in Mexico as we speak he has made 10-15 visits over the last one year itself, we will be assembling a very good field force over there, very similar to what we have done in other parts of Latin America. Of course, in the earlier stages we will be focusing much more on the product registration because this will obviously take around 9 to 12 months' time in most cases while we lay the groundwork, we will be meeting all the distributors, existing parallel markets, etc., that are over there, but yes we will be certainly having our own front end presence over there.

Rishikesh : Is it fair to say that these regions which start contributing post FY2025 or around FY2025?

Vivek Partheeban: In the next 18 months I think we can start to see something meaningful. We already have over a million-dollar business in Mexico from last year itself, but yes if we are looking at some meaningful numbers I think you can expect in about 18 months and beyond.

Rishik

esh : Sure. Thank you and that is it from my side.

Moderator : Thank you. The next question is from the line of Gaurang Shah from Kotak Mahindra Bank. Please go ahead.

Gaurang Shah: So my question is to the CFO. I think a bit of cash on the balance sheet in September and this was basically if I look at the breakup it is in the form of bank balances, now I presume if it is in a current account it is not only the interest how do we manage this, do we keep company some of investments and also in terms of the ROEs, the ROEs, and ROCEs have been dipping probably the reason could be they are good product to have to private company generating cash, but what is our large ticket plans or the big ticket plans of capex or do you plan to do some buyback at some point of time?

D. Muralidharan : Actually the bank and bank balances they are not in current accounts just to confirm they are in the form of fixed deposits, in the accounting standard which comes in the form of Ind AS is cash and cash equivalent of INR 825 Crores is figuring in about four to five places in the balance sheet it is not in one straight line and there is no fund which is idle and this is not yielding you an interest, so even the balances in Hong Kong it is not giving very good returns now it has started giving me a return of 5.5-6% tax free. Okay pre-tax it will be equivalent of 8% in India terms, so that is as far as the deployment of funds is concerned. Secondly as per the ROE and ROCE as we have been in the expansion mode for the last three years which will all bear fruits in the coming years. Just for the information of the audience in the call we have spent about INR 459 Crores to be precise in the last three years in various projects and another INR 370 Crores is identified as you see today, which is very visible to be spent in the next 12 to 18 months as our Chairman explained. So as we have told in the past, keeping our ears and eyes open for any opportunities that are available in the market so it is always better to keep cash which is yielding. If you see your other income, the interest income has gone up substantially so that means that we have been deploying at more productive assets and we are not keeping anything idle I would say for sure and these are funds kept for capex and also for any other opportunity that may come up in our way. So our focus has

Caplin Point Laboratories

November 09, 2023

Page 10 of 18

been cash flow and cash flow, cash flow. The three if can repeat three times. Chairman's primary objective is to grow cash flow and no borrowing.

Gaurang Shah : Thanks.

Moderator : Thank you. The next question is from the line of Sachin from Swan Investment. Please go ahead.

Sachin : Thank you for taking my question and congrats to the entire Caplin team for showing such good numbers. I had few questions. Sir one was on the US business the Caplin Steriles business so we had guided for INR 200 Crores of revenue for the current financial year, but I think the current momentum is very strong so what type of numbers now we are looking for the current year and secondly for the next financial year if you could give us some type of sense what type of work we are doing and we had also desperation to reach \$100 million revenue by FY2027 if I remember in FY2026 so if you could just also comment a bit on that aspiration of \$100 million in revenue for Caplin Steriles?

Vivek Partheeban : So I think the INR 200 Crores that you are talking about, we already achieved that last year. What we said was we will grow well of course obviously it is coming off a smaller base. We will obviously be growing well this year we do not want to put a figure to it, but definitely above

industry average figure is what we will be targeting for Caplin Steriles this year and when it over the next three to four years targeting 2027 \$100 million figure is something of a bench

mark for us.

We remain confident that we can get to this figure or get very, very close to this figure and we are putting in all efforts to make sure we get there.

Sachin : Sure but in terms of your EBITDA margins at Caplin Steriles what type of offset do we see from the current level and the 70 :30 mix that is there currently between milestone and revenues how do we see that changing over the next 2 -3 years?

Vivek Partheeban: I will answer the second question first so milestone and profit share I think this is a very healthy mix because if you see we are not a company that is a pure placed CMO and we do not do any development for other companies either , so we are a company that develops and tries around products and so far has been licensing our products to front end partners such as Baxter and some of these people . Going forward I see that tilting a little bit more towards the product revenue because we will be having our own front end and we stop ped doing exclusive deals for a few years ago itself, right. So as long as our front end gets established we will have lesser and lesser inclination to do licensing deals with others because we want to be selling all of it by ourselves. This is going to obviously strengthen the bottomline as well because all of our B2B business that we do right now there is a profit share to our front end partner so obviously without giving any numbers away that 70 :30 will start to tilt much towards the product revenue and lesser towards the milestone and profit share revenue in the year s going forward.

Sachin : Over a medium term we need to stabilize it will be like 80 :20 or to be like more like 90 :10 over the next two years where do you see it stabilized?

Caplin Point Laboratories

November 09, 2023

Page 11 of 18

Vivek Partheeban: I would safely assume 80 :20 would be a more reasonable figure at least over the mid-term.

Sachin : Sure and on the EBITDA margins most of the high quality ?

Vivek Partheeban: EBITDA margins especially for us you will have to look at it a little bit differently compared to others because of the fact that again I repeat we are not CMO we develop and file our own products so our costs right when we are talking about the fees, the filing fees, A&D fees, facility fees, all of these are significant for a company our size, but as the revenue continues to grow , as the bottom line will get strengthened and our EBITDA number if you took away all of our R&D expenses, etc., that we do not capitalize we expense out our EBITDA numbers are actually very similar to the parent companies number. So this will start to reflect as the revenue catches up a little bit more and our filing starts to go down and we focus a little bit more towards complex products alone.

Today we have a lot of simple solution products so the numbers in terms of number of vendors we are finding and all that is higher compared to what we would be doing let us say 24 months hence, right. So a shorter answer to your question is if we remove all of these heavy R MDCs and everything, our filing fees and all that our numbers are very similar to our parent company number.

Sachin : Sure I understand that our accounting is far more conservative, but that is the way I think we have chosen to be so in that scenario when do you expect that our reported EBITDA margin should start to run and will it take another 2 -3 years or you think that could happen much faster going by the type of traction we are seeing in the market

Vivek Partheeban: It would be safe to assume two years because I think this year already we are profitable , in fact last year also we have turned around the profit despite the heavy expense out, but two years hence I think could be something for us to look forward to.

Sachin : Sure my next question was for the CFO. On this slide #18 that is mentioned the capex of INR 600 to 650 Crores where we out

lined six projects so if you could qualify Sir how much of the INR 600

to 650 Crores has already been spent and how much is pending completion?

D. Muralidharan : As I just answered the previous queries as explained that INR 459 Crores has been spent since last three years and as we speak today INR 370 Crores we have visibility, not everything is crystallized, we have visibility about INR 370 Crores of which about INR 200 and 250 Crores is crystallized . For example, API onco which we said will take some shape over INR 50 Crores is the plan we have for that and the OSD general what Chairman said we will consume about INR 150 Crores over the next 12 -18 months , 650 and 700 is inclusive of what we have spent and then what we see in the next 18 months' time so that what we would have spent in the last three years plus next 18 months.

Sachin : This is little confusing for me on this slide #18 of your presentation, you mentioned that the Caplin has allocated INR 600 to 650 Crores and you have mentioned six projects, so of this INR 650 Crores of this six projects that we have outlined how much we have spent is it that 250 the number that you are mentioning is instead of the six projects?

Caplin Point Laboratories

November 09, 2023

Vivek Partheeban: I will just clarify you Sachin Obviously if you are looking at whatever capex that we started from 2020 itself this is going to be close to INR 800 Crores figure, right so some of this was Brownfield , so we took away that Brownfield figure out and then for most of the new initiatives including phase two and phase three of Caplin Steriles we mentioned that INR 600 to 650 Crores, a shorter answer to your question is more than half of which has been already spent and the remaining half will be spent I would say over the next 18 months as Chairman was saying 18 to 20 months .

Sachin : But as per the presentation all the projects will get completed by Q3 FY 2025, which is like 12 months from now ?

Vivek Partheeban: So we want to be conservative when we see. So some of these are very, very close to completion like the onco facility is around three months away from completion and there is an opportunity for us to fast track our OSD facility as well, but again we want to be a little conservative because some of this requires qualification, timelines and everything, right. So capex completion is only one part of it, in pharmaceuticals you need to qualify all the equipment to start commercialization as well and some of these areas that require licenses are going to be received. So Capex completion is only one part and then there will be definitely a six-month period which will be what will be required for us to ramp up to commercialization so that is how you need to be looking at this rather than black and white and do what numbers alone is being mentioned over there.

Sachin : Sure and what is the type of peak revenue we can achieve once fully utilized this INR 650 Crores of capex can generate for us?

C.C. Paarhipan: See the most important here is one area, which is two more completion of the facility; second most important area here especially in OSD onco and OSD general you will have to actually invest on the bioequivalent and bioavailability it is not the question of money it is a question of timelines. We have to complete the R&D first then go for the registration . Then the third issue is we will have to file the dossiers. So especially in the regulated space it takes long time. Luckily, we have been very successful in the ROW markets, especially in LATAM so we will start the business to start within the LATAM market that alone will give us a very good actually returns so we are sure of actually continuing the same EBITDA and other things going forward and exact numbers today is not easy to predict .

Sachin : Just a ballpark estimation this INR 600 Crores will give us INR 1

,000 Crores, INR 1,500 Crores a very ballpark number ?

C.C. Paarhipan: If you ask me in five years from now we should aim actually at least INR 4,000 to 5,000 Crores but if you ask me what will happen actually in 2024-2025, I am sure we are aiming for a sale of actually INR 2,000 Crores that is the only one I can tell you.

Sachin : Sure and Sir one question was in some of these new large market that you have been talking about Mexico, Brazil, Chile what is your vision for the next 3 -4 years there and how large do you think they can be for Caplin as a company overall ?

Caplin Point Laboratories
November 09, 2023

C.C. Paarhipan: When you are thinking of opening up your own company as a subsidiary company , the number of registrations which are in the form of like 20 -30 does not give you actually big volume we should reach to a level of say 100 products. If it reaches to a level of 100 products in Mexico it will take at least two and half year or maybe three years that time we think of actually like something extraordinary. It can even go up to \$75 million to 80 to 100 million, also the reason being half of the business which is in the form of tender business we will not be directly involved but we know people who can influence the decision makers and then sell the product. There also they are interested in quality product and they know we have been selling our products in Central America which is much closer to Mexico. Guatemala is just one-hour drive by flight actually to Mexico and again cross -border business, although we are not interested in that one people who live in the borders, they come actually and buy and go also. So most of the people they are aware of our quality of the product also. So once we complete actually different buckets of products in the form of oncology then general products injections, various injections in the form of liquid injections and then you have ophthalmic products, bags all that put together I am sure we are aiming for something extraordinary , but again this is what I could say , say if you ask me, 2024-2025, yes, we will target Rs 2000 Crores again, there is a market in Mexico which takes time. Sometimes it may be sooner, sometime it may be later, but not actually whether we can do it and it is something which is done or in the process of doing it. It is a possibility but the question of timing ranges between two and half to three years' maximum to do the maximum distance.

Sachin : So basically next two or three years will be slow and steady we have to get more products registered so FY2027 or 2028 is when we can see larger contributions from this one.

C.C. Paarhipan: Exactly that is one way of looking at it. The second way is in Mexico there is a lot of opportunity to acquire companies, but the meaningful acquisitions also will add value to us at the same time

now we are focusing more on completion of the projects. We do not want to add one more facility outside the country and that is why we are not interested to go for anything in the form of acquiring a facility in places like Mexico or Brazil also. We will complete everything here then we will have to consolidate our efforts whatever the balance between consolidation and expansion also has to be very meaningful. There are opportunities, there are challenges, but at the end of the day the people really back us also. There are things which can be delegated as removal, the promoter creates it and the professional comes to protect it and today after COVID the environment, the ecosystem has not been that extraordinary, you will have to understand the people well, you have to take care of them very well and we will have to wait for that to happen also. You cannot be in a position to rush and make things happen. It is not that easy, to be very honest with you.

Sachin : Sure. Thank you and wish you all the best.

Moderator

: Thank you. The next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain : Sir this question is related to the US market, the Caplin Sterile so congratulations on getting the approval for Rocuronium through Lupin or let us say Lupin is the marketing partner I just wanted

Caplin Point Laboratories

November 09, 2023

Page 14 of 18

to understand our philosophy of let us say partnering in the US market because I understand we are still doing nonexclusive deals we are also having our own distribution setup where we are targeting let us say not the most competitive distribution part of the chain and we are also having our own label. So how are we ensuring that there is no conflict in the chain and the customer is not confused because the same product should not be offered by multiple entities, right, cutting themselves or looping or some other partner or whatever ?

Vivek Partheeban: So I will answer this in two parts. Number one is you spoke specifically on Rocuronium Bromide that was probably because Lupin came out with a press release for that one. Now obviously these are nonexclusive deals and Lupin is not the only company that we have licensed the product too there is one more as well but at the same time these are completely nonexclusive on both sides right so whenever Caplin decides to enter the market with its own label we are free to do so. In every one of our agreements that we have signed so far over the last five years we have ensured of this. Now number two is again drawing a parallel to what we are doing in Latin America. We do not want to go to the very large GPOs and distributors and then try and sell our product because that is a space that sort of crowded with big boys, right including the Lupins of the world. What we want to do is there is a certain amount of markets and depending on who you speak to, it could be anywhere between 20% to 30% that is outside of these large GPOs and IDMs and stuff where we can actually sell our product even if it is smaller volumes we can actually sell it to for higher margins and it could become a very sticky business as long as your supply continuity is maintained, right. So that is what we will be doing and we will not be competing in the same channels because we will not be operating in the same channel. Even the kind of people that we recruit in the US we are very clear to them that we going the tried and tested model of going to a GPO, crashing prices and then entering with our label that is not what we want to do and even in Latin America as you see we never went to the largest distributor over there and then tried to give him anything exclusively. We went to smaller distributors. We went to smaller wholesalers, we went to retail directly. So we want to sort of try and replicate something similar in the US as well.

Nikhil Jain : Right but how do you ensure that there is no conflict, right so because you are trying to cover all the distribution channels some through partners ?

Vivek Partheeban: That is what I am trying to say. Number one even if there is a conflict there is nothing that prevents us from doing anything even if we choose to do with the GPOs but having said that, what I was trying to say in my earlier response is that we are not going to be operating in the same channels where some of these larger companies operate because they typically go through very large GPOs and healthcare networks. We want to be playing basically in Tier-2 and Tier-3 spaces so by default there will not be any conflict.

C.C. Paarthipan : One more thing actually I would like to add here. I hope you would agree with me in war and business definitely there will be conflict. We will cross the bridge when we reach there in the form of a conflict resolution that is the only way out. You can not predict everything actually now itself. I hope you would

agree with me on this thing.

Caplin Point Laboratories

November 09, 2023

Page 15 of 18

Nikhil Jain : Fair enough. Thank you.

Moderator: Thank you. The next question is from the line of Chirag from Ratna Traya Capital. Please go ahead.

Chirag : Hi good evening Sir thank you so much for the opportunity and congratulations on continued execution. I had one bookkeeping question and a larger question. I will first take the bookkeeping question. If my numbers are correct we did around INR 46 Crores of sales in the first quarter for Caplin Steriles and INR 75 Crores of sales for Caplin Steriles in second quarter so both quarters could you tell us the EBITDA for Caplin Steriles ?

Sathya Narayanan : The EBITDA for the current quarter Q2 of 2024 is INR 10 Crores and for Q1 it was around INR 2.5 Crores so please look at it in the manner which was explained by Mr. Vivek that this is after charging off all the R&D expenses and the ANDA registration fees, everything which we expense out immediately on incurrences? Thank you.

Chirag : Sorry Sir, I could not hear that number. Could you repeat that number again, INR 2.5 Crores you said?

Sathya Narayanan : Yes perfect.

Chirag : Understood and the second question is little bit broader I would love to hear the Chairman's view on this is that we have a bunch of expansion plans going on, right, we have oncology, API backward integration, sterile, there is an expansion in Latin America we are doing geographic as well as product expansion. In all of these 4-5 areas where is it that the team feels there is the most amount of stress or the most amount of sort of delay or the most amount of uncertainty and where is it that you feel that we are very close to conceptually where we were very close to the end ?

C.C. Paarthipan: I would like to actually say a few things of course this will help to understand where we are today. In general, I hope you would agree with me. What is important, what cannot be cured must be endured and endurance is the key. When we have the great, definitely whatever delay which happens actually eventually it will be complete not that I do not want to say there is no delay in the form of actually projects, project overrun or cost overrun is part of any business, but at the end of the day we have not been borrowing money from any bank it is all happening from our own internal accrual. Second, the biggest challenge that we face actually is getting the licenses and the other issues, sometimes people issues, this of course you cannot change. We live in a world where the pedestrians walk on the road and the motorists drive on the pavement with impunity. So these are the individual liberties which come in the form of social anarchy what we can do to avoid that one? So anything that we do I would put actually this way as long as you have the grit and your model is not in the form of borrowed money and borrowed system, we are sure of completing it when we complete it yes, it takes time, it takes actually a certain amount of pressure to the promoters of the companies. Eventually when we make it we will also achieve it. Whatever we believe we will achieve it.

Caplin Point Laboratories

November 09, 2023

Page 16 of 18

Chirag : Understood. Anything in specific amongst these 4-5 where there is the most amount of stress oncology, backward integration, steriles or the geography?

C.C. Paarthipan: I read one this year and I would like to convey this. This is a research which happened in 2014 where they have understood that poverty runs in generations, poverty actually incorporates the cognitive issues and the lack of awareness in the genes, henceforth, with the result into few generations so anyone who starts his life as an entrepreneur from a family which is not part of business community is bound to see pressure but the pressure that we had when we did not have

money is much more than actually the pressure that we have today. When we have money in the bank and that to the money is not borrowed money it is taken one as I told you, borrowed this term in the sense that unless and until you understand something which not many people know you will not be in a position to do things actually, which will be affected. So it is not that stress or pressure is going to break you but it how you take it. What you make of it and how you take it that really matters that is what I would like to convey to you.

Chirag : Thank you.

Moderator : Thank you. The next question is from the line of Alisha from Envision Capital. Please go ahead.

Alisha : I was just trying to understand that if I compare this quarter versus last quarter, which is Q1 there is a dip in the LATAM revenue, it was about INR 350 Crores in Q1, which has now become INR 335 Crores just wanted to understand what caused this dip are we seeing any slowdown pressures, any logistical issue causing this delay anything?

C.C. Paarthipan: There is not a major issue, but again you must have seen in the newspapers the incumbent President and the new President there are some issues in Guatemala that has come to a grinding halt for about 10 or 12 days of maximum 15 days but again, people have to buy medicine, they would prefer to buy medicines only when the medicines are next to them and the warehouse. With the result now that 15 days of work loss actually has not caused major issue and in fact now we have done more business than before, slight dip in the receivables that also is not in the form of actually 50-60% reduction it is in the form of 10 to 15% which will happen actually in the next month and coming to what you said in the form of Q1 versus Q2 I would request the CFO to clear the air.

D. Muralidharan : The reason is already answered by our Chairman and there is a concern it is very marginal this

thing and that will be more than made up in the current quarter.

Vivek Partheeban : Alisha just one point I would make in pharmaceuticals especially when you are doing business with multiple geographies and stuff I think comparing quarter -on-quarter is a bit of a misnomer.

Year-on-year is much more in fact if you ask us internally we look at ourselves on the three to five-year basis so quarter -on-quarter there will be minor dips or increases here and there but I think like CFO that much more or a rounding rather than anything else .

Caplin Point Laboratories

November 09, 2023

Page 17 of 18

Alisha : No Sir I absolutely agree with you that it should be Y -O-Y and it should be on a more medium term basis. It is just that all the newer initiatives that we have been talking about the same kind of stage and hence I thought of clarifying it. My next question is just being it right to understand that the next step up in the LATAM business will now only come once some of the capex that we have been speaking about will come on stream which will be towards the end of the year, early next year?

Vivek Partheeban : So obviously with many of the initiatives that we are taking up right now there will be a gestation period right, but there are two ways in which we are tackling that. Number one is if you look at the oncology space we are not exactly waiting for our facilities to get ready at that start registration then. We have actually started registering many of our products several quarters ago, which is why over the last almost six months or more you can see that there are several oncology products that they are supplying to emergency tenders were actually supplying to private markets also in one or two markets and so we are not denying ourselves an opportunity to fill that gap over there as and when our facilities come through this is going to enhance the business , this is going to enhance the supply chain . Number two is we have a breakup of course not everyth

ing can be put down and

opened up the public as many of this is confidential information, but we have actually been able to grow quite well with the existing markets with the existing products but little bit of tweaks to our offerings such as pharmaceutical soft gels , pre-filled syringes and everything. So it is not that all of the growth will depend only on the new capex coming in that will be augmenting our growth rather than depending entirely on it.

Alisha : Got it and just one last bookkeeping question. There is a spike in our other expenses and it is quite sharp sequentially what would this be with respect to?

D. Muralidharan : Are you referring to the current quarter versus sequential or the H1 itself Madam ?

Alisha : No, Q2 of this year versus Q1 INR 73 Crores versus INR 55 Crores .

D. Muralidharan : As we have said we have filled with more than three ANDAs as compared to the last quarter that each ANDA costs about INR 2 Crores and the R&D expenses have also gone up , these are the primary reasons for increasing expenses .

Alisha : Got it. Thank you so much and all the best.

Moderator: Thank you. As there are no further queries from the participants I now hand the conference over to Mr. Vivek for the closing remarks .

Vivek Partheeban: Thank you everyone for joining and then taking time off and understanding our company and your wishes mean a lot to us. Once again thank you all and have a very Happy Diwali and we will be in touch with you. Thank you.

C. C. Paarthipan: Thank you all and wish you all a very Happy Diwali.

Caplin Point Laboratories

November 09, 2023

Page 18 of 18

Moderator: Thank you. On behalf of Batlivala and Karani Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Feb 2024

Page 1 of 16

"Caplin Point Laboratories Limited
Q3 FY2024 Earnings Conference Call "

February 09, 2024

MANAGEMENT : MR. C. C. PAARTHIPAN – CHAIRMAN – CAPLIN
POINT LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALI DHARAN – CHIEF FINANCIAL
OFFICER – CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT
LABORATORIES LIMITED

ANALYST : MR. KAPIL YADAV – DOLAT CAPITAL

Caplin Point Laboratories Limited
February 09, 2024

Page 2 of 16 Moderator : Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Limited Q3 FY2024 Earnings Conference Call hosted by Dolat Capital . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kapil Yadav from Dolat Capital . Thank you and over to you Sir!
Kapil Yadav : Thank you. Good afternoon everyone. On behalf of Dolat Capital, we welcome you all to the Q3 FY2024 conference call of Caplin Point Laboratories Limited . I take this opportunity to welcome the management of Caplin Point Labs represented by Mr. C. C. Paarthipan who is Chairman of the company and Mr. Vivek Partheeban who is the COO of the company and also we have today with us Dr. Sridhar Ganesan , Managing Director , Mr. D. Murali dharan , CFO and Mr. Sathya Narayanan , Deputy CFO and now I would like to hand the conference over to Caplin Point management to take the proceeding forward . Over to you Sir!

Vivek Partheeban : Thank you Kapil and Dolat Capital. Hello and good evening to everyone. Welcome to our earnings call to discuss the results of the Q3 and nine months for FY2024. Please note that a copy of all our disclosures is available on the investor section of our website and as well as the stock exchanges and do note that anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces . The conference call is being recorded and the transcript along with the audio of the same would be made available on the company's website as well as on the exchanges . Also do note that the audio of this conference call are copyright material of Caplin and cannot be copied, rebroadcasted or attributed in the press or media without specific written consent of the company . I would like to now hand over the floor to our Chairman for his opening remarks .

C. C. Paarthipan: Thank you. Good evening ladies and gentlemen . Welcome to our investor call. As you are aware that Caplin discovered new pathways in the road less traveled. We also learned that if you are unwilling to risk the unusual , we have to settle for the ordinary . The smaller geographies that are considered insignificant by the major companies have become the center of gravity for our core business. The current cash flows and profits are mainly from the smaller markets of Central America in addition to U.S. now. We are entering into bigger geographies such as U .S., Mexico, Chile and others. The U .S. story will be narrated by the COO and I will talk now on Mexico.

Caplin Point Laboratories Limited

February 09, 2024

Page 3 of 16 Mexico is the second largest market in Latin America and Mexico's advantage is its geographical proximity and cultural compatibility to both South and North America . We have already filed 24 products in Mexico and received the registration of five in the recent

past. We are sure of increasing our filing to at least 60 to 70 before the end of 2024 . We have already started outsourcing dossiers from some reputed companies from China. We are also aware that we have been exporting quality products directly from China to Latin America especially to the smaller markets . Now we are moving to the next level of business in the form of outsourcing from Chinese companies for the regulated market . Here we are using our advantages and experience of catering to the markets such as U.S. which helps us to associate with bigger companies in China for our second innings in the larger markets of Latin America . We also understand that there are some big companies in India which import Insulin and other biological products from China in bulk and do the fill and finish before they export to the regulated markets after conducting the necessary clinical trials . We do have plans to identify some good companies to do the same as we also have the necessary wherewithal with us in the form of CRO which has been approved by USFDA where we can conduct the clinical trials before we market the products . This will be an asset light model where we do not have to invest huge money to manufacture the biological products from the scratch . We are also getting into business of manufacturing double chamber PFS for the Central American markets shortly . The machinery will be installed either in March or April and the registration may take six to nine months before we hit the market . Here the volume of business may not be high , but the profitability will be very good as there is only one competitor, that too is a multinational company . We will also be starting one more warehouse in Guatemala border which is closer to Mexico and many of our customers feel that it is very difficult and expensive for them to come to the capital of Guatemala. This will also increase our profitability and cash flow in the coming years . You are aware that we had a stall in CPHI Barcelona and the response is really good . Hence, we are planning to go for more and more of these types of stalls in various expos to reach to the B2B customers too. The COO will also brief you about the participation of the expos in USA to understand the uninsured and underinsured customers of the US market . We will continue to focus on the bottom of the pyramid and also the bottom of the business pyramid where the traffic for competition is always lesser.

Now let me share a few words about the status of our facilities . We have completed phase two in our CSL and the commercial production of line five started in mid-October of 2023 . That is one of the reasons of nine months' sales of CSL is 40% higher than the previous year. We also have done some work in phase three where we still not decided anything in terms of starting something and we are verifying the technical feasibility and commercial viability of fill and finish of biological products which includes Insulin. Caplin One is our Onco facility where we are all set for the Indian inspection on the 12th and 13th of this month for the tablets and capsules . We also have Onco products under registration in Latin America .

Caplin Point Laboratories Limited

February 09, 2024

Page 4 of 16 American markets where we are very confident of doing business in the initial stage itself unlike Caplin Steriles . Our injectable and API for Onco facilities will also be completed in nine to 10 months from now. We are sure of doing profitable business in future after the completion of our injectable division and the registration. It is also true that we have been delaying the general API facility in Vizag as we are looking for some niche products other than our own injectable API for captive consumption . Finally , we have appointed an API expert who has filed 10 DM F for some niche products and he has joined with his team recently . We will now focus

on the completion of Vizag API at the earliest .

Now let me come to the important area of my focus for the last two to two and a half year of managing the CSL Facility to make it very unique . My stay in the factory initially and the subsequent stay closer to the factory made me to understand the importance of perfection for integrity , quality and safety in addition to improvements in productivity . I personally went to the shop floor areas many times in the day and night to find out some disobedient minds whom I removed later . I went to start this factory next to my village only to help the poor not to become a poor . I also learnt that bottom up approach which helps the company to reduce the deviations and OAS which are very important for any pharmaceutical company and needless to say it is pertinent to a USFDA facility . Further we have also digitized many areas except the three important areas such as logbook , BMR and BPR . Our e-log book will be completed by May or June. The remaining two BMR and BPR

will also be digitized before the end of 2024 . In addition to this , we have also installed cameras and biometric access control to monitor and review the activities of people in various areas while ensuring the empathetic right to our employees , we also felt that the review, monitor and control are mandatory for ensuring integrity, quality, safety and productivity . The last but not least is that we are constructing a free hospital mainly for cancer and cardiac care and also prevention and rehabilitation of patients with stroke for which there is no hospital in the entire district . Finally , today's business is all about chance encounters and how to translate into choice architecture . Our choice and choice architecture will make us to reach our dream destination in the years to come . Thank you very much.

Now I will hand over the phone to Vivek.

Vivek Partheeban: Thank you Chairman. I would like to give a little update on the Caplin Steriles business which is much more focused towards the US. We had another encouraging quarter for Caplin Steriles as you would have seen we have matched the previous year's full year sales within the first three quarters of this year and with the rate at which the current quarter is heading in we feel comfortable that we should finish in a fairly strong position for this year . In addition to expansion of capacities we have also managed to put those capacities to use quickly which is important we feel because we were running on two commercial lines and then we were getting quite a lot of approvals which needed a third line as well to ease the pressure from the first two lines and we have been able to successfully manage that in the Caplin Point Laboratories Limited

February 09, 2024

Page 5 of 16 last quarter and continues on in this quarter also . More importantly we have not lost track of our filings which is important for our future growth potential . We are happy to inform you that we have around 14 products that are under active review with FDA and we expect most of these to be approved within the next 12 months . Some of these are ophthalmic products which we have a line that is largely underutilized at the facility so we will be aiming at launching these products as close to the approval date as possible . The rest of the products and the review are under active development and are a healthy combination of injectables and vials, ready to use injectable bags, injectable suspensions, emulsions and also ophthalmic . We will also shortly be working on a pipeline of prefill syringe products as well so you can imagine that we are trying to cover a broad spectrum of products that are used in hospital and clinical settings . This will certainly be augmented when some of our Oncology injectables start to feature in the coming years onwards . We are also pleased to inform you that

our front end in the US , CSL USA Inc , is making good progress on the state licensing activities front . In the next eight months , we will have licenses to distribute our products on our own label in all 50 states in the US . We hope to launch around six to seven products in the initial period within the first year itself and as Chairman was saying we are going to be attending more and more expos in the US trying to identify the underinsured and uninsured population which we believe is anywhere between 30 % to 35% at this point and these pretty much belong to the tier two and tier three cities and also tier two and tier three buyers of the US which is what our focus has always been on including in Latin America . This also will not have any impact on our current business partnerships in the US which is more of a B2B model because our partners are much larger in size and they are much more focused towards the GPO related business. We have also filed several products in Mexico, Canada, South Africa, Australia, etc., and we can start to see some non US based revenue within the coming 18 months so overall we are making good progress on the US side and with prices stabilizing and also injectable shortages continuing , we feel that our razor sharp focus on digitalization and quality and supply continuity at Caplin Steriles will certainly augment the company's progress in the years going forward . I would like to request our CFO to throw a little light on the numbers before we can open up the floor for questions .

D. Murali dharan: Thank you Mr. Vivek. Good evening to all of you who have joined us in the call. I welcome you all once again . This is Murali dharan CFO. One more quarter with the gratifying result.

The nine months have been pretty good as we have already reached FY2022 sales in the nine months of FY2024. CSL our subsidiary has also reached the entire FY2023 results in nine months of FY2024 which is a commendable achievement and also as you have been talking about sustenance of contribution margins and the PAT levels, we are way above what we have promised to the market . We said we will be around 55% average . We are at 57.1% for the nine months and we hope that we will be able to maintain around 55% to 56% for the coming quarters as well and as far as the PAT is concerned, we are 26.4% as

Caplin Point Laboratories Limited

February 09, 2024

Page 6 of 16 against the 25% what we said we would be able to sustain . Even the one off quarters will

have higher margins and higher profitability and what is heartening here is the sales have grown by 15% which is about Rs.163 Crores in terms of number but the profits before tax has grown by Rs.90 Crores meaning that Rs.117 Crores increase in contribution 75% of which has directly flown into PBT since we have been very discreet in handling our expenses. A bout couple of years back when we took over the channel partners and then brought them into fold, there was some concern about the expenses going up and what not, it is all bearing fruits now and everybody is contributing and then we have been able to contain the expenses at manageable levels and that has shown in the flow of 75% in increasing contribution margin to the PBT directly and as far as the other numbers are concerned which is there already with you for a while now and I would not take much of your time and if there are any questions to be asked we will be more than glad to take those . Thank you Mr. Vivek .

Vivek Partheeban: Thank you . Thank you Sir. We can now open up the floor for questions please.

Moderator : Thank you very much. We will now begin with the question and answer session. We have our first question from the line of Rohit Singh from Nvest Analysis advisory LLP . Please go ahead Sir.

Rohit Singh: Good evening Sir. Congrats for a good set of numbers. My question is do you see any kind of near to medium term

risk either due to Red Sea crisis or any other specific reason to maintain our growth trajectory going ahead because like you mentioned in your presentation as well due to Red Sea crisis we have been shifted to CIF model from FOB model so can you please put some color on that what is the situation right now and how it is going to be in upcoming quarters ?

C. C. Paarthipan : Okay. Red Sea issues will not have any major impact to us , the reason being we have our stocks next to the customer . If you look at our stocks actually we always keep our stocks sufficient stocks next to the customer in our warehouses . We also have stocks in transit . In addition to that as we also actually some of our consignments or most of our consignments are not routed through the Red Sea nowadays. There is one issue in the Red Sea which is there is a slight delay of seven to ten days' delay is there and also slight increase in what do you call know freight. These two things can be handled very effectively by way of increasing the prices so the product that already reached to the warehouse , we are now in a position to increase the price because of this issue so it is going to actually help us in terms of profit in future. So far, we do not have any major issues and on top of it , I would like to tell you one thing which is very important in the form of liquid assets of the company . Today we have liquid assets to the tune of Rs.1,550 Crores whereas our total revenue is Caplin Point Laboratories Limited
February 09, 2024

Page 7 of 16 only Rs.1,290 Crores. I am sure this will clearly show you that we have a very healthy balance sheet, thank you. Thank you very much.

Rohit Singh: That seems good and Sir like you mentioned about the biologics importing into India and then doing some clinical trials so can you put some more color like what kind of opportunity do you see here or whether it will be done via Caplin Steriles or we are looking for a new facility their own ?

C. C. Paarthipan : This of course we can either do it there or as a new facility depending upon the viability . What I have found in fact I have checked with some consultants and I also met couple of people who have been doing this business by way of importing from China from good companies and then what they do is as I told you in course of my speech . They do the fill and finish and then do the clinical trials depending upon the country . If you want to launch in India, then you have to do clinical trials on Indian people for which our CRO will be very useful . If you have to launch in other countries, then of course you will have to do clinical trials in that particular country before we launch the products but not many companies of our size will be in a position to think of getting into this business . The reason being A) we have exposure to China market which you are aware that we have been doing business for the last 15 to 16 years . B) you are also aware that our cash flow is very comfortable to import and then do the clinical trials and export also to any country wherever there is an opportunity .

Moderator : We will take the next question from line of Satyam Sharma from Narnolia Financial Services Limited . Please go ahead .

Satyam Sharma: Good evening Sir. Sir I have one question like in presentation you have mentioned that you are converting from FOB to CIF is that will be like margin dilutive or what is the issue with this ?

C. C. Paarthipan : Now I will request my CFO to give you the reply to it .

D. Murali dharan: It is only to address , actually there will not be any impact on the margin assets . There are two things we are trying to achieve by way of converting them into CIF from FOB. One being a corporate group we are able to optimize the freight cost and as we are able to pool

the goods and our container formatting will happen faster than earlier right and then availability of shi

p also will be faster and then we will be able to reach the goods earlier to the port . As we have mentioned in the past , we have a warehouse in Guatemala . The other countries can be serviced from there. Once the goods reach to Guatemala some of the countries it goes by road. One country it will go by ship . The El Salvador and for other countries it can go by maximum of two to three days . When we are able to pool the goods
Caplin Point Laboratories Limited
February 09, 2024

Page 8 of 16 for Guatemala, we are able to get earlier consignment, earlier ships availability and then also freight advantage . This is the reason .

Satyam Sharma: Yes, Sir but I think like it will be more efficient but on margin side other expense will increase or it will be like stagnant?

D. Murali dharan : There is nothing to worry about on the margin side because the freight we were incurring earlier we will be incurring slightly lesser only .

C. C. Paarthipan : I would like to add one more thing except two countries most of the countries are connected by road . Guatemala to Honduras, Guatemala to El Salvador , Guatemala to Nicaragua, Guatemala to Panama , Guatemala to all these countries they are all connected by road except Dominican Republic and Ecuador as you rightly said .

Satyam Sharma: Okay Sir. Thank you Sir and as you have told earlier that we will have Rs.300 Crores revenue from Caplin Steriles so we will be able to achieve in FY2024 Rs.300 Crores?

C. C. Paarthipan : See now we are all set actually in the form of achieving something either it is closer to that one or maybe. The only issue sometime there are supply chain problems which you are also aware. Today we have orders . We have enough capacity to manufacture . To be very honest with you there is one API which we are expecting now . We may get it . 99% we get it . If we get it yes, we will be able to achieve something closer to what we have committed or exactly what we have committed . If that is not available because you know very well especially for the US market is not like other countries where you can use API which has been mentioned in the dossier . We are not allowed and even if you want to change the API that takes its own sweet time, so this is the only issue which we have now. Everything depends upon maybe a week to 10 days' time when we will come to know . I would ask actually the COO also to say a few words on that .

Satyam Sharma: Q3 numbers for Caplin Steriles

Vivek Partheeban: We are at about Rs. 210 Crores . We have in fact completed whatever target that we set to achieve for ourselves . In fact, we are confident that Q4 also will be able to achieve but like Chairman said there is one particular raw material that we are expecting but so far so good . We do not want to project a negative picture or anything like that but even if not, we will go very close to that Rs.300 Crores number.

Satyam Sharma: Okay Sir. Thank you so much Sir and congrats on the good set of numbers. Thank you.

Moderator : Thank you. We have our next question from line of Ca Garvit Goyal from Nvest Analysis advisory LLP . Please go ahead .

Caplin Point Laboratories Limited
February 09, 2024

Page 9 of 16 Ca Garvit Goyal: Good evening Sir. My question is on the delays happening on our capex plans particularly on the general API and Oncology API and the OSD facility so is there any specific reason like in this particular quarter, we have changed our presentation and I think there is a delay of two quarters as compared to the last presentation so can you please put some color on the on the delays happening on this ground ?

C. C. Paarthipan : Yes, I would like to tell you . As I told you in course of my speech when General API we wanted to complete it for the captive consumption . Later we have found out that there is an opportunity for us to add some more and that too we were looking for

a niche product

which of course we have found a person as I told you before so now that it will be speeded up and it is true it was delayed that is the reason I mentioned in course of my speech also . Coming to Onco we thought of doing it in the existing facility and we have been told by our head of project that we could do it there but later we felt it will not be that viable in the sense this is a product API you need more land . When you expand at a later date we will not be in a position to accommodate the API there so now what we have done is we have bought land in the form of 18.5 acres in an industrial estate at Thervoy Kandigai that is why we have decided to start it and we are going to start it now and we will be able to complete it in the next nine to ten months' time from now .

Ca Garvit Goyal: So, we are completely shifting our Oncology plan that what you are saying ?

C. C. Paarthipan : No we are not shifting the Oncology . We have never started. We are starting our Oncology

tablet capsules as I told you . The commercials will start before March and injectables will take eight to nine months. The machineries are on the way . We will install the machinery and do the registration .

Vivek Partheeban: I will just explain what Chairman was saying . So as Chairman was saying when it comes to the Oncology plant the initial aim was to have it as close as possible to the formulation plant the initial formulation plant as well but now what we decided because as we expand into oral solid dosages also into Oncology this might require an expansion of capacity so we have decided to put this project into Thervoy Kandigai industrial estate where we are going to start our OSD plant also , so in the next nine to ten months we will see most of the progress being completed in that .

Ca Garvit Goyal: So that is what I was saying like is it the same place or the same land where we are expending on or the place has been changed that is what I was ?

Vivek Partheeban: No it is a different place . The one that we have already completed the OSD the oral solid Onco facility and also where the injectable one is going to come from . That is called

Caplin Point Laboratories Limited

February 09, 2024

Page 10 of 16 Kakkalur and this is a different place to the one that we are going to start our Onco API one. That is called Thervoy Kandigai .

C. C. Paarhipan : To be very precise the head of the projects was interested in doing it in the form of a pilot plant in the existing facility where we are starting our tablet, capsule and injection , but later we felt the pilot plant may not be enough and we expand our operations to various countries . That is why we stopped that facility that is Kakkalur . Now we are moving to Thervoy Kandigai Industrial Estate.

Ca Garvit Goyal: Understood Sir and Sir I think I was not able to hear you properly ? You mentioned about the reason for shifting from FOB to CIF so can you please give some highlight on that ?

C. C. Paarhipan : That I would request my CFO to give you this one.

D. Murali dharan: What I said was that FOB to CIF is for two reasons . One as there has been some disruption in the logistics and supply chain , the voyage time also has been going up as compared to the previous time . We thought it will make a prudent idea to put all the consignments and then ship it to Guatemala on CIF basis so that they reach them and then get s redistributed by road. As our Chairman was saying it is about two days to three days' transit time from Guatemala to these countries by road. Only two markets which are Dominican Republic and Ecuador are taking longer time from Guatemala . We will address that so will achieve two things. One optimization of price and also making sure that the goods leave faster . As Chairman has been mentioning very often our strength has been that having the inventory closer to the customer . Even today when

we say that we are not disturbed or affected in the near future because of this Red Sea issue is that we have enough goods available in our own warehouses in the market such that the sales would not suffer .

Ca Garvit Goyal: So you are saying via this route we will be able to take the products faster as compared to the sea that is what I was saying ?

D. Murali dharan: The route does not change. There are two things . If I were to make for a container only for one market it takes a longer time and availability of ships are that much limited . When I am pooling all the goods and sending it to one particular warehouse it will be able . I will be able to form containers faster than earlier and the immediate available ship I can ship out the goods . I am not changing the route. That is not possible.

Vivek Partheeban : I will just add two points here. See note that around 30 % to 32% of our containers go from China which actually takes a different route and even from India the one which used to take the Red Sea route now the transit time is increased by about 10 days as Chairman said because they avoid that route and they go across the Horn of Africa so that is also reason.

Caplin Point Laboratories Limited

February 09, 2024

Page 11 of 16 The consignment is not at risk, but it is delayed by about 10 days so rather than shipping it to each and every country we pool it and then ship it to one country and move it by road from there . That is basically what we are trying to achieve .

Ca Garvit Goyal: Understood Sir. That makes sense. Thank you Sir. That is it from my side. All the best for the future.

Moderator : Thank you. We have the next question from line of Alisha Mahawla from Envision Capital . Please go ahead .

Alisha Mahawla: Sir I wanted to understand the LATAM business . The growth has moderated to a very large extent versus what we used to do earlier which was 20% plus . Now we are doing low double digit . At the start of the year we had said there were multiple initiatives new products that were starting soft gel . There was some four million Onco product that was supposed to start from H2 but we are not seeing any significant pickups so just wanted to

understand are there any other challenges or what is happening in a LATAM core geography right now .

C. C. Paarthipan : Let me answer to these questions this way because we have been telling to our investors .

Ours is a company which is driven by the profits and cash flow . We are not very keen to increase the top line. You know very well top line is vanity. Bottom line is sanity. Cash in the bank is king. If you want to increase the business we could have increased and what has been happening is in the form of like strengthening the bottom line that is the reason I mentioned to another investor that our liquid assets is in the form of Rs.1,550 Crores which is much more than the revenue of nine months so when such is the case I am sorry to differ with you that we have saturated in Central America and Latin America but again definitely we will do well once we enter into the bigger geographies of South America like Mexico, Brazil, Chile, Colombia and all but these countries as you know well it takes time to complete the registrations and then these are countries where you will not be in a position to do big business with 10 to 12 products . We have to have different buckets in one big basket which is going to happen say one year or two years from now . That is the time we will do again extraordinarily good business the way you ask but to my knowledge I also feel sincerely that our bottom line and cash flow is very comfortable .

Alisha Mahawla: Understood Sir and while I do understand that we have always been most careful of the profitability of the business that we do just wanted to understand where the next leg of growth will come from which you have explained will be once we enter the new

er

geographies for which the work is ongoing . My second question is on the gross margins which sequentially have declined . We did about 60% in Q2 which has come down to 56 %.

Could the CFO please explain this .

Caplin Point Laboratories Limited

February 09, 2024

Page 12 of 16 D. Murali dharan : I will just answer your first question . Then come to the second question . Actually , the growth has been about close to 11% of the conventional business. You have to have the two factors in account. One on the base effect okay so on the larger volume we are growing at 11%. On the lower volume we were growing at about 17 % to 18% in the past right that is one thing. Secondly on the gross margins, if you have attended our concall last quarter we have already addressed that. We have been only promising around 55% as the sustainable gross margins. Last quarter was a boon so 60% we could get because of some good orders on some institutional business on Oncology area and the 60% was realized and we said we cannot expect that to be repeated going forward so that is the reason why we said and then if you see nine months we are at 57% and 55 % is what we promised. 56% is what we have achieved. As far as the PAT is concerned we have promised 25%. We have achieved more than that .

C. C. Paarthipan : Let me also add some more points actually to your question because since you mentioned what the path is forward . See the status as of now to five years from now I would put it this way. See like one year, two years, three years, four years and five years is the period where we sincerely feel that will be in a very comfortable position in the form of sustainability and scalability . The reason is we have asset light model and we also have the asset right in the form of vertically integrated company where we will be manufacturing intermediates , API, and formulations of all sorts of formulations starting from OSD, OSD Onco. Then we will have liquid oral suspension, ointments and all that is including various kinds of injectables . Then we are also moving from smaller geographies to larger geographies of markets which mean the volume of business is always high. For example , the population of all these countries put together in Central America is 10 % to 20% of Mexico which means Mexican market is 10 times higher than what we are doing currently there . You know very well the things cannot happen overnight . It takes over time so which means that is the reason I am telling so let me also tell you in the next two to three years we will have all the facilities and then second maximum registrations will be completed in majority of the countries in the next three to five years and then the facilities will not be manual . It will be digitalized, and it will also be integrated with CCTV cameras and other things so that it becomes easy for us to review, monitor and control everything . In addition to this one as I told you we will also think of going for an asset light model for products which are biological which is bio similar or what do you call Insulin. These are things even the big companies initially used to import and test the orders and go for their own manufacturing. Of course , they are all companies which have deep pockets . We also will be in a position to do it after we test the waters by importing of Insulin and other things for which we have the necessary warehouse which I told you in course of my speech and then the surplus cash today. We have around Rs.800 Crores. Even if you spend Rs.300 Crores to Rs.400 Crores to Rs.500 Crores in the next two years we will have Rs. 1,000 Crores. That is the time you will think of acquisition of brands , acquisition of companies for domestic business and in addition to that we always

Page 13 of 16 look for something unique in the form of acquisition of dis

tribution companies which will

make us understand where we will have to sell our generics because generic is a business there is nothing in the form of marketing. Generic business is based on supply and demand. You only need to understand how many products we have, what is the cost at which we will be able to supply and the quality wise once it is approved by USFDA everybody thinks quality will not be an issue. It is true also. So what is important is the distribution channels and the places where this can be reached by avoiding the intermediaries. Then coming back to one more thing in the form of LATAM, I am sure in five to six years from now we will be the number one company. In all humility I can claim that we can do it. The reason being in the smaller geographies where all these six countries put together the population is less than Tamil Nadu. We are doing close to Rs. 1,000 Crores. Once we get into the bigger geographies as I told you in the years to come, we will be the best of the best business and we are sure of becoming number one also in these countries. These are the few things I would like to convey to prove that we are a force to reckon with in the years to come.

Alisha Mahawla: Thank you so much for the detailed answer and I absolutely agree with you that I also believe that Caplin will be the number one company.

Moderator: Thank you. We have our next question from line of Sachin Kasera from SVAN Investments. Please go ahead.

Sachin Kasera: Good afternoon Sir and congrats on good set of numbers. I had couple of questions on Caplin Steriles, so what would be the current capacity utilization at Caplin Steriles?

Vivek Partheeban: With the addition of this new line, we are in a good shape right now. See the thing is we do not do much CMO business at all. In fact, what we had signed in 2017 and 2018 PBS we do a little bit of CMO but the rest of the capacity I would say more than 70% to 80% of our usable capacity we are actually using for our own. Now with line five that has come into place we actually have expanded the capacity by more than double so we are actually good till about I would say next four to five years at least. We do not need any further expansion but of course we will have to see as and when the business comes in and then if at a certain point we feel that there are some good opportunities that can really strengthen the bottom line and top line as well when it comes to CMO we might look at further expansion which is why we have a phase three where we have completed the shell and we have left it or basically we have slowed down a little bit just to understand how well we will be able to utilize the existing capacities before we can move there.

Sachin Kasera: And once this line six is completed what is the peak revenue, we can do in Caplin Steriles. Can we do like \$120 to \$150 million in next three to four years?

Caplin Point Laboratories Limited
February 09, 2024

Page 14 of 16 Vivek Partheeban: See we never get into numbers on these right so obviously especially in the formulation facility where we are a multiproduct unit it is very difficult to predict what a peak capacity is going to be and obviously as you know the US is a very dynamic space right so what is at ten today is at fifteen tomorrow or seven the next day so we do not want to restrict ourselves to a certain number or something like that. What we feel is that with the pipeline that we have in terms of R&D and with the pipeline that we have in terms of what is on the review by FDA we are fairly well covered till about 2027 to 2028 at least but peak revenue we have given out in public domain. We feel fairly confident that we can get to that number within that period or probably one year after that.

C. C. Paarhipan: I would like to add one more thing here. Since we are planning to go for our own front end, we will follow the policy of pick and choose not necessarily we will have to manufacture all

We will go for products where the profitability is good. That is how we will choose also once we establish our front end presence in US which is in the initial stages and which is in the nascent stage now.

Sachin Kasera: Sure and Sir you mentioned that this year we could be closer to 300 somewhere there any sense you could give us how is the next year looking like for Caplin Steriles and I believe we have some private equity investors there. Now that has become very profitable, Are we looking to buy them out or we going to go for IPO if you could give us some sense on Caplin Steriles?

C. C. Paarhipan: It is too early to take a decision on that. They are comfortable and we are comfortable. We are only focusing on business now. We are not thinking of who will buy whom or how to go for a public issue please.

Sachin Kasera: Sure, and can you give us some sense on next year how is it looking for Caplin Steriles?

C. C. Paarthipan : As the COO said it is a very dynamic business especially the U.S. one. As he said what is important is to increase the buckets various buckets in the form of liquid injectables and then now we have we started getting approvals for ophthalmic products . We will be getting some more products in the form of bags and then we also will go for actually our Onco injectables at a later date so all these buckets will form one basket . That time what will happen the situation will totally change . The US market is for companies who can give a variety and novelty to the customer and now it is changing . Some of the big guys in fact they approached us, and Vivek will be able to tell us about this. What are the three companies which has approached us and he has already tied with them .

Vivek Partheeban: So, see of course we are very confident that next year is going to be quite a reasonable growth as well right, but we do not want to put a number to it or we do not want to put a

Caplin Point Laboratories Limited

February 09, 2024

Page 15 of 16 percentage to it . We know that we have a very decent pipeline of which multiple products will start to get approved over the next few quarters . Of course , some of that is not in our hands . What we expect to receive, let us say in April might end up getting approved in June or something like that so which is why we do not want to give out a certain number or anything like that . We are very confident about where the company is going and then another one year hence , I think we will have a very decent basket of products . Now like with all of these approvals coming through we are starting to get more and more visible in the US which is why I think it is at very good time for us to launch our own label in the US and one of the three largest distributors in the US has already tied up with us on about five products now and we are in active discussions to create a private label for them for another four to five products also so it is again in the nascent stages and we see that there is a certain level of disruption that is happening in the US also with certain companies and then making deals directly with manufacturers and stuff so we think that there is going to be more opportunities in that direction and we do not want to confine ourselves to the GPO space or the CMO space or anything like that . We want to be open to all ideas and so far so good we will be patiently cautious about what we want to do in the US .

Moderator : Thank you. The next question is from line of Shrinjana Mittal from RatnaTraya Capital .

Please go ahead .

Shrinjana Mittal: Thank you for the opportunity . Just a small book keeping question from my side. So, can you help me with the EBITDA number for the Caplin Steriles business for this quarter ?

Vivek Partheeban : I request CFO Sathya , did you hear the question .

Sathya Naraya

nan: Good evening . This is Sathya Narayanan here. See the EBITDA for Caplin Steriles for the quarter ended December 31, 2023 is Rs. 11.7 Crores.

Shrinjana Mittal: Right and just a small followup to that so if we exclude the Sterile s business and if we see the business for Sterile s so EBITDA margin for the nine month is somewhere around 36 % to 37% so is it fair to assume that our core business like extra Sterile s margins are going back to the pre COVID range like before 2023 35%?

Vivek Partheeban : As our CFO has explained I think it will be difficult to look at the company on a quarter to quarter basis so the base number that we are comfortable giving out is that our gross margins are always between 55 % to 57% and our EBITDA and PAT and everything have been very similar 35 % to 36% and then PAT has always been hovering around the 25% . We are today a global company right in whatever small size we are still; we are still a global company . I do not think you can net off this and net off that because that might not present the right picture . Are we growing in the right direction and are all levers of growth

Caplin Point Laboratories Limited

February 09, 2024

Page 16 of 16 firing up in the right areas ? That is what we have to look at , so we are consolidating our positions in all the areas where we are operating in .

C. C. Paarthipan: One more thing I would like to say here about this Caplin Sterile s see our profitability is actually fluctuating because of the fact of the filing s. The filing fees today is \$240,000 per product . We are in the process of increasing our filing . We are also increasing our R&D. Most of the companies of our size do only CMO. They are not actually companies who are going for their own products . We are not the CMO . We are companies which are similar to medium and big companies. Maybe we do not have that kind of reach now but we are sure of reaching to that level maybe two to three years from now.

Shrinjana Mittal: Yes, okay . Thank you for taking my question,

Moderator : Thank you. That was the last question. I would now like to hand the conference over to Mr. Kapil Yadav for closing comments.

Kapil Yadav: Thank you everyone. Thank you all the participants. Thank you management for taking out time for this Q3 earnings call and we have answered all the questions . Thanks for that Sir.

Thank you very much.

Moderator : Thank you. On behalf of Dolat Capital that concludes this conference. Thank you for joining us and y ou may now disconnect your lines .

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: May 2024

Page 1 of 17

"Caplin Point Laboratories Limited
Q4 and FY2024 Earnings Conference Call "
May 16, 2024

MANAGEMENT : MR. C. C. PAARTHIPAN – CHAIRMAN - CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING OFFICER -
CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR - CAPLIN
POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER -
CAPLIN POINT LABORATORIES LIMITED
MR. M SATHYA NARAYANAN – DEPUTY CHIEF FINANCIAL
OFFICER - CAPLIN POINT LABORATORIES LIMITED
ANALYST : MR. TUSHAR MANUDHANE – MOTILAL OSWAL FINANCIAL
SERVICES

Caplin Point Laboratories Limited
May 16, 2024

Page 2 of 17

Moderator : Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Q4 FY24 Earnings Conference Call.

As a reminder, all participants line will be in the listen only -mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal and operator by pressing “*,” then “0” on your touch tone phone. Please note that this conference is being recorded .

I now have the conference over to Mr. Tushar Manudhane from Motilal Oswal. Thank you. And over to you , sir.

Tushar Manudhane: Thanks, Manuja . Good evening, everyone. On behalf of Motilal Oswal Financial Services, we welcome you all to the Q4 FY '24 conference call of Caplin Point Laboratories Limited.

I take this opportunity to welcome the management of Caplin Point Laboratories represented by Mr. C. C. Paarthipan – Chairman of the company ; Mr. Vivek Partheeban – COO of the Company , and we also have with us Dr. Sridhar Ganesan – Managing Director ; Mr. D. Muralidharan – CFO ; and Mr. Sathya Narayanan – Deputy CFO .

I would now like to hand the conference over to Caplin Point management for the opening remarks. Over to you , sir.

Vivek Partheeban : Thank you , Tushar. Hello and good evening to everyone.

Welcome to our Earnings Call to discuss the Results of Q4 and Full Year 2024. Please note that a copy of all our disclosures are available on the Investors section of our website as well as on the stock exchanges . And also, do know that anything said on this call which reflects our outlook for the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The Conference Call is being recorded and the transcript, along with the audio will be made available on the company's website as well as the exchanges. Please do note that the audio is conference call is copyright material of Caplin Point and cannot be copied , rebroadcasted or attributed in press or media without specific written consent of the company .

I would like to now hand over the floor to our Chairman for his opening remarks.

C. C. Paarthipan: Thank you. Good evening, ladies, and gentlemen. Welcome to our earnings call. At the outset, let me present the data of CAPEX and OPEX for the last four years. CAPEX for the last four year stands at Rs. 800 crores . OPEX stands up to Rs. 1,400 crores. Cash and cash

equivalents as on date are Rs. 900 crores. Total it is Rs. 3,100 crores. It is entirely from our internal accruals. Here, I have not even added the dividend paid also.

Let us also look at the market cap. The market cap in 2001 was Rs. 1 crore and in 2006 it was Rs. 10 crores, and in 2024 as of now it is Rs. 10,000 crores.

Caplin Point Laboratories Limited

May 16, 2024

Page 3 of 17

Let me summarize some of the major developments that happened in FY23-24:

You are aware that the top and bottom -line cash flow and liquid assets are significant, which I do not want to repeat. Recently, INVIMA concluded the audit in our CP -1 facility at Pondicherry successfully for soft gel capsules. We will be now in a position to reach our products, especially soft gel in Mexico, Chile, and other major geographies of Latin America. We are also constructing a tablet and capsule section and remodeling the injectable to go for INVIMA inspection in one to two years from now.

We have also completed registration of 85 products in Chile. We are sending one of the managers from Guatemala to Chile in June to open a new warehouse, which will also increase our business for the current year. We received six marketing authorizations from Mexico. We have filed 23 products; another 10 products are getting translated in Spanish for filing shortly. Out of 21 products

filed in Mexico, 12 products are from Chinese companies that are EU and U.S.A approved facility. I will be traveling to China to meet some of the big companies for our future business, which again is the asset-light model for biological products.

Here, I would like to submit some of the statistics of our export of three products in 2006 as well as now: We exported 6 lakh capsules of amoxicillin in 2006 from China to South America, whereas we are currently exporting close to 350 million capsules of the same product, which is an increase of 600 times. We also exported 5 lakhs tablets of paracetamol in 2006, currently we have exported 150 million tablets which again is an increase of 300 x. We also exported ceftriaxone powder injectables of 50,000 vials in 2006, now it is 5 million vials, 100 x increase.

The purpose of telling this one is not to invest in CAPEX, which of course it's not easy to get the return on investment, especially for the product where China is very competitive. These products are sourced from the top companies such as C SPC and Rayon Pharmaceutical. We also test these products in our own facilities in the form of QC in China and once again in Guatemala in Central America to make sure that the product is in line with international standard. If the quality is not good, I am sure we would not have grown in the last 18 years of our presence in Latin America. Again, these Chinese products are primitive products such as penicillin, cephalosporin, paracetamol, and others, which most of the Indian companies import the API. Now, my visit to China is to source value added products such as insulin, biosimilars and peptides which are only manufactured by the deep pocketed corporations of India. We outsourced primitive products in the earlier stages, now we are planning to go for biological products, which we are sure will bring hard value to the company. And we will import these products in bulk and we will do the full finish in India and export it from India to other countries where we are currently operating now.

Some big Indian companies have also followed this methodology initially. Later, they started manufacturing their own biological products from scratch. This will be a great opportunity for our company to increase the cash flow and profits without investing in the facilities that involves huge CAPEX.

Caplin Point Laboratories Limited

May 16, 2024

Page 4 of 17

Let us look at the Caplin Steriles. The sales have increased from Rs. 200 plus crores to Rs. 300 plus crores now. We are also getting into automation, digitalization and outsourcing of our ANDA products from other U.S. FDA facilities which are more of CMOs, and also the front-end presence. And all these details will be presented to you by our COO. We have also completed the tablet and capsule section of our oncology facility called Caplin One Labs. Further, we are commissioning the injectables which is in progress now, and it will be completed say 10 to 12 months from now. Once we complete the injectables, we will plan to go for EU audit and subsequently for the U.S. FDA inspection.

Our API facility in Vizag and Onco API are still work-in-progress. However, we are sure to complete it in 2025. We are also automating and digitalizing our existing facilities, which will be future-ready for machine learning and AI. Further, it is also true that we have some challenges in the form of attracting the right talents like any other company that grows faster, since there is some delay in the completion of our API projects. However, this will not create any impact and it has not created any impact also in our exports in the past and the present and future, too.

Finally, let me quote the following one. Be uncomfortable for a year or two to be comfortable for the rest of the years to come. Thank you. Let me invite the COO to give his presentation

Vivek Partheeban : Thank you, Chairman . So, I would like to brief you a little bit on Caplin Steriles business, which is our regulated market and U.S. focused business.

So, obviously like Chairman said, there has been an increase of over 50% in the top line , and the split up in revenue on a larger base is once again around 75% of product revenue and 25% in milestones and profit share. We feel this is commendable because we do not do any exclusive deals. We do very little CMO as a company. So, if we went around talking to other pure -play CMO companies, this gives us validation that we had to endure a few painful years in the early stages because we invested heavily into R&D and we invested heavily into creating assets of our own . But we are starting to slowly see the dividends being paid out for that. So , if you did a little comparison between our numbers compared to any other CMOs numbers, you would see that we are significantly better off with a much better pipeline in the years to come as well. The revenue is also backed by a good growth in overall output. We went from 16 million vials last financial year to around 27 million vials. And we have also had three ophthalmic product approvals happen in the last few months. We have already launched the first one , and the next two ophthalmic products are going to be launched in the coming quarters. We are also very shortly going to be launching our first ready -to-use bag injectable product in the U.S., which is a very niche area . As of now , we have 21 approved products, 21 approved ANDAs in Caplin 's name , with another 14 ANDAs under review , they are a mix of injections , emulsion , ophthalmic , suspension injectables , again, ready -to-use bags , and also plastic vial products .

Here I would like to repeat what Chairman said in terms of outsourcing . Our company has been built on a solid foundation of asset -lightness for quite some time. So, even in the U.S. and regulated markets, we feel that this is something that can be repeatable. So, we are at the early stages of discussing with other CMOs where we can slowly start to transfer some of our work high
Caplin Point Laboratories Limited
May 16, 2024

Page 5 of 17

volume but low value products so that we can start to focus only on niche molecules for in-house manufacturing. So, this is the right time probably to discuss about our front -end in the U.S.. Because as a company we have always been very focused towards having control from the marketing end of things, which is what our entire Latin America business is, right. So, Caplin Steriles U.S.A Inc . is making very good progress at this point. We have already received 27 state licenses out of 50 , and we feel confident that over the next two to three months we should be in a place substantially licensed close to all the 50 states. We have another pipeline of 35 products that are under active development that we will be filing over the next two to three years. But now we are also starting to focus a little bit more towards developing very niche global dossier kind of molecules which is something along the lines of GLP -1 products which are your anti-obesity , anti-diabetes kind of peptide injectables.

And we are also happy to inform you that our Line 5, which is an expansion that we have done in Phase 2 of our plant is running very successfully . In fact , close to 50% of all the output that we are seeing in recent times is coming from this particular line . We also have a Line 6, which is a prefilled syringe and a cartridge line, and this is the one that is being qualified right now. In the next one month I think all qualifications will be completed. And our new peptide injectable products for global markets will be manufactured out of this line. We are moving towards a higher level of productivity now and we want to make sure that we have the same level of complian

ce and even

higher level of automation at this point . So, from our facility, we are already completely automated on the QC and microbiology side. We have taken on a software partner that will be automating all of our manual logbooks to electronic logbooks in the next few months . That will be the steppingstone for us as we move towards overall automation, including electronic batch manufacturing and packing records .

Once again , coming to the front end . We are trying to do something a little bit different to the tried and tested model of supplying to GPOs and larger wholesalers, etc. We want to evaluate an opportunity to go direct to hospital , direct to clinic, hospital chains , etc. Even though this might take a little bit longer, this might result in slower top line growth , we feel that this is a much more sustainable and more value accretive kind of a method . And whoever that we speak to in terms of the team that we are trying to build up over there, they seem very excited by it because people by and large in general are quite tired of the amount of consolidation that has happened with the fronting with the GP Os, etc.

So, in the early stages, but we feel confident that with a large portfolio that we are building on, we should be quite successful over there . And this is also sort of a repeat in pattern from what we are doing in Lat in America as well. So, that's about what's happening at Caplin Steriles. We remain quite excited with the growth prospects . We are already at , I would say , a mid-sized base, we are no longer very small, but we still expect the coming years to be quite exciting for the company in general.

Now , I would request our CFO to briefly touch upon the financials before we can open up the floor

for questions.

Caplin Point Laboratories Limited

May 16, 2024

Page 6 of 17

D. Muralidharan: Thank you, Mr. Vivek. Good afternoon once again to all the participants who have taken time out to attend this investors' call. This is Muralidharan.

The figures are already available with you on the website and I would say that the revenues have grown by 15.5% and the PAT has grown by 22.4%. How is that we have achieved is on account of two or three reasons. One, the contribution margins have gone up by about 3% and the overall contribution increase to about Rs. 166 crores and Rs. 10 crores there's an increase in other income because interest income has gone up. So, this Rs. 176 crores, we have been very judicious and discrete despite the expansion of the various units, and then investment in U.S.A, investment in new outsource facility and all those things. But still we have been very discrete, and the expenses have gone up to only Rs. 56 crores, meaning that Rs. 122 crores have directly gone into more than two-third of the increase in contribution has flown directly into EBIT DA, that has helped in increasing the PBT as such. All the parameters are very good.

And then the PAT is also at 26.19% whereas we have been consistently saying that we will be hovering between 24.5 % and 25 %, which we have overshot. And then the performance has come about, as Mr. Vivek said, from three areas. One, Steriles has done a very commendable growth, albeit on a lower base, to 51% growth which is about Rs. 108 crores they have grown. And then the new softgel line which we have commissioned in the month of April, has facilitated not only increase in the volume of sales, but also the increase in contribution margins, because these are niche products and most part of our products, we are operating at almost 90 % to 95% of the enhanced capacity as of today. And as Chairman put it, we have also cleared the INVIMA audit for this softgel line, and then opening gates for newer markets and larger regulated market, by which time you will also gear up for enhanced requirement.

And as far as the cash and cash reserves are concerned,

it is about Rs. 910 crores, and the cash

flow from operations is at Rs. 318 crores, which is almost 60% of the PBT. Last year also we had about 60%. The sales are growing, there has been an increase in trade receivables, there has been an increase in inventory. We always believe that inventory closer to the market is our strength and which is being proved time and again, whenever there is a shortage, whenever there is an opportunity, we quickly cash on the opportunity and then the receivables and, though the number of days would have slightly gone up and the quantum would have gone up, resulting in working capital, we are very conscious about what we are doing. And then this will definitely pave way for better growth in the current year and then better margins to flow from the market.

So, this is it from my side. And if there are any questions from the audience, we are more than welcome to take it. Over to you, Vivek.

Vivek Partheeban: Thank you, sir. So, we can open the floor for questions from the audience, please.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. I have three questions, starting with the Mexico side. So, we have six injectable products approved in Mexico, and shortlisted around 25 potential products also

Caplin Point Laboratories Limited

May 16, 2024

Page 7 of 17

that we are going to file over the next 2-4 months. Sir my question is, how do you see the things shaping up in Mexico over the next two to three years in terms of our market share in the target market of Mexico and Mexico's overall contribution to our top line?

C. C. Paarhipan: See, we are not going to register actually 20 to 25 products immediately, because softgel capsules which you mentioned, especially softgel capsule it takes time because you will have to go for a bio studies. We will start softgel capsules of OTC to start with. But the product that I mentioned in the form of 21 to 22, they are all actually injectables. And this is going to create another asset-light model for us actually in Mexico as most of the products have come from China. And we, of course, are getting business from Mexico. Mexico now we are concentrating more on the standard business. Once we complete the registration of 25 to 30 products, we will start our own warehouse and then we will get into the private market. Maybe two years from now, we are sure to see actually sufficient business coming up from Mexico.

Garvit Goyal: And sir, can you also comment on the status of U.S. FDA approvals for our facilities, that is for all existing facilities, are these approvals in place? Or do we expect any kind of audit for the softgel capacities that we have commissioned recently?

Vivek Partheeban: Yes. So, our last FDA inspection for the injectable plant was last year. And obviously, there is no set period for when the FDA would conduct the inspections. For example, if you look at the EU, it's once in three years, if you look at INVIMA it's once in three years. But whereas when it comes

to the U.S., it is very much up to their own evaluation of when the facility needs to be audited . But we are always following the policy of "being anytime ready ". So, a state of compliance throughout , a state of good manufacturing practices throughout is what is needed. And when it comes to the softgel plant , we have just completed the INVIMA inspection, and we are not looking for U.S. FDA for this site . We are focused on Latin America much more from this place . And the question that you were asking in terms of 25 soft gel, that would be from this plant into Mexico. But that will happen over a period of time , like Chairman said, it will happen over the next two years.
Garvit Goyal :

And just last question, like on your long-term strategy which our Chairman cited in annual report of FY22, of having presence in most of the regulated market by FY28, as a result of which Caplin is aspired to convert top line of FY22 to bottom line of FY28. So, if I look at the last two years, we have been able to increase our bottom line at 22% CAGR, which is also a decent performance, but falling short from our own estimation. So, my question is like , we are doing the potential CAPEX and getting our products approved in the regulated market. So, do you believe our growth trajectory will shift from this 20% CAGR, that is what we have been doing , to kind of 30% from this year onwards, driven by U.S. business started changing of consistent approval of the newer lines in the newer geographies along with these new initiatives like fill-finish concept. So, can you please put some color on it?

C. C. Paarthipan: Let me tell you that currently we are doing very well in the existing business of Latin America. And the one which we are focusing for the bigger geographies , especially Mexico, and the U.S.. And as you know well , in these markets of course , the entry barriers are quite high , the registration also takes a long time. As an asset-light model, we are planning to go for other products in the form of , as I told you in the course of my initial speech , that will also take its own time . Because
Caplin Point Laboratories Limited
May 16, 2024

Page 8 of 17

once we import the product and do the fill-finish, we are supposed to do the clinical trials , Phase 3 clinical trials. So, all these things , maybe two to three years from now, we are sure to get actually very good business from the market , irrespective of the size of the market, whether it's ROW or the regulated markets. Until that time, we are sure of continuing actually the performance which has been happening for the last seven, eight years. Is it okay or do you want to ask any other question , please ?

Garvit Goyal : No, sir, that's it from my side. I will join the queue. Thank you.

Moderator: Thank you. The next question is from the line of Karan Singh from KK Investment. Please go ahead.

Karan Singh : Sir, I have one question. So, we have lots of cash , more than Rs. 900 crores in our balance sheet. So, how are we planning to utilize this cash in the next four to five years once we complete the CAPEX of the Caplin Steriles ? So, can you please help me with that?

C. C. Paarthipan: You know the re is saying, people always say "Top line is vanity , bottom line is sanity, cash is king". And we keep the cash for future acquisition. If suppose in case you come across a meaningful acquisition , that will definitely increase our top line and bottom line , and cash flow also. That's one of the reasons , in fact, whatever cash which we generate in the form of additional cash, it gets accumulated over a period of time . Side by side , we are also completing the projects, and this is not only used for project completion , but also when we go for various products such as biological products and all that involves lot of money in the form of Phase 3 clinical trials , we will be using it for that also. On top of it, as I told you before, this will be used mainly for the meaningful acquisition at a later date.

Karan Singh : So, are you planning to do acquisition in the next couple of years?

C. C. Paarthipan: It all depends, it can happen after one year, maybe after three years . The reason is , the opportunities when it comes , and if it is a meaningful opportunity, we will definitely go for that one.

Karan Singh : And sir, like we have a good dividend policy , so our company has been giving the increased dividend for more than 10 years now. So, I would like to check if there any possibility of maybe buyback or bonus?

C. C. Paarthipan: So, far we have not taken any decision. Anyway, w

e will check with our directors and take the call. Thank you.

Moderator: Thank you. The next question is from the line of Chinmaya Bhargava from Badrinath Family Office. Please go ahead.

Chinmaya Bhargava: I just have a simple question on Caplin Onco. Could you just tell me for the FY24 what the losses were that we are carrying on the balance sheet right now? I know you said it will be profitable in six quarters or so, I just wanted to understand what the losses are currently in the numbers ?

Caplin Point Laboratories Limited
May 16, 2024

D. Muralidharan: As of March FY24, we are carrying about Rs. 2.82 crores for the financial year FY23-24. Because we commenced operations only on the 15th of March, and definitely impact will be in the coming year.

Moderator: Thank you. The next question is from the line of Akshat Vijay from Hem Securities Limited. Please go ahead.

Akshat Vijay : Congrats for good set of numbers. In the last few years, the business has shown some really good performance, but now we are slowing down a bit, right? And I do understand that there is some recession period before we expand into these larger markets and U.S.. But if you can just throw some light on over like what kind of growth we are targeting in the near term, say for the next two years FY25 and FY26, that will be helpful. Thank you.

C. C. Paarthipan: As we told you earlier, we would continue to do the way we have been doing it for the last six, seven years. Slight dip here and there is likely to be there in any company, and it's more like a bend if not an end. So, what will happen considering the amount of money which we invest in the projects and also the business model differentiation that we have committed to you, we are sure that we would be in a position to do very well, say two to three years from now please.

Moderator: Thank you. The next question is from the line of Dikshant from DB Wealth. Please go ahead.

Dikshant : Congratulations team for a great set of number. The question is to Mr. Chairman. Sir, firstly, thank you so much for the beautiful annual reports that you have written. Our family has been an investor since 2016, ever since you said that our top line will be our bottom line. One of the best annual reports that you have written, the profits have always been better to see. I have three questions, sir. The first one being, sir, when you say a meaningful opportunity for an acquisition that we might get, I understand that we are preparing our war chest right now so that once we see the opportunity you can strike on that. But could you paint us a picture of what a meaningful opportunity would look like, what is it that we are looking for?

C. C. Paarthipan: Okay, I would like to put it this way. We may not be very keen to acquire a company, we would be interested in acquiring a distribution company. The reason is, you are aware that we always remove the intermediaries and go for the last mile, be it in the form of pharmacy or be it in the form of hospital. Suppose if you are in a position to get some distribution company in the bigger geographies, that will open up the opportunity to understand which is the last mile in this part of the world. So, that one is I feel is a good opportunity for us to go for a meaningful, that's one of the meaningful opportunities. Rest, of course, we will have to cross the bridge when we reach there, because this is one area which I am sure it will be very unique. The rest of it, of course, we will have to see it and after that we will believe.

Dikshant : So, you mean that our forward integration strategy, something like where we are able to get more distribution, so it impacts our sales directly, and we are able to drive more business that way, is that correct?

Caplin Point Laboratories Limited

May 16, 2024

C. C. Paarthipan: Yes. The

idea is not to own our own distribution, but when we own our own distribution, the biggest advantage which we will have been the entire set of people who buy medicines from the distributor will be known to us. Then we will be in a position to get the correct market info from those people who have been getting the products from the distribution company.

Dikshant : The other two questions are related to most of the journey of you as a founder. One is, do you still take any crazy adventures in life? It's a personal curiosity, since you started your business, you used to take a lot of adventures in order to capture new market share. Your stories are very famous amongst small cap investors. Are you still taking any adventures?

C. C. Paarthipan: See, when I didn't have money, I had to go for physical risks. Now we are taking calculated financial risks. So, I do not want to be adventurous at the age of 70. Anyway, at the end of the day, I was telling today in the board meeting, there is expiry to our medicines, but there is no expiry to our dreams and goals. So, we will continue to strive for excellence in our business.

Dikshant : Sir, one last question if I may ask. What is the most recent book recommendation? This is again going to the 2016 annual data; I have read every single book that you have said there.

C. C. Paarthipan: Thank you. You are asking me to mention some books, are you talking about it?

Dikshant : I am talking about, you have always recommended to your readers the books that you are reading at that point of time for your business. Is there any book that you are reading right now?

C. C. Paarthipan: To be very honest with you, the workload has increased, in the process off late what I do is I go for some of the paper cuttings which are very interesting. One such is in front of me where it states, can you handle the truth? It takes a lot of work to handle truth it says. This comes in normally if you see in Times of India, you will see some interesting articles. So, like these I find lot of interesting articles in many magazines like Ink, and then Entrepreneur and this type of stuff, so I will always go for these things. And I have not been in a position to read any new books, to be very honest with you. I bought some and I have not been able to read it.

Dikshant : Thank you so much sir .

C. C. Paarthipan: Thank you very much for having invested in us and having believed in us . We guarantee you that we believe in making money with respect and we will continue to be happy for having invested in our company and having invested your faith in us. Thank you. Thank you very much.

Moderator: Thank you. The next version is from the line of Tushar from Motilal Oswal . Please go ahead.

Tushar Manudhane: Sir, on this OSD facility, which is now expected to commercialize soon or just got commercialized in 4Q. So, what kind of OPEX can be expected from this facility in FY 25?

C. C. Paarthipan: Now we decided to do it in two ways. You are aware that we have facility of work in Pondicherry.

Recently I even told you that we have completed our INVIMA inspection for softgel capsule , where we are planning to go for a tablet and a capsule facility , which will be used for filing the documents. As you know well, an OSD involves R&D and of course bio studies , which takes at Caplin Point Laboratories Limited

May 16, 2024

Page 11 of 17

least one to two years of time before we file the dossier. So, what we will do, we will build a facility in Pondicherry itself and we will leave the facility to file the document mainly to countries like actually Mexico, Chile and other places. And later we will think of U.S. market. And the second one for which we have bought the land and we are planning to construct that facility , that will be for the U.S. market , that of course we will do it in the second stage , probably we will start

six months from now . And once we complete the registration in markets where we are very comfortable in the form of Latin America, then we will move to U.S. for OSD.

Tushar Manudhane: No, I was referring to this oncology facility which got completed in four Q 4 FY24, the OSD facility.

Vivek Partheeban : Tushar, when it comes to OPEX , we are probably looking at , after the injectable one is also done, we are probably looking at around Rs. 1 crore to Rs. 2 crores maximum at the initial period per month.

Tushar Manudhane: That too after the injectable facility ?

Vivek Partheeban : After the injectable one is completed, yes.

Tushar Manudhane: Sir just on this, I guess it is the first time you have mentioned about biosimilars per say . In terms of while we are starting initially with outsourcing the product from China and then trying to do the fill-finish , so any particular investment or let's say R&D which is going to be there more and above?

C. C. Paarthipan: Yes, I would like to give you some inputs on that. See , India is one country you know very well is like a pharmacy of the world where we export the maximum after the U.S.. Actually the maximum amount of products exported from India to U.S. market I think is we are number two after U.S.. Whereas coming to biosimilars, there are only 15 to 16 factories maximum in India, whereas there are around 100 factories in China. Now they have over capacities and underutilization . This is a time for us to go for bulk import . And then the timelines , of course it's not easy to predict at this juncture. It may take in the sense that while importing it takes its own time to decide how exactly it has to be important.

Luckily, we have an injectable facility and we will be in a position to be fill-finish the same face. But the clinical trials will take time. It depends upon the market where we are entering into , we will go for the ROW market which of course we can even do with Phase 1 trials. If you have to get into a regulated market, then you have to think of Phase 3. But we will never be in a position to think of U.S., because it is a place for monopolies , and near-monopolies . So, we will concentrate on markets where we are comfortable now. We will also go for the second level regulated market, something like Mexico, Brazil, South Africa, that kind of stuff.

The business is huge, but how long it will take and how much we will be able to make , it is difficult for us to say. Opportunity is good because this is one thing which some of the big companies in India have done before. Today companies of our size , I am sure will not be in a position to think of this one because we at least need Rs. 500 crores, Rs. 600 crores to do all these types of business .

Caplin Point Laboratories Limited

May 16, 2024

Page 12 of 17

Tushar Manudhane: And on the Caplin Steriles side we had a very good traction for FY24 within fact achieved slightly more than what we had guided for . How to think about the business for FY25? And before that , if you could also share EBITDA or PAT for Caplin Steriles in FY24?

Vivek Partheeban : I will request the CFO to give the numbers and then I will take over.

Sathya Narayanan : Thanks, sir. This is Sathya Narayanan here. For the year 31 March 2024, Caplin Steriles had an EBITDA of Rs. 61.2 crores , with the PAT of Rs. 18.7 crores.

Vivek Partheeban : So, when it comes to outlook, obviously we remain very excited about the overall prospects. We expect a few approvals to come through this year that should augment our business going forward. We should also take into account that some of the products that we are doing are slightly more

built kind of generic products. So, we do expect some amount of reduction in orders for the older products. So, it's important for us to have a wide enough portfolio that some new products or some other products are going to be placed any

time there is a downturn in other ones. Also remember

that by end of the year we will have some sales coming in from the U.S. front end as well. While it might not be very meaningful in the first financial year for us, I think next year onwards we can start to see something a little bit better from our own label.

Tushar Manudhane: So, considering this and considering the current size of the business, the growth momentum will sustain in FY25 and FY26? Or there will be some amount of moderation over there?

Vivek Partheeban: So, over a longer period, I think whatever that we have given out, we remain confident that we can achieve those numbers. Of course, year-on-year as you know there might be some bits here and there, but obviously we have come off a slightly smaller base, right. So, we have grown 50%, if I have to stick my neck out and say, are we going to grow another 50%? That's not going to be possible immediately. We will grow well. It's important for us to keep in mind that we want to grow qualitatively also and not just quantitatively. It is very important, especially in sterile injectable business for regulated markets.

Tushar Manudhane: Understood. And just lastly, if you would want to share overall revenue EBITDA margin guidance for FY25, FY26?

C. C. Paarhipan: We will continue to have the same growth that we have been having, as I told you before. We are sure of achieving what we have achieved before.

Moderator: Thank you. The next question is from the line of Anupama from RatnaTraya Capital. Please go ahead.

Anupama: I just wanted to know the revenue for the Sterile business for FY 24.

Vivek Partheeban: The overall operating revenue for FY24 is around Rs. 313 crores.

Anupama: Actually, you mentioned EBITDA and PAT already, so that was my other question. Thank you.

Caplin Point Laboratories Limited

May 16, 2024

Page 13 of 17

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: I have a couple of questions on the LatAm business. Number one, I want to understand the competitive dynamics a bit better. So, if you could just let us know who are the major players that you are competing against, what kind of companies, etc. And are they following a similar business model or doing something different in terms of distribution?

Second, we have grown the LatAm business at 25% odd of CAGR for the last 10 years and expect high growth rate going forward also. But in my understanding, the market demand itself might not be growing that fast. So, what has allowed you to rapidly gain market share from the competitors? So, just these two.

C. C. Paarhipan: There are two sets of business actually in most of the markets. One of course is brand marketing, other one is the generic marketing. Coming to generic sales, private and the institution business are the two models which is there in every country, irrespective of the size of the country is bigger or smaller. Coming to our Latin American business, we are mainly into the Central America, as we rightly said.

Coming to their competitors in general business, virtually to be very honest with you, there is no competitor for us, because we are there for the last 20, 21 years, in one or two markets we have been there for 18 years. And recently my eldest son was here for the INVIMA inspection, that time I asked him, can you identify some companies which are prominent, at least with some products, for the last 10 years? And he started telling me one or two products. Then is it not possible for you to compete for those one or two products? He said, definitely it's possible. Then he asked me, is it worth actually to do that one? I said, let me know what the volume is and then I will tell you whether it's worth or not.

In fact, we always try and do a business which is more of qualitative than quanti

tative one. That's

the reason we are in a smaller geography. Although we are in the smaller geographies, we are more monopolies in these smaller geographies. We are very unique and there is an entry barrier in the form of like 20 years, 22 years. Anybody who has used our product comes back and buys the product most of the time. And again, this is a business where people who are like, if you see the disparity between the top companies, most of the multinational companies and us, the disparity in prices is huge. If our products are \$2, the same generic which is sold by a multinational company or a big company from Argentina or other areas, at least 4 times to 5 times higher than our product. Most of the guys who used to buy these products earlier also switched on to our products because we have been there for a long time. If you are any company for that matter, if he is there in the market for 20 years, it is bound to do good. It's true saturation comes, but to handle the saturation we go for variety and novelty. We started with 20, 30 products. I can even tell you it is in front of

me. From India today we have registrations in the form of 4,485, whereas from China it is 275 . And there was a time we used to be 60% of our business from China, then it got reduced to 40 %, now it is 20 %.

Caplin Point Laboratories Limited

May 16, 2024

Page 14 of 17

Now what we will do , once we go to China , when I travel to China, I look for opportunities for the ROW market to start with , because there is no entry barrier. If products are unique and it's going to be accepted in the market, I will open up the opportunity by sourcing from that company. So, like this we change our strategy to suit to the requirement of our customers and market. This is what is taking us to the next level , because we started with increased product registration , then hopefully of registration from normal primitive products to CNS, CVS, diabetics like various ranges we included. Then from tablet capsule, liquid oral suspension, ointment, injectables, suppositories , like that we go . Now we are planning to get into peptides and then go for insulin , go for biosimilar initially for the ROW market where we are currently there .

These are the things which will always make us stay afloat and move to the next level. Thank you.

Nitesh Dutt: Sir, do you see this strategy, which had been working for you in terms of having more registrations, more varieties, etc. Do you think the competitors also might start following similar kind of strategy and the intensity might increase? Because despite having 75% of the portfolio in generics, we make quite good gross margins. So, would it attract more competition ? Because if I take the example of India , in the trade generic segment people do not make that kind of gross margins. So, I just want to understand if we talk about five, 10-year horizon , can competitive intensity increase and thereby erode your margins and growth profile ?

C. C. Paarthipan: It's not the generic that counts, it is the business model differentiation. Had I sold my generic in India, we would not be talking to each other , to be honest with you. That's the reason I tried my best in Africa, especially in the toughest part of Africa thinking that I won't have any competition . But our own people, we used to stay in English colonies, moved to the Portuguese and French colonies. That was the time I went to countries where I didn't see the Indians and Chinese who are into pharmaceutical business. But once you get into that place, if you prolong for 10 years, what was the period the physical risk was there for the family ? And we were subjecting our family to the physical risk and establish our products.

The people who are used to your product, especially the generic , do not go to the doctor, they bring the tablet , they bring the strip and show it to the c

hemist and buy. And while working in the market,

I myself have found and I asked the chemist also , see you have given the product that the customer showed to you , why do not you change the product and give it to him? The answer which he told me is, if I change the product and give it to the customer , the next time the customer will not come to my shop, he will go to the other shop. So, there are so many things which matter in this business , it is not one thing. As I told you before, if the competitor wanted to encroach into our area, they could have done it by now. Our business is getting increased year on year . If they had really encroached into our area, the business would not have increased in the last 20 years. It all started with small way, but the entire business 75 % to 80% of our business comes only from six smaller and geographies of Latin America.

So, now that there is a Chinese wall in the form of entry barrier . And even as my son , that's why I told you , once again I repeat. The purpose of asking is to find out how far they have entrenched themselves into our territory. It's not much, it's not easy also. Even if I have to go and do business in a country where somebody else is there for the last 20 years in the form of generic business, it's

Caplin Point Laboratories Limited

May 16, 2024

Page 15 of 17

can't be easy for me to get into this terrain, it is not easy. That's how the generic model works. The only issue is you have to ensure good quality, affordable prices, then variety , the novelty , you have to increase , keep various warehouses next to the customer so that the customer understands there is no logistic issue . Even if he buys the product , if there is some quality issue, he can return the products to the warehouse. On the contrary, if you want to buy the product, he has to open an LC . Or even if he goes for some other company which has got only 10 products , what we will say is, if you are buying 10 products from my competitor, do not buy other products from me , you go and buy from him. Automatically he will give it and come back to us.

Nitesh Dutt: Thank you , sir, for the elaborate answer. This is really helpful. Last question from my side if you can. So, out of the LatAm business, can you give the FY24 geography wise contribution from your top three, four, five geographies? Thank you.

C. C. Paarthipan: Yes, the major difference comes from Guatemala. See, that's where my son has become a son-in-law of the soil also. And the next one is Nicaragua, equally good is El Salvador . Then comes Honduras, and Dominican Republic , the last one is Ecuador.

Nitesh Dutt: Is it possible to give what percentage of the LatAm business is coming from Guatemala, Nicaragua and others ?

C. C. Paarthipan: In fact, I have to check because I will not have . Off late I have been staying next to the factory, which is 60 kilometers from here. I will ask my finance professional to give the percentage of sales mix, and I will send it to you , you can even write to us , it's not an issue. It is there with us. Is there any way you can do it, Mr. Murlu? Is it available now ? Can you give it right now?

D. Muralidharan: Right now it may be difficult for us to off hand give . We normally track LatAm as one big basket. Though we have figures , it may take a while to collect and then share it with them there.

Moderator: Thank you. The next question is from the line of Mahesh Vyas from UTI AMC . Please go ahead.

Mahesh Vyas : Congratulations for the good set of numbers . Sir, what would be the CAPEX coming in for next two years, let's say for FY25, FY26?

C. C. Paarthipan: I think the 50 %, 55% of the CAPEX is completed , except the AP I of course. The API also one is not a Greenfield. And the exact amount I would request over CFO to give the picture , please.

D. Muralidharan: The current WIP is Rs. 11 6.6 crores. What is

pending is to be invested is on the new OSD facility

and then the API facility what sir was talking about . And then the injection, the major equipment injection also major equipment has already been committed , and then paid for . And then residual investment will have to happen there . And whatever additional lines in CP -1 what we are planning have also been set. So, all put together will come to about Rs. 250 crores, Rs. 300 crores over the next couple of years.

C. C. Paarthipan: And I would like to add one more . Since I told you about some of the projects in the form of actually biosimilar and insulin, these are things we will be in a position to understand the exact

Caplin Point Laboratories Limited

May 16, 2024

Page 16 of 17

picture after I go to China , after I travel to China. So, now I am not in a position to give the exact picture of the investments into these areas , please.

Moderator: Thank you. The next follow up question is from the line of Dikshant from DB Wealth. Please go ahead.

Dikshant : Sir, speaking particularly on Mexico , so there has been recent news from different companies as well that there are a lot of Chinese people businesses that have entered Mexico because U.S. is having a lot of trade issues . And they have had a lot of trade tariffs on China. So, the Chinese strategy has been to go to Mexico to invest in Mexican companies and there are lot of subsidies also that we get from Mexico and U.S. trade relations. My question is that you always look at people of different geographies coming to your competitive landscape and then taking actions that are necessary. Are you seeing Chinese people coming to Mexico and taking some of our business that we have been working towards ? Is that a threat that we have right now?

C. C. Paarthipan: It is true it has come in the news that Chinese are moving to Mexico to start from business so that the name Chinese will not appear in their labels . But they are not into pharmaceuticals, they are not getting into pharmaceuticals because off late, my professionals and my son they go to Mexico quite often to find out what is happening there. The message which I received from them , so far, they have not got into pharmaceuticals , they are into other areas . China is the exporter of key starting materials of most of the products for the whole world. So, rather than showing the key starting material which comes directly from China, so we know about what is the situation from the West , you know how exactly they approach the Chinese. That's why they are trying to get into this type of market and these guys themselves fund and exports . But they are not into pharmaceuticals that way.

Dikshant : Okay, so it's not really a threat for us yet, is it?

C. C. Paarthipan: Yes, definitely it is not going to be a threat. I am not seeing Chinese who are very smart in doing private market business. They are good in some technology nowadays . They are good at copying and all those things they are very good at it. But coming to marketing, they have not been that good compared to our Indians.

Dikshant : So, if I were to distill down our edge in the business, it really is our customer relationships that you have been able to build over the years, and that's where we are also thinking of strengthening our distribution system because that's going to be a double strength thing for us. So, coming back to the edge that we have in our business, so we have always been able to have better relationships with the local businessman and local people that have helped us to scale our businesses , even historically. Is that the thought process to have a better distribution channel going forward to improve our edge of marketing and distribution , plus also sourcing at better prices if I were to distill down our edge ?

C. C. Paarthipan: Correct, what you say is true , because the edge is it's better to go for

a distribution rather than

going for something in the form of marketing where we have to invest money and do it. But when we go for distribution of a generic , the most important factor is the differentiation in your business

Page 17 of 17

model. To directly go and copy someone who is already a giant, it's not easy for us to beat it. If you want to be a numero uno, even if it is a smaller business, you cannot run faster than a person in the form of a giant. You will only have to run in the opposite direction. That's what we have been doing in most of these countries also, we are not trying to copy the big boys. We are trying to do something on our own, which we call unique and this works. And that's what the COO also told you when it comes to what we are planning to do in U.S. market also. And mostly it is possible in the private market, not in the tenders.

Dikshant : Okay, got it. So, even in the U.S. injectable business, it's our goal to get private contracts with the same thought process and playbook that we have perfected over the years ?

C. C. Paarthipan: Yes.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Vivek Partheeban for closing comments. Over to you, sir.

Vivek Partheeban : Thank you everyone for taking time out and attending the investors con call. We hope to be in touch with you in due course. And once again, thanks to Motilal and Tushar as well for conducting the same. Thank you very much everyone.

Moderator: Thank you. On behalf of Caplin Point Laboratories, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Aug 2024

Page 1 of 18

"Caplin Point Laboratories Limited
Q1 FY25 Earnings Conference Call "
August 07, 2024

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

ANALYST : MS. RASHMI SHETTY – DOLAT CAPITAL

Caplin Point Laboratories Limited
August 07, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Caplin Point Laboratories Limited Q1 FY25 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Rashmi Shetty. Thank you, and over to you.

Rashmi Shetty: Thank you, Lia. Good evening, everyone. I, Rashmi Shetty, on behalf of Dolat Capital, welcome you all to the Q1 FY25 Earnings concall of Caplin Point Laboratories. I would like to thank the management of Caplin Point for giving us this opportunity to host the call. Today, from the management team, we have with us Mr. C.C. Paarhipan, Chairman; Mr. Vivek Partheeban, Chief Operating Officer; Dr. Sridhar Ganesan, Managing Director ; Mr. D. Muralidharan, CFO; and Mr. M. Sathya Narayanan, Deputy CFO. Over to you, sir.

Vivek Partheeban: Thank you. Welcome to our earnings call to discuss the results of Q1 2025. Please note that a copy of our disclosures are available on the Investors section of our website as well as on the stock exchanges. And also, do note that anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges. Also do note that the audio call is copyrighted material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company.

I would like to hand over the floor to our Chairman for his opening remarks, please.

C.C. Paarhipan: Thank you. Good evening, ladies and gentlemen. Welcome to our investors' call. Year 2024 is the 30th year of Caplin Point as a public listed company, and some of my learnings are as follows. If you are the Chairman or CEO of the company, you have to reinvent or remake every 3 months to present your quarterly results. Number two, the management's job is to ensure cash flow and profits comfortably . Number three, it's all about carrots and sticks. Number four, you should not forget the fact that "You don't own the business, the business owns you ."

Now let me come to some of the specifics. First, the comparison of the annual reports of year ending 2014 versus year ending 2023 -2024. The top line of 2014 was INR177 crores, it has increased to INR1,761 crores now.

The PAT of INR26 crores, which has increased to INR461 crores. And then the cash reserve was INR27 crores, which has increased to INR969 crores. The market cap of INR292 crores, Caplin Point Laboratories Limited
August 07, 2024

Page 3 of 18

which has increased to 12% growth, and the liquid assets stands at INR1,850 crores in the last 10 years.

It will not be out of place to mention that Caplin is a turnaround story. And in most of the turnaround stories, the promoters promote more of their wealth, but we chase the excellence and create a profit cash flow to Caplin Point. We are able to build the company from nowhere to now here in the last 10 to 15 years successfully. We took the sticks and offered the carrots to our stakeholders. When I say that we took the stick, I mean, that it is the physical risk by traveling to the war zones and created the benchmarking cash flows and profits for our company. Since we could sustain and scale up the cash flow and profits, we are definitely delighted to present our quarterly re

port. Our unique ideas and business model differentiation has the potential to change Caplin Point to the next target. We also promise you that in next 5 to 10 years, we will create the purple patch to Caplin Point. We had the courage to walk in the dark, now we will follow our walk with the talk.

As you know well, today's business is to know 99% about 1% of something that really matters for a phenomenal growth. The rest is survival treadmills are done through journey. What matters here are the few business essentials and we focus on these essentials.

The business in our Latin American market is a choice coupled with our first-hand experience at the bottom of the pyramid. Today, we live in the world of 1% people creating monopoly goals and monopoly wealth and it's time for a company like us to create the value monopoly in areas where the big boys do not have their playground with their playbook. The following quote talks for the uniqueness in the form of only one. The moon looks upon many night flowers, the night flower sees that one moon.

Let me share how Caplin is trying to be unique architect in the form of building business from the ground up in our Caplin Steriles USFDA facility. Let me also share my last 2.5 years to 3 years of exposure of managing Caplin Steriles factories in the form of building from ground up. The basic level of people in many USFDA facilities are the shop floor people and the QC analyst. If one can ensure discipline and skill set in the two areas that is most important i.e. in the shop floor and in the QC, issues will be totally eliminated over a period of time.

Due to my preference in the last few years, I learnt the 4 non-negotiables. One is integrity, two is quality, three is safety, and then productivity. We also understand the importance of these 4 and the inevitables for the factory. One is automation and the other one is digitization. The third is machine learning and AI.

Of course, the first 4 non-negotiable and the 3 inevitables are already there, and we are very skilled to ensure that all these non-negotiable are regularly implemented from bottom to top. And then we are currently automating and visiting and digitizing our USFDA factory, which we will do in all our factories in future, too.

Caplin Point Laboratories Limited
August 07, 2024

Page 4 of 18

Turning to U.S. business is managing the manufacturing with the 4 non-negotiable which is very, very important compared to the marketing in U.S. The reason is there is no marketing for a generic, it is only distribution.

Now let us look at our own front-end persons in U.S.A. and the new features that we have planned to inculcate in our distribution model in U.S. market. We have 24 ANDAs, which are ours and will be marketed through our own front end in addition to partners who are doing business currently. The focus will be more on distributing our own products effectively in the future.

The new concept would be to source and outsource with our current resource, which is our cash reserves, source the products from the CMOs of India and other countries buy and sell the products to the wholesalers of USA, which has the effective second layer of distribution hierarchy. There are virtual companies who do big business without even having their own ANDA base. Their model is to cater not only in the U.S. market but also supply the shortage products in U.K., Europe and other places of regulated market. We will definitely have an

upward edge compared to virtual companies as we are building our own pipeline of products. Our business of LatAm on the expansions : Recently, we created a warehouse for our Chilean business and the capital of Chile. We have registration to the tune of 72 products. Business from Peru, Costa Rica and Mexico is improving slowly based on the registrations, generating more ads for our onco products from the inst

itutions are also guaranteed. And we also started one more warehouse in Guatemala, which we are sure will increase the cash flow and profit. And we also started a branded generic business which is increasing in 3 major countries of Central America, which is Guatemala, El Salvador and Honduras. Focusing more on the registration in Mexico and Chile, which is also one of the key areas for our future business. Brazil audit is likely to be started in the next week, which will also open up more opportunities. Coming to projects. We'll complete Caplin One onco injectables by March 2025. The OSD has already started. The remaining 3 Caplin One facilities, especially the injectables, onco API and OSD are still a work in progress. Once we complete all these Caplin One factories, we will enjoy a tax benefit of 8% which will also help the company to increase the profitability. we finally selected senior executive by name Mr. Mani from Olam International, which is considered a Fortune 500 company. He is here to develop our own software logbooks, BMR and BPR to start with, which will be a unique achievement for a company of our size. This will not only be useful for our own factories, but we will also use it for the marketing tool with companies in China and Mexico for their digitalization. We'll offer our software and pick up their exclusive distribution of some of their unique products for regulated markets of South and North America. The last but not least, our own employees in our shop floor on the factory and also as analysts in QC. Caplin is always a voice of the voiceless such as we cater to the bottom of the pyramid in Latin America. We are building the bottom of architecture in our USFDA facility. Our 3-wheel IRS not only comes from the deep BOP also from the middle of the pyramid by offering quality medicines at affordable cost. We understand that catering to the poor is also a strategy if Caplin Point Laboratories Limited
August 07, 2024

Page 5 of 18

you have a right model of cash flow on top, this is happening, and it will continue to happen. Thank you. Thank you very much. Vivek Partheeban: Thank you, Chairman. I will just give a little color into the U.S. business before I hand over to our CFO for the finance highlights. We had another good quarter in our growth in the U.S. We were able to beat last year's quarter by almost 70%. And we were able to keep the same split of 75:25 in terms of product revenue and milestone but albeit at a higher base, which shows that our productivity is indeed going up. We were able to put our expanded capacity to good use with our Line 5 output being higher than Line 1 and 2. We've been able to streamline further the whole manufacturing process and we are dedicating soon enough injectable lines in line with the way they are sterilized. So, they should augment our output even further in the coming year. We're at a high level already in terms of automation when it comes to our quality control, the microbiology divisions where we are nearly 70% to 80% paperless. We are in the process of converting our physical logbooks across the site, which are several hundreds in number, to digital log books, which is a precursor for conversion of all of our batch manufacturing and packing records also to be converted to electronic formats. This is where we will go as close as possible to a paperless facility, which is something in line with what we formulated in line, which is our 4 pillars of non-negotiable since the Chairman mentioned that is integrity, quality, safety, and productivity. And our new CTO, Mr. Mani, will be spearheading maximum methods in this. Another important update from our side is the progress that is being made in terms of our front end of the U.S. We already have 5 people on board from reliable and trustworthy and successful companies that they worked at in the past. We've received

already 45 of the 50 states licenses, and we are on track to receive the next 5 in the coming few months. We plan to come to market with our own Caplin Steriles label by October or November of this year, and we plan to launch around 30-plus products within the first 12 to 15 months.

Sticking true to our parent company's success mantras of taking the road less travelled, we are replicating the same in the U.S. by targeting the smaller warehouses and IDMs rather than the big 3, where we feel our pricing and consistency would be much better established even if the growth in top line is a little bit slower than what some of the larger companies have done in the past.

The other mantra for Caplin is also being pro-outsourcing, which we have done in the past from

China and we continue to do. This is something the Chairman also touched upon, where we are looking to in-license products from other highly quality conscious companies which will further augment our offering to the market.
Caplin Point Laboratories Limited
August 07, 2024

Page 6 of 18

We feel that our U.S. presence will eventually be known for our strength in distribution and range with a back end supported by high-quality contract manufacturing.
Thank you. And I request Mr. Murali to throw some color on the finances for this last quarter.
D. Muralidharan: The saying that "What is well begun is half done." We are pleased to say that we have begun the year well with very good results, with registering 17% growth for revenue, 20% growth on the PAT, as Mr. Vivek also said it CSL also contributed -- with contribution of 11% in terms of revenue the last year, they have contributed to 16% of revenue in the current year of high margin. That is also reflected in the gross margins going up from 55.3% to 59.6%.
We have been promising 55% margins at the gross margin level. But consistently, we have been keeping it above 55% to 56%, whatnot, we hope to continue that. And added to that, this year, we'll have one more unit, which is Caplin One Lab, which has just begun commercial production, will also be contributing in terms of both revenue and contribution as they are highly valued products, niche products, cancer products.
They will also contribute to the growth in revenue and contributing to the ensuing quarters and year end as well. And just to touch upon the numbers which are already there in the Press release and Investor presentation. Our margins have been very good. As I said, the gross margin rose to 59.6%. And the free cash flow is INR59 crores and then the PAT is INR125 crores and PAT margin 26.2% and we have a very good cash reserve of INR9569crores as of June.
And as Chairman puts it, we have already lined up projects which are in the pipeline, all of them will be funded through our own resources, and we hope to accrue the cash year-on-year and then we would take on any opportunities that come by our space. So, this is it from my side. If there are any specific queries on finance, I will be glad to take.
Over to Mr. Vivek.
Vivek Partheeban: Thank you Mr. Murali. We can open up the floor for questions now, please.
Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.
Garvit Goyal: Congrats for a good set of numbers. I have 3 questions. One is on the U.S. side. Can you provide some insight into the factors that contributed to decrease in revenue for Caplin Steriles from INR100 crores last quarter to INR80 crores in this quarter?
Additionally, can you also share expectations of growth guidance for Caplin Steriles in FY25 over FY24? That is my first question.
Vivek Partheeban: I think there might be some confusion, Garvit. We've actually increased our revenue by almost 70% from last year.
Garvit Goyal: I think you are
re talking about Y-o-Y. I'm just talking about Q-on-Q.
Caplin Point Laboratories Limited
August 07, 2024

Page 7 of 18

C.C. Paarhipan: Yes. He is talking about the previous quarter, not the year-on-year.
Vivek Partheeban: So, I think when it comes to Caplin Steriles, you can imagine that this is still a very nascent stage for us. We wouldn't like to compare ourselves on a Q-on-Q basis. And typically, what happens is the second half of the year is always larger. If you see in the last couple of years also, that would be something that you would see as a pattern. And sorry, what was the second part of your question, please?
Garvit Goyal: Growth guidance for Caplin Steriles, like last time you mentioned INR300 crores by FY24. So, what is the guidance for FY25?
Vivek Partheeban: Yes. So, we are confident that we will do well this year. We don't want to be very specific on a particular set of numbers. But certainly, we will beat last year comfortably. That's all we are able to say at this point.
C.C. Paarhipan: I would like to add one more thing here. More than the top line, now that we are planning to go for a front end as I told in course of my speech, we will not really market our products in the sense we will distribute our products. We'll also go for outsourcing of other products, which is an asset light model.
In addition to that there is something which is very unique in U.S. market. Many companies, especially the trading companies, they buy and sell. They buy the product and sell that. This also will contribute to our business.

Here, the most important factor is the visibility. Most of the time, our visible metrics have come from the invisible opportunities. So, what is important to us as with regards to U.S. business is the front end which we've started. We currently have been stating this for the last 3 months. I understood what is about the most important thing in the form of taking care of integrity and quality in addition to automation and digitization. Thank you.

Garvit Goyal: Understood, sir. My second question is on our standalone business that has been muted this quarter, both in terms of top line and bottom line on Y-on-Y basis. I want to understand the reason as even if I look at last 5 years number, our top line CAGR is nearly 3%. I understand we are focused on building a profitable franchise and we are doing it on consolidated level in a very better way. But as an investor, we would like to understand from you why a particular segment or a portion of our consolidated business is not on the track of scaling up in the terms of revenue, sir.

C.C. Paarthipan: I would like to tell you this. See, what is important in any company, this is how I look at it. I hope you would also agree with me. See the cash flow and then profits. And every year, we're in a position to create the cash flow of INR300 crores after completing the projects.

I would request you to look at the company of our size and see, especially the one who is doing simple generic business, not in the form of more complex injectables, some technocrats who are capable of creating one product, you should create huge revenue or somebody knows a team which has created the brand marketing and Indian market asset. So, we are totally different. We have created a unique business model for generics with a result now we have been growing. The

Caplin Point Laboratories Limited

August 07, 2024

Page 8 of 18

priority to us is the cash flow and profit. I think in all humility I can say that we have been giving you the results which is fairly convincing to the investors.

Vivek Partheeban: So, in addition to that also, Garvit, if you look at us as a company, the standalone is certainly not the way to look at us because, number one, we have acquired all of our distribution over the last 5, 6 years, right, more than 5, 6 years, then

rough Subsidiaries. And in addition to that, we have

Caplin Steriles also which is a high-growth entity, that's also subsidiarized into a separate entity.

So, all of these will be part of the consolidated business only.

So standalone by itself, I think, would certainly be the wrong measure to evaluate. And of course, you answered many other points with your question itself, but I don't think the right barometer is standalone for us to be compared.

Garvit Goyal: Then lastly, on the effective tax rate. This quarter, tax rate is more than 19%. So, what is the expected tax rate for full year, sir?

C.C. Paarthipan: I will request our CFO to do it.

D. Muralidharan: Can you please repeat the question?

Garvit Goyal: The effective tax rate.

D. Muralidharan: As we have been maintaining, it will be hovering at 20% on a consolidated basis.

Garvit Goyal: 20%. I think last year, it was 18%, right?

D. Muralidharan: That's okay, yes. This is all it is. When the units are making losses, we have created deferred taxes leading to lower effective tax rate. Now whether you want to make profit or be at a lower rate, it's a decision we have to make.

Moderator: The next question will be from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, on Caplin Steriles, will it be possible to share the gross margin, EBITDA margin?

Vivek Partheeban: Request CFO or Sathya to take this, please.

M. Sathya Narayanan: This is Sathya Narayanan here. The EBITDA of Caplin Steriles for this quarter ended June '24 is INR19.3 crores.

Tushar Manudhane: INR19.3 crores. So, sir, and gross margin, how much?

M. Sathya Narayanan: The gross margin would be around close to 55%.

Tushar Manudhane: Sir, how much?

M. Sathya Narayanan: Yes. So, the gross margin, we have both the components of export sales and milestone. So, for tracking purpose, EBITDA would be a better number. But the combination of sales and service income will keep varying, so the gross margin, to share is 73% for the quarter.

Caplin Point Laboratories Limited

August 07, 2024

Page 9 of 18

Tushar Manudhane: So, is it the U.S. business which has helped us get better gross margin both year-on-year and earlier quarter-on-quarter? Or is it the US business also which has been implementing the gross margin?

Vivek Partheeban: Sorry, your line is not very clear. We are not able to hear very well.

Tushar Manudhane: Sir, is it better now?

Vivek Partheeban: Yes, a little better, please. Please repeat your question.

Tushar Manudhane: Just trying to understand. This quarter, we had one better gross margin, both quarter-on-quarter as well as year-on-year. Is it driven by the Caplin Steriles? or the LATAM business?

D. Muralidharan: As I mentioned in the opening remarks, contribution of CSL in the total revenue has gone up from 11% last year to 16% this year. This has also helped overall gross margin going up from 55 to 59%.

Tushar Manudhane: Understood. So, if you can't share any of the progress on the Mexico business, both in terms of registration and then front end?

C.C. Paarthipan: Yes, the registration is in progress. And of course, we have to complete. This is a country where the registration takes a long time. And we are very confident that we will be able to complete at least 25-30 products in the next 1 year. We will not be in a position to start business in a big way. We are getting our business in bits and pieces from Mexico. A lot of products are being filed and there are products which are in the pipeline also and some products are in the Ministry of Health. Hopefully, in 1, 2 years, we can do very well in these bigger geographies of Mexico and say, Brazil and Chile.

Tushar Manudhane: Understood. When do you see the approvals for registering product?

C.C. Paarthipan: Vivek, can you take over? I could not hear the

call.

Vivek Partheeban: Yes. I think, Tushar, if I'm not wrong, you are asking how long it will take? Because your line is very muffled, we're not able to hear.

Tushar Manudhane: Sorry for the disturbance. I mean to ask the products which are already registered. Tentatively when do we see the approval coming through for those products? And so subsequently, the commercialization?

C.C. Paarthipan: Yes. That's why I said, see, we'll not be in the position to understand the exact day because it is in the hands of the Ministry of Health. That is why I said, as and when the service registration comes, we start our business, but the warehousing model will not be able to start unless you have 20 to 30 products at this stage. So, it will take 1 to 2 years. That's what I said.

Tushar Manudhane: Understood. So, tell me on this API facility which is now expected to get started in the second quarter. So, how do you think about it? Maybe in terms of captive consumption or external sales, will it require for the exhibit batches to be done? So, any timeline or any color in terms of how it is going to help either in the sales or in the profitability?

Caplin Point Laboratories Limited

August 07, 2024

Page 10 of 18

Vivek Partheeban: Yes. Now we are going ahead in full steam with regards to our general category API plant at Vizag. And hopefully, by end of the year, we should be in a position to start taking trials. But I would say that we are probably around 15 months to 18 months away from filing BMS from that plant.

Again, the thing is we need to focus our attentions and priorities on what are important and urgent, right? So, for us, that is expansion of capacities in Caplin Steriles, that is making sure that our onco site continues to breakeven as quickly as possible.

The thing about API is it's really certainly a good to have and not a must have, right? Because we have multiple API sources that we can buy from outside, and I think anyway at a decent level. So, this will be much more in terms of augmentation of our supply continuity and margins, et cetera. But if it gets delayed by another couple of quarters, it's not going to affect the company in any way or any shape or form.

Tushar Manudhane: Understood, sir. And lastly, given the kind of cash the business is generating and the capex is already coming back through internal accruals, what is the thought process on utilizing the cash that is available in the balance sheet?

C.C. Paarthipan: Can I go ahead? Coming to the cash reserves. See, ours is a company, we, in fact, of the 2 or 3 meaningful acquisitions, probably this can happen over a period of time are, A) brand marketing company and B) distribution company, which has got a very good network of supplying to various institutions or pharmacies, which are at the bottom of the pyramid. C) we will also go for some brands, if it is, meaningful. And if everything goes well, there is a possibility of acquiring from ANDA also. So, it's better to keep the cash as a reserve to go for more acquisition advantages.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: Just one question. Do you see any kind of headwinds coming in that may prevent us to achieve our target for this year that what we had earlier anticipated at the beginning of the year, sir?

C.C. Paarthipan: We'll continue to achieve what we have been achieving. See, in any business, there are complexities, challenges, logistical issues, as you know well. But when you have your own business model in the form of keeping the stocks closer to the customer, the challenges become

opportunities.

If there is a rise in freight, what will happen, many companies, especially smaller companies, they will hesitate to send the consignments because their profit will be reduced to minimum. That's the time we'll have opportunities to sell more

goods at the higher price also in the market.

So, like that, every challenge has got an opportunity also. See even that the worst thing which has happened in the last 100 years is COVID. COVID also improved the sales in pharmaceuticals. So, we will not allow the crisis to go waste. That's how we'd like to take it.

Thank you. Thank you very much.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings.

Caplin Point Laboratories Limited

August 07, 2024

Page 11 of 18

Nirvana Laha: As far I want to understand in more detail about our front-end plans for U.S.A. I tried understanding it from the various calls we've done before. But as I understand, in the U.S.A. there are 3 or 4 large wholesalers, pharmacy benefit managers, even the pharmacy chains are highly organized and very large, like Walgreens and all of those. So, if you can explain exactly what we are planning to do there right now. And how does it compare with the larger generic players out of India? What do they do differently? And how are we going to be different?

C.C. Paarthipan: Yes. Go ahead, Vivek, first and then I'll add some colour later.

Vivek Partheeban: Yes, yes, Chairman. So, I think on paper, what you said is absolutely right. I think there are 3 very large GPOs and wholesalers and stuff, and they control most of the market. But the truth is there is a high amount of noncompliance out there because people are unable to supply product or maintain supply continuity for various reasons, primarily being the prices coming down to an unsustainable level.

So, if you look at Caplin Point as a company, we've always been taking the road less travelled and we've always looked at what is hiding from plain sight, right? So, we understand that the other side of the market, which is not covered by these very large players, are still significant enough. And given the right kind of value proposition, with sustainable pricing and supply, there could be a fairly decent business model to be established.

In addition to that, if we also take another leaf out of Caplin Point's book, which is to outsource some products from highly quality conscious companies, we can really expand our offering from our current number to even twice their number within the next 2 to 3 years.

So, we will not be going after very large contracts or anything like that because that will be sort of a race to the bottom when it comes to pricing. So finally, what I would say is we cannot really compare this to some of the very large companies because typically, what happens is they will always be chasing top line. And if you want to be chasing top line, I think you need to go to some of the very large players irrespective of what kind of margins they offer you, what kind of draconian clauses in the contract that they offer you. So, we would be threading the road less travelled here as well with smaller accounts.

C.C. Paarthipan: Okay. I would like to add one more. Products available next to the customer becomes valuable. The reason being most of the time, the customer wants immediate supply. If they place the order to the customer who is in India, if he has to export it from India, it takes a long time. That's one of the reasons if you look at all the successful communities starting from Jews to others, they all migrated from one country, like 2 generation, 3 generation before.

And today, they control I was told 33% of the business or 33.5%. Where did they do all these things? They learnt only from the market. They know struggle, they face the issues and then they understood the reality and they worked with the reality and created what exactly is what they conceive and believe they have achieved.

See that the same ways look at companies which are into U.S. market, there are 3 types of companies, I'm sure you will be aware. The small one most of the time is the CMO, is a co

ntract

manufacturing facility. The big ones, they only look for the cream layer. They are not very keen

Caplin Point Laboratories Limited

August 07, 2024

Page 12 of 18

to focus on the poor. And they are under the impression that change is the only thing which is permanent. Poverty also is permanent in the world. And only the poor is not pro-prosperity, is pro-poverty, unfortunately remains poor.

But if you have where we try to cater to the poor, I'm sure again you can create the cream layers for your company. So, we will not focus on the big boys' domain. We will position ourselves in

a place which is ignored by the big boys, and which is not reachable to the smaller companies. That means for a smaller company to become a big entry barrier. For a big company, it's a very small business. That is exactly what we have done in Latin America, market is a market, whether it's Africa or Latin America or North America.

Nirvana Laha: Got it. Sorry, sir, just to ask a follow-up. So, with our front end in U.S.A., are we planning to, therefore, target certain independent pharmacy chains? Or is this geared towards more institutions?

C.C. Paarthipan: Got it. I will not go for independent pharmacy chain. We'll only cater to bottom of the business pyramid. See, the pharmacy chains also in U.S., you know very well is monopoly. But that doesn't mean they control entire 100%. There are some like in a huge market, which is considered as a signature destination. There are least 10% of the people if you could cater or 1% of the people if you cater, sorry, 10% maybe individual pharmacies. I don't know how much the percentage is. If you could cater even 0.5% of it, then that itself will strengthen your bottom line.

Nirvana Laha: That is what I'm asking. Sorry, sir. That's what I'm asking. So, you're planning to target independent pharmacies, right, 1, 2-unit pharmacies?

C.C. Paarthipan: No. There are 3 sets of people you have to target. Being an injectable company, you have to target the hospitals, home care clinics, these are the ones. And now what you will do maybe today, we have 24 products. Again, if you think that we can go crowd sourcing, I don't want to mention the name of the company, it's number 1 company in injectable. They're ready to give their products to us.

To him, what is the business to multinational or to Caplin Point is one and the same because they're not our friend. Then the next set of people, many of them are CMOs. There are some CMOs, they are ready to give their product. What we have done in China for the ROW market, we can even do it in America. Only thing we will have to be very careful in selecting our partners. And then coming to quality of the products here, nothing to worry here because the quality of 100% is managed by the USFDA, there won't be any issue that way. The system is very efficient. If there is an issue, you know there are a lot of other issues, which takes care of the quality. There are lot of measures. So, my other is the business model, which is very important.

Nirvana Laha: Sir, your sourcing capabilities, we have seen enough evidence of execution. I was more trying to understand the front end in a market like U.S.A. But okay, I will also take the top line with you, sir, if you permit.

My second question is on API. So, I think Chief Operating Officer, sir was saying that API can wait because they are not an immediate need for the business. So, what I wanted to understand
Caplin Point Laboratories Limited
August 07, 2024

Page 13 of 18

is when the oncology and OSD APIs, everything comes on line, what percentage of our own manufacturing will get backward integrated? Like out of 100, how much will get backward integrated? And what kind of margin effect can we expect from that?

C.C. Paarthipan: To be honest with you, at this juncture, it is better to focus on our metrics as you rightly said,

urgent and important. So, what is going to create more revenues, more cash flow to the company?

As I told you before is the business model. And we are not a company where it is -- or the promoter by technocrat. And when you are from a starting -- or low starting point, it's not easy to attract the talent, which is like the way we see in other cities like Hyderabad or Vizag or in Bangalore or in some parts Ahmedabad or Mumbai.

You know very well, Tamil Nadu, the ecosystem for pharmaceutical has not been extraordinary. We are trying to create an ecosystem internally. It takes time. So, what we will do is the priority. The priority is to focus on major areas. One is today Latin America, of course, continue to grow. We don't focus so much on Latin America. We want to focus on U.S. because U.S. is the gold standard for any company, if we can really make it happen in the U.S. So, the role of API coming to U.S. business is very minimal in terms of profit and cash flow. The role of your business model is much more important than the presence of other areas.

Nirvana Laha: Okay. Sir, what is the total capex amount going towards our API facilities?

C.C. Paarthipan: I would request the COO to answer to your questions, please. He knows.

Vivek Partheeban: Yes. We are targeting probably another INR20 crores in total for our Vizag facility. And for our oncology API, it's probably around INR60 crores to INR70 crores at max.

And to your earlier question. I think if you are fine, we can throw some light on it, would be a lot more backward integrated when it comes to oncology products compared to general category, just purely by way of the share number of products that we do in general category compared to onco. And also, onco APIs are much, much more expensive compared to the general category ones.

Nirvana Laha: Sure. So, you said INR80 crores incremental. And has anything already been spent? Can you quantify that amount on an API facilities?

Vivek Partheeban: On Vizag, all put together, I think we've already spent close to INR40 crores, if I'm not wrong.

Nirvana Laha: Okay. Yes, about INR120 crores total. Okay. And last question, just from my side. You have so many of your lines coming online now. You have Steriles new lines coming online, oncology, OSD, et cetera. So, if I look at the company from a 3 - to 5-year perspective, you have shown a very, steady growth trajectory of 20%, 25% every year. So, will that trajectory continue? Or will there be a fair jump in revenues in the next 3 to 5 years at some point?

C.C. Paarthipan: The current growth will continue, we are very confident about it. In 5 years from now, we will be one of the best companies of India. We are very sure about it because we are spending money. We are not putting money in areas which are not great in total. We are putting our money on one

Caplin Point Laboratories Limited
August 07, 2024

Page 14 of 18

side, asset creation. Most of the assets that we create that will start fructifying and it's more a vertically integrated model like any of the big company.

And on the other side, we are also creating new revenue streams with asset-light models and we also have plans to reach some products in the form of insulin and other products directly from countries where they are manufacturing and they don't have the capabilities to selling in ROW market. We will take it up. We will not focus for biosimilar and other insulin, that kind of system. We will not think of taking it to U.S. market because it's not easy for us to do that kind of a business.

But we will sell it. We will sell in countries where we are there for the last 20 years. And we have the right connection. And people also trust the quality of our medicine. So, these are various measures that will contribute to our capabilities.

Moderator: The next question is from the line of Adityapal from M

SA Capital Partners.

Adityapal: Yes. Many congratulations to you and the team for this phenomenal quarter. Just wanted to understand. So, when I look at ex Caplin Steriles revenues, over the last 2 years, that is FY22 to FY24, it has been in high single digits. Any particular slowdown you are seeing or we are just getting ready for steeper jump by distant products in the larger LATAM region?

C.C. Paarthipan: Single digits you're talking on the top line, I believe. Am I right?

Adityapal: Yes, sir.

C.C. Paarthipan: I'm sorry to say "Top line is vanity. Bottom line is sanity. Cash is king." That's what they say. So, where you want us to focus more on the top line. Are you not happy with the bottom line and cash flow?

Adityapal: No. You were doing a phenomenal job. Just I wanted to get the colour because I'm a bit new to the company.

C.C. Paarthipan: To be very honest with you, it's not that we need to do on all fronts. The reason being, we have to focus on areas where we are capable of at least strengthening the bottom line and cash flow. And we think of top line, to be very honest with you, there is a possibility of selling our generics in credit. That will affect the cash flow, which will also affect the profit.

Because profit in the books is not the real profit in the bank. So, you know very well. So as a result, what happened now, we are trying to build the facility on one side and on the other side, focus on our own core competence in the form of our Latin American business. And most of the companies, as you know very well, they consider U.S. is the landmark, it is best market in the front of the world.

So, we are also trying to get into that gold standard business. It will take time because we are little late bloomers in that area. There are companies which went into the market 20 years ago. Our first ANDA came in 2016. Now that we have around 24 ANDAs, we are sure of doing good

Caplin Point Laboratories Limited

August 07, 2024

Page 15 of 18

business in South and North America. After 2, 3 years, again, we will also increase our profit, which is for sure.

Adityapal: Understood. Just one question that I have on gross margins. So, another phenomenal quarter for you on increasing gross margins as well. But going forward, with the addition of our oncology products, do you see the gross margins further expanding?

D. Muralidharan: As we mentioned in respect of CSL, the gross margin today is a combination of 2 or 3 streams of revenue. Product revenues have different margins and we secure profit in terms of service income like milestones and the profit share, this is 100% margin. So, it depends on the mix.

Oncology, I mentioned, because they are all niche products and there's a possibility of increasing the gross margin level. And that's depends on the mix. So, we are looking as a company, as said, total composite mix. What Caplin One Labs will be able to contribute in terms of the total mix

for the sales, the company will definitely determine how much basis point the contribution margin will go.

As you said, the CSL is a positive point. I mentioned 11% to 16% of growth it is contributing. And the contribution of One Lab has to mature to some level, at least to double-digit levels, which will move up the overall contribution margin.

Because the base being high with still 80%, 80-plus, is coming through the Latin American countries. While on a stand-alone basis, oncology product will have a very good margin, Steriles will have a very good margin. But how much they contribute to the total kitty will determine the improvement in the overall margins. Have I answered it?

C.C. Paarhipan: One more thing is the 2 major indicators to us are the free cash reserves, which is INR969 crores, and the total liquid assets stands at INR1,850 crores. And I would request the CFO to tell them what is the payables, please?

se?

D. Muralidharan: Payable remain the region of INR100 crores to INR150 crores, which is more than offered by other current assets in the form of statutory receivables and other things. So, we will have more than paid for.

C.C. Paarhipan: So, I only request you to look at other companies of our size and see the free cash reserves and the liquid assets also. Then probably, you'll be in a position to understand our company.

Adityapal: No, definitely, sir. You have very quality cash reserve. My last question would be if we're going to spend incrementally INR200-odd crores on capex. If you can give me the figure, how much would be towards the Caplin Steriles?

C.C. Paarhipan: Vivek?

Vivek Partheeban: Yes. So, at this point, what we are planning is we are planning the next round of capital expansion in the injectable side and the Caplin One Labs. There's a multitude of factors as to why we have taken this decision. But there is a Phase III of Caplin Steriles that will be actually Caplin Point Laboratories Limited

August 07, 2024

Page 16 of 18

under Caplin One Labs, but also catering towards the U.S. We expect this to be around INR220 crores to INR230 crores kind of an investment over the next 2 to 3 years.

Adityapal: Understood. That's it from my side. I'm wishing you and the team best of luck.

Moderator: The next question is from the line of CA Garvit Goyal, which is a follow-up question from Nvest Analytics Advisory LLP.

Garvit Goyal: Sir, can you please repeat the amount of capex for injectables that you just mentioned to the earlier participant?

Vivek Partheeban: Yes, around INR220 crores to INR240 crores under Caplin One Labs is what we will be spending, which will be the Phase III of our Caplin Steriles unit.

Garvit Goyal: Phase III of Caplin Steriles only, right? It is for injectable?

Vivek Partheeban: So, no. The thing is, again, I don't want to get into the nitty-gritty of it. So, this is Phase III of our injectable division that is focused on the U.S. but we will be doing this on the Caplin One Labs, and this will happen over the next 2 to 3 years.

Moderator: The last question today is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: A couple of questions.

Moderator: So, sorry to interrupt you. Alisha, can you speak a little bit more louder?

Alisha Mahawla: Sure. I hope I'm audible.

Moderator: Yes.

Alisha Mahawla: What is the number of products that are registered in Mexico and Chile? And how many of those are launched?

C.C. Paarhipan: Chile, we have around 72 products, 70 to 72 products. Mexico, I think Vivek knows the exact number.

Vivek Partheeban: Yes. We have around 8 to 9 products at this point. We have launched a couple of them. Some of these are very tender-oriented products. So, we actually, like Chairman said, until we get to about 25, 30 products, we don't plan on launching our own warehouse and front-end sales in Mexico until we hit the right kind of portfolio. So probably another 18 to 24 months is what we are looking at to have day-to-day sales over there in Mexico.

Alisha Mahawla: And Chile, of the 72 products that are registered and approved, how many have we launched?

C.C. Paarhipan: Yes. We, in fact, started our warehouse recently. One Indian guy is stationed there. And the market is 70% government and 30% private market. Currently, we are going to focus on the private market because of the volumes, given the volume is lesser, the profitability will be higher. And we will also get into the, what we call, an institution business over a period of time.

Caplin Point Laboratories Limited

August 07, 2024

Page 17 of 18

We are registered overseas by using our CRO, we completed the BE study. So next year, we are sure to get very good returns from the Chile market.

Alisha Mahawla: Understood. And the sharp increase in

other expenses, INR82 crores in this quarter versus INR55

crores in Q 1 FY 24. What would be the reason for almost a 50% jump ?

D. Muralidharan: There are a couple of them contributing that. One, the filing of ANDA will vary from quarter - to-quarter. We have filed 3 ANDAs in the quarter, which is about INR6 crores that is attributing to that.

And as you have been following our company, last year, mid we took the call to migrate to CIF for our subsidiary for achieving the optimal freight rate and container availability. So, the freight rate expenditure in some of the account Caplin as against COGS for the subsidiaries. That is another reason rate has gone up.

And we have been taking part in the market promotion expenses that have also contributed to that. And while we say sales have grown up by 17%, 18%, your Power & fuel and other expenses relating to the manufacturing has also gone up. Though not in tandem, they have gone up. These are the basic 2, 3 reasons for increased expenditure. You should look at the EBITDA margin has gone up from 31% to 32%. That's an increase in that means that we have been able to absorb the increased expenses and then still report a higher EBITDA.

Alisha Mahawla: Yes. That is correct, yes. And my last question is in Caplin Steriles. We have been an investor, and I believe that the investment term is still 2025. So, any discussions on exit for them or next plans for Caplin Steriles?

Vivek Partheeban: No, I think there are no active discussions or anything happening. They want us to hit a sizable number in Caplin Steriles, which we're very confident of hitting. But there is no discussion at this point on any event happening there.

Alisha Mahawla: A couple of years back, we were targeting \$100 million of sales in Caplin Steriles by FY27. Are we still on track to do that?

C.C. Paarhipan: We are very confident that we will be able to achieve it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vivek Partheeban: Thank you very much, Dolat Capital, and all of the participants that came together today to hear about our earnings and our story, and we look forward to being in touch with you. Thank you very much.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Notes:

Caplin Point Laboratories Limited

August 07, 2024

Page 18 of 18

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Aug 2024

Page 1 of 18

"Caplin Point Laboratories Limited
Q1 FY25 Earnings Conference Call "
August 07, 2024

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

ANALYST : MS. RASHMI SHETTY – DOLAT CAPITAL

Caplin Point Laboratories Limited
August 07, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Caplin Point Laboratories Limited Q1 FY25 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Rashmi Shetty. Thank you, and over to you.

Rashmi Shetty: Thank you, Lia. Good evening, everyone. I, Rashmi Shetty, on behalf of Dolat Capital, welcome you all to the Q1 FY25 Earnings concall of Caplin Point Laboratories. I would like to thank the management of Caplin Point for giving us this opportunity to host the call. Today, from the management team, we have with us Mr. C.C. Paarhipan, Chairman; Mr. Vivek Partheeban, Chief Operating Officer; Dr. Sridhar Ganesan, Managing Director ; Mr. D. Muralidharan, CFO; and Mr. M. Sathya Narayanan, Deputy CFO. Over to you, sir.

Vivek Partheeban: Thank you. Welcome to our earnings call to discuss the results of Q1 2025. Please note that a copy of our disclosures are available on the Investors section of our website as well as on the stock exchanges. And also, do note that anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges. Also do note that the audio call is copyrighted material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company.

I would like to hand over the floor to our Chairman for his opening remarks, please.

C.C. Paarhipan: Thank you. Good evening, ladies and gentlemen. Welcome to our investors' call. Year 2024 is the 30th year of Caplin Point as a public listed company, and some of my learnings are as follows. If you are the Chairman or CEO of the company, you have to reinvent or remake every 3 months to present your quarterly results. Number two, the management's job is to ensure cash flow and profits comfortably . Number three, it's all about carrots and sticks. Number four, you should not forget the fact that "You don't own the business, the business owns you ."

Now let me come to some of the specifics. First, the comparison of the annual reports of year ending 2014 versus year ending 2023 -2024. The top line of 2014 was INR177 crores, it has increased to INR1,761 crores now.

The PAT of INR26 crores, which has increased to INR461 crores. And then the cash reserve was INR27 crores, which has increased to INR969 crores. The market cap of INR292 crores, Caplin Point Laboratories Limited
August 07, 2024

Page 3 of 18

which has increased to 12% growth, and the liquid assets stands at INR1,850 crores in the last 10 years.

It will not be out of place to mention that Caplin is a turnaround story. And in most of the turnaround stories, the promoters promote more of their wealth, but we chase the excellence and create a profit cash flow to Caplin Point. We are able to build the company from nowhere to now here in the last 10 to 15 years successfully. We took the sticks and offered the carrots to our stakeholders. When I say that we took the stick, I mean, that it is the physical risk by traveling to the war zones and created the benchmarking cash flows and profits for our company. Since we could sustain and scale up the cash flow and profits, we are definitely delighted to present our quarterly re

port. Our unique ideas and business model differentiation has the potential to change Caplin Point to the next target. We also promise you that in next 5 to 10 years, we will create the purple patch to Caplin Point. We had the courage to walk in the dark, now we will follow our walk with the talk.

As you know well, today's business is to know 99% about 1% of something that really matters for a phenomenal growth. The rest is survival treadmills are done through journey. What matters here are the few business essentials and we focus on these essentials.

The business in our Latin American market is a choice coupled with our first-hand experience at the bottom of the pyramid. Today, we live in the world of 1% people creating monopoly goals and monopoly wealth and it's time for a company like us to create the value monopoly in areas where the big boys do not have their playground with their playbook. The following quote talks for the uniqueness in the form of only one. The moon looks upon many night flowers, the night flower sees that one moon.

Let me share how Caplin is trying to be unique architect in the form of building business from the ground up in our Caplin Steriles USFDA facility. Let me also share my last 2.5 years to 3 years of exposure of managing Caplin Steriles factories in the form of building from ground up. The basic level of people in many USFDA facilities are the shop floor people and the QC analyst. If one can ensure discipline and skill set in the two areas that is most important i.e. in the shop floor and in the QC, issues will be totally eliminated over a period of time.

Due to my preference in the last few years, I learnt the 4 non-negotiables. One is integrity, two is quality, three is safety, and then productivity. We also understand the importance of these 4 and the inevitables for the factory. One is automation and the other one is digitization. The third is machine learning and AI.

Of course, the first 4 non-negotiable and the 3 inevitables are already there, and we are very skilled to ensure that all these non-negotiable are regularly implemented from bottom to top. And then we are currently automating and visiting and digitizing our USFDA factory, which we will do in all our factories in future, too.

Caplin Point Laboratories Limited
August 07, 2024

Page 4 of 18

Turning to U.S. business is managing the manufacturing with the 4 non-negotiable which is very, very important compared to the marketing in U.S. The reason is there is no marketing for a generic, it is only distribution.

Now let us look at our own front-end persons in U.S.A. and the new features that we have planned to inculcate in our distribution model in U.S. market. We have 24 ANDAs, which are ours and will be marketed through our own front end in addition to partners who are doing business currently. The focus will be more on distributing our own products effectively in the future.

The new concept would be to source and outsource with our current resource, which is our cash reserves, source the products from the CMOs of India and other countries buy and sell the products to the wholesalers of USA, which has the effective second layer of distribution hierarchy. There are virtual companies who do big business without even having their own ANDA base. Their model is to cater not only in the U.S. market but also supply the shortage products in U.K., Europe and other places of regulated market. We will definitely have an

upward edge compared to virtual companies as we are building our own pipeline of products. Our business of LatAm on the expansions : Recently, we created a warehouse for our Chilean business and the capital of Chile. We have registration to the tune of 72 products. Business from Peru, Costa Rica and Mexico is improving slowly based on the registrations, generating more ads for our onco products from the inst

itutions are also guaranteed. And we also started one more warehouse in Guatemala, which we are sure will increase the cash flow and profit. And we also started a branded generic business which is increasing in 3 major countries of Central America, which is Guatemala, El Salvador and Honduras. Focusing more on the registration in Mexico and Chile, which is also one of the key areas for our future business. Brazil audit is likely to be started in the next week, which will also open up more opportunities. Coming to projects. We'll complete Caplin One onco injectables by March 2025. The OSD has already started. The remaining 3 Caplin One facilities, especially the injectables, onco API and OSD are still a work in progress. Once we complete all these Caplin One factories, we will enjoy a tax benefit of 8% which will also help the company to increase the profitability. we finally selected senior executive by name Mr. Mani from Olam International, which is considered a Fortune 500 company. He is here to develop our own software logbooks, BMR and BPR to start with, which will be a unique achievement for a company of our size. This will not only be useful for our own factories, but we will also use it for the marketing tool with companies in China and Mexico for their digitalization. We'll offer our software and pick up their exclusive distribution of some of their unique products for regulated markets of South and North America. The last but not least, our own employees in our shop floor on the factory and also as analysts in QC. Caplin is always a voice of the voiceless such as we cater to the bottom of the pyramid in Latin America. We are building the bottom of architecture in our USFDA facility. Our 3-wheel IRS not only comes from the deep BOP also from the middle of the pyramid by offering quality medicines at affordable cost. We understand that catering to the poor is also a strategy if Caplin Point Laboratories Limited
August 07, 2024

Page 5 of 18

you have a right model of cash flow on top, this is happening, and it will continue to happen. Thank you. Thank you very much. Vivek Partheeban: Thank you, Chairman. I will just give a little color into the U.S. business before I hand over to our CFO for the finance highlights. We had another good quarter in our growth in the U.S. We were able to beat last year's quarter by almost 70%. And we were able to keep the same split of 75:25 in terms of product revenue and milestone but albeit at a higher base, which shows that our productivity is indeed going up. We were able to put our expanded capacity to good use with our Line 5 output being higher than Line 1 and 2. We've been able to streamline further the whole manufacturing process and we are dedicating soon enough injectable lines in line with the way they are sterilized. So, they should augment our output even further in the coming year. We're at a high level already in terms of automation when it comes to our quality control, the microbiology divisions where we are nearly 70% to 80% paperless. We are in the process of converting our physical logbooks across the site, which are several hundreds in number, to digital log books, which is a precursor for conversion of all of our batch manufacturing and packing records also to be converted to electronic formats. This is where we will go as close as possible to a paperless facility, which is something in line with what we formulated in line, which is our 4 pillars of non-negotiable since the Chairman mentioned that is integrity, quality, safety, and productivity. And our new CTO, Mr. Mani, will be spearheading maximum methods in this. Another important update from our side is the progress that is being made in terms of our front end of the U.S. We already have 5 people on board from reliable and trustworthy and successful companies that they worked at in the past. We've received

already 45 of the 50 states licenses, and we are on track to receive the next 5 in the coming few months. We plan to come to market with our own Caplin Steriles label by October or November of this year, and we plan to launch around 30-plus products within the first 12 to 15 months.

Sticking true to our parent company's success mantras of taking the road less travelled, we are replicating the same in the U.S. by targeting the smaller warehouses and IDMs rather than the big 3, where we feel our pricing and consistency would be much better established even if the growth in top line is a little bit slower than what some of the larger companies have done in the past.

The other mantra for Caplin is also being pro-outsourcing, which we have done in the past from

China and we continue to do. This is something the Chairman also touched upon, where we are looking to in-license products from other highly quality conscious companies which will further augment our offering to the market.
Caplin Point Laboratories Limited
August 07, 2024

Page 6 of 18

We feel that our U.S. presence will eventually be known for our strength in distribution and range with a back end supported by high-quality contract manufacturing.
Thank you. And I request Mr. Murali to throw some color on the finances for this last quarter.
D. Muralidharan: The saying that "What is well begun is half done." We are pleased to say that we have begun the year well with very good results, with registering 17% growth for revenue, 20% growth on the PAT, as Mr. Vivek also said it CSL also contributed -- with contribution of 11% in terms of revenue the last year, they have contributed to 16% of revenue in the current year of high margin. That is also reflected in the gross margins going up from 55.3% to 59.6%.
We have been promising 55% margins at the gross margin level. But consistently, we have been keeping it above 55% to 56%, whatnot, we hope to continue that. And added to that, this year, we'll have one more unit, which is Caplin One Lab, which has just begun commercial production, will also be contributing in terms of both revenue and contribution as they are highly valued products, niche products, cancer products.
They will also contribute to the growth in revenue and contributing to the ensuing quarters and year end as well. And just to touch upon the numbers which are already there in the Press release and Investor presentation. Our margins have been very good. As I said, the gross margin rose to 59.6%. And the free cash flow is INR59 crores and then the PAT is INR125 crores and PAT margin 26.2% and we have a very good cash reserve of INR9569crores as of June.
And as Chairman puts it, we have already lined up projects which are in the pipeline, all of them will be funded through our own resources, and we hope to accrue the cash year-on-year and then we would take on any opportunities that come by our space. So, this is it from my side. If there are any specific queries on finance, I will be glad to take.
Over to Mr. Vivek.
Vivek Partheeban: Thank you Mr. Murali. We can open up the floor for questions now, please.
Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.
Garvit Goyal: Congrats for a good set of numbers. I have 3 questions. One is on the U.S. side. Can you provide some insight into the factors that contributed to decrease in revenue for Caplin Steriles from INR100 crores last quarter to INR80 crores in this quarter?
Additionally, can you also share expectations of growth guidance for Caplin Steriles in FY25 over FY24? That is my first question.
Vivek Partheeban: I think there might be some confusion, Garvit. We've actually increased our revenue by almost 70% from last year.
Garvit Goyal: I think you are
re talking about Y-o-Y. I'm just talking about Q-on-Q.
Caplin Point Laboratories Limited
August 07, 2024

Page 7 of 18

C.C. Paarhipan: Yes. He is talking about the previous quarter, not the year-on-year.
Vivek Partheeban: So, I think when it comes to Caplin Steriles, you can imagine that this is still a very nascent stage for us. We wouldn't like to compare ourselves on a Q-on-Q basis. And typically, what happens is the second half of the year is always larger. If you see in the last couple of years also, that would be something that you would see as a pattern. And sorry, what was the second part of your question, please?
Garvit Goyal: Growth guidance for Caplin Steriles, like last time you mentioned INR300 crores by FY24. So, what is the guidance for FY25?
Vivek Partheeban: Yes. So, we are confident that we will do well this year. We don't want to be very specific on a particular set of numbers. But certainly, we will beat last year comfortably. That's all we are able to say at this point.
C.C. Paarhipan: I would like to add one more thing here. More than the top line, now that we are planning to go for a front end as I told in course of my speech, we will not really market our products in the sense we will distribute our products. We'll also go for outsourcing of other products, which is an asset light model.
In addition to that there is something which is very unique in U.S. market. Many companies, especially the trading companies, they buy and sell. They buy the product and sell that. This also will contribute to our business.

Here, the most important factor is the visibility. Most of the time, our visible metrics have come from the invisible opportunities. So, what is important to us as with regards to U.S. business is the front end which we've started. We currently have been stating this for the last 3 months. I understood what is about the most important thing in the form of taking care of integrity and quality in addition to automation and digitization. Thank you.

Garvit Goyal: Understood, sir. My second question is on our standalone business that has been muted this quarter, both in terms of top line and bottom line on Y-on-Y basis. I want to understand the reason as even if I look at last 5 years number, our top line CAGR is nearly 3%. I understand we are focused on building a profitable franchise and we are doing it on consolidated level in a very better way. But as an investor, we would like to understand from you why a particular segment or a portion of our consolidated business is not on the track of scaling up in the terms of revenue, sir.

C.C. Paarthipan: I would like to tell you this. See, what is important in any company, this is how I look at it. I hope you would also agree with me. See the cash flow and then profits. And every year, we're in a position to create the cash flow of INR300 crores after completing the projects.

I would request you to look at the company of our size and see, especially the one who is doing simple generic business, not in the form of more complex injectables, some technocrats who are capable of creating one product, you should create huge revenue or somebody knows a team which has created the brand marketing and Indian market asset. So, we are totally different. We have created a unique business model for generics with a result now we have been growing. The

Caplin Point Laboratories Limited

August 07, 2024

Page 8 of 18

priority to us is the cash flow and profit. I think in all humility I can say that we have been giving you the results which is fairly convincing to the investors.

Vivek Partheeban: So, in addition to that also, Garvit, if you look at us as a company, the standalone is certainly not the way to look at us because, number one, we have acquired all of our distribution over the last 5, 6 years, right, more than 5, 6 years, then

rough Subsidiaries. And in addition to that, we have

Caplin Steriles also which is a high-growth entity, that's also subsidiarized into a separate entity.

So, all of these will be part of the consolidated business only.

So standalone by itself, I think, would certainly be the wrong measure to evaluate. And of course, you answered many other points with your question itself, but I don't think the right barometer is standalone for us to be compared.

Garvit Goyal: Then lastly, on the effective tax rate. This quarter, tax rate is more than 19%. So, what is the expected tax rate for full year, sir?

C.C. Paarthipan: I will request our CFO to do it.

D. Muralidharan: Can you please repeat the question?

Garvit Goyal: The effective tax rate.

D. Muralidharan: As we have been maintaining, it will be hovering at 20% on a consolidated basis.

Garvit Goyal: 20%. I think last year, it was 18%, right?

D. Muralidharan: That's okay, yes. This is all it is. When the units are making losses, we have created deferred taxes leading to lower effective tax rate. Now whether you want to make profit or be at a lower rate, it's a decision we have to make.

Moderator: The next question will be from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, on Caplin Steriles, will it be possible to share the gross margin, EBITDA margin?

Vivek Partheeban: Request CFO or Sathya to take this, please.

M. Sathya Narayanan: This is Sathya Narayanan here. The EBITDA of Caplin Steriles for this quarter ended June '24 is INR19.3 crores.

Tushar Manudhane: INR19.3 crores. So, sir, and gross margin, how much?

M. Sathya Narayanan: The gross margin would be around close to 55%.

Tushar Manudhane: Sir, how much?

M. Sathya Narayanan: Yes. So, the gross margin, we have both the components of export sales and milestone. So, for tracking purpose, EBITDA would be a better number. But the combination of sales and service income will keep varying, so the gross margin, to share is 73% for the quarter.

Caplin Point Laboratories Limited

August 07, 2024

Page 9 of 18

Tushar Manudhane: So, is it the U.S. business which has helped us get better gross margin both year-on-year and earlier quarter-on-quarter? Or is it the US business also which has been implementing the gross margin?

Vivek Partheeban: Sorry, your line is not very clear. We are not able to hear very well.

Tushar Manudhane: Sir, is it better now?

Vivek Partheeban: Yes, a little better, please. Please repeat your question.

Tushar Manudhane: Just trying to understand. This quarter, we had one better gross margin, both quarter-on-quarter as well as year-on-year. Is it driven by the Caplin Steriles? or the LATAM business?

D. Muralidharan: As I mentioned in the opening remarks, contribution of CSL in the total revenue has gone up from 11% last year to 16% this year. This has also helped overall gross margin going up from 55 to 59%.

Tushar Manudhane: Understood. So, if you can't share any of the progress on the Mexico business, both in terms of registration and then front end?

C.C. Paarthipan: Yes, the registration is in progress. And of course, we have to complete. This is a country where the registration takes a long time. And we are very confident that we will be able to complete at least 25-30 products in the next 1 year. We will not be in a position to start business in a big way. We are getting our business in bits and pieces from Mexico. A lot of products are being filed and there are products which are in the pipeline also and some products are in the Ministry of Health. Hopefully, in 1, 2 years, we can do very well in these bigger geographies of Mexico and say, Brazil and Chile.

Tushar Manudhane: Understood. When do you see the approvals for registering product?

C.C. Paarthipan: Vivek, can you take over? I could not hear the

call.

Vivek Partheeban: Yes. I think, Tushar, if I'm not wrong, you are asking how long it will take? Because your line is very muffled, we're not able to hear.

Tushar Manudhane: Sorry for the disturbance. I mean to ask the products which are already registered. Tentatively when do we see the approval coming through for those products? And so subsequently, the commercialization?

C.C. Paarthipan: Yes. That's why I said, see, we'll not be in the position to understand the exact day because it is in the hands of the Ministry of Health. That is why I said, as and when the service registration comes, we start our business, but the warehousing model will not be able to start unless you have 20 to 30 products at this stage. So, it will take 1 to 2 years. That's what I said.

Tushar Manudhane: Understood. So, tell me on this API facility which is now expected to get started in the second quarter. So, how do you think about it? Maybe in terms of captive consumption or external sales, will it require for the exhibit batches to be done? So, any timeline or any color in terms of how it is going to help either in the sales or in the profitability?

Caplin Point Laboratories Limited

August 07, 2024

Page 10 of 18

Vivek Partheeban: Yes. Now we are going ahead in full steam with regards to our general category API plant at Vizag. And hopefully, by end of the year, we should be in a position to start taking trials. But I would say that we are probably around 15 months to 18 months away from filing BMS from that plant.

Again, the thing is we need to focus our attentions and priorities on what are important and urgent, right? So, for us, that is expansion of capacities in Caplin Steriles, that is making sure that our onco site continues to breakeven as quickly as possible.

The thing about API is it's really certainly a good to have and not a must have, right? Because we have multiple API sources that we can buy from outside, and I think anyway at a decent level. So, this will be much more in terms of augmentation of our supply continuity and margins, et cetera. But if it gets delayed by another couple of quarters, it's not going to affect the company in any way or any shape or form.

Tushar Manudhane: Understood, sir. And lastly, given the kind of cash the business is generating and the capex is already coming back through internal accruals, what is the thought process on utilizing the cash that is available in the balance sheet?

C.C. Paarthipan: Can I go ahead? Coming to the cash reserves. See, ours is a company, we, in fact, of the 2 or 3 meaningful acquisitions, probably this can happen over a period of time are, A) brand marketing company and B) distribution company, which has got a very good network of supplying to various institutions or pharmacies, which are at the bottom of the pyramid. C) we will also go for some brands, if it is, meaningful. And if everything goes well, there is a possibility of acquiring from ANDA also. So, it's better to keep the cash as a reserve to go for more acquisition advantages.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: Just one question. Do you see any kind of headwinds coming in that may prevent us to achieve our target for this year that what we had earlier anticipated at the beginning of the year, sir?

C.C. Paarthipan: We'll continue to achieve what we have been achieving. See, in any business, there are complexities, challenges, logistical issues, as you know well. But when you have your own business model in the form of keeping the stocks closer to the customer, the challenges become

opportunities.

If there is a rise in freight, what will happen, many companies, especially smaller companies, they will hesitate to send the consignments because their profit will be reduced to minimum. That's the time we'll have opportunities to sell more

goods at the higher price also in the market.

So, like that, every challenge has got an opportunity also. See even that the worst thing which has happened in the last 100 years is COVID. COVID also improved the sales in pharmaceuticals. So, we will not allow the crisis to go waste. That's how we'd like to take it.

Thank you. Thank you very much.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings.

Caplin Point Laboratories Limited

August 07, 2024

Page 11 of 18

Nirvana Laha: As far I want to understand in more detail about our front-end plans for U.S.A. I tried understanding it from the various calls we've done before. But as I understand, in the U.S.A. there are 3 or 4 large wholesalers, pharmacy benefit managers, even the pharmacy chains are highly organized and very large, like Walgreens and all of those. So, if you can explain exactly what we are planning to do there right now. And how does it compare with the larger generic players out of India? What do they do different? And how are we going to be different?

C.C. Paarthipan: Yes. Go ahead, Vivek, first and then I'll add some colour later.

Vivek Partheeban: Yes, yes, Chairman. So, I think on paper, what you said is absolutely right. I think there are 3 very large GPOs and wholesalers and stuff, and they control most of the market. But the truth is there is a high amount of noncompliance out there because people are unable to supply product or maintain supply continuity for various reasons, primarily being the prices coming down to an unsustainable level.

So, if you look at Caplin Point as a company, we've always been taking the road less travelled and we've always looked at what is hiding from plain sight, right? So, we understand that the other side of the market, which is not covered by these very large players, are still significant enough. And given the right kind of value proposition, with sustainable pricing and supply, there could be a fairly decent business model to be established.

In addition to that, if we also take another leaf out of Caplin Point's book, which is to outsource some products from highly quality conscious companies, we can really expand our offering from our current number to even twice their number within the next 2 to 3 years.

So, we will not be going after very large contracts or anything like that because that will be sort of a race to the bottom when it comes to pricing. So finally, what I would say is we cannot really compare this to some of the very large companies because typically, what happens is they will always be chasing top line. And if you want to be chasing top line, I think you need to go to some of the very large players irrespective of what kind of margins they offer you, what kind of draconian clauses in the contract that they offer you. So, we would be threading the road less travelled here as well with smaller accounts.

C.C. Paarthipan: Okay. I would like to add one more. Products available next to the customer becomes valuable.

The reason being most of the time, the customer wants immediate supply. If they place the order to the customer who is in India, if he has to export it from India, it takes a long time. That's one of the reasons if you look at all the successful communities starting from Jews to others, they all migrated from one country, like 2 generation, 3 generation before.

And today, they control I was told 33% of the business or 33.5%. Where did they do all these things? They learnt only from the market. They know struggle, they face the issues and then they understood the reality and they worked with the reality and created what exactly is what they conceive and believe they have achieved.

See that the same ways look at companies which are into U.S. market, there are 3 types of companies, I'm sure you will be aware. The small one most of the time is the CMO, is a co

ntract

manufacturing facility. The big ones, they only look for the cream layer. They are not very keen

Caplin Point Laboratories Limited

August 07, 2024

Page 12 of 18

to focus on the poor. And they are under the impression that change is the only thing which is permanent. Poverty also is permanent in the world. And only the poor is not pro-prosperity, is pro-poverty, unfortunately remains poor.

But if you have where we try to cater to the poor, I'm sure again you can create the cream layers for your company. So, we will not focus on the big boys' domain. We will position ourselves in

a place which is ignored by the big boys, and which is not reachable to the smaller companies. That means for a smaller company to become a big entry barrier. For a big company, it's a very small business. That is exactly what we have done in Latin America, market is a market, whether it's Africa or Latin America or North America.

Nirvana Laha: Got it. Sorry, sir, just to ask a follow-up. So, with our front end in U.S.A., are we planning to, therefore, target certain independent pharmacy chains? Or is this geared towards more institutions?

C.C. Paarthipan: Got it. I will not go for independent pharmacy chain. We'll only cater to bottom of the business pyramid. See, the pharmacy chains also in U.S., you know very well is monopoly. But that doesn't mean they control entire 100%. There are some like in a huge market, which is considered as a signature destination. There are least 10% of the people if you could cater or 1% of the people if you cater, sorry, 10% maybe individual pharmacies. I don't know how much the percentage is. If you could cater even 0.5% of it, then that itself will strengthen your bottom line.

Nirvana Laha: That is what I'm asking. Sorry, sir. That's what I'm asking. So, you're planning to target independent pharmacies, right, 1, 2-unit pharmacies?

C.C. Paarthipan: No. There are 3 sets of people you have to target. Being an injectable company, you have to target the hospitals, home care clinics, these are the ones. And now what you will do maybe today, we have 24 products. Again, if you think that we can go crowd sourcing, I don't want to mention the name of the company, it's number 1 company in injectable. They're ready to give their products to us.

To him, what is the business to multinational or to Caplin Point is one and the same because they're not our friend. Then the next set of people, many of them are CMOs. There are some CMOs, they are ready to give their product. What we have done in China for the ROW market, we can even do it in America. Only thing we will have to be very careful in selecting our partners. And then coming to quality of the products here, nothing to worry here because the quality of 100% is managed by the USFDA, there won't be any issue that way. The system is very efficient. If there is an issue, you know there are a lot of other issues, which takes care of the quality. There are lot of measures. So, my other is the business model, which is very important.

Nirvana Laha: Sir, your sourcing capabilities, we have seen enough evidence of execution. I was more trying to understand the front end in a market like U.S.A. But okay, I will also take the top line with you, sir, if you permit.

My second question is on API. So, I think Chief Operating Officer, sir was saying that API can wait because they are not an immediate need for the business. So, what I wanted to understand
Caplin Point Laboratories Limited
August 07, 2024

Page 13 of 18

is when the oncology and OSD APIs, everything comes on line, what percentage of our own manufacturing will get backward integrated? Like out of 100, how much will get backward integrated? And what kind of margin effect can we expect from that?

C.C. Paarthipan: To be honest with you, at this juncture, it is better to focus on our metrics as you rightly said,

urgent and important. So, what is going to create more revenues, more cash flow to the company?

As I told you before is the business model. And we are not a company where it is -- or the promoter by technocrat. And when you are from a starting -- or low starting point, it's not easy to attract the talent, which is like the way we see in other cities like Hyderabad or Vizag or in Bangalore or in some parts Ahmedabad or Mumbai.

You know very well, Tamil Nadu, the ecosystem for pharmaceutical has not been extraordinary. We are trying to create an ecosystem internally. It takes time. So, what we will do is the priority. The priority is to focus on major areas. One is today Latin America, of course, continue to grow. We don't focus so much on Latin America. We want to focus on U.S. because U.S. is the gold standard for any company, if we can really make it happen in the U.S. So, the role of API coming to U.S. business is very minimal in terms of profit and cash flow. The role of your business model is much more important than the presence of other areas.

Nirvana Laha: Okay. Sir, what is the total capex amount going towards our API facilities?

C.C. Paarthipan: I would request the COO to answer to your questions, please. He knows.

Vivek Partheeban: Yes. We are targeting probably another INR20 crores in total for our Vizag facility. And for our oncology API, it's probably around INR60 crores to INR70 crores at max.

And to your earlier question. I think if you are fine, we can throw some light on it, would be a lot more backward integrated when it comes to oncology products compared to general category, just purely by way of the share number of products that we do in general category compared to onco. And also, onco APIs are much, much more expensive compared to the general category ones.

Nirvana Laha: Sure. So, you said INR80 crores incremental. And has anything already been spent? Can you quantify that amount on an API facilities?

Vivek Partheeban: On Vizag, all put together, I think we've already spent close to INR40 crores, if I'm not wrong. Nirvana Laha: Okay. Yes, about INR120 crores total. Okay. And last question, just from my side. You have so many of your lines coming online now. You have Steriles new lines coming online, oncology, OSD, et cetera. So, if I look at the company from a 3 - to 5-year perspective, you have shown a very, steady growth trajectory of 20%, 25% every year. So, will that trajectory continue? Or will there be a fair jump in revenues in the next 3 to 5 years at some point?

C.C. Paarthipan: The current growth will continue, we are very confident about it. In 5 years from now, we will be one of the best companies of India. We are very sure about it because we are spending money.

We are not putting money in areas which are not great in total. We are putting our money on one

Caplin Point Laboratories Limited

August 07, 2024

Page 14 of 18

side, asset creation. Most of the assets that we create that will start fructifying and it's more a vertically integrated model like any of the big company.

And on the other side, we are also creating new revenue streams with asset-light models and we also have plans to reach some products in the form of insulin and other products directly from countries where they are manufacturing and they don't have the capabilities to selling in ROW market. We will take it up. We will not focus for biosimilar and other insulin, that kind of system.

We will not think of taking it to U.S. market because it's not easy for us to do that kind of a business.

But we will sell it. We will sell in countries where we are there for the last 20 years. And we have the right connection. And people also trust the quality of our medicine. So, these are various measures that will contribute to our capabilities.

Moderator: The next question is from the line of Adityapal from M

SA Capital Partners.

Adityapal: Yes. Many congratulations to you and the team for this phenomenal quarter. Just wanted to understand. So, when I look at ex Caplin Steriles revenues, over the last 2 years, that is FY22 to FY24, it has been in high single digits. Any particular slowdown you are seeing or we are just getting ready for steeper jump by distant products in the larger LATAM region?

C.C. Paarthipan: Single digits you're talking on the top line, I believe. Am I right?

Adityapal: Yes, sir.

C.C. Paarthipan: I'm sorry to say "Top line is vanity. Bottom line is sanity. Cash is king." That's what they say. So, where you want us to focus more on the top line. Are you not happy with the bottom line and cash flow?

Adityapal: No. You were doing a phenomenal job. Just I wanted to get the colour because I'm a bit new to the company.

C.C. Paarthipan: To be very honest with you, it's not that we need to do on all fronts. The reason being, we have to focus on areas where we are capable of at least strengthening the bottom line and cash flow. And we think of top line, to be very honest with you, there is a possibility of selling our generics in credit. That will affect the cash flow, which will also affect the profit.

Because profit in the books is not the real profit in the bank. So, you know very well. So as a result, what happened now, we are trying to build the facility on one side and on the other side, focus on our own core competence in the form of our Latin American business. And most of the companies, as you know very well, they consider U.S. is the landmark, it is best market in the front of the world.

So, we are also trying to get into that gold standard business. It will take time because we are little late bloomers in that area. There are companies which went into the market 20 years ago.

Our first ANDA came in 2016. Now that we have around 24 ANDAs, we are sure of doing good

Caplin Point Laboratories Limited

August 07, 2024

Page 15 of 18

business in South and North America. After 2, 3 years, again, we will also increase our profit, which is for sure.

Adityapal: Understood. Just one question that I have on gross margins. So, another phenomenal quarter for you on increasing gross margins as well. But going forward, with the addition of our oncology products, do you see the gross margins further expanding?

D. Muralidharan: As we mentioned in respect of CSL, the gross margin today is a combination of 2 or 3 streams of revenue. Product revenues have different margins and we secure profit in terms of service income like milestones and the profit share, this is 100% margin. So, it depends on the mix.

Oncology, I mentioned, because they are all niche products and there's a possibility of increasing the gross margin level. And that's depends on the mix. So, we are looking as a company, as said, total composite mix. What Caplin One Labs will be able to contribute in terms of the total mix

for the sales, the company will definitely determine how much basis point the contribution margin will go.

As you said, the CSL is a positive point. I mentioned 11% to 16% of growth it is contributing. And the contribution of One Lab has to mature to some level, at least to double-digit levels, which will move up the overall contribution margin.

Because the base being high with still 80%, 80-plus, is coming through the Latin American countries. While on a stand-alone basis, oncology product will have a very good margin, Steriles will have a very good margin. But how much they contribute to the total kitty will determine the improvement in the overall margins. Have I answered it?

C.C. Paarhipan: One more thing is the 2 major indicators to us are the free cash reserves, which is INR969 crores, and the total liquid assets stands at INR1,850 crores. And I would request the CFO to tell them what is the payables, please?

se?

D. Muralidharan: Payable remain the region of INR100 crores to INR150 crores, which is more than offered by other current assets in the form of statutory receivables and other things. So, we will have more than paid for.

C.C. Paarhipan: So, I only request you to look at other companies of our size and see the free cash reserves and the liquid assets also. Then probably, you'll be in a position to understand our company.

Adityapal: No, definitely, sir. You have very quality cash reserve. My last question would be if we're going to spend incrementally INR200-odd crores on capex. If you can give me the figure, how much would be towards the Caplin Steriles?

C.C. Paarhipan: Vivek?

Vivek Partheeban: Yes. So, at this point, what we are planning is we are planning the next round of capital expansion in the injectable side and the Caplin One Labs. There's a multitude of factors as to why we have taken this decision. But there is a Phase III of Caplin Steriles that will be actually Caplin Point Laboratories Limited

August 07, 2024

Page 16 of 18

under Caplin One Labs, but also catering towards the U.S. We expect this to be around INR220 crores to INR230 crores kind of an investment over the next 2 to 3 years.

Adityapal: Understood. That's it from my side. I'm wishing you and the team best of luck.

Moderator: The next question is from the line of CA Garvit Goyal, which is a follow-up question from Nvest Analytics Advisory LLP.

Garvit Goyal: Sir, can you please repeat the amount of capex for injectables that you just mentioned to the earlier participant?

Vivek Partheeban: Yes, around INR220 crores to INR240 crores under Caplin One Labs is what we will be spending, which will be the Phase III of our Caplin Steriles unit.

Garvit Goyal: Phase III of Caplin Steriles only, right? It is for injectable?

Vivek Partheeban: So, no. The thing is, again, I don't want to get into the nitty-gritty of it. So, this is Phase III of our injectable division that is focused on the U.S. but we will be doing this on the Caplin One Labs, and this will happen over the next 2 to 3 years.

Moderator: The last question today is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: A couple of questions.

Moderator: So, sorry to interrupt you. Alisha, can you speak a little bit more louder?

Alisha Mahawla: Sure. I hope I'm audible.

Moderator: Yes.

Alisha Mahawla: What is the number of products that are registered in Mexico and Chile? And how many of those are launched?

C.C. Paarhipan: Chile, we have around 72 products, 70 to 72 products. Mexico, I think Vivek knows the exact number.

Vivek Partheeban: Yes. We have around 8 to 9 products at this point. We have launched a couple of them. Some of these are very tender-oriented products. So, we actually, like Chairman said, until we get to about 25, 30 products, we don't plan on launching our own warehouse and front-end sales in Mexico until we hit the right kind of portfolio. So probably another 18 to 24 months is what we are looking at to have day-to-day sales over there in Mexico.

Alisha Mahawla: And Chile, of the 72 products that are registered and approved, how many have we launched?

C.C. Paarhipan: Yes. We, in fact, started our warehouse recently. One Indian guy is stationed there. And the market is 70% government and 30% private market. Currently, we are going to focus on the private market because of the volumes, given the volume is lesser, the profitability will be higher. And we will also get into the, what we call, an institution business over a period of time.

Caplin Point Laboratories Limited

August 07, 2024

Page 17 of 18

We are registered overseas by using our CRO, we completed the BE study. So next year, we are sure to get very good returns from the Chile market.

Alisha Mahawla: Understood. And the sharp increase in

other expenses, INR82 crores in this quarter versus INR55

crores in Q 1 FY 24. What would be the reason for almost a 50% jump ?

D. Muralidharan: There are a couple of them contributing that. One, the filing of ANDA will vary from quarter - to-quarter. We have filed 3 ANDAs in the quarter, which is about INR6 crores that is attributing to that.

And as you have been following our company, last year, mid we took the call to migrate to CIF for our subsidiary for achieving the optimal freight rate and container availability. So, the freight rate expenditure in some of the account Caplin as against COGS for the subsidiaries. That is another reason rate has gone up.

And we have been taking part in the market promotion expenses that have also contributed to that. And while we say sales have grown up by 17%, 18%, your Power & fuel and other expenses relating to the manufacturing has also gone up. Though not in tandem, they have gone up. These are the basic 2, 3 reasons for increased expenditure. You should look at the EBITDA margin has gone up from 31% to 32%. That's an increase in that means that we have been able to absorb the increased expenses and then still report a higher EBITDA.

Alisha Mahawla: Yes. That is correct, yes. And my last question is in Caplin Steriles. We have been an investor, and I believe that the investment term is still 2025. So, any discussions on exit for them or next plans for Caplin Steriles?

Vivek Partheeban: No, I think there are no active discussions or anything happening. They want us to hit a sizable number in Caplin Steriles, which we're very confident of hitting. But there is no discussion at this point on any event happening there.

Alisha Mahawla: A couple of years back, we were targeting \$100 million of sales in Caplin Steriles by FY27. Are we still on track to do that?

C.C. Paarhipan: We are very confident that we will be able to achieve it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vivek Partheeban: Thank you very much, Dolat Capital, and all of the participants that came together today to hear about our earnings and our story, and we look forward to being in touch with you. Thank you very much.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Notes:

Caplin Point Laboratories Limited

August 07, 2024

Page 18 of 18

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Nov 2024

Page 1 of 19

"Caplin Point Laboratories Limited
Q2 FY25 Earnings Conference Call "
November 7 , 202 4

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

MODERATOR : MS. CANDICE PEREIRA – DOLAT CAPITAL

Caplin Point Laboratories Limited
November 07 , 202 4

Page 2 of 19

Nikita : Ladies and gentlemen, good day, and welcome to Caplin Point Laboratories Limited Q2 FY25 Earnings Conferenc e Call hosted by Dolat Capital. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, plea se signal an operator by pressing star then zero on your touch -tone phone . Please note that this conference has been recorded. I now hand the conference over to Ms. Candice from Dolat Capital. Thank you. And over to you, ma'am.

Candice Pereira : Thank you, Nikita. Good evening, everyone. I , Candice Pereira on behalf of Dolat Capital, welcome you all to the Q2 FY25 earnings con call of Caplin Point Laboratories. I would like to thank the management of Caplin Point for giving us this opportunity to host the ca ll. Today from the management team, we have with us Mr. C.C. Paarthipan , Chairman; Mr. Vivek Partheeban, Chief Operating Officer; Mr. D. Muralidharan, CFO, Dr. Sridhar Ganesan, Managing Director; and Mr. M. Sathya Narayanan , Deputy CFO. I will now hand ov er the call to the management for their opening remark. Over to you, sir.

Vivek Partheeban : Thank you, Candice . Thank you, everyone. Good afternoon, and welcome to our earnings call to discuss the results of Q2 and H1 FY2025. Please note that a copy of all our disclosures are available on the Investors section of our website as well as on the stock exchanges.

Do note that anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript, along with the audio will be made available on the company's website as well as the exchanges. Please note that the audio and conference call is copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company.

I would like to now hand over the floor to our chairma n for his opening remarks.

C.C.Paarthipan : Thank you. Good evening, ladies and gentlemen. Welcome you all for investors call. You are aware of the results of our H1 FY2025 and my colleague will talk on the project, operation numbers and also the current bu siness of South and North America.

Let me emphasize on some of the new areas that we consider as real value addition for our company's sustainability and scalability. First, let me quote from Malcolm Gladwell. We have promulg ated the concept of 10,000 -hour Rule to become an extraordinary company in any field. We are confident that our hope create s the force to become the force multiplier in the years to come.

Now the new areas of value addition. First one, is Onco OSD. We have already identified two niche onco products for BE studies with hospital patients, not with the healthy volunteer. Most

of the companies of our size go for the healthy volunteer studies, which is not that expensive at the same time, it's also competitive in the market. The free hospital that we will complete in the Caplin Point Laboratories Limited
November 07, 2024

Page 3 of 19

next 3 to 4 months' time will be used for our BE study with the patient volunteers. This will be accurate and also cheaper.

We also plan to go for patented products where the patent expires in 2 to 3 years from now. The advantage will be that we will be one of the very few companies in the market too. Number two peptide. You are aware that some of the peptides are ruling the U.S. and the other regulated markets. Now we are also developing the peptides which are used for obesity and diabetes. These peptide injectables and tablets are for regulated and ROW markets.

N

Number three, insulin. Recently, our COO visited China, and we are in the process of signing an agreement with a leading Chinese company that not only manufacture the drug substance, but also the formulation. This will be imported and we will manufacture in Caplin Steriles. Once the DMF is ready the Chinese company will give the DMF and we will supply the drug substance and we will scale up and execute in our current facility. And also, we'll conduct most part of our clinical studies using our US FDA approved CRO and our free hospital.

Number four, biosimilar. There are a few mid-sized companies in China manufacturing and marketing biosimilars in Chinese market. Now that we also renewed our relationship with our erstwhile partner Jointown, which is the major distributor for many big and small companies in China. They cater to 18,000 hospitals in China. They also gave us a list of companies, and our COO met one such company in his recent visit, and we initiated the discussion for a partnership with this biosimilar company and our erstwhile partner with whom we renewed the relationship, we are also interested in this type of joint venture opportunities for regulated and ROW markets. The fifth one is NCE -1. Nowadays, the Chinese companies are increasingly becoming stronger in NCE -1 areas, which is nothing but challenging the patent with a change in process. And we also met a couple of people who are interested in these things, but we are still in the nascent stage and the discussions are on. And here, these networking opportunities are mainly due to two factors: A) we have been branding our office in China for the last 18 years. B) as I told you before, we reconnected with our erstwhile partner, Jointown, who is the second biggest distributor in that country.

The access to these companies becomes easy for them because they distribute most of these medicines in the Chinese market. They also told us there are companies who don't have the wherewithal to export their products. Hence, they need partners, especially from India.

The sixth one is specialty chemical. Jointown is also interested in identifying one particular specialty chemical, which is of huge volume in China itself. He has also connected us to a private R&D Promoter who worked as an R&D head in China for 12 years in a multinational company. Now he has created his own private R&D in India. He has the exposure of developing this chemical in the past. We are working on a proprietor partnership model for this chemical.

The seventh one is the medical devices and the hospital products. We found some niche products, mainly the medical devices, in China and India, and these products can be taken to our warehouses in years and which can be supplied to the hospital after we do some market study

Caplin Point Laboratories Limited

November 07, 2024

Page 4 of 19

about these products, prices and the sale. The Phase 1 is the intermediates in China that is Jointown facilities. The same can be manufactured in the form of intermediate in the Jointown facilities of China. And we will do the API, especially in the factories which we are going to complete in Vizag and Thervoy Kandigai and this will be used for our general and oncology injectables for captive consumption.

The eighth one is a software development, which we have already discussed with you earlier. It will not only be used in our own factories. We will also introduce the software in factories where they don't have this option. And we'll also outsource some of the products from these type of factories in the form of a counter trade and Jointown will also help us to identify this type of factories.

Finally, we are also looking for more and more private R&D companies in addition to our own R&D for complex and specialty products. What I conveyed to you are all long-term projects with a horizon of 3 to 5 years.

ears. We are confident of doing many of them as our cash flow is comfortable. Thank you. Now I'll pass it over to the COO.

Vivek Partheeban : Thank you, Chairman. So, I will touch upon a little bit on our Latin America, U.S. and our recent entry, which we call as our second innings into China. So obviously, our Latin American business, predominantly the Central American markets where we've been operating for nearly two decades, continues to drive robust growth and cash flows for us. Now as we enter into the slightly larger markets, we will need to be converting many of our current dossiers into CTD format dossiers, and that's the step that we've been working on, and we are confident in the next 6 to 9 months, the entire process will be completed.

What has been driving some of this growth in the existing markets itself would be introduction of new and more innovative products in markets where we already have established an excellent platform. Some of these would be prefilled syringe products where the existing product is in either an ampule or a vial, introducing a pharmaceutical soft gel in a space where the existing product is either a regular capsule or a tablet. So, these are all areas in which we are directly launching our products in branded generics segment where the margins are also high. and the viability lives for a longer duration.

And the next target for us, obviously, in Latin America is entering into the larger markets of LatAm, specifically Mexico, Chile and Brazil are the long-term targets that we've taken on as a company. When it comes to Mexico, we are happy to announce that we've filed close to 23 products right now. And it's a combination of many products that are from internal pipeline and also many that we have outsourced from other companies, specifically China.

In addition to that, we have also filed our first dossier in Brazil within a couple of months of passing the ANVISA inspection. We are comfortable that our latest partner in Brazil is the right fit for us, because this is a company that is also into injectables. But the complementarities are there. They are into large volume injectables whereas we are into small volume. And we know them quite well on a personal level. They are one of the top 5, top 6 companies out of Brazil. So, we are positive on this partnership.

Caplin Point Laboratories Limited

November 07, 2024

Page 5 of 19

So, the second one I would like to touch upon is our U.S. business. The current B2B business that's been continuing well for us is slowly going to be transformed into more of a B2C. We have already set up partnerships with 3 of the biggest wholesalers in the U.S. because almost 80%, 90% of the volumes are moved from these.

The third one is we have license of pretty much all the states over there as well. We have already set up our third-party logistics warehouse from where the first product has also been shipped out. Obviously, we need to be a little bit patient here, because as we aim to work predominantly outside of the big GPOs and IDNs, there will be some amount of slow progress in the beginning. But once we start establishing direct connections with the hospitals, with the clinicians, pharmacies, etc we feel that this is going to be very much more sustainable and where pricing can be firm, the forecast can be much firmer and we are much more in control of our destiny over there.

The B2B business continues to grow well. As we have expanded our capacities through Phase II, we will also be approaching our existing and new partners for some more progress in this field as well. We have launched 5 out of the 5 approved ophthalmic products in the last quarter. So that has also been helping in driving our top and bottom line from Caplin Steriles.

Our first ready-to-use injectable bag product will be launched in January. This is a segment where there's much lesser competition compared to regular vials.

Our prefilled syringe line from this facility, Caplin Syringe is also close to being qualified, and we have a lineup of about 6 or 7 products that we'll be doing exhibit batches for in the coming few weeks.

There is also a high level of automation that has already been achieved at the plant. Our LIM system, our SAP system, our document management systems have all been electronically managed for a couple of years now, which obviously aids in our good compliance record. But we are now adding to it, augmenting it as much as possible by way of moving towards electronic logbooks and also eventually electronic batch manufacturing and packing records where we can say that we are truly going towards a paperless journey. This will significantly help us in our already good compliance record.

Finally, let me very briefly touch upon some of the things that we are aiming towards our second innings in China because Chairman spoke about most of them. We have already tied up with a large and midsized company with regards to entry into biosimilars and biotechnology products for us. We are going to be focusing on insulin and first & second-generation monoclonal antibody products to begin with.

In the first stage, we are going to be targeting specifically the markets where we are already present in because the platform is already set over there, and we feel very confident that the

uptake would be welcome d. But overall we would be aiming towards the larger markets of Latin America and eventually the U.S. as well, as we move from being a generic -only product company to the next level of growth, which is into biologics.
Caplin Point Laboratories Limited
November 07 , 2024

Page 6 of 19

When you combine our entry into the larger markets of LatAm, our own label in the U.S. and our entry into oncology space and also backward integrated with our own API, many of these are exciting growth segments for us. We will have to be patient, like I said before, over the next, I would say, 18 to 24 months where it's going to be a stabilization and an evolution period for us. But post that, I think the company is really embarking on an exciting phase of growth. Thank you, and I request CFO to throw some light on financials before we open up for questions.
D. Muralidharan : Thank you, Mr. Vivek. Good evening, everyone, who have taken time off to join this investors call. Welcome once again. This is Muralidharan. The last investors call started by saying what is well begun is half done. Okay now that half the year is over, we have been able to sustain the growth momentum as against 16.1% growth in the Q1 versus Q1 of last year, the Q2 has grown 17.8% in the corresponding previous year. Overall, giving an average 17.0% growth in terms of revenue in H1 FY2025. So, we are well poised and what is sustained is scalable, and I think we will be scaling it up further. So, this is as far as the performance is concerned.
The revenue has grown by INR137 crores and people normally ask what is the contribution from the parent or core business and what is the contribution of the US, whether it is distributed or one-sided. Everybody has come into party. The core business has grown by 13%. New entity, which is the Onco Lab, which has just commenced production in March '24, has also contributed sizably to the turnover. They have just begun with a INR12 crores. And this year, we are hopeful of turning positive. The first year of full operations will become PAT positive and this is good news from the Caplin One Labs. And CSL has grown 40% from H1 FY2024 to H1 FY2025, albeit on a lower base.
And all the parameters, whatever we have been talking about sustaining 55% gross margin, EBITDA 35%, PAT 25%, all of that we have exceeded or sustained the percentages what we have claimed. And the cash accrual where our Chairman lays emphasis on

because that is our strength, we have been able to accumulate INR180 crores in the first 7 months and of which INR56 crores has been spent on the capex and INR123 crores is the accrual from last year cash balance. The cash balance INR916 crores what we had in the end of March has come to INR1,039 crores during March to September 30, 2024.
And all the entities are making profit and well set for a sustained and scalable growth and the expenses are under control, though the quantum may appear to be on a higher side, but in terms of percentage and the contributions made to each of the businesses, these are investments for future because our R&D expense also have been going up consistently. As a percentage, we are retaining about 4.5% to 5% of the revenue as R&D expenditure on an increased scale of business. So, this is it from me. And if there are any questions on the financials, we'll be more than glad to answer.

Vivek Partheeban : We can open up the floor for questions please.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Caplin Point Laboratories Limited
November 07 , 2024

Page 7 of 19

Tushar Manudhane : Sir, first, broadly on this China association, more so the way the kind of regulations that are coming from the U.S. government side. First of all, have we seen any resistance for the existing association with the Chinese, let's say, suppliers? And subsequently, strategically, as we are increasing this association for other portfolio, do you see that this as a risk to supply the products in the regulated market particularly U.S.?

C.C.Paarthipan: There are two ways to look at it. Sometimes back one of the Western economists said China is the country which you can derisk but not decouple. What we are planning to do or trying to do is, as I told you before, most of the places we will buy the API or drug substance or something in the form of semi-finished products. We will do the final activity in India, which means the product will be exported as an Indian product.

And when we buy the product, API or whatever it is from China, we don't go for a company which is not of that standard. Today, we are in a position to identify the company, A, as I told you before, we have been there for the last 18 years, B, like the company which I told you, Jointown, is considered as the No. 2 distributor of that country. So, we are in the right hands.

These are people who have a reputation, who are quality conscious. But I do agree with you, there is some propaganda, which also sometimes happens, it happens to any country for that matter. But what is important is the business model and then is it technically feasible and economically viable. That's what I feel is important while looking at an opportunity.

Tushar Manudhane : Got you, sir. But this is more like a political, so from that angle, I guess.

C.C.Paarthipan: It is better not to be controversial. We don't want to use any word that is almost political.

Tushar Manudhane : Caplin Steriles revenue for the quarter?

Vivek Partheeban: Yes. Satya, or CFO, can you please take that?

M. Sathya Narayanan: The operating revenue of Caplin Steriles for September quarter is INR92.42 crores.

Tushar Manudhane : Okay. And are we sharing the EBITDA PAT for this entity?

M. Sathya Narayanan: PAT for this entity for the quarter is INR12.60 crores.

Moderator: Thank you. The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: Congrats for a good set of numbers. Like three quarters ago, I asked the same questions on delays happening on capex plans. At that time, you mentioned about oncology API is delayed on account of some addition happened on land acquisition at Theravoy Kandigai. But if I compare the same time line given at that time

with the time lines as of today, there is still this time line gap that is increasing by two quarters.

Same thing happens in other projects like OSD facility. So, my question is whether is it due to any regulatory problems that we are facing or any anticipation of poor demand outlook or at Caplin Point Laboratories Limited

November 07, 2024

Page 8 of 19

execution level only, we are facing any lack of capabilities or any other hindrances. So kindly put some color on that, sir?

C.C.Paarthipan: Yes. Let me take this question. There is nothing in the form of regulatory issues because you see regulatory issue starts only after you complete your U.S. FDA inspection or no approval or any other regulated market approach. This is a new facility where we have already commenced the commercial production of tablet and capsules. We also got orders. We are in the process of exporting it.

This year itself, as our CFO said, we'll go for a breakeven. That is for sure. And it's also true, it is delayed. But anything that gets delayed, it's not that the opportunity is denied. Like when we are going for 4, 5 projects at a time, it is bound to happen, I hope you would agree with me. What is important here is not that we don't have any opportunity in the market, but on the same time, the priorities. Sometimes when you have too many priorities, organizing and executing the priority becomes the first priority. Like that, the first priority is to complete this onco project. Now the tablet -capsule, as I told you, we have commenced the commercial production. Injectable s start somewhere by April or May.

Then side by side, we also are working on API Vizag plant. It's likely to commence the commercial production by April or May. And then we have already started identifying a consultant by name Qualitas, who have worked with a leading pharma company. That's a company which we know very well. They worked there for 18, 20 years and started this consultancy company. Their exposure to project and operation is really good. They are assisting us and this will soon go on a faster scale.

Vivek Partheeban: So I will just add in supplement to that, just a couple of clarification points, right? While we acknowledge that there is delays in the API project, please note that these API projects are not for APIs to be sold outside. These are for captive use. So, when we don't have our own API, it means that we are going to be buying API from outside. So, the opportunities that we have in Onco or anything else is not actually being denied. It's being delayed.

In fact, sometimes it works in our favor also this way because in generic space, what happens is what was the market last year will no longer be the market next year. So those times, we actually have some information ahead of time that we can deprioritize those projects when it comes to API.

So, it's important to understand that what is going to be priority and what's going to be driving growth for the company is being taken care of first, which is our expansion in Caplin Steriles, our expansion into Onco OSD projects and stuff, but we are nearing completion for sure.

Aman Soni: Understood, sir. Like I was just asking from the like I agree, we are using internal funds for these projects. That's fine. But still the money that is getting stuck or the delays that are happening, if they are completed on time, that will add value to the shareholders only. That is fine. Secondly, Caplin Point Laboratories Limited

November 07, 2024

Page 9 of 19

sir, from the U.S. side, like someone earlier asked about the resistance from U.S. So, are you witnessing any near-term headwind on account of this?

Vivek Partheeban: No, I think when it comes to U.S., if you've seen from our numbers, we're actually growing quite well. And this is also despite the fact that all of our partners know that

that we are coming out with

our own label in the U.S. And to be honest with you, when it comes to specifically China, and any questions around that, we do not have too much of an exposure. In fact, we have very little exposure to the U.S. from China, right?

Because all of the products, 100% of the products are manufactured in-house. And to my knowledge, less than 20% of the APIs that we use in our ANDAs have Chinese source. And all the fast-moving products, we are qualifying a second source, which is not from the same country. So we're doing multiple steps. But the truth is, have we faced significant headwinds because of the fact that the source of an API is from China? No, to be honest.

Aman Soni: That's good, sir. Then lastly, on your partnership with Chinese companies for biologics and biosimilars. So how does the Caplin Point plan to leverage its existing distribution network in LatAm for these products? And are there any specific partnerships or any kind of agreement with distribution in place for Brazil and Mexico also?

C.C.Paarthipan: Use of products initially will start with ROW market. And then slowly, we'll graduate to various markets in Latin America and then move to North America. That is the take action plan. This one, as you know well, these are all for long term. There are a few things in the form of getting into ROW market is more of a short to medium term. But the rest of it, insulin, biosimilar, NCE - 1 and all, it takes time. But if you start now, it's like 10,000 Hour Rule. We'll have to go by that one. It takes time. At the end of the day, you make it also. That's why we become the force to reckon with.

Aman Soni: That's it from my side. I will join back the queue.

Moderator: Thank you. The next question is from the line of Rushabh Shah from Buglerock PMS. As there is no response from the participant, we will move to the next question. The next question is from the line of Aditya Pal from MSA Capital Partners.

Aditya Pal: Congratulations on the great set of numbers. Sir, quickly, wanted to get a hold on what would be the gross margin of Caplin Steriles? And I didn't get the number of EBITDA. If you can just call that out again for me, that would be super helpful.

M. Sathya Narayanan: Thanks for the question. The gross margin for Caplin Steriles for September quarter is around 37% and the EBITDA for the quarter is INR29.27 crores.

Aditya Pal: And is there any particular reason that the gross margin of 37% that it decreased so much? Is it because that we invested a lot in R&D and new products?

M. Sathya Narayanan: Sorry, my apologies, sir. The COGS is 37% and the gross margin is 63%.

Caplin Point Laboratories Limited

November 07, 2024

Page 10 of 19

Aditya Pal: That's it from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Ketan Chheda a retail investor.

Ketan Chheda: Hi, thank you for the opportunity. If you could just throw some light on the employee expenses. This quarter, it seems it's been higher when I compare the Q2 FY25 numbers with Q2 FY24 numbers. So if you could just explain what is contributing to this 26% increase?

D. Muralidharan: We have an ESOP scheme where the deserving employees are rewarded by the management and the employees are granted at the face value, which is INR2. And then the ESOP amortization happens on the market price as on the date of grant. This itself comes to more than INR3 crores, INR2.8 crores to be precise. That is an additional employee expenditure that happened. We granted close to 2 lacs shares in the current year. So that's the reason. This welfare, the retention tool or rewarding tool, whatever you call, is a major contribution to this. Apart from that normal increment to the employees, the on-roll employees the average of 10% to 12% is what has contributed to this.

Ketan Chheda: Okay. And

could you also throw some light on the other operating expenses? Because they also seem to be inching a bit higher as against the growth in the sales numbers. If you could help explain that.

D. Muralidharan: Yes. As I mentioned in the opening remarks also, our R&D expenses have grown. Grown significantly by more than INR 8-9 crores. And as you are following our company, last year, September, we decided that we will move our shipments to our subsidiary from FOB to CIF, the import form change, meaning that the freight charges are borne by the parent company because earlier subsidiaries were bearing the expenses. It is around INR 13 crores to INR 14 crores is what we have seen.

These are the two components and then as we are upgrading our facilities, department maintenance, building, machineries have gone up, and these are basically the reasons. And 1 ANDA we have filed in the current year this current quarter higher than the last quarter. And also, the U.S. entity, which is going to bear fruits in the near future, we have spent close to INR 4 crores.

The establishment, the employee cost, the license fees, all those things are accounting to INR 4 crores, are in general the numbers which account for the major increase in expenses. As I said in the beginning, these are investments what we are doing today. Be it ESOP, be it R&D, be it US all these are investments.

Ketan Chheda: Sure. And if you could just give me a count on the total employee strength from March '24 versus September '24, if that is available readily.

D. Muralidharan: I'm sorry, I do not have it right now. Probably offline we can give that number.

Ketan Chheda: Sure, not a problem. Thank you so much. There are no more questions. Wish you all the best.

Caplin Point Laboratories Limited

November 07, 2024

Page 11 of 19

Moderator: Thank you. The next question is from the line of Alisha from Envision Capital.

Alisha: Two questions. One, with respect to the U.S. business. Like we highlighted that as we're transitioning from B2B to B2C, it is patient. Are we trying to say that this business will probably flatline or witness some kind of contraction in the near term before it goes back on growth trajectory? And second part of the question is, are we still on track to do the USD 100 million revenue guidance by FY27 for the U.S.

Vivek Partheeban: So, as we move from B2B to B2C, in fact, it's probably a misnomer to say move from B2B to B2C because B2B continues to remain. And in fact, with our expansion in capacities, we might even add to it. So B2B will definitely be there. Our focus in the near term will not be diluted away from the B2B at all, right? Over a period of time, and there is no X number of years that it might happen in or anything like that. Over a period of time, over the long term, we expect Caplin Steriles to be a B2C company, just like how Caplin Point is, right?

So, I certainly don't see any flatlining. In fact, 100% of all the revenue that you see in Caplin Steriles today comes from our B2B business. And in the next 1 to 2 years, you will probably see that at still a very high number as we slowly make progress into B2C.

Now, when it comes to our B2C, we are also not going to go with the partners that we have because the partners that we have are very large players, very well-established players. And their areas are the GPO sales and the very large wholesaler sales and things like that and which are the areas that we are not going to be present in. We are going to be moving away from that and then trying to be direct to hospitals, albeit it might take a little bit longer time to establish, number one.

Number two, question on the numbers. We feel very confident about the pathway that we are taking in the U.S. If it happens in FY27 or FY28, it shouldn't matter too much to us, honestly speaking, because we are comfortable with the speed

at which we are going. Sterile product

manufacturing is one of the most highly critical areas in pharmaceuticals, and there needs to be a certain amount of stabilization, there needs to be very high levels of compliance, etc. So we don't want to stretch ourselves to be chasing numbers. So, a high-quality business is much more important, a highly sustainable business is much more important than purely on numbers perspective at this point.

Alisha: And as we also focus on scaling our B2C business, will the profitability of this business again get impacted in near term and then shoot up again, say, a couple of quarters down the line?

Vivek Partheeban: There will be expenses, right? I think the largest that we are looking at right now is the salaries. Of course, we do have a 5-member team in the U.S. It's not a very large team. I mean, by way of comparing it to the B2B business, I think on consolidation, you will probably not see much impact at all.

But profitability indeed will be better than the B2B business once the Caplin Steriles label gets established in the U.S. Because remember, today, for all the licensing deals that we are doing,

Caplin Point Laboratories Limited

November 07, 2024

Page 12 of 19

we are sharing 50% of the profit with our partners, right? So technically speaking, that should be accruing to us when we start doing it on our own.

Alisha: Understood. And my second and last question is with respect to our LatAm business, the new initiatives that the Chairman highlighted, will that require any incremental capex over and above what we've highlighted because a lot of it seems like we will be sourcing from China and like

you clarified, we'll be doing probably the finishing at our facilities? Because these are slightly more complex opportunities, by when will they start crystallizing for us?

C.C.Paarthipan: I would like to answer to your query. See, every year, as has been told by our CFO, we are in the process of retaining a deposit of, say, close to INR300 crores. Sometimes it's slightly higher, sometimes it's almost INR300 crores. So, the project that we do is not based on a debt-driven opportunity or something. It's more from internal accruals. And it's true that these projects which we said, not necessarily that you have to go for all these projects from the scratch. There are areas you can go for partnership.

This partnership model, which, of course, helps people as long as we understand it's more technically feasible and economically viable. And we need to conduct some market studies, which we already informed our people to find out the scope for such products, which, of course, will help us eventually.

And as far as cash flow is concerned, it is not going to affect our cash flow by getting into these areas, which I discussed during my speech. That is for sure. Because we will not be doing all at one point of time. You also know it's not that easy to do it also. The priority will be to the one which will strengthen our bottom line and also that will also add to our cash flow. That's how we look at it.

Alisha: Sir, I know that we are very mindful of cash flows and we will prioritize our projects. I just want to know, is this going to be capex over and above what we have already highlighted? And also, by when will some of these initiatives start crystallizing for us?

C.C.Paarthipan: Okay. What we will do is in the next two years, we will concentrate on the projects that we already committed to. Already we have discussed about it also. These things which you are talking more of it will be like asset-light model, which we used to have before.

Earlier we started with an asset-light model for generics. These are all specialty products, which we will do it like we may not invest in a big way. If necessary, we may invest in clinical trials or we may invest in bio studies, that kind of stuff. And t

hat too, we have a CRO, which has been approved by U.S. FDA.

We also go for a free hospital where the hospital volunteers more and that will also reduce our cost by 40% because most of the time when people go for hospital volunteer study or clinical study, that increases the cost when you go for a private hospital. So, I don't think this is going to cost us in a big way. And we are very aware of it, and we'll go step by step.

Caplin Point Laboratories Limited

November 07, 2024

Page 13 of 19

Alisha: So, in the near term, next 2 years, our focus will be on the larger markets in LatAm and growing our Caplin Steriles business?

C.C.Paarthipan: Yes. It will be focused on completion of all the projects in the form of a vertical integration. Most of the bigger companies are vertically integrated. We will also do that kind of a thing in the form of completion of all the projects starting from API formulations of various kinds. And then as you rightly said, move to bigger geographies for registration. The registration will happen not only from our own products, we'll also outsource as long as the company is approved by U.S. FDA or EU-GMP. It can happen from India; it can happen from China. It can happen from another country also wherever there is an opportunity.

Alisha: Great. Thank you and I will come back in the queue.

Moderator: Thank you. The next question is from the line of Rushabh Shah from Buglerock PMS. Please go ahead.

Rushabh Shah: So, when entering the U.S. market, you would like to cater to smaller players and not competing with the big ones. So, what would be the opportunity size and the target market share?

Vivek Partheeban: Yes. So obviously, it depends from product to product, right? But if I were to go by a general rule of thumb, you can assume that the three largest buyers in the U.S., the group purchasing organizations, they call them, the GPOs, control about 60% to 70% of the market.

Having said that, if you look at whatever is the latest shortage list in the U.S., close to 70%, 80% of the products are injectables only, right? So obviously, the rule of thumb doesn't give you a very clear picture because we feel and from whatever that we've done research so far, we feel that close to 40%, 50% of the market is not well serviced, right?

So, while we talk about establishing direct contact with hospitals and all of that, the only thing we need to ensure is to make sure that the switch happens, right? It might take a little bit more time because the whole market is very entrenched in the current system that they're operating in. But obviously, pretty much every buyer that we speak to is unhappy with the way the consolidation has happened especially the mid to smaller players are not getting the right amount of focus. They're not getting the right amount of interest from these larger selling companies. So, while it will depend on a product-to-product basis, I would say that there is a meaningful percentage of the market that is outside of these 3 large companies.

C.C.Paarthipan: I would like to add one more point here. Like when you keep your goods next to the customer in the warehouse, it may take some time to get the sales started. Once it started, there is no stopping. If you look at the latest concepts, which is going for front shoring and nearshoring, the idea is to keep the goods next to the country where there is an opportunity. That clearly shows there are companies which are going for warehousing model. There are also countries going for a kind of warehousing model, which is nothing but nearshoring and front shoring.

So, it goes on to say that what is important is keep the goods next to the customer. If the customer is a part of middle or bottom of the pyramid, one way or other, they are bound to come. What is

Caplin Point Laboratories Limited

November 07, 2024

Page

14 of 19

important is we have to increase the number of products over a period of time. Once we do that, automatically, the volume and value will come to the company when we create the value for the customer.

Rushabh Shah: So just a follow-up on that one. So why is that there are underserved hospitals in U.S.? Why any of the companies have not catered to NEM when they know there is no competition in that segment of the market?

C.C.Paarthipan: The issue is anything that you create in the form of unique has that been created by some other people. That doesn't mean what you have created as unique, is it long term or not. It may not be that successful in the sense in short to medium term. That is bound to happen because whether the country is actually South America, North America, any part of the world, the most important thing is the supply chain management. And if, once again, let me repeat, keep the goods closer to the customer, will the customer say no? Of course, besides because of certain things in the form of companies monopolizing, there are companies that are more of monopoly and near monopoly. But how long it can continue?

If that be the case, other countries after U.S., India is considered as the second largest destination for catering to the generics in U.S. Now that if you look at it, all the players who are there in U.S., they have been in the U.S. like 20, 22 years ago. We got products registered in 2016. The U.S. FDA first inspection was completed then. And now that we have completed 25 ANDAs, we will go for more and more products. And then the opportunity also will come to know by getting into the market.

In fact, the COO and other professionals are also there. They have been going to the market, understanding the market niche. And we are sure that we'll be in a position to make it. That is for sure. We are spending a lot of money and time on this project. Otherwise, we will not be very honest with you.

Vivek Partheeban: Yes. Another way also to look at it is if you draw a parallel to what we are doing in Latin America, right? Many people when they think about Latin America, they look at Brazil and Mexico, right, because these are two of the largest markets over there. So, if you had the wherewithal at the time, we have the kind of projects, we have the type of partnerships over there, then like the Americans call the right bang for your buck is, we want to get to USD 100 million in Latin America, you go to these two markets.

But we took the road less travelled and went to the smaller markets. While it took a little bit longer for us, what we have right now is much, much more sustainable. It's repeatable, measurable, etc. So that is also something similar to the question you asked. Why aren't many people looking at the smaller to mid-sized hospitals and health care clinics and stuff like that because it takes a little longer to do that.

C.C.Paarthipan: This one more important factor, which I forgot to mention. Today, the business in Latin America, the smaller geographies, we are doing very well mainly because of one factor called stickiness

Caplin Point Laboratories Limited

November 07, 2024

Page 15 of 19

factor. When you cater to the bottom of the pyramid, you can't afford costly drugs. If you can give a quality medicine at affordable cost, then your customer becomes your raving fan. Now what we have found in the last 2.5 years by staying next to the factory, next to CSL, the same way, if you can reduce the deviations in the shop floor and reduce the OOS in QC, this is being handled not by the people at the top. It's more of participative management, it has to be bottom up, not top down. And then you create a stickiness factor here. The same way once you create a stickiness factor in U.S., that will work. Thank you.

Rushabh Shah: Sir, my question is, you said that every time you launch a product

uct, your target is to achieve at

least 10% to 15% market share in each product category. So, in some products, you might have been successful. And some products you might not have been successful. So how much do you face in that?

C.C.Paarthipan: Did we say that we'll achieve 10% to 15% of the market share anytime? Because I don't remember. It's not easily possible everywhere. 10% to 15% of the market share, I don't think any of us would have told you that way.

Vivek Partheeban: No, I think you're talking about many years ago when what is our target in the U.S., I think we would have probably said that 10% market share is a decent way to start with. But that was many years ago, Rushabh. And honestly, the one other thing you need to take into account is the fact that our entire business in the U.S. today depends on how well our partners do, right?

So there are some products where they've occupied more than 10%. There are some that are close to 20%. There are some where they are only 2% to 3%. So, we're not really in control of how well the partners are doing, right? We can always have conversations with them, etcetera, but they are going to do what makes best sense for them, which is also one of the driving factors for us to take the bull by the horns and establish our own label over there.

When we talk about our own label in the initial periods, we're not going to be aiming at 10% to 15% kind of market share because this will require us to go down the well-travelled route of using GPO sales, etc. So, it will be single digits for us for a period of time until it becomes sustainable and we become sticky, then we remain very hopeful that we can get into double digits in a very sustainable way after that.

Rushabh Shah: Ok. Thank you so much.

Moderator: Thank you. The next question is from the line of Deekshant B from DB Wealth.

Deekshant B : Congratulations on very good numbers. Sir, I have two questions. First one being on our expansion into the U.S. So, as we are discussing that we are now going to go more from the B2C route and approach the hospitals directly, which will aid our margins. Is this the first step we are taking towards the expansion to the B2 B2C business?

And is this the route that we are taking, which is also considering that we were thinking of maybe in the future going forward with sort of a CVS pharmacy thought process. I'm just giving CVS

Caplin Point Laboratories Limited

November 07 , 2024

Page 16 of 19

as an example. But is this the first step towards that thought process? Or is this separate and that is separate?

Vivek Partheeban: I'm not fully clear about the question. Are you saying are we going to be forward integrating into getting into retail on our own? Is that what the question is?

Deekshant B: Yes. So, a couple of quarters ago, the Chairman sir has been talking about that we will be using our reserves maybe in the future, not immediately for like getting the right place to use our capital, and that may be into the retail business, not immediately. But my assumption is that the first step is to go 1 step down to directly to hospitals. Is that the thought process? Could you please expand on this?

C.C.Paarthipan: Yes. I'll give you the answer. It's not a couple of quarters ago, probably a couple of years ago, and you are right, we told you that way. And we have found that exercise has not been very fruitful. We also start up 50, 60 pharmacies to be very honest with you. What you observed is when we went to the bottom of the business pyramid, that's the retail, we found the retailers who used to support us are not in favor of us. They started telling us, please don't do this because that will affect our survival. Hence, we decided not to go ahead with that kind of retail sale expansion. So, we don't have any such ambition in the future. No.

Vivek Partheeban: We are more interested in the

distribution concept actually. So, if we were to invest into something like that in the U.S. or even Latin America, we'll be much more comfortable in the distribution aspect of it, not so much in retail per se.

Deekshant B: Okay. So a follow-up to this is, does that mean that then we will be expanding our team size and focusing more on creating a B2B distribution and probably catering to maybe smaller clients so that we can get similar sort of margin profile, but maybe a little bit more employee cost going forward? Is that the thought process? And the employee cost rising is okay because it will cover up in our operating margins in the years to come.

Vivek Partheeban: So, we have a fairly lean structure in the U.S. We have 5 people on board, and we will see how the business picks up. But eventually, I think we will have to grow the team because our endpoint is we want the products to be close to the customers. We're going to be eventually setting up 3 to 4 warehouses of our own in the U.S. and strategic points. So when that happens, I think definitely, the team will grow, but it's in early stages. We need to learn how to crawl and walk before we can run.

Deekshant B: Yes, sir. All big things start small. Sir, another thing is Mr. Paarthipan, can you give us a broader idea and nothing specific is required, but just a broader idea of how we are thinking of our

reserves being utilized. We currently have INR2,500 -odd crores plus. But what is it that you are thinking of our reserves right now?

C.C. Paarthipan: As we told you about the new developments in various forms like new business products, new business in the form of insulin biosimilars, getting into specialty chemicals, like we may not get into all ends, all the areas. But again, currently, the INR700 crores, which we have committed
Caplin Point Laboratories Limited
November 07, 2024

Page 17 of 19

that we will be deploying in our projects, it will take 2 years to complete everything, 2 -3.5 years maximum. By the time we will also be mature enough to get into the areas, which is very pertinent to our growth.

So the reserves that we talk about can be also useful in the future for buying the ANDAs but also going for acquiring the distribution company or maybe some other meaningful acquisition. So the money which sits in this thing, okay, I do agree with you, it has to be deployed, but at the same time, it has to be a calculated risk now. So that's why we'll be deploying it. That is for sure. We'll do it at the appropriate time.

Deekshant B: Okay. Okay. Sir, last question, it's a bit financial question just for bookkeeping purposes, is our cash flow cycle, our debtor days from 2020 has increased and they have not significantly decreased from that point of time. That our inventory days are still around 180 days plus. So, is there any significant change that we have seen in the last 4 years that is here to stay? This is also affecting our ROCE in some ways. So just a thought process exercise I want to understand, please.

C.C. Paarthipan: One portion of the answer I'll give you, then I'll ask my CFO to give you the answer. One is as we increase the sales you are bound to get into some institutional business, which, of course, slightly there will be a delay in payment and all that also contributes to this one.

Again, if we don't do that also, what will happen, people who participate in this type of tenders and the countries where we are operating, they are smaller countries, they will definitely tell us to involve in the tenders. So, we have to do. It is not that we are going to lose the payment or something. The payment we will get it, slight delays also is creating this issue. And rest of it, I'll request my CFO to talk on that.

D. Muralidharan: Thank you, Chairman. And let's amplify what Chairman said. See, if you see the, 2020 is the benchmark we are taking as t

he period when we brought all our channel partners, most of them rather, not all of them, 4 of them or 5 of them into our own fold and then we made them subsidiaries.

Prior to that, what was happening was moment the goods leave my factory, it is considered sales and then it is used to be inventory in transit of the customer, right? Now that we are doing it in terms of our own subsidiaries, the goods are my own goods. Either my own goods in the stand-alone book or in the book of the subsidiary. So that has significantly increased. And as we have been repeatedly saying for the nth time, goods closer to the customer has taken us to this level. Otherwise, we would not have been able to reach this level of scaling up in the last 4 years.

If you see last 4 years, the turnover has more than doubled, which is surely more than decent growth for any industry of our size, okay? So, of INR 327 crores, which is our stock, 50% is the warehouses in the Central American countries and then 20% in transit. So transit time is anywhere between 60 and 75 days and by the time it is available for sale is 100 days for the market. So, this is in my book.

Caplin Point Laboratories Limited

November 07, 2024

Page 18 of 19

And then the debtor, we take time to reach the warehouse and then have to realize the money. So obviously it will elongate the working capital time and as you know we are not stressed for working capital. We are not stressed for funds. We have more than adequate liquid funds. And this is the strategy which we have adopted, which is paying dividends. I think we should live with it.

ROCE, as we have said that this is not the only reason for drop in ROCE. We have been consistently investing. Last 8 years, if you see, we have done about INR 720 crores CSL where we have done more than INR 400-INR 500 crores just started breaking even rather some profit started adding to the kitty. And then INR 150 crores what we have invested in your Onco Labs will start yielding business in the next 1 to 2 years. So we have to have patience and perseverance, then we will see the fruit in the next 3 years.

Deekshant B: Got it. Got it. Just directionally, Mr. CFO, the thought process I was referring to is as we'll be expanding our warehouse also in U.S.A., will there be a trajectory where our inventory days, the

number is going to go up? Or is it going to stay stable? Just how are we looking at it going forward? I understand that we are changing the way that we are distributing our business. I just want to understand if it's going to further affect our cash flow in any extreme manner or even a slight deviation.

D. Muralidharan : What we told just now is applicable to the LatAm business. With respect to U.S., Mr. Vivek had already elaborated. I would like to add a few words here. In any warehouse in the initial stages, it's very difficult to predict whether we'll be able to sell everything, whether it is South America or North America. But going forward, when the business picks up, that will help the cash flow. That's how only it has happened in the smaller geographies of Central America, Latin America.

C.C. Paarthipan: Although they have a little issue or hiccup, it is there in any business for that matter, overnight, the generics cannot be sold. It has to create the acceptance. People have to understand that the warehouses are in a position to cater to their requirement because sometimes we also have to understand the market where to create our warehouses.

And then even if there is some issue, we'll have to shift from that place to another place. The warehouse can be shifted. It's not that it cannot be done that way. It's not a retail business where it is stationary. You can't move from one place to another place.

But these issues, which you said is all part of business. In any business, you will have a slight increase or like 5 days or 6 days o

r 1 week, it's not going to cost the company. What we don't have anything in the form of debt overhang. And as you rightly said, we also said we have enough cash reserves. So such is the case, I think this is not going to matter much in the long run.

Deekshant B: Got it. Thank you so much.

Moderator: Thank you. As that was the last question. I would now like to hand the conference over to management for closing comments.

Caplin Point Laboratories Limited

November 07 , 2024

Page 19 of 19

Vivek Partheeban: Thank you very much, everyone, for taking time out to attend our earnings call. We look forward to being in touch with you going forward as well. Thank you very much.

C.C. Paarthipan: Thank you very much.

Moderator: On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
2. Figures have been rounded off for convenience and ease of reference
3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Feb 2025

Page 1 of 17

"Caplin Point Laboratories Limited
Q3 FY25 Earnings Conference Call "
February 07 , 202 5

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN – CAPLIN POINT
LABORATORIES LIMITED
MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER – CAPLIN POINT LABORATORIES LIMITED
DR. SRIDHAR GANESAN – MANAGING DIRECTOR –
CAPLIN POINT LABORATORIES LIMITED
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– CAPLIN POINT LABORATORIES LIMITED
MR. M. SATHY A NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER – CAPLIN POINT LABORATORIES
LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Caplin Point Laboratories Limited
February 07, 202 5

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY 25 Earnings Conference Call of Caplin Point Laboratories hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Tushar Manudhane: Thanks, Steve. Good evening, everyone and a warm welcome to Q3 FY25 Earnings Call of Caplin Point Laboratories. From the management team, we have with us Mr. C.C. Paarthipan, Chairman; Mr. Vivek Partheeban, Chief Operating Officer; Mr. D. Muralidharan: , CFO; Dr. Sridhar Ganesan, Managing Director; and Mr. M. Sathya Narayanan, Deputy CFO. Over to you, sir, for the opening remarks.

Vivek Partheeban: Thank you, Tushar and thank you to Motilal Oswal for hosting. Welcome to our earnings call to discuss Q3 FY25 results. Please note that a copy of all our disclosures are available on the Investors section of our website as well as on the stock exchanges. And also do know that anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges. And do note that this audio is copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company.

I would like to now hand over the floor to our Chairman for his opening remarks.

C.C. Paarthipan: Good evening, ladies and gentlemen. I welcome you all to our Investor's Call. Most leaders who lead others transform not by deconstructing intricate complexities, but by exploiting unrecognized simplicities. It is true that our unrecognized smaller geographies of Latin America has created the fundamentals of free cash reserves at INR 1,081 crores and liquid assets at INR 2,042 crores and all other ratios that are unreachable by a company of our size.

In most cases, anyone can imitate a generic business, but nobody can imitate a business if it is built on your story. When our values influence our business, we always give a special light to our creation. This is how we created our foundational value of catering to the bottom of the pyramid.

When others focus sed on the top of the pyramid for the creamy layer, we created our creamy layer by catering to the bottom of the pyramid with good quality medicines at affordable costs. Now, we are also working with four non -negotiable s in our factories - integrity, quality, safety and productivity by teaching and training the middle of the factory pyramid.

Caplin Point Laboratories Limited

February 07, 202 5

Page 3 of 17

Now it's time to formulate our unquestionable consistency. We now understand our business can't simply go on piggybacking only on the smaller geographies of Latin Amer ica. We also can't confine to one or two factories , if you have to go for a grand slam. Hence, the following . Our next big targets are Mexico and Chile for the short term and also Colombia and Brazil for mid- to long term in Latin America.

Number two, we a lso started our frontend in U S and you are aware that no injectable company that created the front end has failed in the U.S. business . Number three, we are expanding our brand marketing in West Africa, which we are sure would increase

our business su bstantially.

Number four, we have identified two factories for oral solid, ointments and suppositories in Mexico for our contract manufacturing.

The advantage is to enjoy the 15% duty which is not applicable for local manufacturing. Further, we have identi fied some 10 products for contract manufacturing in Mexico. We also received 10 registrations from Mexico and filed 28 products and the dossiers for 40 to 45 products are getting ready for future.

Coming to the manufacturing facilities, two factories are u p and running. The two more, one for Onco i njectable and the other one for API will commence the commercial production somewhere in the month of April or May. Further, the OSD and Onco API will be completed, say, one or two years from now.

Now research and development. We've developed 80 to 85 APIs in our R&D for captive consumption. The same will be manufactured in China where they have excess capacity in some of the factories for high volumes. It will be an asset -light model for Caplin. In addition to our own R&D fo r various areas, we now engage two groups of private R&D for the following products.

One, semaglutide tablets, where the patent is expiring in many countries by 2026 . Two, MC -1, which is a new chemical entity which you also know, involves biostudies that can be conducted in our U S FDA -approved CRO, Amaris Clinical. The fourth one is specialty products we are developing in CP-1 which now, of course, are manufactured by Japan and sells a lot in India and China. Fourth is biosimilar. The toughest part of biosimilar is sourcing the API, which is the 90% of the complex activity. Formulating it in bio is just 10% of the job. We are talking to a couple o f companies for API and we'll do the formulation in our factory for the ROW markets. We already started outsourcing insulin from China for our L ATAM market. We'll look at the possibility of this business in the form o f manufacturing at a later date. Sixth, we are in the process of installing a double -chamber PFS machine with which we could manufacture prefilled syringe products for our unique business in Central America.

Seven, software development. The software devel opment for shop floor will also help us as a tool for counter trade with factories in few countries where we could exchange our technology free of cost in lieu of the products that we need to increase our portfolio of products. Business being disrupted fas t and it's time for us to be on the winning side, winning side of the disruption,

Caplin Point Laboratories Limited

February 07, 202 5

Page 4 of 17

I mean. The above models might take two to three years, but again, the built -in benefits will be immeasurable for future.

Finally, the geopolitical risk of pro tectionism and anti -globalization, As medicines are life -saving drugs whether it is for India or U SA, it's not life -threatening. Building factories are also not that easy. And moreover, 40% of the pharma requirement of US is met by Indian companies. And the multinationals they believe more in asset -light model in the form of outsourcing the API to formulation from India mainly and to some extent in China.

Some of the multinational generic companies have even sold their factories for meagre sum .

Hence, the focus on molecules for multinational is more on the R&D for new molecules and also for the meaning ful association for their actual business. They are not very keen to compete with the vanilla generics in ROW market as well as unregulated marke ts.

Finally, the one -liner. It is okay to struggle, but it's not okay to give up. Thank you. Thank you very much. I now hand the floor over to Mr. Vivek to give his speech.

Vivek Partheeban: Thank you, Chairman. So as usual, I'll delve into the topic of our regulated market business, the US. We are making good steady progress in the US over the last few quarters and

this quarter

continues to be no different. We have 28 approvals under Caplin's name so far. And we are pleased that we have an average timeline of around 14 months for receiving ANDA approvals compared to almost 20 plus months which is industry average.

So it goes to show that when it comes to R&D and also regulatory, I think we are doing things the right way. Now, the impetus is for us to ensure that all of these products are launched within the coming few weeks, and the company is very much geared up for the same.

Amongst the recent approvals, we've had two ready -to-use bag products. We've had about five or six ophthalmic products, which also includes one ophthalmic emulsion, which is a highly complex product, and we got that within the first cycle period itself. And we have in pipeline around 13 products that are under review with FDA.

We hope to receive all of these within the coming 12 months. And this is a mix of injectable suspensions, injectable emulsions, ready -to-use bags and also ophthalmic. So we are certainly in a strong position for continued growth in the next year also.

In addition to this, we are in active discussions with other players to acquire ANDAs in the injectable and ophthalmic space wherever it makes sense for us, both from a market angle and from a commercial angle. Going forward, I think the company will be focusing a little bit more on slightly complex products, including drug -device combinations, etc., and focus more on global launches.

In addition to U.S., we have also filed multiple products in non -U.S. markets such as Canada, Mexico, Saudi Arabia and recently in Brazil as well. I'll also give you a little update about Caplin's own label, which was recently launched in the U.S. We call it CSU, which is Caplin Steriles USA.

Caplin Point Laboratories Limited

February 07, 2025

Page 5 of 17

We're making good progress since we started our sales in November. We're up to a little over \$0.5 million in revenue within the first couple of months, and we're targeting to double this before end of the current financial year.

Going forward, all the products that we're getting approvals for will be launched using Caplin Steriles label. In addition to that, in due course of time, we will be on the lookout for other good molecules that we can in-license using the cash reserves that we have on hand, especially for focusing on targets where we don't have that in our internal pipeline or products that we cannot manufacture due to various complexities such as antibiotics, etc.

When it comes to the sales channels, our long -term objective is certainly to go as direct as possible, targeting these large markets, etc. But due to how the system is consolidated in the U.S., we understand that this will be more of a mid - to long -term target. It might be a little bit slower progress compared to what we have done in the past in Latin America, etc.

But our long -term focus will very much remain on how do we get closer to the customer. And our focus on compliance, supply consistency, enlarged production by way of automation and cost control through enhanced automation, etc., and our mantra of keeping the product closer to the customer always remains firmly in place, and we are very confident that the U.S. business, especially with our new label launch will continue to be one of the primary engines of Caplin's growth for the next three years to five years.

Thank you, and I hand over the floor to our CFO to throw a little bit of light on the numbers before we move out for questions, please.

D. Muralidharan: Thank you, Good evening to all of you once again for having taken time to join the investor call of Caplin Point Laboratories. This is the result for quarter ending December 2024 and nine months of FY 24-25. Chairman made a remark about the consistency being one of the traits of the focus areas in his remarks. So

we are very glad to inform that we have been consistently growing quarter -on-quarter, year -on-year.

So what will please the investors is what we achieved in FY22-23 full year revenue, we have achieved it in FY24-25 nine-month period, INR 1523 crores was the revenue for the whole year FY22-23, which we are almost close to that in FY24-25 nine-month period. And not only revenue, the PBT was INR 451 crores in FY22-23, we are already at INR500 + crores.

And PAT was INR 377 crores, we're at INR 396 crores. So we'll be consistently growing quarter -on-quarter, which enabled us to grow year -on-year as well. And while we focus on growth, we are also not losing sight on the other parameters like COGS, opex, etc., which enables healthy cash flow, what Chairman specifically mentioned.

So the COGS, which is about 48% in the year FY19- 20 has dropped to 40% over a period with

a lot of efforts from our shop floor, supply chain team and all the senior people who have been contributing to that. So the 8% of turnover is a huge number, which you would appreciate.
Caplin Point Laboratories Limited
February 07, 2025

Page 6 of 17

Operating expenses, despite our employee strength going up in the last four years, it has almost doubled still and other more factories coming up in place, our operating expenses are hovering around 25%, 26% of the revenue. So we have been conscious about keeping the operating expenses controlled, and we don't indiscreetly spend the money on any of the expenses. And then that shows the growth of EBITDA, PBT as well as the PAT. This quarter has been especially fantastic in terms of gross margin, 60.4%, which thus far is the second largest. Last quarter, we attained 60.9%. We are around the same. And then the EBITDA margins are at 36.9% and PBT is also 33.8%, PAT 26.7%.

For those of you who have been continuously attending our investors call, we have been committing only about 5% of gross margin, which we have surpassed over 500 basis points. And then the PAT, we have been promising about 25, which also we are surpassing. And then the growth normally how it comes, people ask in the investors call.

The parent company has grown the conventional LatAm business by about 14% and U.S. business has grown by 23%, giving an average of 16% revenue growth. Total revenue grew by 16.7%, about 17%. And as we mentioned in the last quarter call, oncology business has come into play.

They have already turned positive. They have delivered a turnover of INR 34 crores and returned positive, this is the first full year of operations for the company. And U.S. business also has been doing well.

And the exchange rate has helped, but not to a great extent. People may think that exchange rate has helped us in a great way to realize this profit. Out of about INR 195 crores increase in the revenue, if I may say that it's about INR 18 crores, which is about 10% out of INR 195 crores, INR 18 crores is the average increase in the realization account of U.S. dollar appreciating against the Indian rupee.

So, we have a very healthy liquid assets. We have very healthy cash balance to fund our projects on hand and then what we have been contemplating as Chairman had briefed about the acquisitions and then establishing factories abroad. So all of this will be funded through our own internal accruals and then we are a zero debt company. And this is it from my side on the Q3 financials.

We would be more than glad to take any questions on this. Thank you, and over to Mr. Vivek.

Moderator: The first question is from the line Garvit Goyal from Nvest Analytical Advisory.

Garvit Goyal: My first question is, you mentioned in the presentation that meaningful revenue is expected from non-U.S. business in FY 26. So can we finally say like our efforts in the last two to three years are going to generate fruits in FY 26? And can we expect significant top line and

bottom -line

growth in this year? Like is it going to be the inflection point for Caplin here onwards? Can we expect to grow like at a higher pace than the previous year, sir? So that is my first question.

Caplin Point Laboratories Limited

February 07, 2025

Page 7 of 17

C.C. Paarhipan: Okay. The current business that we are doing will continue to be actually more or less same. And the inflection point is there, but that doesn't mean actually we'll be in a position for a quantum leap at this juncture.

I already mentioned in course of my talk that it will take two to three years for us to complete the registration, complete some of the projects so that it becomes vertically integrated, starting from actually, as I used to say, in the form of manufacturing key starting materials, then comes API between intermediates and formulation.

The same way we are also creating actually front end. And most of the business which we do know, we create our own warehouses, like some of the countries which are doing in the form of front-shoring and nearshoring, which, of course, is to export the products from one country to another country. So the model and the business that we do is in line with the right direction for actually a quantum leap.

Garvit Goyal: Understood, sir. And secondly, on the U.S. imposing tariff on China. So can you please highlight like how it is going to impact our sales in Caplin Steriles?

C.C. Paarhipan: We don't sell any medicines from China to U.S. now. We don't do any business that way. We don't do any export from China to U.S. We do only to Latin America.

Vivek Partheeban: Yes. And in addition to that, I think impact at this point, it's too early to say because I think we

don't know what is exactly going to happen in terms of when the enforcement will happen, but at this point, India seems to be out of the picture. But as Chairman said during his speech, close to 40%, 45% of all the generics that goes into the U.S. are manufactured in India.

And these are low-cost, high-volume generics. So does the U.S. have the capacity to take them all in-house for the short to medium term? Absolutely, I don't think that to be the case. But it is a work in progress. We need to closely monitor the space and also make sure that we are adequately derisked against any sort of geopolitical measures coming into play.

C.C. Paarthipan: Yes. Our impression is that medicine is the last one to get affected or the least one to get affected. I don't think actually they will jump on that one because as I told you in course of my speech, it's all lifesaving. There is nothing in the form of life-threatening to anybody.

Garvit Goyal: Understood, sir. Understood. And one last question is on Caplin Steriles only. Like we grew our top line in FY 24 by almost 50%. And at the start of this year also, I think you mentioned that as the base was high, similar kind of numbers, 50% was not expected.

But sir, if we look at first nine months revenue growth, it is almost 23%, which I believe like lower considering that it is going to be a growth engine for us, coupled with the new markets that we are entering into. So going ahead also, like is it like CSL to grow at this kind of CAGR only? Because if I remember correctly, we were targeting around USD 100 million of sales by FY27. So if we are going like this, it seems a little tough to achieve that.

Caplin Point Laboratories Limited

February 07, 2025

Page 8 of 17

Vivek Partheeban: Yes. So see, the thing is, obviously, the base effect comes into play at this level already, right? Because we are talking about with the equivalent number of products that we have year-on-year, what exactly are we going to achieve. Now, in the U.S., especially, it's not going to be as linear as we expect it to be.

But what will put us in a very good position for the next year is the fact that we have close to

nine or ten products that we expect approvals for. Now, all those approvals will not come in one shot, right? It happens throughout the four quarters. So while we remain very hopeful that most of them could come within the first half of the year, this is not really in our hands at all. Are we in a much, much better position compared to last year? Indeed.

Have we already achieved our objective of launching our label in the U.S.? Are we moving towards our future in our own hands rather than waiting for B2B partners to come in and place orders and then sort of piggybacking on their success? We are making progress in all of those departments.

But when it comes to numbers, we don't want to be very specific as to what we want to give guidance for next year. Our overall target of hitting \$100 million by FY27, FY28 is something that is very much we are confident about. We'll have to see how closely we get to those numbers.

But I think year-on-year is a good way to look at the company. I think 25%, 30% is still very decent numbers if you're looking at a company that's already at over INR 300 crores in revenue.

C.C. Paarthipan: Yes. I would like to add some more here. If you look at the U.S. facilities and exports to U.S., there are early entrants as CMO, contract manufacturing organization. There are late entrants as CMO. The early entrant CMOs, we know very well, there is one company in Hyderabad, which is doing extremely well. There are other companies also in Hyderabad, which are very famous in the form of CMO and CDMO in AP I.

But the late entrants in the form of CMOs is more of a survival volume peak. Coming to early entrant of CDMO, only some of the technocrats have gone into that line. and some big companies are also into that business. But there is nothing in the form of a late entrant in CDMO, except one or two companies. But the companies had created their own front-end presence, especially the injectable companies. That's the reason I told also in course of my actual speech, there is no one who has really lost money. On the contrary, they all have done well in U.S. business.

Moderator: The next question is from the line of Aditya Pal Singh from MSA Capital Partners.

Aditya Pal: Congratulations to the team for a good set of numbers. Sir, I wanted to understand, so we're posting really great numbers on the margin front for the last couple of quarters. In your sense, is this peak margins? Can we do better? Or do you see us reverting to the mean doing 28% to 32 - odd percent EBITDA margins once our gross margins correct, if that is a possibility?

C.C. Paarthipan: We are confident that going forward, the margins will not become marginal, and it will be comfortable the way in which it has been happening. But after 3, 3.5 years, we are sure that we'll continue to do, better than actually before.

Caplin Point Laboratories Limited

February 07, 2025

Page 9 of 17

Aditya Pal: Understood. Sir, and I understand that you had said that FY20 - FY221 revenue will become FY28 profits. But I just want to get a sense that so now say 3 to 4 years out, our base business being Lat Am, ROW, then a new business that is coming up, which is Caplin One, which is our Onco facility and the Caplin Steriles, which is more towards the regulated market. How do you see the revenue split being there? Because Caplin One Labs and Caplin Steriles will be the one that will be driving the growth in the near term, if my understanding is correct. So how do you see the growth rate for these three businesses?

C.C. Paarthipan: Normally, the market needs varieties, volumes and then attractive price. That's how it goes actually, especially in ROW market, the quality also matters. Coming to U.S. again, as I told you, it should be in the form of different buckets, it will constitute a bigger basket, but that will happen over a period of time.

I hope you would agree with me, success

doesn't happen actually overnight, it happens over time. So that's the reason we also told you like every year, we'll be adding products to our existing portfolio. As we increase our generics in U.S., the sales is bound to happen because of our front-end presence.

Coming to Latin America, we are not confined to the smaller geographies. We are entering into the bigger geographies. Shortly, maybe two years from now, we'll be one of the best players from India in Mexico and Chile. And medium to long term, as I told, actually, it will be Brazil, Colombia and Uruguay and other countries. Slowly, we will actually spread our presence in all parts of Latin America over a period of three to four years' time.

By the time U.S. business also will evolve in a big way. And I hope you would agree with me once you have all the products in the form of liquid oral suspension, tablet, ointments, powders, injectables, everything, and then you have four, five factories right from API to actually formulation with CRO and then R&D, if you keep a stall in CPHI, that itself actually attracts the customers who come there, they will understand the difference between a midsize company and a larger company.

They also know a midsize or small-sized company like ours can also build products like a big company. I think that stands as a very big opportunity for us maybe two to three years from now in addition to what I have told you also.

Aditya Pal: Understood. And if we were to quantify LATAM plus ROW, Caplin Onco and Caplin Steriles.

So can we comfortably say that LatAm plus Caplin Onco can grow at 15% to 18%, and Caplin Sterile will continue at a 28%, 30% revenue growth run rate. Is that fair to assume?

C.C. Paarthipan: It's difficult to categorize because sometimes what happened actually, surprises are always there in the market. You get business sometimes actually in Onco, sometimes you may get actually in Caplin Steriles. But eventually, we are 100% sure we will continue to maintain what we have been maintaining till now. And as I told you again, it's a question of three, four years before we really actually go for a grand slam.

Caplin Point Laboratories Limited

February 07, 2025

Page 10 of 17

Aditya Pal: Understood. Now looking at your strategic initiatives on the capacity front, that definitely looks doable.

Moderator: The next question is from the line of Ashita Gupta, an individual investor.

Ashita Gupta: I just wanted to ask about the domestic share of the Caplin Point Lab for India and what are the scope we are discussing on growing our domestic market share?

C.C. Paarthipan: We don't do any domestic business, madam.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: Sir, firstly just a bookkeeping question. If you could share Caplin Steriles revenue and margins of the quarter?

N. Sathya Narayanan: For the quarter ended December 2024, the revenue from operations of Caplin Steriles is INR 87.8 crores with EBITDA of INR 24 crores.

Alisha Mahawla: Understood. And if you could also help us with an update on where are we in terms of our entry in the Mexico and Chile market, while we did talk about it in our opening commentary that this is a big target in the short term.

And now we have more than 10-plus registrations maybe even identified manufacturing facility.

So can we expect that we are going to enter these markets in big way in FY26 onwards? Would we slowly start seeing the ramp-up? Or is it still another six, eight quarters away?

C.C. Paarthipan: Yes. See, the current business in fact, actually, the business is going to start in the form of a consistent one starting from July. We have appointed a person to have exposure in Chilean market. In addition to Chile, he is going to cover other markets also like Brazil and Uruguay, Paraguay and all, we will start the regi

stration then.

Chilean business will start, as I told you, in the middle of actually this year. And Mexico, we are going to get some orders because we participate in the tender. So the business is coming in bits and pieces so far. The real growth will start maybe one year from now. This year, we expect a substantial increase compared to the previous business in Chile. The Mexican business will start from next year.

We got only ten products registered. We are going to start some CMO opportunities, look at some CMO opportunities in Mexico itself. And many products are in the pipeline. Some are already there in the Ministry of Health. So it will take one year for us to actually show some substantial revenue from these two geographies.

Alisha Mahawla: Understood. This is helpful. Next question is on Caplin Steriles. The revenue for this quarter, as CFO sir mentioned is about INR 88 crores, which is largely flat versus last year and slightly lower than the previous quarter. How should one understand this?

Caplin Point Laboratories Limited

February 07, 2025

Page 11 of 17

And also I believe somewhere in our conversation, we mentioned that we're waiting for new product approvals or ANDA approvals. So is it that the existing portfolio, this is the kind of growth one can work with and with newer approvals only we'll be able to see growth next year?

Vivek Partheeban: We should remember that we took a conscious call as a company that we are going to be launching a label of our own in the U.S., right? So when that be the case, at least almost around eight to nine months ago, we stopped doing these exclusive deals where we take on a large milestone payment upfront.

Now, we knew that this was going to be a pivot in our business model. It's going to be a shift in our business model where we want to replicate what we do in Latin America in the U.S. as well. So at some level, you can expect a certain amount of moderation in growth when it comes to this year because we no longer do any exclusive partnerships, we no longer take any milestone payments or even large royalty payments or anything upfront.

Now, this is going to be important for us for a mid - to long term because what happens is for so long, we've been working on a business model where we do a transfer pricing and there's a milestone and a profit share where we share 50% of the profit with the front -end partner.

Now, why I say mid - to long term is that over the mid - to long term, that 50% that we've been sharing over the last few years, it accrues directly back to us now. So this is more of a strategy shift that we have taken consciously, and this will pay good dividends for us going forward.

Now, for all of these nine, ten products that we expect approval for this year, like I mentioned, all of them are going to be launched in our own label. Of course, a couple of them will still be semi -exclusively launched with our existing partners where we think some of them have a very good standing in the market like Fresenius, et c. But most of the others are going to be launched on our own. So this is a conscious strategy that we took on, and we think this is going to put the company in a much stronger position in the years going ahead.

Alisha Mahawla: Understood and well explained. Just to understand this slightly better, maybe you could just refresh us with how many products or how many approvals do we have in CSU versus Caplin Steriles, especially, which would be our own label and how many of those have been launched and what is the pipeline?

Vivek Partheeban: Yes. So CSU doesn't have any products of its own. It's just a front end. It's a marketing arm of the company, right? So everything belongs to Caplin Steriles. Now, we have 28 approvals in Caplin Steriles under our own name. We have about 14 products under review with FDA and we have a bunch more that we are developing, right?

So out

of what we have under our name, we have already launched 11 products, but obviously, they were not launched on day one, right? So we want to make sure that we give the right amount of time and importance to each and every launch. We want a qualitative launch rather than quantitative.

Caplin Point Laboratories Limited

February 07, 2025

Page 12 of 17

So we have had 11 products out in the market with our own label. But before the end of this financial year, that will jump up to almost 20 products that we'll be launching. Before the end of next year, we'll have close to 50 products that we will launch with our own label.

Alisha Mahawla: Understood. And just one last question. So this transition that we're doing, like you said, by having the products in our own name and selling it front end, this should ease out in one or two quarters? Or will it take slightly longer? And for FY26 also, it will take some time as we rationalize this and then the growth in the U.S. market will be visible again.

Vivek Partheeban: So of course, we don't want to put a number to it in terms of what we expect to do. We want a highly qualitative growth, see, just to give you an idea, we broke -even and went cash flow positive about a couple of years ago. But despite a much heavier spend on opex, despite a larger spend on ANDAs and we've also come into the big category because we are over 20 ANDAs and such. So despite all of this, we have still been able to live within our means. We've not gone back to the parent company for any of the working capital requirements, et cetera. Now, the only thing that we owe from Caplin Steriles to Caplin Point is the capex loan that we've taken, and there's been nothing else after that. And in the subsequent years, with Caplin Steriles label and the requirements in terms of cash flow for the chargebacks, et c, that we are doing in the U.S., we're fairly confident that we will still be able to support that with the existing cash flow itself.

So all of that translates to the fact that we've actually been growing quite well, and there's also adequate cash flow in the subsidiary as well. So I don't want to give an exact number to it. Like Chairman also said in the previous question, we know that it comes in leaps and bounds, right, at some level.

But we just need to be patient. We need to make sure that our compliance and productivity being two sides of the same coin remains in place. And then anybody that has this larger portfolio that's working on this larger portfolio of injectables and ophthalmic products in the U.S., I don't think there's any case study of people that have missed out. So we remain very confident of that.

Alisha Mahawla: No, I appreciate that. I'm not asking for the quantitative answer. Just trying to directionally understand that how long will this transition period last and it could just be directional.

Vivek Partheeban: Alisha, our B2B business will continue, no doubt about it. I don't have a percentage as to what it's going to be in the next five years. Our B2B business will certainly continue because, look, there are some pockets of the market, which are very much favourable to the largest companies. So those are the ones that we don't want to stay outside of because they are very cut throat in terms of pricing and in terms of failure to supply and all of that. Because what happens is that larger companies have a significant portfolio and they go specifically towards GPO contracts and so that's a part of the market that we don't want to be playing in.

So I don't have an answer to when the transition will be completed. It probably will not be entirely completed at all, right? Because we want to make sure that our capacities are put to full Caplin Point Laboratories Limited
February 07, 2025

Page 13 of 17

use because we are also expanding our capacities in Phase III, having five more

lines. So we

will always do B2B business. We will always do some amount of CMO, but the focus and the precedence that we are giving to our own label will obviously take a front step from here onwards.

Alisha Mahawla: And how many cut-offs are currently with a partner where it will not be under our own brand name or our own contents?

Vivek Partheeban: So there's only two products where we have plans to launch only in Caplin Steriles label and not in any other partners at all, but going forward, almost all of them will be in our own label only.

Alisha Mahawla: No, I'm saying currently, how many ANDAs products launched are with the partner?

Vivek Partheeban: All of them. Out of the 28, I think close to 25 have been launched, three are under launch preparations right now. But yes, they've all been launched with partners. So remember, Caplin Steriles label is few months old, right? So whatever business that you're seeing right now outside of that \$0.5 million is all B2B business, right? So you can imagine that the existing B2B business is easily the lion's share of what you see in terms of revenues today.

Alisha Mahawla: Understood. And just one last question, the steep increase in employee expenses on Y-o-Y basis that we're seeing north of 25% in last two quarters, would this be pertaining to the front end, the front-end expenses?

Vivek Partheeban: The front-end expenses till date has been around 1.9 million that we've infused from Caplin Steriles India to CSU, Caplin Steriles U.S. That's the only expense that we've incurred in setting up the front end, all of the 50 state licenses, all of the third-party logistics setup and the fees for the wholesalers, salaries, et cetera, all of that put together since February of last year has been around 1.9 million.

Alisha Mahawla: Would that be the reason you're seeing the steep increase in employee expenses? Or is there some other reason also?

C.C. Paarthipan: Yes. I would like to add one here. See, now, we are going for more and more factories, especially on the shop floor, we are going for women empowerment. The factories are there next to actually the villages. And here, in addition to the employees, which we have currently, we are adding a greater number of women, and it takes time for them to get trained.

The women in the rural areas are more disciplined, more diligent. With the result, we are employing more and more women not only on the shop floor, but also for analysts and QC and

also for BET and sterile and micro. That's one of the reasons actually there is an increase. Plus we have also taken some new people, one actually to take care of some for the development of software. And like that, we've been increasing the people. It's not that you can go for people at the last minute when we are about to launch your products or when we are going to go for a commercial production. So you have to take people in advance. That may be one of the reasons. However, I'll ask our CFO to give you the correct answer.

Caplin Point Laboratories Limited
February 07, 2025

Page 14 of 17

D. Muralidharan: Thank you, Chairman. I'll just amplify what you said in terms of numbers. The actual growth appears to be higher, in terms of quantum, it is about INR 25 crores is what gone up is account of three or four reasons. One, the U.S. business at our subsidiary, Mr. Vivek mentioned about 1.9 million has been funded, out of this employee cost is about INR 5.36 crores which was not there last year. Caplin One, which is a new entity consumed INR 3.23 crores, which was not there last year.

And ESOP expenses is about INR 5.3 crores over and above last year. And Lat Am market where subsidiaries are there, INR 3.69 crores, these are basic increments. CPL is the parent entity here, INR 4.96 crores. So our increment is around 10% to 11% on the employees. And as we put it, there have been additions to the empl

oyment in terms of number also at higher levels, and there have been separations also.

We can do a reconciliation, but not during the call. But this is the major breakup for the increase in the employee cost, though the number appears to be more, the new additions, new additional units have contributed and ESOP expense has also contributed.

Alisha Mahawla: Understood. Understood. This was helpful. And what would be the tax rate for the year?

D. Muralidharan: 20% will be the tax rate, effective tax rate on a consolidated basis for the company. And the good news is that as we stood at two years back, the incurring losses has turned profitable and then we'll have to think C O L very first year, they are profitable and we will be more than happy to pay taxes. I hope you would agree with us.

Moderator: The next question is from the line of Sachin Kasera from Swan Investments.

Sachin Kasera: I had a question on the Caplin Sterile. What percentage of revenue right now is coming from U.S. and how much is coming from the non -U.S. markets?

Vivek Partheeban: I would probably say 95% is U.S. at this time, Sachin.

Sachin Kasera: And over the period of next three to four years, how should we see this mix changing? Because I believe the presentation mentions that we are doing a lot of filings in other developed markets.

So if you could give us some sense on the growth in the non -U.S. developed markets for Caplin Steriles?

Vivek Partheeban: Yes. It all depends on how quickly we get some of these registrations out. But by and large, you can imagine that it will be a U.S. -heavy revenue breakup. But I don't have an exact number. I mean, the Caplin Steriles as an entity is quite unique in the sense that it's not a CMO, it's not a licensing company. So we're a hybrid of a front -end company with a solid back end. So, unfortunately, there's not any comparables also that you can look at in India. But I would say that it will be very U.S. -heavy in terms of revenue.

Sachin Kasera: Sure. Secondly, you mentioned that right now, almost like 99% plus of revenues coming from B2B because the B2C has just been launched in the U.S. How should we see this mix in the next

Caplin Point Laboratories Limited
February 07, 2025

Page 15 of 17

three years? Should it be more like 50 -50, 50% coming from the B2C part, which is where we sell on our own front end and the remaining through B2B in Caplin Steriles?

Vivek Partheeban: Yes. We have a long -term aspiration to be very much in control of how we do our business in the U.S., how Caplin Steriles works in the U.S., right? So definitely, as you can imagine, as we launch our products, as our products come into the market, they go through the wholesaler channel, they go directly to the health systems and all of that.

You can imagine that the larger companies that do business with us will start to take notice and they may not do any more deals with us. In fact, we are also not approaching them to do any newer deals. So naturally, there will be some amount of plateauing in terms of our B2B business. How quickly does our own label catch up with it and how quickly the scale shifts in that direction is entirely down to our launches and our capabilities, our progress in the U.S. So once again, it's very difficult to put a number or a percentage down. But you can imagine over the next three to five years that our own label will certainly be larger than our B2B business.

Sachin Kasera: Sure. My next question is for the Chairman. Chairman mentioned about four products, which

we are developing. Can you give us the sort of the revenue potential from each of these in the next three to four years?

C.C. Paarthipan: It's too early to actually comment on the revenue projection, because these are products, as you know well, the markets are very dynamic. And then how many players will come in the next three, four years, actually,

we will not be in a position to predict.

But one thing which I'm very sure, these are the products where the competition from our peers, the companies of our size will be next to nothing. See, until now, we have been competing with companies of our size. Now we are in the big boys playground. We need to position ourselves in a unique place that alone can take us actually to the next orbit.

But giving the numbers at this stage, I think it's too premature for me to comment on that. We will do well. We are sure because if the best one is called as number 1. But the unique actually, as you know well, it's only one. So we want to position ourselves as a unique company.

The numbers automatically will follow, we are sure to do well. That's the reason I told in course of our discussion, in course of my speech, the markets which went initially are not the market which has been noticed by others. The same way we are looking for opportunities, not only in terms of these products, also in terms of the markets. That's one of the reasons wherever we go, we don't sell to -- we don't enter into B2B. We go for our own warehouses. I'm sure we'll do well. I'm not in a position to give you the exact numbers, please.

Sachin Kasera: Sure. But if you could share some sort of a tentative timeline by which you think all these four will get commercialized in the next 12 to 18 months or in more like a 24 to 30 months sort of a time frame?

Caplin Point Laboratories Limited
February 07, 2025

Page 16 of 17

C.C. Paarthipan: Yes, it will be 24 to 30 months. But again, yes, the 24 to 30 months is better to actually tell the outer limit rather than telling you like 12 to 18 months for that kind of stuff. It will be 24 to 30 months. Here, what happens, when you get into a larger geography, the registration is cumbersome.

And then when it comes to developing a product also, which is high tech that involves not only the R&D, but also like some kind of CRO activities, the BE studies, then, of course, the dossiers have to go. So at times, there will be a lot of questions asked from the authorities and we have to answer. So 24 to 30 months would be the best period, 24 to 30 months.

Sachin Kasera: Sure. And just from an aspiration perspective, how do you see the contribution in next three to five years from some of the newer geographies like Brazil, Mexico and Chile versus where I think right now, the contribution is fairly small. But do you think that in three to five years, the contribution from some of these new geographies could be very large?

C.C. Paarthipan: I'm sure, I'm confident we should do at least actually double the business of what we do in next five years. I'm talking of only the Latin American business that we do. These all put together, the population may be lesser than Tamil Nadu. I'm sure it's less than Tamil Nadu, not, maybe. And these are like one geography like Mexico itself is like double or triple the population of the Central America, and Brazil will much, much bigger. But before we go to Brazil, we'll do very well in Mexico because I worked in the market, we are focusing on the market actually.

There are two types of market. One is the institutional business, the other one is the private market. And most of the Indian companies, of course, they have established at least 10 or 12 companies are established, but they don't go directly. See, in countries like Central America, we replace the importer. In countries like Mexico, we'll replace the wholesalers. So that's an advantage which would create because we have worked in the market, we'll go and work again and then create a niche there.

Sachin Kasera: Sure, sir. And just one last question. I believe we have some investors in Caplin Steriles. So what is the timeline in terms of either going in for listing or buying back their stake? Or if you could give some sense on that?

C.C. Paarthipan:

Yes. That, of course, we haven't discussed, and they are also happy. We also continue to do our work there. I even shifted my headquarters from Chennai to next to the factory. They are so comfortable with us. They never brought this subject. We also never thought of that one. And it has to happen. But when it will happen, we are not in a position to tell you now. It will happen.

Sachin Kasera: Sure. Sir, just one last question. We have been talking about doing some acquisitions and utilizing this INR 1,000 crores plus of cash and liquid that we have. Can you give us some update on what is the progress there? What type of opportunities we are looking at? What could be the size of acquisitions, which areas we are looking in there?

Caplin Point Laboratories Limited
February 07, 2025

C.C. Paarhipan: Yes. Considering the anti-globalization and protectionism, which is actually working in many of these countries, the best is to think of acquiring some domestic company where they have a domestic presence. This is one thing which has come to our knowledge in the recent past. And then when we go for domestic presence, the advantage is we can even choose some people from the domestic business and put them for brand marketing outside the country also. Currently, we are more into generic, as you know well. It will also help us to get into brand marketing in overseas countries, too.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Vivek Partheeban: Thank you once again, Motilal Oswal and to everybody that had joined us for discussing the results, and we continue to remain very confident that you will join us in future calls as well.

Thanks for your time. Thank you.

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

C.C. Paarhipan: Thank you. Thank you very much.

Call: May 2025

Page 1 of 20

"Caplin Point Laboratories Limited Q4 & FY '25
Earnings Conference Call"

May 15, 2025

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN , CAPLIN POINT
LABORATORIES LIMITED

MR. VIVEK PARTHEEBAN – CHIEF OPERATING
OFFICER , CAPLIN POINT LABORATORIES LIMITED

DR. SRIDHAR GANESAN – MANAGING DIRECTOR ,
CAPLIN POINT LABORATORIES LIMITED

MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER ,
CAPLIN POINT LABORATORIES LIMITED

MR. M. SATHYA NARA YANAN – DEPUTY CHIEF
FINANCIAL OFFICER , CAPLIN POINT LABORATORIES
LIMITED

MODERATOR : MS. JULIE MEHTA – BATLIVALA & KARANI
SECURITIES

Caplin Point Laboratories Limited
May 15, 2025

Page 2 of 20

Moderator : Ladies and gentlemen , good morning and welcome to Caplin Point Laboratories Limited Q4 and
FY '25 Earnings Conference Call hosted by Batlivala & Karani Securities .

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an
opportunity for you to ask questions a fter the presentation concludes . Should you need assistance
during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded .

I now hand the conference over to M s. Julie Mehta from Batliwala and Karani Securities. Please
go ahead , ma'am.

Julie Mehta: Thank you. Good afternoon, everyone. On behalf of B&K Securities, we would like to welcome
you all to the 4Q FY '24 -'25 Conference Call of Caplin Point Laboratories Limited .

I take this opportunity to welcome the Management of Caplin Point Labs represented by Mr.
C.C. Paarthipan, who is Chairman of the company and Mr. Vivek Partheeban, who is the COO
of the company. And we also have today with us Dr. Sridhar Ganesan, Managing Director; Mr.
D. Muralidharan – CFO; and Mr. Sathya N arayanan – Deputy CFO.

I would now like to hand the con ference over to Caplin Point Management for the opening
remarks, post which we will open the session for Q&A. Over to you, sir.

Vivek Partheeban: Thank you to everyone that has joined. Thank you also to B&K for hosting the call. And
welcome you all to discuss the results of Q4 and FY '25 .

Please note that a copy of all our disclosures are available on the Investors section of our website
as well as on the Stock Exchange s. And also do know that anything said on this call which
reflects our outlook for the future, or which could be construed as a forward -looking statement
must be reviewed in conjunction with the risks that the company faces.

The c onference call is being recorded and the transcript, along with the audio , will be made
available on the company's website as well as the exchanges. Please do note that this audio
conference call is corporate material of Caplin Point and cannot be copied , rebroadcasted or
attributed in press or media without specific written consent of the company.

With that, I would like to now hand over the floor to our Chairman for his opening remarks.

C.C. Paarthipan: Thank you. Good afternoon. Welcome to all to our i nvestors call. Let me start with a footnote
actually of a French philosopher who once said , "One's life has value so long as one contributes
value to the lives of others. "

However, evolutionary biology tells that this is easier said than done. Humans are hardwired, try to survive and in the race to the fittest, compassion becomes a casualty. That we at Caplin strongly believe that empathy is leadership essential in the world of technology. We practiced it
Caplin Point Laboratories Limited
May 15, 2025

Page 3 of 20

and we always followed the concept of catering to the bottom of the pyramid with quality generics at affordable prices to our customers. That's how that made all the differences actually to our business and now the asset quality is as follows :

1. Fixed assets Rs. 700 crore invested in the last five years, Liquid assets Rs. 2,500 crore of which cash and cash equivalent is Rs. 1,180 crore. The road less traveled continued to strive for value monopolies, and the world of techno feudalism that creates digital monopolies and digital landlords. Our value proposition in CSL, the USFDA facility , our deviations and job orders in the shop floor has reduced drastically in addition to the OOS and OOP from QC. This is possible only because of the woman empowerment in the shop floor and also in the grassroots of quality control. When most of the big companies fully automate and digitalize the whole system and the shop floor and o

ther areas , we have achieved this productivity with compliance only with partial automation and digitalization. This will be replicated in all our new and old facilities.

2. Now coming to Pondi factory, that is Pondicherry factory where we export our products to RoW market , we are planning to reduce the cost by utilizing our own QC/QA professional in our Pondicherry factory to do the outsourcing of quality products at a better price compared to our present cost in the facility. The products which we outsource is going to be in the Pondicherry state. We are sure that now we can create a cost reduction of 25 % to 30% from compared to our earlier overheads.

3. Number 3, we have developed 2 popular peptide injections for the RoW market where the patent expires by the early next year . Further, we also plan to launch in the regulated markets too.

4. Caplin received first insulin product approval in Central America. We have plans to file more doses in other Latin American countries which is in progress.

5. We have established a warehouse in Chile. In addition to the government business, we have already started actually supplying products to the private market too. So far we have registered 95 products and this will result in increase of sales, cash flow and profit.

6. We are also in discussion with some Chinese medium sized companies to import biosimilar key starting materials for full finish in India.

7. The current update of Mexico, we have filed 30 products and received approval for 13 products . Products in the pipeline is in the region of 60 plus to be filed in the next 12 months through internal and outsourced manufacturers.

8. We have completed API R&D for 51 general injectables and 34 Onco injectables and Onco OSD , which in total is 85 . We now plan to manufacture these APIs in a Chinese facility where it is easier to chase the economies of scale. These products will also be manufactured at a later date in India for captive consumption . Once the facilities are ready , these general injection facility, which of course you know is nearing completion , after that we will use it actually for our captive consumption in India. We will also manufacture some of the APIs using this Chinese facility for the supply of our RoW markets, which again will be an asset light model.

Caplin Point Laboratories Limited
May 15, 2025

Page 4 of 20

9. Our CP-1, the Pondicherry facility is all set to launch a unique double -chamber pre-filled syringe in all existing markets of Latin America. We are sure, actually, that this product also will make a difference to our actually bottom line as there are only two multinationals that are in this business today .

10. After completing the market tracker for our own sales and marketing, we now plan to create a cost control tracker through a dashboard with the help of our finance and IT teams. The benefits are as follows :

- a) The tracker will enforce physical discipline at every department level in the Company .
- b) The MIS on the tracker will come through the finance team, which will arrest any cash leakage.
- c) It will also help us to go for projected versus actuals and cost versus benefit to

monitor and review the financial activities.

11. We are also working on an NC-1, which is in the nascent state.

The rest of the business highlights will be actually shared with you, especially on the US front by C O O and the numbers will be detailed by our CFO.

Finally, a narrative :

"When science arrives at the border, philosophy must come forward to its horizons, setting bigger goal to be pursued. This is the only way to avoid saturation and escape the fallacy of limited understanding. "

Thank you. Thank you very much.

I now invite the C O O to give his presentation.

Vivek Partheeban: Thank you, Chairman . I will give you a little bit more background on the U .S. entity, Caplin Steriles and also some of the

newer entities that we have taken on. Obviously , we are very happy to close out another strong year for Caplin Steriles with growth across all the segments. Of course , the numbers of it which will be detailed by our CFO, we have grown 5x in revenues in the last five years.

In fact, our EBITDA also has grown significantly this year. It won't be out of place to mention that the bottom -line growth is due to the completion of certain milestone projects and payments that we have received for that. But not only that, we have also seen that some of these newer approvals that we have had especially in ophthalmics have started to begin contributing quite significantly to the bottom line in terms of profit share that we received from our partners. When it comes to approvals, I think we have had a good year. We have had eight approvals this year. We have launched most of them. We also acquired a couple of products from another Indian MNC, and we look forward to bringing this to market within the next 12 months. We are also hopeful of receiving another 10 to 12 products ' approvals this year. In fact, 13 products are Caplin Point Laboratories Limited

May 15, 2025

Page 5 of 20

under active review with FDA and those should come through hopefully in the coming few quarters.

In addition to this, we also have a meaningful number of products that have been approved in Canada, Australia and hopefully in South Africa also in the coming year. We are slowly progressing along in Brazil. Hopefully I think next year we can start to see a little bit more traction in Brazil.

I think I want to also touch upon our front end over here. In fact, when we began our ideas of pivoting our business model from B 2B into, I wouldn't say we have entirely pivoted into a B2C, but we are sort of heading in that direction a little bit, but many people had some questions over why we are doing this considering how well we are growing in Caplin Steriles .

See, we took this conscious decision based on multiple factors. The primary one of it being that there is always going to be other companies, maybe mostly smaller companies like CMO s that are able to offer lower prices than us. They might not be able to match us in terms of the compliance record or the productivity that we have. But when it comes to costs, there are companies that will be able to offer a more aggressive and potentially less sustainable pricing than us.

Number 2, with the amount of competition our B2B partners being the size that they are, they are always going to ensure that their margins are not affected. So , they are going to be squeezing the manufacturers into providing lesser and lesser prices.

And three, the most important one of all is that our pattern of success has always been in control of the front end . So, that continues on with us launching a label of our own. We are happy to say that within the first couple of months of us launching our own label, we have done over \$2.5 million in sales. And we have set up contracts with seven large distribution and wholesale companies in the U .S., the three largest ones are on a weekly ordering cycle with us and we receive intermittent orders from the others as well.

We have also set up direct contracting with about 24 health systems in the U .S., as we actively try and convert many of the other ones that we are in discussions with today . The break up in sales is anywhere between 70 % to 75% wholesale sales and the other 25 % to 30% is direct. Eventually our idea will be to pivot that into a 70 -30 favoring the direct sales.

In addition to that, our Oncology Injectable division also has been completed. We are going for trials in the next few weeks on that. Our API for general category has also been completed and we will be going for trials in June on that as well. And from a market perspective, we are making very good progress in countries like Mexico

o, Chile and slowly in Brazil as well.

And definitely, I think as Chairman mentioned, our improvement in productivity in Caplin Steriles has been due to very, very close monitoring. In fact, from the highest level as you all

might have heard in previous con call, the Chairman has already moved his base to very close
Caplin Point Laboratories Limited
May 15, 2025

Page 6 of 20

to Caplin Steriles over the last three years and also due in part to this Women's Empowerment Movement that we have been taking on in the last couple of quarters. We hope for that to really gather strength in the coming few quarters and really make a marked difference to both productivity, compliance, integrity and safety that we maintain at our facilities all over. I would like to just hand over the floor to our CFO for some color on the numbers before we can open up for questions. Thank you.

D. Muralidharan: Thank you, Mr. Vivek. Good evening to all the participants who have taken time off to attend our investors call to brief about the Results of FY '25 and the ending March '25.

During the call discussing our 1st Quarter ended June 24, I started by saying what is well begun is half done. Now we are very pleased to inform you that we not only began well, but also sustained the momentum and ended the financial year with lot of mile stones. Results are gratifying with growth in all key parameters.

Total revenue crosses Rs. 2,000 crores at Rs. 2,034 crores, registering a growth of 15% over the previous year. PAT crossing Rs. 500 crores at Rs. 541 crores, registering a growth of 17% over previous years, 2017-18 revenue becoming PAT of 2025, FY '25 PBT of Rs. 671 crores exceeding revenue of 2018-19 which was Rs. 658 crores, all time high gross margin of 60.2%, PBT of 33.3. That is every rupee sold 1/3 is flowing into PBT and all-time high PAT of 26.6%. Coming to our Chairman's vision of having products closer to customers was realized through bringing the channel partners at major markets served by us under the Caplin Group. This has paid rich dividends.

The following achievements bear testimony.

■ Growth from 2019-20 March 20 when we acquired the Guatemalan channel partners to 2024-25.

■ Revenue grew from Rs. 905 crores to Rs. 2,034 crores, which is 2.25x. PBT from Rs. 269 crores to Rs. 677 crores, which is 2.51x, and PAT from Rs. 215 crores to Rs. 541 crores, which is 2.52x.

■ Cash and cash equivalents were Rs. 470 crores at that time. Now it is Rs. 1,180 crores, increase of Rs. 710 crores after investing Rs. 700 crores in fixed assets, as Chairman mentioned out of our own accruals.

■ Liquid assets was Rs. 751 crores. It is almost gone up 2.86x to 2,150 crores. Net worth was Rs. 948 crores. Now it is whopping Rs. 2,850 crores, which is 3x.

■ The most important point to note is that the inventory of Rs. 335 crores reported in the balance sheet is cost which would yield revenue of close to Rs. 900 crores when sold.

It is even more important that around Rs. 500 crores out of the Rs. 900 crores sale value is closer to the customer that is in our own warehouses at various places. Two-thirds of them are in various warehouses and one-third is in transit, which will reach Caplin Point Laboratories Limited

May 15, 2025

Page 7 of 20

anytime now. This has been our most lethal commercial weapon during the disturbed times like COVID, Red Sea issues and so on and so forth.

■ CSL, which Vivek mentioned primarily addressing U.S. market grew from 72 crores in 2019-20 to Rs. 366 crores, which is a 5x growth.

■ Core business operating revenue grew by 15% during last year and U.S. operating revenue grew by 13%.

So, this is from my side. And if there are any questions on the numbers would be more than glad to take. Thank you. Over to Vivek.

Vivek Partheeban: Thank you. We can proceed with the questions now, please.

Moderator

r: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit Singh from Nvest Analytical Advisors LLP. Please go ahead.

Rohit Singh: Good evening. Congrats for a decent quarter. Sir, I was checking your earlier conference call and I found in Q2 FY '23, management stated that it will take around 2 years to complete some facilities tax payback and registrations, and once done you will be moving from the road less traveled to road well-traveled, right?

And similarly, in the similar way, there your net block has increased by 60% in FY '24 and in FY '25 also, till first half, we completed some CAPEX, which was a cumulative addition of around Rs. 200 CR to our net block. Yet our FY '25 top line growth is just around 15% and our U.S. business has grown nearly by 13% to 14%, whereas we were looking for a growth of around 30% in that business in this year. And we used to target to convert our top line into our bottom

line in every six years. That means essentially a CAGR of 30%.

But if I look at your PPT, you have mentioned your 5-year tax CAGR is around 20%, and earlier US\$100 million topline in Caplin Steriles is also not looking like we are going to achieve that.

So, our concern is primarily towards the growth side. One, we are doing the significant CAPEX. Why this CAPEX is not getting converted into revenue?

Secondly, when will we start seeing the benefits from these investments? And can we still aspire for the growth of around 30% earning CAGR going forward? So, that is my first question, sir.

C.C. Paarthipan: To be very honest with you growing at 30% after reaching a sale of Rs. 1,700 crore and Rs. 2,000 crore is actually definitely at this juncture is not possible. At the same time, I would only request you to compare our company with our peers and see the fundamentals and if you see the fundamentals of any other company of our size, if it is better than ours, then of course I will also tell you how exactly we will try and actually do the same. That's one.

Second, CAPEX is one area. It's actually, sometimes we also go slow. The reason being it is true that we should not be afraid to start early, but equally we should not be afraid to be slow to finish also. The reason is the whole world today is VUCA world, where you can't simply complete

Caplin Point Laboratories Limited

May 15, 2025

Page 8 of 20

without even understanding actually what's happening in the world. That's one of the reasons sometimes it gets delayed. Okay. This is what I would like to convey to start with. If there is anything, you can again ask me also.

Vivek Partheeban: One more point, I also want to include. Anything to do with pharmaceuticals, especially CAPEX and all of that, there is a period of gestation which involves getting the right regulatory approvals, getting the right product approvals and everything that comes into play.

So, it's not that we finish a facility and then on the very next day revenue starts to flow in. So, especially, the kind of facilities that we are putting in such as the Oncology facility, which requires a dedicated unit where product revenues will come out only after product registrations have come out.

And also if you are looking at our API plant, that is going to be for backward integration and stuff. So, some of these have a little bit more of a gestation period and pharmaceuticals in general have a longer gestation period compared to other industries, which I am sure you are aware of also.

Rohit Singh: That thing I understand, but particularly on the U.S. side, Caplin Steriles is going to be the growth engine for us, but the kind of growth that we have delivered this year and the kind of growth that we have targeted for this year, there is a huge gap, right? So, what is the reason, like, we are not able to achieve our own target of like

we were in the beginning of the year, I was speaking with you, you were targeting around 25% to 30% growth in Caplin Steriles, but why we are not able to achieve that?

Vivek Partheeban: See, there are two, three things here. Number one is, what we are looking forward is a high quality growth. If we need to go for growth just for the sake of it, we can go up to even 40%-50% just by stopping all of the R&D, stopping all of the product filings, etc., and going only for commercial revenue.

I know another certain listed company as well that have dropped prices by almost 30%-40% on a product that is selling for less than \$1. So, we do not want to go after this kind of growth. What we want to go after is highly profitable and growth that we can sustain for a longer period of time. We are not in this race for the next three years and then running away. We are building up our company for the next 25 to 30 years. Right?

So, if there are periods during our progression where we see that the growth is a little bit moderated but comes at a high-quality growth, we are happy with that rather than chasing just top line numbers. And this is nothing to do with Caplin Steriles alone. This is to do with Caplin Point, oncology everything. So, our longer-term horizon of hitting \$100 million for Caplin Steriles remains very much viable. And if we hit it 12 months or 18 months later than originally targeted, I think that is not going to put us in any sort of misery at all.

Caplin Point Laboratories Limited

May 15, 2025

Page 9 of 20

See, the U.S. also, as you might have seen in the last couple of years, that's a very, very volatile space as well. So we need to make sure our compliance record is taking precedence over everything else. We can't go from 1x productivity to 3x productivity within a 12-month period. We need measure and slow and sustainable growth. That I think is more important compared to just top line chasing.

Rohit Singh: So that means overall we will be essentially maintaining the kind of growth that we have done in the last five years is what I am understanding from your commentary right?

Vivek Partheeban: See, I think we are growing very well. Honestly speaking, I don't want to give numbers out and say that this is what we are going to be growing at et cetera. I think we are growing very well. If you look at our parameters across the industry and you benchmark us with people around the same size of us, you will see that we are better than most other companies and almost across all parameters. Right?

So, despite the kind of volatility that you see in the market, our growth has been extremely consistent. It's been measurable. It's been manageable. You would have seen that there is a high level of predictability in our growth.

So, I think because of the fact that we cater so much to the bottom of the pyramid, and also the fact that we are in the private market, helps us sustain this kind of consistency. So, I think this is what we will be aiming towards, not so much on one specific number that we need to hit.

C.C. Paarthipan: And one more thing I would like to add, see, the business that most of the companies of our size, most of them, they are simply CMOs. But in our case, as you are aware that we started our front end. So starting a front end, it takes little time, does not involve actually instant gratification.

But what happens is when you keep your goods next to the customer, like any other big company, which is there in the U.S., maybe 2 to 3 years from now, we will also produce what exactly you are expecting. But again, as you know well, it all needs a timeline actually because overnight you can't do anything. If you try and actually sell products for the sake of selling in credit, that also will lead to lot of complications.

Today, we are not a debt driven company. We don't do anything in the form of

leveraging the

debt too. We don't want to do that also. We want to actually grow very healthy, more liquid cash and liquid assets. Maybe at one point of time, maybe after 3-4 years when we have Rs. 2,000 crore, Rs. 3,000 crore in the form of cash, we can straightaway acquire a company. Then everything will be doubled also. There is a possibility. But it should be a meaningful acquisition. Then only we will be in a position to do that also.

So, anything that happens today is not that actually it's going to go in the form of actually slow or big, but what is important is consistency. If you do a mistake, that will lead to foolish consistency. You also you are aware. That's one of the reason you want to go step by step and make it bigger when the opportunity comes. Thank you. Thank you very much.

Caplin Point Laboratories Limited

May 15, 2025

Page 10 of 20

Rohit Singh: And sir, like Vivek sir has mentioned in his remarks about the volatility that they are there in the U.S. market and recently Trump administration had made an announcement on the price erosion of the prescription drugs in U.S. So, while we are kind of generic players and supply our medicines to U.S. companies who may be selling at way higher prices in U.S., so is it correct to understand that these companies will have to sacrifice their margins and not the Indian companies like Caplin because we are already providing them at a lower cost only? Or do you think we are also at under threat through this announcement? So, please help me to understand, sir.

C.C. Paarthipan: What we understand is actually, I don't think that they will go to an extent of actually taxing the generic company. In fact, if you read this, actually, statements in the recent past, he is talking of actually companies which are selling products, say, the price in UK and the price at which they sell in EU is not the same price they sell in U.S. These are all branded products. So, if at all they want to actually take it on the companies, it will not be the generic companies. They also know already the prices are eroded. Generic, the competition of generic is the one which is the deciding factor for the price, whereas in the branded product, the innovator and the brand owners are the private label owners. They dictate terms. It is not actually the supply chain, supply-demand mechanism which creates actually the price. Is it okay? Is it convincing to you? Do you feel it's a considerate response?

Rohit Singh: Yes. And sir, lastly on the U.S. tariff...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

Rohit Singh: Just last question, sir. So, on the U.S. tariff like last quarter, you said the things are not clear. So, if you can put any color now if it is possible like based on your discussions and with industry people and the customer like if Pharma comes under the tariff, what kind of impact do you see on our U.S. revenues or global demand, which is going to be the key pillar for our growth?

C.C. Paarthipan: Vivek, you take this question.

Vivek Partheeban: So, I think it's a wait and watch for everybody. Honestly speaking, the more clarity that we see over a period of time, it looks adequately clear, I would say, at this point without saying that this is the final one. It looks like the brand pharma, basically the innovator companies are the ones that are under target right now. Whoever that we speak to, especially our B2B partners and some of these larger buyers and stuff, they also feel that generics will not be under any sort of tariff, but again, we have no idea, right? It's all wait and watch for us just like it is for everybody else at this point.

Rohit Singh: Understood, sir. I will turn back the queue, sir. Thank you very much . All the best for the future.

Moderator: The next question is from the line of C A Garvi t

from Nvest Analytical Advisor y. Please go ahead.

Caplin Point Laboratories Limited

May 15, 2025

Page 11 of 20

CA Garvit: Sir, my question is, India announced it has signed the Term of Reference with Chile for a comprehensive economic partnership. How do you see this as an opportunity for us?

Vivek Partheeban: Excuse me. Sorry. Your voice is not clear , please .

CA Garvit: The India announced it has signed the Term of Reference with Chile for a comprehensive economic partnership.

Moderator: Mr. Gar vit, your voice is breaking. Sorry to interrupt, but your voice is breaking. If I may request you to redial the number and rejoin the queue ?

C.C. Paarhipan: It's breaking.

Moderator: The next question is from the line of Deekshant B from DB Wealth . Please go ahead.

Deekshant B: Hi, congratulations , sir, for decent results. Sir , firstly , we have been investing a lot on our capabilities to get more US FDA approvals and as well as we know that Caplin Steriles has been helping us grow and we are expanding our foothold in the U.S. markets. But can you help us understand that what sort of time period can we look at where the sign ificant growth is back in the business? We are going through a transformation even on our cost and the margins are looking better from a longer perspective. But what is it that is required from us to make the growth feel much more vibrant?

C.C. Paarhipan: Vivek ?

Vivek Partheeban: So, I think we have spoken about this in the past as well, where we feel that the next 18 to 24 months is going to be a bit of a transitional period for us, specifically because of the fact that two or three of our initiatives ar e all in slightly nascent stages. I would say number one is our entry into the larger markets of Latin America such as Mexico and Brazil, our Oncology Division that where we need multiple products to start getting approved and come through , and our U.S. front end starting to gather steam .

So, I would say that while we are happy with the growth and the quality of growth that we have , for us to expect something even better might probably take another 18 to 24 months, within which period you will probably start seeing similar kind of numbers like the ones that we have reported right now.

Deekshant B: Sir, can you help us understand that , so from our understanding, whenever we are getting new US FDA approvals, we are also seeing that a better product composi tion is being launched by companies. What I really mean to ask you here is that the old products that we have , are they losing some sort of market share and they are being replaced by new ones or are we just the existing products, are they able to give us the similar kind of revenues that they were?

Caplin Point Laboratories Limited

May 15, 2025

Page 12 of 20

Vivek Partheeban: See, in the generic market, it's very much driven by demand and supply, right. So , I would say, it was a broad mix last year and the year before that as well. Some of the products that we did back in 2018 , 2019 , '20 and all that, they don't contribute too much right now , whereas some of the products that we have recently launched have t aken up their place . And I guess , once again in a very dynamic space like the U.S., in due course of time when some companies start to exit, those capacities start to be up for grabs for us .

So, it is very diversified portfolio. It is a mixed bag when it comes to market share. We are not specifically targeting any specific product to occupy a larger market share compared to others. We need to make sure that we have very good cost control , we have very good consistency in supply and above all, our complian ce record takes precedence over everything else. So , over a longer period of time, there is no product that we have , how do I say , not supplied for more than a year or anything like that, you know . So, I hope that answers your questi

on in terms of our product mix.

Deekshant B: 100% , sir. Sir, my last question is ...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for the follow -up questions. Thank you. The next question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Thank you so much for the opportunity. Sir, just wanted to quickly understand hopping on the point that other participants were asking. So , growth has fallen at least in the ex -U.S. market . We have fallen from what we were doing 16%, 17% to sub 13%. When do you think , because

we have also launched a Caplin One Platform where we are supplying oncology products and there are new capacities that are coming to cater to these markets , when do you see revenues from these geographies picking up?

C.C. Paarthipan: Yes, this I would like to actually answer this way. When we get into the bigger geographies, especially the regulated market where there are two, three important things that take time actually, like , A, the R&D . When you do R&D , then of course the facility , when you have R&D , in addition to that, in addition to the formulations that we manufacture, we also have to have a API.

Now that one of our API facility will be completed say in another 2 -3 months, the other one , of course , it is work in progress. If you don't have API or if you don't have a facility , if there is any mismatch , like ours also is vertically integrated company , but connecting the dot , it takes a little time in the form of having actually your intermediate API and then formulation and then your front end process.

Here , all these things contributes to actually a good growth. And then the time that takes actually to complete your R&D and then you have to go for what you call actually scale up and exhibit batches in the factory. Then you develop a dossier. Dossier has to be filled. Sometimes you know, they will say , they will give this thing , what do you call? Either it's in the name of ANDA or Caplin Point Laboratories Limited

May 15, 2025

Page 13 of 20

some approvals in other countries. It takes a minimum of 1 to 1.5 year. 1.5 year minimum in some areas.

So, these are factors that contribute to actually what is happening today, but again in spite of it, if you find the fundamentals as I told before is in the form of actually your liquidity and the quality of the assets that we have created. The 1% or 2% which you say , see, whatever you miss, it can be offset at a later date. This is what I would like to convey . Is there anything you would like to ask please ?

Aditya Pal: No, sir, this is pretty clear . And the other question is for Vivek. So , when we are seeing a couple of quarters back that our aim is to achieve \$100 million run rate in our Caplin Steriles platform , do we still think that is achievable or is it now , say, postponed by 15 to 18 months because of different strategies that are deploying there or different market pressures that you are facing on the ground?

Vivek Partheeban: Yes, we are 100% confident that we will achieve it . When we will achieve it is the golden question. Once again, I would like to say that if we achieve it in next year or if we achieve it in 18 months after next year, we are still going to be doing it with a high quality growth . That is more important . We can achieve 100 million top line with 6% EBITDA, or we can do it with 25% to 30% EBITDA , and I know which one I want to choose, right? So , we are not going to race against anybody on that , and we will continue to go down the path that we have selected very long time ago.

Aditya Pal: Just last question ...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

Aditya Pal: Okay .

Moderator: The next question is from the line of Shrinjana Mittal from RatnaTraya Capital

. Please go ahead.

Shrinjana Mittal: Hi, thank you for the opportunity and congrats on the continued execution. I just had couple of bookkeeping questions. So , if you can just help me with Caplin Steriles' sales number , and the EBITDA and gross profit numbers, that would be helpful.

C.C. Paarthipan: Can Sathya, CFO, go ahead , please.

Sathya Narayanan: Thanks for your question. So , the sales for the year ended 31st March, 2025 of Caplin Steriles is the total revenue of Rs. 366 crores with an EBITDA of Rs. 102 crores.

Shrinjana Mittal: EBITDA , sorry , 102 crores . Okay.

Sathya Narayanan: Right.

Caplin Point Laboratories Limited

May 15, 2025

Page 14 of 20

Shrinjana Mittal: And yes, that would be all.

Moderator: The next question is from the line of Somen Maji , an individual investor. Please go ahead.

Somen Maji: We have a receivables of Rs. 632 crores. That is more than our PAT and way more than our inventory , I guess . Do you see or expect any kind of significant credit loss on that?

C.C. Paarthipan: We don't see any credit loss in this one. The receivables , slightly it increases based on the market, especially in markets where we supply the products to the government and the payments , for example, there is a country called Ecuador . The currency is dollar . The same way , El Salvador is another country where we supply to the government. It's also dollars , and there are countries where there is no issue of stability of the currency also. But the government, sometimes they

delay the payment . There is nothing in the form of denials, only a delay. But we also know that we are supplying at a higher cost, higher price, which means our profitability , if you look at our actual profits, it keeps increasing in spite of the fact that you mentioned in the form of actually increase in this thing, receivable period.

Somen Maji: I have just one question . Just another question, another one. There are threats to put a tariff on pharmaceuticals whose APIs are imported from China , from U.S. What kind of expected effect on CSL?

Vivek Partheeban: Yes. So, we have very little exposure to this. In fact, out of the 33 approvals that we have top of my head less than two or three of those are from China . So, I don't see that this is a threat to us at all.

Moderator: The next question is from the line of Julie Mehta from B &K Securities. Please go ahead.

Julie Mehta: Hi, thank you for the opportunity. So , my first question pertains to, we have added recently 3 lines , and we have another one underway in our injectable facility. So , how is it 3 versus post capacity looking like , capacity utilization?

Vivek Partheeban: Yes, I think over the last 12 months, we have increased capacity utilization by almost 24 %-25% at Caplin Steriles . Of course, I don't have the exact break up of how much went into commercial and how much went into exhibit batches, which is basically the batches that we take for submission of these ANDAs .

Please note that only one of those lines has become entirely commercial, like fully commercial, which we call as Line-5. Line-4, which is our premix bag line, is commercial on two products which are not very highly voluminous. The value is good, but not very highly voluminous products. And the third line, which is the prefilled syringe line, we will be submitting products this year. So, that 20% increase in capacity utilization, I would say primarily comes from our vial Line-5, which is the high-speed line that we got from Bosch.

Caplin Point Laboratories Limited

May 15, 2025

Page 15 of 20

Julie Mehta: And sir, my next question is that since we are planning to file GLP -1 molecule in the emerging markets, so since it is a highly competitive space and with Mounjaro coming in and Semaglutide will come in March '26 , like post patent expiry, there will be a huge inflow of players at that point. So , what

is our thought behind entering such a competitive space and that to a new one?

And what will be our ideal strategy for success?

Vivek Partheeban: So, obviously in Latin America, if you see , we have had a presence there for more than 20 , 21 years, right? So , the platform is very well set. Caplin as a brand, is one of the most trusted brands when it comes to pharmaceuticals and whatever new products that we have launched, we have launched in the name of brand generics basically where there is a high level of brand recall, there is a high level of trust that's imposed on our name.

So, we feel that GLP -1 product that we launched in the smaller markets where we are present, which are very largely underserved by the product, because I think obviously the innovators themselves have capacity constraints and whenever that happens, they are going to be supplying and serving the markets which bringing the maximum revenue for them , you know.

So, I would say amongst equals Caplin has a very, very good name and trust and brand recall in the markets where we are present , and we feel quietly confident that we can make it a successful launch.

C.C. Paarhipan: Add to it actually , I am sure that it's not a questionable opportunity. If it is the questionable opportunity , you will avoid pursuing everything, but these are products which are definitely better than actually a vanilla generic . And we have been selling products , generics for a long time and it has created skin in the game. That's why we are sure that anything that we launch , as long as actually the quality and the price matches to actually our customers and they will definitely buy our product because Caplin has become a private label in Central American markets.

Vivek Partheeban: One final point also on that is remember that we also have a fairly wide portfolio of anti -diabetic products that we have been supplying to these markets for a long time. So , this sort of falls within that basket anyway.

Julie Mehta: I just drop in my last question. So , can you just throw some light on any key products that we are looking at launching in the next two years and any guidance as to how it can meaningfully contribute to us?

Vivek Partheeban: Did you mean for U.S. or you are talking about global, please ?

Julie Mehta: Like I mean , like in general , like for U.S. as well if you can specify for both areas separately.

Vivek Partheeban: Yes, so we obviously have wide portfolio of products. We have a strong pipeline that we are working on and that's into multiple areas , right ? In terms of the U.S., it's in injectables and ophthalmic. If you are looking at Latin America, that's in oncology, that's in pharmaceutical soft

Caplin Point Laboratories Limited

May 15, 2025

Page 16 of 20

gels, etc. We don't have one or two specific products that we consider are going to be blockbusters or anything like that. Our model is to cater to the bottom of the pyramid with a wide array of offerings with a wide portfolio. So, we will continue going in this direction, I would say.

Julie Mehta: Okay, sir. I will get back into the queue.

Moderator: The next question is from the line of Garvit Goyal from Nvest Analytical Advisors LLP. Please go ahead.

Garvit Goyal: Hi, thanks for the opportunity. Sir, India signed the Terms of Reference with Chile for a comprehensive economic partnership recently. So, how do you see this is an opportunity for us in the terms of tariff benefits in that market because we are targeting our next like growth in Chile, right?

C.C. Paarhipan: Yes, Chile, of course, is one of the lucrative market in Latin America. And this is not a market where the prices are very low compared to some other markets. But to us that the advantage actually comes in the form of increasing the number of product registration. And when you have more registration, there are people who will then think go for

or this one government tender

business. There are people who will think of actually a private market. In fact, we have been focusing more on the private market. Here the private market is only 30%. So, we will still focus on private marketing. In fact, we started the warehouse with the private market products. We are slowly inching forward in terms of actually business growth. And tender business also is a good business, and I don't foresee any issues because of tariff and other things.

Garvit Goyal: Actually, this economic partnership that can further enhance our marketability or market position in Chile. That's what I am trying to understand how it can further add on to our market share in that market.

C.C. Paarhipan: Which partnership you said? I cannot hear your voice properly, please.

Garvit Goyal: Recently, Indian government has signed the Terms of Reference with Chile. This was trade.

C.C. Paarhipan: Bilateral trade.

Garvit Goyal: Yes.

C.C. Paarhipan: Yes. See, the bilateral trade is happening between India and Chile, China and Chile, and all. In fact, that doesn't have any very great impact. The duty structure there is small and the VAT is high. VAT is reimbursable. And the VAT, of course, earlier it was 5% different between India and China products to Chile. So, it's not going to either dent or actually help the companies which are in to Chile. That's why I told you what is important in the generic business is the number of registration. It is not actually bilateral trade. It helps to a certain extent, not to a very great extent.

Caplin Point Laboratories Limited

May 15, 2025

Page 17 of 20

Garvit Goyal: And I want to understand more on this price erosion thing that U.S. government is announcing and requiring Medicare and Medicaid programs to pay more than what the prices are being in the other developed countries like Canada. So, I want to understand how Caplin is doing the thing there, like they are selling it to these programs and if they are selling it, are they going to be impacted in terms of product pricing?

Vivek Partheeban: Yes, when it comes to generics, I think there is no bearing once again, because the Medicaid, Medicare programs, when we sell to them, it's actually sold at an even lower price than our generic pricing. So, I think the aim that President Trump has spoken about is again much more focus towards the branded products, I think specifically he spoke about the fat loss drug that is sold for \$1,300 in the U.S., which is available at I think about £100 or £120 in the UK where he said that it was very unfair that America pays almost 10 times the price for the exact same drug. So, I think once again we are talking only on innovator molecules where there is a significant price disparity between U.S. and other developed countries. So, I think it has no bearing on generics, especially from India.

Moderator: The next question is from the line of CA Vikash from AcornTree. Please go ahead. Mr. Vikash, you can go ahead.

CA Vikash: On the Annual Report of FY '22, we have mentioned this one is there having presence in most of the regulated market by FY '28 and as a result of which Caplin has to convert the top line of FY '22 to bottom line of FY '28. At that time FY '22 our revenue is Rs. 1,300 odd crores there. We are still in the same line in FY '28, is there our bottom line, is it Rs. 1,300 crores?

C.C. Paarhipan: So, you mean to say there is a slight shift in the goal post?

CA Vikash: Yes, that is there because whatever the current situation.

C.C. Paarhipan: You mean to say the top line has not become the bottom line. Are you telling actually the same thing? We used to tell the top line of so and so year has become the bottom line and that's how we have been talking here. But it cannot continuously. This is actually sometimes you win.

Sometimes , of course it's not

that you lose. But you delay it.

See, it's not actually something which is lost. It happens until a point of time . After that, of course , there will be a dip. But again, what will happen? Again, we will come back actually when we complete the registration in all the countries where we are filing dossier, and all these new facilities, one day will start up and running and then we will be manufacturing products actually in various to various geographies and things will change again. So , what has happened actually is the one -off. It's not that it's going to go down actually.

Moderator: The next question is from the line of Deekshant B from DB Wealth. Please go ahead.

Deekshant B: Sir, firstly, we continue to have great confidence in the execution of our team because you have clearly have that in the past. And this question is coming from that process because two years of Caplin Point Laboratories Limited

May 15, 2025

Page 18 of 20

gestation is very normal for any business to go to a new all-time high, and we have been able to go new all-time high on profits again and again with sustainable growth.

So, the question really is, the numbers actually come in after the success the team has witnessed on your products and everything else . Before that the next level of our transformation starts showing in the numbers , what is it that you would want us to look out for in the business?

C.C. Paarthipan: Okay , I will put it this way. I have not been travelling for the last five years. And I have fixed my travel on Sunday . After five years, I am traveling actually outside the country. So , I am basically the person who actually used to be in the market. Whatever little creation I was able to do it, I did. Afterwards , my sons have taken over along with the professionals.

Now , I sincerely feel South America and China in addition to U.S. are going to be the destination for our prospect. See, initially, we did more of outsourcing from China and directly exporting the formulation. Now , we will go there and find out some startup companies or medium -sized companies, especially into the most important areas of biosimilar and then peptide area and the products, which are always in scarcity in the area of actually blood products, see how exactly to go for a joint venture. I will look at it there.

So, till the time which I feel is going to open the floodgate for us to open up a second revenue stream, it may take 1 -2 years. But again, we are 100% sure we will make it . So, this is how one has to take it rather than looking at it actually on a quarter -on-quarter basis or one year or two years . This one we can guarantee you that we will do extremely well in three years from now.

Deekshant B: So, thank you so much for the answer . And one of the core philosophies and principles with which Caplin has been able to grow is, and please correct me here , is sort of like finding that niche in a market where other people are not really looking at that. And then we will sort of like go again and again and really expand that niche for ourselves so that the competition in itself is not there as much. And with the recent anti -diabetic product that you have talked about, it seems like in the particular market, it seems like you are following that thought process again. So, where do you see the opportunity right now where other peoples are not looking?

C.C. Paarthipan: Okay. I do agree with you. We used to notice the thing which has not been noticed by others and our journey always used to be in the unknown unknown. Now what you are asking, what is that actually, you know , you will find now . That's what I said. Five years I have not been traveling outside the country.

When I go outside the country, I know actually I will be in a position to identify because in 2019 , I made 8 to 9 trips actually to a country where we were almost complete. We came t

o a final

stage of doing something together with one of the biggest companies in the country, \$20 billion company. And now, in five years, we have not done anything . Of course, six months ago when the CEO went to that country and he met the person, and he is very keen to meet with us and then do something together . Like that, there are so many companies .

Caplin Point Laboratories Limited

May 15, 2025

Page 19 of 20

Today , if you look at actually the biosimilar companies in China , at least 10 x, or 12 x of actually Indian company, if we have or say 15 -20 companies, they will have at least 300 companies 400 companies. So , here, we have to actually change our strategy. We will have to actually look at earlier for generics generics . we went for the big companies like CSPC, and others considered as #1 or #2 in the country .

Now for a specialized product , what is important actually is not the size but the quality. And also, he has to grow, and we would also help him in terms of actually front -end marketing , but also if there is something in the form of other areas, if he is interested, we would also explore them . So, we will see things which is not noticed by the big clients. We will see with the startups

and the medium -sized company. That's how I will actually fit.

Deekshant B: Do I have permission to ask one more question?

C.C. Paarthipan: Please.

Deekshant B: Sir, Mexico is a key market for us, which is developing and like diabetes is such a well known factor of Mexico. So , I am assuming that we won't be doing too much business of that, but that is an assumption. Please help me understand that what is the unknown in Mexico that is making us excited right now?

C.C. Paarthipan: see, of course, if you look at companies, especially from India, most of the companies, they don't go to the smaller geographies. That was the time we went there and we replaced the importer. It was more of a physical risk , which, of course , not many companies do it. And then now we are getting into the bigger geographies where we see big companies already present. But if you look at that business, there are two things one will notice . A, mostly they will go to the institution business . B, they will only replace the importer the way we replace d the importers in smaller geography.

Now once we go there, we will replace the distributor or a whole seller which means one level below we have to go and find out who is our target audience and then cater to them. Maybe if you work 2 -3 years, then , of course, as I told you before, it creates the skin in the game. That's the only way we made it actually in smaller geogr aphy . We will make it the same in the bigger geographies.

Mexico is just one hour actually by flight from Guatemala. The population of Guatemala is 17 million . That's where we do the maximum business of \$48 million to \$50 million per year. Then imagine w hat kind of opportunity will be there actually in Mexico .

It takes time. I do agree, but definitely there is a huge opportunity because culture is same, purchasing power is better and the population is huge. And then this is one place where maybe 7 to 8 Indian companies are present. They are all focusing on the tender business where we will get everything in volume. If you look at our business, we don't actually bother about the top line.

Caplin Point Laboratories Limited

May 15, 2025

Page 20 of 20

We have always focused on the bottom line and cash flow. The same thing will happen when we approach actually in this market, when I approach to the customer in this market also.

Moderator: Ladies and gentlemen, we will take that as the last question. I would n ow like to hand the conference over to the management for closing comments.

C.C. Paarthipan: Thank you.

Vivek Partheeban: Thank you very much once again to everybody. Thank you also to B&K for hosting the call , an

d

we look forward to staying in touch with everyone. Thank you for your time. Thank you.

C.C. Paarthipan: Thanks to all of you. Thank you. Thank you very much.

Moderator: Thank you. On behalf of Caplin Point Laboratories Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

2. Figures have been rounded off for convenience and ease of reference

3. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Caplin Point Laboratories Limited

Call: Aug 2025

"Caplin Point Laboratories Ltd Q1 FY26
Earnings Conference Call "

August 07 , 2025

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN
MR. VIVEK PARTHEEBAN – CHIEF OPERATING OFFICER
DR. SRIDHAR GANESAN – MANAGING DIRECTOR
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
MR. SATHYA NARAYANAN M, DEPUTY CHIEF FINANCIAL
OFFICER
MODERATOR : MR. ZAIN GULAM HUSSAIN – DOLAT CAPITAL MARKET
PRIVATE LIMITED

Caplin Point Laboratories Ltd
August 07, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Caplin Point Laboratories Limited Q1 FY26 Earnings Conference Call hosted by Dolat Capital Market Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Zain Gulam Hussain from Dolat Capital Private Limited. Thank you and over to you, sir.

Zain G Hussain: Thank you and good evening, everyone. I, Zain Gulam Hussain, on behalf of Dolat Capital, welcome you to the Q1 FY26 Earnings Call of Caplin Point Laboratories Limited. We thank Caplin Point's management for giving us this opportunity to host the call.

Today, we have with us Senior Management of the Company represented by Mr. C.C. Paarthipan - Chairman, Mr. Vivek Partheeban – Chief Operating Officer, Dr. Sridhar Ganesan – Managing Director, Mr. D. Muralidharan – Chief Financial Officer and Mr. M. Sathya Narayanan M – Deputy CFO.

I will now hand over the call to the "Management for the Opening Remarks." Over to you, sir.

Management : Thank you, Zain and thanks to Dolat Capital. Welcome everyone to our Earnings Call to Discuss the Results of Q1 FY26.

Please note that a copy of all our disclosures are available on the investors section of our website as well as on the stock exchanges and also do know that anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges.

Do note that the audio is copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media with a specific written consent of the company.

I would like to now hand over the floor to the Chairman for his Opening Remarks .

C.C. Paarthipan: Thank you. Good evening and welcome to our investors' call.

Caplin Point Laboratories Ltd
August 07, 2025

You are aware that geopolitics seems to be overwhelming economics. In future, many countries may focus on their individual interests. It is time for the companies to look at things in different ways to generate a new perspective on the prospective matter.

Our perspective, as you all know well, is the concept of mastery in the mundane. We are consistently performing with focus and dedication in Latin America, which will be explained by colleagues in detail.

The second one is stick to the basics. Our basics is always the concept of catering to the bottom of the pyramid. We also went for a mix of investments in products in Latin America with the acquisition of channel partners that really helped the company to reach the eternal cash flow profit. Now, you are aware of our liquidity and the liquid assets.

The recurring successful pattern of our business encourages us to move from the smaller geographies to the bigger geographies, such as Chile, Colombia and Mexico and shortly, we will open up our office in Brazil too. We are not interested in vanity metrics. We always look for the metrics that actually map to our desired outcomes.

Coming to the USA business, the tariff is currently not applicable to generic medicines. We sincerely hope that this is not going to happen and there is no such thing as American quality at African price. The world is moving towards protectionism, which we also understand. Hence, our investments will first go to the countries where we are doing exceptionally well now, such as Guatemala, and we are

doubly sure that we will also do well in the countries such as Mexico and we will start our factory in the next two to three years. The volume and value will be high because of the population in Mexico and also the healthcare budget, which is big. And the private market is at least 3x to 4x bigger than the Central American market where we are doing business currently.

Why we may not invest in USA in the near future? Our volumes are too low compared to the \$18 billion worth of generics that are being exported from India to USA.

Number two, starting a factory in USA will take three to four years for completion and the operating cost will be 5x to 10x higher than India. We will invest in USA the day we understand that our 20% of products gives us the 80% of the business. Then it becomes easy to manufacture only the 20% rather than manufacturing the entire 100%.

Further, it may not be easy to replace India and China in generic business, especially India when it comes to formulation which will definitely lead to scarcity.

Caplin Point Laboratories Ltd

August 07, 2025

Innovation too is needed, but invariably to help the rich and famous. The 3V layers are just for profits, not for the interest of the people, especially the VOP.

Now, let me highlight my recent Chinese visit, which took three weeks for me actually to stay in the various cities of China and I have been to two to three trade fairs for a new knowledge. China has moved from imitation to innovation. Probably, they understood imitation has no limitation, then moved to the innovation.

Another thing that I found in China is that even the startup and midsize companies manufacture biosimilar and peptides, which is not the case with the other countries.

And China has also gone into actually nutraceuticals and adaptogens, which is nothing but functional food from TCM, and which is similar to our Ayurveda.

The estimated business of nutraceuticals in India will be in the region of 30 billion. However, there is no big brand except one player called Himalayas, which you are also aware of.

Many of us, we buy the dietary supplement via Amazon. It is made in China, packaged in US, sold in India, and also the other countries.

One of the few countries where the social media can influence Main Street to Dalal Street. It also helps actually business. It also at times hurts the business.

Our focus in China is to go for another asset -light model with value -added products. We have planned to go for biosimilars in bulk and we already started manufacturing one of the peptides for formulation.

When we bought this peptide, one gram was costing \$500. Very recently, I found the same quality.

The price has come down to \$100.

And we went for some associates, in fact, we shortlisted some associates, and these associates will do the manufacturing, and we will control the regulatory and marketing.

And we also found that the availability of containers and lead time from China to Latin America is much easier compared to the other countries in Asia.

We are currently expanding our presence in two major cities in addition to the office which we have in Shizuoka. And the increase of Chinese stock also will help us to do the follow-up work.

Our Latin American regulatory team will inspect the facilities and decide whether the facilities are suitable for in-demand on-visa inspections, which alone can take us to the countries like Mexico and Brazil.

Caplin Point Laboratories Ltd

August 07, 2025

Current 30% of our outsourcing is coming actually from China, and we would like to increase the complex products and biosimilars to peptides for our ROW market. Further, we will continue to prioritize our own primitive products. These primitive products actually cannot be replaced by biosimilars and peptides. It will continue to get to the bottom of the pyramid. Altogether, it is totally a different segment. And let us focus on

the value-added products such as monoclonal antibodies,

which will be brought in as a finished product actually for the ROW market. As I told you, later, we will bring it actually and do the full finish for the bigger geographies at least for Latin America.

Finally, dietary supplements are also known as nutraceuticals. This I have seen actually in a very big way in China. The future is for dietary supplements. We know how important is diet. Probably after

the diet, dietary supplements are equally important. And now that China is moving towards dietary supplements in the form of TCM infused with tea, TCM infused waters, L -Carnitine with black coffee, and many other products, which may not be able to disclose due to business reasons.

We already started actually shortlisting the products and we are in the process of completing the entire thing in the next six months. After that, we will have to decide where exactly we will have to do the packaging and get into the market.

Business, in addition to actually what we are doing in the form of manufacturing and then expanding to various factories, we will also go for factories, as I told you, in Mexico. The reason being that it will help us actually in the form of 15% price advantage in the tender business. And GT business, GT factory will help us to increase the liquid oral, which of course is cost -effective when you manufacture in the local areas. Otherwise, you will have to transport water from one continent to the third continent.

Forever, the news is to stop the real tariff war, with the introduction of tariff war. So, although generic product is exempted, we do not know whether it is ill -conceived or well -conceived. Thank you.

Thank you very much.

Vivek Partheeban : Thank you, Chairman. I will give a quick update on the Capl in Steriles business specifically.

We are seeing good progress with both top and bottom line in Capl in Steriles. Some of our recent launches, such as an Injectable Emulsion Products and Emulsion Ophthalmic Bag Products , etc., are really helping out boost our bottom line.

We are glad to see good growth in both our B2B and B2C businesses. It is important for us to focus on both because we have expanded capacity so that we can adequately focus on both channels.

Our reduction in milestone income has been adequately compensated by an increase in the profit share, especially from our ophthalmic range.

Caplin Point Laboratories Ltd

August 07, 2025

We are also pleased to inform you that our Caplin Steriles USA label has reached profitability within the first couple of quarters of launch. In fact, I do not think we will need to infuse any more funds from the parent company into Caplin Steriles or Capl in Steriles USA.

So, under our label, we have so far launched around 21 products with another 15 launches planned in the coming quarters.

It is a healthy mix of bags, emulsions, vials. So, that should keep us very relevant to all the large and small buyers of the US. We have around 38 ANDAs approved with another 13 under review. We are actively working on a large pipeline of products, which includes pre -filled syringes, bags, complex generic vials, etc., where competition is few and far between. But we are not going to be focusing only on complex products , because typically what does happen is we focus on products that move on a day -to-day basis. So, we want to have a good enough portfolio that caters to all infantry products that get used in the hospital.

When it comes to a GLP -1 product, I am sure people have questions on that. We aim to launch this in our current Latin American markets during the first wave next year with some amount of differentiation considering we are going to be catering to the bottom of the pyramid.

In addition to the US, we have also filed many good products in Canada, Australia, Saudi, UAE, South Africa, etc., and we can start to see some good progress coming

from that next year.

Finally, as Chairman also discussed, we are strategically looking at some locations where potentially some onshore manufacturing can happen. This is a moving piece as we speak . So as and when we have some information, we will keep everyone updated.

We understand that these are turbulent or sometimes even confusing times, but we are confident that as a company we are well diversified and well catered that we will be one of the last ones or we will be one of the least ones to get affected with any kind of eventuality.

We have been a company that has been catering to the bottom of the pyramid with affordable products, with very high-quality products. We simply do not foresee a world where that will be threatened.

Thank you and I will pass it on to our CFO to give a little color on the numbers before we can open up for questions.

D. Muralidharan: Yes, thank you Mr. Vivek. Good evening to all who have taken time off to attend our investors call for FY25 -26 Q1. Results are there with you for some time now. I would like to give you some key points.

Caplin Point Laboratories Ltd

August 07, 2025

Before that, we are very glad to inform that we have begun the year well and very happy to inform that we have performed well better than many of the peers whose results have been announced thus far for the current quarter.

Overall revenue growth is about 11.7%, ROA that is a parent business giving about 7 % and US, as Vivek put it, has given 37 % which is remarkable growth albeit on a low base. The Rs. 533 crores

what we achieved in the current quarter is the equivalent of 2018 full year revenue which was at Rs.540 crores.

Contribution margin stand at 61.1%, highest thus far aided by product mix, though we have been saying that it is sustainable at about 60% , which we will hold on to that.

Increase in gross margin of 2.1% flowing up to the PAT level, that is 26.2% to 28.1% is PAT that has grown. So, thanks to judicial monitoring of expenses, sustainable at 26% again.

PAT of Rs. 151 crores surpassed 2018 full year which was also at Rs.145 crores , a growth of 20.1% over previous year and in fact, when the revenues have grown 11.7%, this gives us the color of the business which the Chairman explained. And our CFO was at Rs. 118 crores.

As chairman put it, we have some strengths. A few of them I would like to mention for the benefit of the investors. Our liquid assets is at Rs. 2,207 crores with cash and cash equivalent of Rs. 1,231 crores and year -on-year we have a target of accruing Rs. 300 crores which will enable us to meet CAPEX requirements and build reserves for the future.

Second one is inventory closer to the customer. As Chairman put it, we have acquired our channel partner four years back and 56% of our inventory is positioned at our warehouse very close to the customer. This has enabled us to cash on certain demands which are sporadic in nature especially in generic market and really maximize our gains. The realizable revenues of this inventory in warehouse and transit would be around approximately Rs. 800 crores. So, that means this gives us an opportunity to tide over a ny temporary issues in terms of transit or any other issues that we may face.

Combination of asset heavy manufacturing facilities and asset li ght outsourcing model is one of our great strengths

We have invested about Rs. 700 crores in the last five years to create state-of -the-art facilities for future -readiness and exploring regulated markets. Asset -light model which is mainly outsourcing out of China and Indian manufacturers to enabl e sustain ed growth and cash generation. So, cash thus generated has helped us invest without borrowing. We have zero borrowing and no finance cost. So, parent company has h and-held new ventures and invest ed Rs.500 crores out of the Rs. 700 crores in subsidiaries.

Caplin Point Laboratories Ltd

August 07, 2025

The projects out of internal accrual also gives us the flexibility to dynamically rearrange and priorit ize our projects in the current scenario, because we have been moving certain projects depending on these priorities and then the geopolitical level We are able to quickly realign and had we borrowed this flexibility would not have been available to us. We are answerable to somebody. These are some of the points from me.

So, we are open to answer any questions.

Moderator: We will now begin with the question-and -answer session. The first question is from the line of CA Garvit Goyal from N vest Analytics Advisory LLP. Please go ahead.

CA Garvit Goyal: Good evening, sir and congrats for decent execution in a tough quarter. My first question is on the geopolitical event considering these kind of events are happening and our growing exposure in the US where there is a rising risk of tariff on pharma , so, how Caplin is going to mitigate the same and do you think like is it going to result in any slowdown in our growth in the near term at least?

C.C. Paarthipan: In general, I know it is better to actually cross the bridge when we reach there because he has not announced it and it is not going to be that easy for him to announce this one. If he wanted to do it, he could have done it also, is it not? And then second issue is if you look at our business, especially the bottom line is not very high. It is easy for us to actually handle that kind of actually profitability with one more country or two more countries actually in Latin America or even actu ally in West Africa. So, it is not going to affect our growth. As you know well, there are three stages for any company , growth, status quo and decline. The decline and status quo will not happen. Definitely, there will be growth. In a wor st case scenario, there will be a slowdown on the top line, not on the bottom line of cash flow.

Vivek Partheeban: Yes, in addition to Chairman's quote, please note that today, over 90% of our business in the US is B2B where we supply to the larger companies and distributors that buy our products and then sell to other buyers in the US, t he wholesalers and hospital networks and things like that. So, technically, the tariffs do not fall on to us. It is actually paid by the person that is going to be importing the product into the US, #1 . #2, remember that whatever t ariff that happens to everybody, not j ust one company. So, while there may be some amount of realignment that we will need to do when it comes to Caplin Steriles USA, that is still about 5% of the business only right now. So, like Chairman said, I think we need to cross the bridge when we get there. There is also I think a lot of information available online.

There is something called the Sec. 232 investigation that is going on, which will probably be concluded in sometime in the future, after which the Trump administration will take a call, we suppose. But again, anybody's call and nobody really has a right answer to any of this at this moment.

C.C. Paarthipan: One more thing I would like to add. I think I have seen a news in the media that 30 companies are the ones who control I think 80% -90% of the business, which is happening actually in the US. And we are not part of those 30 companies. So, the impact will not be that severe to us. When a company

goes to the extent of selling 50% -60% of their business in the US, then it is not going to be that easy actually to wriggle out and create another market. I hope you would agree with me.

CA Garvit Goyal: Understood, sir . And that means for now, whatever the rate that we are growing, we will continue that, right?

C.C. Paarthipan: Yes, definitely sir.

Vivek Partheeban: Yes, one other information also that just is on top of my head, i n fact, when the tariffs were first routed out, we started doing a lit

tle bit of a study as to what our portfolio looks like and how this can

be replaced by onshore manufacturing. So, we are in a position where less than 10% of the products in our portfolio currently has US manufacturing. So, that gives us a little bit more comfort level that even if tariffs were to apply, most likely it is going to be applied to everybody that is on the market.

Because like I said, 90% of all the products in our portfolio are not really manufactured by others in the US at this point. So, how that will change in the future is anybody's guess. But once again, goes back to our original statement that we will be one of the last ones to get affected or the least ones to get affected.

C.C. Paarthipan: I also would like to actually mention that in the course of my speech, I only said, we are not going to focus on the vanity metrics. Top line is vanity, bottom line is sanity, and cash is king.

CA Garvit Goyal: Thank you very much, sir. And secondly, on our CAPEX side, our OS D facility, last quarter, we mentioned the timeline as Q4 FY26 and now it is Q3 FY27. It is a big change. So, can you please explain some reason for it?

C.C. Paarthipan: Are you talking of our Onco facility?

Vivek Partheeban: This is the Ora I Solid Facility.

CA Garvit Goyal: Yes. Okay.

Vivek Partheeban: Yes. So, basically, let me just explain. So, over the last three, four months, you can all imagine that we needed a very careful wait -and-watch approach. We need to understand what would be the right strategy for us and where we would be utilizing our next round of CAPEX , where we will be utilizing our cash in the next level of projects that we need to be putting together -- should it be in India , should it be closer to the market , should it be actually at the market? All of these things, I think it is a very dynamic environment that we are all living in and we need to make sure that we take the right decision. Because typically, what happens is these CAPEX take about three to four years to complete all of the validations and then churn out products from there. So, we do not want to hurry and then make a mess of it or we do not want to hurry and then get to a situation where we leave it half done and then we need to move from there. So, I would say that we are adequately covered. In fact, one

Caplin Point Laboratories Ltd

August 07, 2025

other big advantage that we have is we have been able to connect with a lot of Chinese and also a couple of Indian companies that have the necessary approval and scale that is available for us to do contract manufacturing for OSD products. So, I would say that even if it gets delayed by a further one year also, we are not going to be affected by that delay.

C.C. Paarthipan: Correct. I would like to mention here that I told you about the recent trip to China , there are plenty of companies who have completed actually the entire facility , they also registered some of the products, but they have not been in a position to do business. China is very good in terms of actually hardware. When it comes to regulation and marketing, they are very keen to associate with actually some Indian companies and we have been having an office for the last 18-years , hence, we are in a position to reach to many companies. I have found as actually the C OO has told , it is better to delay rather than actually hurry up and invest your money, which is not a real asset li ght model. We have to go for asset heavy when it is needed and when there are opportunities to go for asset light model. If you look at all the big companies like multinationals, they prefer to go for generic outsourcing. If it comes to innovation or incremental innovation, they think of their own. So, it is not the facility which is going to give us actually the returns. It is the business model and the number of registration. Today, we are getting a lot of dos siers from the Chinese co

mpanies and some other even one or two

actually other companies from Turkey also they showed their interest to associate with us. Hence, we are focusing more on North and South America. After the announcement of Trump, of course, we are sure that it is not going to affect us. We do not want to be judgmental. Our focus will be much more on Latin America because we know this market, especially the bigger geographies like Mexico, Brazil, Chile, Colombia, then smaller geographies where we are expanding into in the form of Paraguay, Uruguay, t hese are capable of giving us the best of the best business for our company.

CA Garvit Goyal: Understood, sir . And lastly is on GLP -1 side. So, can you spend two, three minutes on explaining the opportunity for Capl in in this particular area and how exactly are we going to capitalize that?

Vivek Partheeban: So, in Latin America, if you see, we already have a wide portfolio of antidiabetic products. So, this will be an add -on to our portfolio. But the truth is, this is a product that has had a lot more visibility

in the larger market such as US and Europe, etc. , So, for us, it is important that we launch this because of the fact that it is a good portfolio product, but also the trust that Caplin as a brand has built up over there puts us in a very good position to make this successful. Now, the differentiation in how we formulate the product in terms of usage is it going to be a pen device , is it going to be something else that we are going to be launching in the market is where we need to be a little bit creative around. But if you ask us what will be the market size and all of that, it is a difficult question to answer because there has been a lot of shortages , there has been a lot of new products that are entering the market. Even now, I think a very small percentage of the population that is supposed to be using it , is still using it. So, we would probably know a lot more after we have launched the product next year. CA Garvit Goyal: Got it, sir. That is it from my side and all the best for the future. Caplin Point Laboratories Ltd
August 07, 2025

C.C. Paarhipan: Thank you.

Moderator: The next question is from the line of Aryaman Agarwal from Money Storage Asset Management. Please go ahead.

Aryaman Agarwal : I was seeing the previous presentations that you were mentioning about M&A opportunities. I want to know if you are still looking out for those opportunities or anything in the pipeline?

Vivek Partheeban: So, the question was about any potential M&A opportunities. Are we working on anything right now?

C.C. Paarhipan: The acquisition actually, yes, definitely we will be interested if it is meaningful. When there are opportunities in the form of acquiring the products, that will be our first actually choice. The reason is currently we are not in a position to understand geopolitics and geoeconomics. And if we acquire a product, then we know what will happen. We will be in a position to understand whether we can market this product in the US or in Latin America or in other markets. If you acquire a facility, unless you have the right people to manage and also without even understanding what will happen in the deglobalized world. As I told you in the course of my talking, many more countries will also follow the path of protectionism. At that point of time, one has to look for acquisitions. Now, as I told you, we will go for facilities in two countries. These countries are Mexico and Guatemala. And that itself actually will make us invest money in such a way that will help our business in the long run. Aryaman Agarwal: Got it. And what growth rate can we expect going forward from here on in terms of your bottom line?

C.C. Paarhipan: Yes. At this juncture, we do not want to tell you what would be the growth rate because if you ask me after 2 , 3 years, we will be doing very well.

We are very sure that we will do very well because the markets which we are into is and we know the pattern. Anything which is predictable is repeatable. And in every market, as you know well, when you get into smaller to larger geography, the registration time actually is the most important factor. Once it is registered, we are sure that in another one and a half, two years, we will have 200- 250 products in Mexico itself. When that happens, we will keep the goods in the warehouse. In Mexico the Government supports local companies and they hold strong influence in the market. That is the reason most of the foreign companies may not be in a position to supply. Whereas when we complete the registration, we actually decided that we would keep the goods actually in our warehouse. In 1% if we do not get the tender, then we can supply the products in the private market. So, this is the strategy. So, we are very sure that we will not only sell in the private market, but also in tenders. That will increase the business manifold.

Aryaman Agarwal: All right. Thank you.
Caplin Point Laboratories Ltd
August 07, 2025

C.C. Paarhipan: Thank you, sir.

Vivek Partheeban: Thank you.

Moderator: The next question is from the line of Tushar from Motilal Oswal. Please go ahead.

Tushar : Thanks for the opportunity, sir. Sir, just with respect to these PFS lines, which more or less are complete at Caplin in Sterile Phase 2 , so, while we sort of register it for regulated market, but till that time, is there a scope for utilizing this facility either as a CDMO and for the other markets where this GLP opportunity is opening up maybe before the opportunity in the regulated market?

Vivek Partheeban : Yes. So, a couple of points here. #1 , Tushar, is we are actually looking at launching many of our vial products into PFS products, converting them from vial into a PFS product, where they will go by what we call as a post -approval supplement in the US. So, typically when new products take about 10 to 15 months to get approved, a post -approval supplement takes only six months. So, for XYZ product, if we have a vial already or a bag already approved, our idea is to convert several of these if the case may be feasible into a prefilled syringes. #2, we are also going to be doing our GLP product for our current markets from this facility and also our CP -1 facility because some of the new countries that we are entering into, like Mexico and Chile, will require regulatory approval, which we already have from this site. #3, I would say that when it comes to CDMO, we are always open. We are not

against it. The only thing is we feel that there is adequate capacity. In fact, if you read some reports, it says that there is probably overcapacity when it comes to this GLP -1 CDMO space. So, I do not know how much of that is accurate, but we are open to it. We are not against utilizing our capacity for CDMO for GLP.

Tushar : Understood. So, that is helpful. Secondly, now these API facilities are sort of upgraded and completed. So, will that start reflecting in the margins given that this is more like backend integration for us?

Vivek Partheeban : Over a period of time, not immediately. What we are going to do is we are going to secure our supply chain as much as possible by filing second sources for many of our key products in the US and Latin America. But for it to reflect in the bottom line and stuff, I think we are still talking about some time away. I would say that at least 2 years away, not now.

Tushar : Understood. This is like alternate source filing typically takes 6 to 9 months .

Vivek Partheeban : So, we will need to do some amount of development, not full scale. It will probably be a couple of months of development. We will need to do batches and then put them in stability for 6 months and PAS would take another 6 months. So, typically it is 12 to 15

months for the approval to come through. But there are also products where it is going to be a primary source as well. But again, we
Caplin Point Laboratories Ltd
August 07, 2025

need to complete US FDA approval, EU approval, whatever it is, and then only go for all this. So, this is, I would say, a mid-term kind of a target, not short term.

Tushar : Understood. And just lastly, if you could, maybe I missed in the opening remarks, which you already highlighted, Capl in Steriles sales, EBITDA, PAT for the quarter ?

Vivek Partheeban: I will request Mr. Sathya or CFO to take this thing.

Sathya: Yes, thanks, Vivek.. So, for the quarter, Capl in Steriles consolidated turnover is Rs. 108.48 crores with EBITDA of Rs.27.99 crores , PAT is Rs.7.95 crores.

Tushar : Thank you. That is it for me.

Moderator: The next question is from the line of Vedant from ICICI Securities. Please go ahead.

Vedant : Great. So, thank you for the opportunity. I just wanted to know the management comments on the LATAM market performance for the quarter and how could we see this market shaping up in the coming year or two?

C.C. Paarhipan: Okay. See, coming to the performance of LATAM, I would actually request the CFO to give you the numbers so that you can understand that we have continued to do well actually in LATAM market and the best is yet to come because we are just entering the bigger geographies as I told you before. However, I will ask the CFO to give you the numbers.

D. Muralidharan: Thanks, Chairman. We have got the full number and also the US number. Reminder is all coming from the LATAM. Of course, Africa has a very nominal contribution to that. So, we have grown 7% in LATAM market for the quarter over the last year corresponding period. Okay? So, in terms of profitability, out of Rs151 crores, bearing with Rs. 8 crores from USA, the rest all came from there.

Vedant : My second question is about the GLP -1 product. So, I think the launches of our GLP -1 products will take place in LATAM market , correct?

C.C. Paarhipan: Correct.

Vedant : Yes. In which quarter could we see the ramp -up or their effect on the revenues?

Vivek Partheeban : Yes. As I explained to a previous person on the call, this is a new product, right? And the area itself is quite new. The segment itself is quite new, especially for Latin America, which did not really have consistent supply of the brand because they had multiple shortages and issues in the US and Europe market also. So, this is an evolving space. We will definitely have this as one of the products in our portfolio, especially because we have quite a good presence in Latin America in the anti -diabetes
Caplin Point Laboratories Ltd
August 07, 2025

range, including insulin in one of the countries , and we are also getting insulin approved in some of the other countries where we are operating in. But we do not have any sort of numbers when the ramp -up will happen, etc. , We will be certainly within the first wave of products going in. But different countries have different approval times, right? Some countries it is about 6 to 8 months , some countries can take up to a year. But I think we will probably need to evaluate it as and when the launch happens. And there is no specific numbers or anything that we are targeting with it at this point.

Vedant : Any timeline could be helpful if at all there is?

Vivek Partheeban : In terms of launch, we are probably looking at next September to October is when the launch is going to happen. But remember, there is a lot of competition here. I think even within India, even exporters from here, there will be a lot of competition. We are not worried about the competition because, like I said earlier, Caplin as a brand is very well established there. So, there is a lot of trust with the product that we bring to the market. But the market in itself, is it large enough , is it growing? All

of

that we will only know after we launch.

Vedant : Thank you so much. That clears my question. I will get back into the queue.

Moderator: The next question is on the line of Deekshant from DB Wealth. Please go ahead.

Deekshant: So, sir, in the last two quarters, we have been talking about our growth. And Mr. Chairman had mentioned that the growth will not be marginal going forward. And I think in Q3 call. And we have also talked about that in the next 18 to 24 months, it is going to be somewhat of a similar trajectory of growth. But, sir, we have never talked about what kind of growth can we see post this two and a half, three years timeline. So, let us say that 24 months from now, what kind of growth can we see and what is the opportunity size for us? Can you paint us some sort of opportunity picture here, what picture would really be helpful for us?

C.C. Paarhipan: Yes, I would like to convey this way. See, currently our strength is actually the cash flow. You must have seen the liquidity and the liquid assets. Wherever we are building actually all this is going to be in the form of actually keeping the goods next to the customer. So, that happens actually in bigger geographies like Mexico and other countries in South America, Latin America, in fact, we just started our warehouse in Chile. So, maybe after two years, we are 100% sure of doing a business of say \$50 million in that country alone, Chile. Mexico is still a bigger country and we are only waiting for the registrations to be completed. It is too early for us to understand how long it would take to complete the registration in Mexico. This is one country where big companies can influence registration process. So, we are waiting and we are also networking with some of the important people to help us to complete the registration and all. So, after we start doing this type of countries like Mexico, Colombia, Chile and later in Brazil, I am sure maybe after three years, we will have double-digit growth and it should be, in the form of 20% -25% also after three years. That is for sure, a). b), How

Caplin Point Laboratories Ltd

August 07, 2025

it is possible? When you have surplus cash, when we focus more on actually Latin America, definitely we will go for some acquisitions. That will also multiply our revenue and profits. Is it okay or you would like to ask any other questions, please?

Deekshant: So, sir, last three years growth has been around 14% -16% and from what I can infer, you have mentioned that this year and next year would be somewhere in the similar line. So, is it fair to say that FY28 onwards, our growth is going to be around 25%?

C.C. Paarhipan: 20% to 25%, yes. After FY 2028 -29, yes.

Deekshant: Sir, secondly, there has been some change in the management in the last six months, which is the senior management, a couple of them have resigned and there has been one new appointment of Mr. Vinayak Dinkar and three resignations have been there in April, May and July. So, what is happening in our senior management team, is there a reshuffle happening? Could you just give us some light here?

C.C. Paarhipan: Coming to the R&D person who left, we in fact have good people, actually, who are capable of going for complex products and some of the products are very unique also for our future business. So, there is no concern in this. One other person, of course, it is something unexpected. We expected something extraordinary but then realized there could be mismatch in expectation vs performance. So, we had to separate. Other than that, actually, there was another person taking care of external work in the form of meeting the officials and getting the licenses and all. It was these people at the senior management level who got separated. No Company wants the employees to separate, that too at the senior management level. Sometimes what happens after having st

ayed in the company, there are

people who are asset to the company. They love the company. We also know we love the people. We understand we have to actually have a very good relationship with our employees and customers. Retaining them is the most important thing. At the end of the day, if it is not going to help the company, do you think that we will be able to keep them?

Deekshant: Got it, sir. So, we are now looking to bolster up our senior management even better?

C.C. Paarhipan: Thank you.

Moderator: The next question is from the line of Ketan. Please go ahead.

Ketan : Yes. Hi! Thank you for the opportunity and many congratulations for a good set of numbers. Sir, I have got two questions. One is, we are a largely generics company and for a generics products company, I feel the margins are very high. So, are these sustainable for the mid -to-long term is my first question, sir.

Caplin Point Laboratories Ltd

August 07, 2025

C.C. Paarhipan: Okay. As I told you in course of my actually conversation with our investors, it is not the generic that really gives you the money, it is the business model that actually makes you this kind of actually cash flow and profits. Of course, in fact, I had to tell this to one of our investors, we keep our goods next to the customer. Initially, when we went to the smaller geographies, it was more of a physical risk. Now, of course, we are used to it. The pattern that has helped us we understand, and we continue to do the same business and we are doing it actually, now that we started in Chile like one month ago,

we started our warehouse, which is nothing but stock and sell next to the customer. Same we will do actually maybe in one year's time in Mexico. And then the front end, which was started in US, I think the CEO will tell you when exactly it was started. These are things which really helps you to increase your cash flow and profit. It is all about business models.

Vivek Partheeban : When it comes to US business as well, I know that we cannot paint multiple people with the same brush. But what will be pleasantly surprised is the injectables continue to give decent margins. And as long as we keep compliance levels very high, as long as we are able to maneuver all of the issues that we face at the facility, etc., with a high degree of compliance and keeping the patient at the top of our head, I think there is definitely margins that is left to be achieved. And in the past, we have had to share 50% of our profits with front end partners. And typically, what happens is some of these very large companies, when the gross profit goes below a certain level, it is us that need to shell out something from our pockets to make sure that their margins remain whole. So rather than that, some of these slightly more commoditized products, we have been able to launch them in the US and our gross margins are upwards of 50% over there. So, I think margins are not so much of a concern for us in both areas.

C.C. Paarthipan: I would like to add one more thing. After six years, I have been to China in the recent past. And China is the one actually where we started our outsourcing initially. Now, of course, we do in India too. The second stream of revenue in the form of asset-light model will start actually from China. That will also add to our bottom line. That will help ... that will create a healthy bottom line. The products that we are outsourcing, we are going to outsource actually in China are value-added generics in the form of biogenerics and some of them actually are biological products too. So this definitely, we are very confident of actually our bottom line. It may take a little time to increase the top line and our cash flow and profits will continue to be good actually. That is for sure.

Ketan : That is very heartening to know. My second question, sir, is we started the warehouse in Chile. So in this quarter, Q1

, do we have some revenues? And if not, we expect some good revenues in this financial year?

C.C. Paarthipan: Yes, Chile, of course, we can not expect extraordinary business from Chile in the first two years, because Chilean market, 80% is tender and 20% is private market unlike Mexico. So in Chile, what happens, we select products, we do not go for all the products where the margins are very meager.

Caplin Point Laboratories Ltd

August 07, 2025

And that is one of the reasons, we are more a bottom line-driven company, not top line-oriented company. So yes, definitely we will do some business which will be better than before.

Ketan : Okay. Thank you so much, sir, and wish you all the best.

Moderator: The next question is from the line of Aristak from ICICI Bank. Please go ahead.

Aristak: Hi, sir. Congratulations on the results, sir.

C.C. Paarthipan: Thank you.

Aristak: So wanted to know about the CAPEX plan, sir, like you have already allocated more than Rs. 1,000 crore s in CAPEX, sir, with 50% already spent. So can you break down the remaining allocation and what will be the expected ROI for the same, sir?

Vivek Partheeban : Yes, I think when it comes to the remaining part, our three pending CAPEX that we have on hand, one is phase-III of our injectable plant, which internally we call as COL2. This would be close to around Rs.283 crores, but around Rs.80 to Rs. 100 crores is already spent on that one. Our oncology API facility also is likely to incur around Rs. 85 to Rs. 90 crores. And then our OSD with a design drawing and very early stage civil. So we need to work out what will be the CAPEX outlay for this, but we expect this to be around the Rs. 150 crore s region. ROI, look, when it comes to pharmaceuticals, I think it is very difficult to put a figure on it, because these are all going to be multi-product facilities and the market is very, very dynamic. So we can not really give you a specific number, right? If it was an API plant that did only about three or four different products, then you will have a little bit more stability in terms of pricing, output, capacities, etc., But I think ROI is something that not just us, I think most companies will get to know that only as and when it happens.

Aristak: Understood, sir. Sir, about your CAPEX programs, which are ongoing, your API facility in Vizag was gaining a lot of attraction, sir. So apart from that your oncology and injectables CAPEX are also underlying, sir. So only on the oncology part, I wanted clarification, sir, like how will it contribute to your bottom line strengthening? Like oncology is very much developing market space in India also, sir. We see a lot of new players coming up in this department. So what will be Caplin's contribution to that, sir?

C.C. Paarthipan: Our strategy is actually to have a mix of various products. Rather than putting all our eggs in one basket, we will have actually different buckets that will add volume and value actually in one basket. Today, we are into the specialty injectables and generic injectables. Oncology, what we are doing is 15 to 16 products actually, they are working on that. Whatever mistakes we have done in the US market in the initial days, we will not do it here. Rather than filing one or two products, we would like to file actually at least five, six products at a time so that it becomes easy for us to generate some revenue. And coming to the ROW market also, as you mentioned, once we complete actually

registration in the ROW market, there are also opportunities for supplying these oncology products to the government. But this may not be very fast. I do agree with you. These are things which, of course, is selective. Although the disease is on the rise, this product cannot be sold like any other generic. But we have opportunity. We know markets where we will be in a position

to sell. We are waiting for that to happen.

Aristak: Thank you, sir. In the past, we have seen you delivering on your promises, sir. So, we expect you to take care of your shareholders this time also, sir. Thank you, sir and all the best.

C.C. Paarthipan: Thank you. Thank you very much.

Moderator: The next question is from the line of Avnish Barman from Vai karya. Please go ahead.

Avnish Barman : Yes. Hi! Thanks for taking my question. My question is again on the oncology part. I mean, sir, your plans are getting commercialized in FY26. I just wanted some color on the profitability front on the oncology side. When this business scales up a little bit, does it improve your overall margins of 33% - 34% or is it expected to be a little lower than that?

C.C. Paarthipan: Initially, we do not want to tell you that we will be in a position to make huge money. In fact, this is something which happens. Sometimes it happens like last year in one of the markets. We never expected we would get that kind of orders. We made it and we made good profits. And we are working on actually in a different market, not in the same market. There are people who also supply at lower prices to the tenders and reasons best known to you also, because tender is one thing where the government decides. And some of the governments, they think of the quality, some governments, they think of only the price. And the bigger geographies as we enter into markets like Chile, which we already told you, when it comes to supplying to these tender markets, these are the straightforward countries, there is an opportunity, we will do well, but again, it takes time. Then markets like Costa

Rica, although the markets are small, they want us actually to sell in Europe or US. After that only, they will allow you to enter into the tender. Coming to Mexico, we in fact registered three or four products through our associates from China. And we are trying to register many products through our associates in China, then change those registration to our own facility in India. So we have certain models that is going to help the company. When and how actually is too early for us to tell you now.

Avnish Barman: Okay. Understood. Sir, if you can give me some idea of the timelines between, let us say you file a product today, on an average, how much time does it take to, one, get the approval and two, basically to ramp up to the potential of that product?

C.C. Paarthipan: Yes, it depends from country-to-country. See, if you look at actually, see, those days when we went to the Central America, the fees was lower and we used to get the registration in three to four month's time. The same Central America, it takes one year. It is not a regulated market. The regulated market, it takes 15 to 18 months. That is the most important one. And once you are registered, then the most

Caplin Point Laboratories Ltd

August 07, 2025

important is actually you need to have at least 40, 50 products to open up actually your own warehouses in the form of stock and sell. And then if you have that kind of a product, then the bundling, like most of the big companies that they do in US, you may not make money in 10, 12 products, but what they will do is if they have actually 100 products, they will try and make money actually in some 80, 90 products and bundle it. The product that they do not make money also get bundled and supplied to the customer. The same we do it actually in Latin America to Central America. We have registrations to the tune of 400, 500 products, of which 20% will give us the 80% of the revenue. However, the customer who comes here, he may buy one or two products very rarely. He still prefers that product also to be there so that he does not have to go to another warehouse to buy the product. So these are the things which really contribute to the business. So, we want this type of situation, the situation

in such a way that we have accumulated the registration in the current business. Same things will happen in the bigger geography. So what we are doing is we are also buying products rather than acquiring the facility, we are acquiring products, that will also add actually some value to the kitty. We are sure we will do it. That is the reason I said. In the next two years, we may not be in a position to tell you like we will do extremely well, but two to three years after, yes, we will do extremely well. That is for sure.

Avnish Barman: So sir, let us say 15, 18 months in a regulated market to get the approval and then how much time to basically reach like ramp up that product?

Vivek Partheeban : Typically when it comes to the US, it takes us around three to four months for us to launch the product. In Latin America, we actually do it in slightly quicker time as well, because when it comes to US, most of the time, the bottleneck seems to be in the API side, because especially injectable products that we deal with, where the API is on a campaign basis, and it is not in tons and tons, right? So they have typically shorter campaign run. So that planning to be very, very carefully done. But

you can assume anywhere between 90 to 120 days for the product to hit the market after registration.

Avnish Barman: Okay, understood. Thank you so much.

C.C. Paarhipan: Thank you very much.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.

Vaishnavi Gurung : Good afternoon, sir. Thank you for taking my questions. I just have two questions. The first one was regarding the market share in Latin America. If you can give us that in terms of numbers, please?

C.C. Paarhipan: Yes, our products do not figure in the IMS, except in one country, Guatemala , where we are next to the multinationals , because that is where this is a country where the population is only 17 to 18 million. But we do a business of \$50 million there. The rest of the countries, the profitability is good and the business is good, but the population is hardly 6 to 7 million or 9 million. Here, we do not do

Caplin Point Laboratories Ltd

August 07, 2025

anything in the form of actually IMS or other this thing because they do not do anything in this country. So to give you something in the form of percentage of market share is very difficult in all other geographies , except Guatemala.

Vaishnavi Gurung: Understood. Thank you, sir. S ir, my second question was regarding the plans to increase outsourcing from China. Currently, our outsourcing, if I am not wrong, is around 30%. So what is our plan to extend it or to increase it by the next two years? And if so, what impacts are we going to see on the margin side?

C.C. Paarhipan: Yes. The idea of outsourcing now is not to increase the top line. It is mainly to add value to the bottom line. So what we will do, it may be 10% or 5% or 15%, which may happen actually over a period of time. Whatever we outsource, that will add value. For example, recently in one product, which of course, there are not many manufacturers in the country, whether it is in India or China , in fact, we were able to locate it from one corner of China and they supplied the product and our customers are happy , we also made money and the country also, the government also a re very happy because we were able to identify that product. So , we are going for products which are always in scarcity and we are going for some of them like blood products , some of them are actually biosimilar , some of them are actually products which have just come out of the paten t. So these are the things which will add value to our company. That is for sure.

Vaishnavi Gurung: So sir, in terms of numbers, so in the next two years , FY2030, what can we expect the outsourcing numbers to be to China?

C.C. Paarhipan: It will cont

inue to be on the rise because outsourcing from China will increase compared to the outsourcing from India. Because the difference between India and China outsourcing is there is one company called CSPC in China, i t is considered as number one or number two in the country. We have been doing outsourcing with them for the last 18, 20 years. But whereas in India, the bigger companies go for outsourcing to the smaller companies. That is not the case with China. China, they only look at actually how much is the profit I get out of this business ? Is there any consistency? Initially, they may not give you exclus ivity. And if the people are known to you, they give you exclusivity. Then when you go for different kind of models, which I told you in the course of my actual speech, in the form of like 50 -50 partnership, they will take care of the R&D and manufacturing, we will take care of the regulatory and marketing, then the profits will be high and it will be also consistent.

Vaishnavi Gurung: Understood. Thank you, sir.

C.C. Paarhipan: Thank you very much.

Moderator: We will take that as our last question for today. I now hand the conference over to the management for closing comments.

Caplin Point Laboratories Ltd

August 07, 2025

Vivek Partheeban: Thanks to Dola t Capital for hosting the call. Thanks to all the participants that took time out to attend the earnings call and we hope to stay in touch with you in the future also. Thank you so much.

C.C. Paarhipan: Thank you. Thank you very much to all of you.

Moderator: On behalf of Dola t Capital Market Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Page 1 of 22

“Caplin Point Laboratories Limited
Q2 & H1 FY26 Earnings Conference Call ”
November 06 , 2025

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN
MR. VIVEK PARTHEEBAN – VICE CHAIRMAN
DR. SRIDHAR GANESAN – MANAGING DIRECTOR
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
MR. SATHYA NARAYANAN M – DEPUTY CHIEF
FINANCIAL OFFICER

Caplin Point Laboratories Limited
November 06 , 202 5

Page 2 of 22

MODERATOR : MS. JULIE MEHTA – 360 ONE CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY26 Caplin Point Laboratories Conference Call hosted by 360 One Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

I now hand the conference over to Julie Mehta from 360 O ne Capital. Thank you and over to you, ma'am.

Julie Mehta: On behalf of 360 O ne Capital, we would like to welcome you all to the Q 2 and H 1 FY26 Conference Call of Caplin Point Laboratories Limited. Today, we have with us senior management of the company represented by Mr. C.C. Paarhipan , Chairman, Mr. Vivek Partheeban , Vice Chairman; Dr. Sridhar Ganesan , Managing Director; Mr. D. Muralidharan , Chief Financial Offi cer and Mr. Sathya Narayanan M, Deputy CFO.

I would now like to hand the conference over to Caplin Point management for the opening remarks, post which we will open the session for Q&A. Over to you, sir.

Management : Thank you, Julie and thanks to 360 One Capital for hosting. Welcome, everybody. Thanks to all of you for taking time out and joining the Q2 H1 earnings call to discuss the results. Please note that a copy of all our disclosures are available on the Investors section of our website as well as on the stock exchanges. And also do know that anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges. Please also note that the audio is copyright material of Caplin Point and cannot be copied, rebroadcast or attributed in press or media without specific written consent of the company. I'd just like to hand over the floor to our Chairman for his opening remarks.

C.C. Paarhipan : Thank you. Good afternoon, and welcome all to our investors call. Let me start with what has been told by Harvard cognitive scientist and psychologist, Dr. Pinker, about private knowledge and common knowledge. He makes a crucial distinction between private knowledge, say X, which resides only in an individual's mind and common knowledge where everyone knows X and everyone knows that everyone knows X and so on ad infinitum .

The private knowledge alone could create something unique and also the competitive advantage to any company. Now , the unique and competitive advantage s of Caplin Point. Number one, higher revenues in smaller geographies of Latin America with personalized patient engagement.

Number two, liquid assets exceeding the annual revenue that stands at INR 2,358 crores. Number three, catering to the bottom of the pyramid of essential medicines cannot be replaced by new age biosimilars tool. Number four, we are not competing with the big pharma, but creating a new ecosystem in the markets and manufacturing.

First, market. The focus of the big pharma is always on institutional and brand marketing, whereas we focus more on the private market, especially the last mile , which always sells to the poor and middle class in rural markets. We currently 50% of our products are outsourced either more from both from China and India. And this asset -light model has created the hard assets in India.

Then manufacturing. We found the rural women are more discipline d. Hence, we are empowering the women by increasing the women employees in our shop floor, which alone is not

digitized in our factory currently. We also still retain the skilled and loyal men to continue in our journey with us. We are training the new grad es and they are quite good in enforcing integrity, quality, safety with productivity in our facility.

We are in the process of digitizing the shop floor like all other areas of our CSL. This will be a digital privilege to the underprivileged women. In the next two years, after we complete the COL injec tables, we will be one among the four or five injectable exporters to the U.S.A. with 12 lines, both put together of CSL and COL and we'll be mainly catering to the U.S. market.

Number six, we are in the process of buying a land in Mexico where we are planning to start our factory. This is only to avail the benefits offered by the Mexican government recently and the Vice Chairman will detail the number of fill stations in U.S., Mexico and Chile from India and China.

Number seven, we also have plans to start a liquid oral facility in Guatemala, which would increase our revenue and profit by selling a big range of liquid products in Central America. And exporting liquids from India or China does not have a competitive c ost advantage. Number eight, we are also looking for a meaningful acquisition to increase the top -line and bottom line of the company and the Vice Chairman will detail an opportunity which came to our place in the recent past.

However, we felt that particular opportunity is not a good fit for our business, hence, we told them that we could look for something later. Number nine, we are also aware that one day artificial human intelligence and machine learning will rule the world. Robots will replace the routine to difficult to manufacture jobs. Keeping this in mind, we should also legally look for a country which supports robots for manufacturing of generics.

However, we know that these robots will not have empathy or a feeling for the poor. Of course, we don't even know whether the future robots will have common sense and the gut feel. We at Caplin, we still feel stepping to the bottom of the pyramid is a compassionate journey, which will continue forever.

Caplin Point Laboratories Limited
November 06 , 202 5

Finally, we also accept that no competitive advantage is an iron clad and it must be earned on a daily basis. Everything worthwhile is always uphill and we should never give up to go up. Now let me pass on this to the Vice Chairman, Mr.Vivek, to give his p resentation. Thank you. Vivek Partheeban : Thank you, Chairman. I'll touch upon the U.S. business a little bit before moving on to the rest of the world also. We are happy with another set of consistent numbers that we have done, both in Caplin Point and Caplin Steriles. And in Caplin Steriles, we' ve seen growth in both the B2B and the B2C businesses, which I'll touch upon in a minute. The growth is seen predominantly due to the new approvals that we've received over the last few months and also capturing a larger share of the exis ting market for the products that were already approved.

In addition to our existing pipeline, we've been actively building up a pipeline of ANDAs that we are acquiring from outside, which helps fast track our entry into some of these products because typically, when you acquire an approved ANDA, you can get to market within 6 to 9 months compared to starting from scratch, which is around 18 to 20 months on a best case scenario.

We've already acquired around four ANDAs so far, and we' re in the process of acquiring five more as we speak. This should happen in the coming few weeks. Once everything is completed, we should be touching around 45 - 46 ANDAs, which we feel is a very decent number considering our first ANDA was approved only in 2018.

To ensure that we're also utilizing our capacity effectively and also being true to our original DNA of being asset-light and focusing on ou

tsourced manufacturing as well, we are also starting

to outsource some products for CSL. We have already started with the first two products being outsourced from another highly quality conscious company in South India.

And we're in the process of discussing with them to move a few more products to them so that only the high-value and very tricky products or complex products are being manufactured in-house until our complete capacity expansion in COL 2 or Phase III as we call it internally is completed.

Our large offering and variety of sterile products from CSL is getting even larger and even more diverse as we start doing more exhibit batches of products like prefilled syringes at this plant. We have around 11 products that are at advanced stages of development and we plan to file almost all of these 11 by the next financial year.

Some of these are additional to the existing approved ANDAs. So these would be what we call as post-approval supplement, where we get the approval within six months rather than the traditional time line of 10 months to 15 months.

We are also adding cartridges from the same line, which includes the GLP-1 products. In fact, in four countries in Latin America, we've already filed the dossier and we should be in the first wave of generics when the patent expires. We are also working on another very niche technology

Caplin Point Laboratories Limited

November 06, 2025

Page 5 of 22

at CSL, which is BFS or blow-fill-seal technology, where we are working on a pipeline of products that includes unit dose ophthalmics and inhalation products.

When it comes to CSU, which is our own label in the US, Caplin Steriles US, we are very happy with the progress so far. We targeted breaking even within the second year of operation, but I'm glad to inform that not only have we broken even within the first quarter, we actually have become profitable in that entity and the numbers are very similar to the parent companies, which, as you all know, is fairly robust as well.

We have launched 24 products within the first 12 months and we are targeting another 15 products in the next financial year. And going forward, we expect our own label to occupy a significant share of Caplin Steriles' sales in the coming years. We are also looking to license more products from other partners, other licensing companies, both in India, China, etc., for our front-end as we get more comfortable with how the whole sales network happens over there. In addition to the US, we are making good progress in our next very high focus market of Mexico. We have already filed 35+ products. We have 20 approvals along with our partners. And we are also working on a larger pipeline of 80 to 90 products that we are confident will be filed within the next 12 months. Most of these are internal products and the rest of it is all from our partners in China, which are basically ANDA products or EMA products, where we expect the approval to come through quite quickly.

Another highly focused area for us is Chile, where we already hold around 125 product licenses. We have recently started our warehousing for private market sales and local tender sales over there. This is picking up pace as we speak.

And just like the Chairman said, we are also aligning with the global push for onshore manufacturing. In this account, we are also not against the concept of an inorganic acquisition. In fact, we are now getting more and more comfortable with that idea.

And along this line, there was an opportunity that had come up in the US for something that was sizable. But as the Chairman was saying, we were able to engage with a private equity company that was able to actually make those numbers work, which were actually quite significant for a company our size.

So it goes to show that as long as we continue to do things the right way with a very sharp focus on cash flow, bottom-line and

top-line, our valuation will put us in a good position as and when

we do something inorganic. It is very important that it fits in with our line of growth and fits in with the overall models and things that the company always stands by.

When it comes to capex, our Vizag facility is cleared. We have received the CTO, which is a consent to operate. We are working on the first few scale-up of APIs as we speak. And our oncology API facilities also coming up at a good speed and we expect this to be completed by next year.

Caplin Point Laboratories Limited

November 06, 2025

Page 6 of 22

Finally, there is nothing specific to be reported on the tariff position as status quo, we are still exempted from tariffs, and we are in the same boat as everybody else on that. So happy to take any calls later. I will request our CFO to throw a little bit of light on the numbers before we open up the floor for questions.

D. Muralidharan: Thank you, Mr. Vivek. Good evening, everyone, who has taken time off to attend our investor call. Let me briefly take you through the Caplin Point performance for Q2 and H1 FY26. Overall, results are gratifying and company has grown to almost all financial parameters.

Operating revenue grew by 11% year -on-year. Our growth continues to be broad -based across geographies. Total income grew by 12% year -on-year. H1 revenue of INR 1,098 crores exceeded full year revenue of FY21 was INR 1,085 crores. The growth in other income of INR 14.18 crores has primarily come from deployment of incremental cash.

As we have in the past explained our target is to accrue at least –INR 300 crores to INR 350 crores year -on-year, and that has put us in good state. And again, INR 14.8 crores the exchange rate has also helped us another 2 -point increase in exchange gain. It's the extent of INR 2.3 crores compared to last H1. While the revenue grew by 7%, COGS grew by 8.2%. That means our operational efficiency has improved and this is directly from its contribution margin.

Employee expenses also grew just by 7% year -on-year with productivity growing up. So O pex also grew 8.2%. That means we are constantly monitoring the spending. We are discreet in our spending. This has resulted in only 8.2% increase in miscellaneous , resulting in increased contribution in the profitability.

Next, the Opex as a percentage of total revenue of 24.8%, as against 25.6% last year. Above factors have resulted in a growth of 18.2% in EBITDA margin, way above the revenue growth of 11%, 12%. So capitalization of INR 48 crores accounted for additional INR 2 crores of depreciation. PBT grew by 19.4% year -on-year from INR 322.8 crores to INR 385.5 crores, stands at 35.1%, as against 32.9% previous year. PAT of INR 311 crores is higher than the PAT of INR 380 crores achieved in full year of FY22.

All above positive factors have resulted in growth of 21.6%. PAT stands at 28.3% as against 26.1% which we achieved in the corresponding period. It may be pertinent to note that we have been promising about 25% as our target PAT. So we are way ahead of that.

Coming to the balance sheet, the company's net worth crosses INR 3,000 crores mark. Precise stands at INR 3,159 crores. Our Chairman has already talked about the liquid assets, which stand at INR 2,358. Cash and cash equivalents stand at INR 1,334 crores, as against INR 1,180 crores as of March 2025. We have incurred a cash expense of INR 94 crores on capital related items. So capitalization during the H1 was INR 48 crores.

This year in WI P (Work in Progress) . We have a W IP of about 174 crores, which is primarily an account of Caplin One Lab injection projects, which is almost in the final stages, which is about INR 90 crores and probably by December, we'll go on stream. Others related to Caplin Caplin Point Laboratories Limited

November 06 , 202 5

Page 7 of 22

One Labs expansion,

which Mr. Vivek explained, like, API oncology, and the Phase 3 or COL phase 2. So these are the other projects that are going on.

Inventory at customer locations and in transit accounts for 67% of our total inventory, and receivables are at 117 days , I think it's 118 days as of March. As you may recall, we think that we can take that below 120 days. We are working on this.

Coming to cash flow, CFO stands at INR 254 crores as against INR 186 crores in the past year corresponding period, and free cash flow after capex stands at INR 160 crores against INR 109 crores in the corresponding period.

Compared to peers, we are happy to announce that we are way ahead of our peers, comparable peers in terms of healthy margins and the strong returns. That's because discipline and efficient business model.

Just to summarize, the Caplin Point stands on a foundation of unique business model, which our chairman explained. Operational excellence, which is evidenced by increasing contribution margin. Financial prudence evidenced by our containing of cost and disc rete spending, and sustainable growth is evident by decent growth in both revenue and PAT ahead of the target. So, thank you for your continued trust and support in the company, and we'd be glad to take any questions. Over to you, Mr. Vivek.

Management : Thank you, sir. We can open up the floor for questions now, please.

Moderator: Our first question comes from the line of Garvit Goyal from Nvest Analytics Advisory.

Garvit Goyal: Sir, my question is on the capital allocation side. So, we are having free reserves of more than INR 1,300 crores, while our average annual capex in the last 3 years has been around INR 200 crores and it seems like for the next few years, we will be in a similar range.

So, at the same time, the ROCE that we are doing is well above 25%, but a larger part of the cash is lying in the sales instruments, maybe earning 8% to 9%, right? So even in the PAT period in recent years, the peer who have outpaced the sales growth is largely due to this treasury income.

So, from a shareholder perspective, wouldn't it make sense to preserve what's required for the capex or the inorganic opportunity that you are talking about and distribute the excess cash through dividends or buyback instead of letting such a large amount earn some optimal return. So that's my first question, sir.

C. C. Paarthipan: Okay. See, we still feel that going for a meaningful acquisition at a later date, which would actually give more benefits to our investors. The reason being although our top line is not growing very fast, I hope you would agree with me about the cash flow and the profits, which are now very, very comfortable.

Caplin Point Laboratories Limited
November 06, 2025

Page 8 of 22

And if you compare with any of our peers, we have definitely cut above the rest. And if you look at most of the big companies, they have become big not only by organic growth, but also by inorganic growth, which means the most important one, I feel actually, is looking for some meaningful opportunities in the form of acquisition. That's why we need to keep some cash actually in reserve.

Garvit Goyal: And can you share, like I mean if you are speaking about like we are very much open to the inorganic acquisition. So, you must be currently having something in inventory. So can you share some insight on that, like whether we are evaluating some inorganic acquisitions right now? What is the status?

C. C. Paarthipan: Somebody who met us actually recently, it has been told by me and the Vice Chairman, they were ready to actually fund us, provided that they wanted us to dilute our stake, which we were ready, because that particular opportunity was very attractive in terms of actually, in fact, at the face of it.

The investment would be in the region of 300 million from that side. We have to reduce our stake actu

ally by 20% and other thing. And the company, which they told us also is doing around \$200 million. But the issue is that's not a meaningful fit.

They are not complementing actually, something in the form of what we are not doing, and this is not going to be a good fit. And they accepted and because of the fact that they were doing well, and the sales was decreasing and also the profits.

So, why I'm telling this one only to say that there are people who are approaching us, one such, actually, one such PE fund, which is one of the top 10 in this world. And they came to us, they told us this opportunity. The others, of course, we didn't give much importance because they were asking for some other priorities, which is not the best priorities for us.

So definitely, there is an opportunity for an acquisition. And again ... I'm telling it should be meaningful.

Vivek Partheeban : Yes. Just to add to the Chairman's point, a couple of other things also. We get these opportunities almost on a weekly basis. And we have to evaluate what really fits in with our line of growth, which is specifically towards the larger markets of Lat am, also in the US and to the distribution model that we have been successful in the past with.

Also whatever acquisition we do, we need to make sure that the rest of the world markets, which we are very, very strong in also is benefited by. So it should not be very specific to one particular region itself, which was the case with the one that was on hand.

On paper, it was excellent numbers. In fact, the size of the acquisition was a significant one, and we were open to it. But once you started peeling away the layers and understanding the next 5 years, it just didn't seem like what we expected it to be. So just to strengthen the point that we are very much for it, if it makes sense to us.

Caplin Point Laboratories Limited
November 06, 2025

Page 9 of 22

Garvit Goyal: And were they're asking for the equity deal, like instead of cash acquisition?

Vivek Partheeban : No, We don't want to go into too many details of it because it's not happening also, right? What we are trying to say is, see, as a family, we own around 71%. Now for this deal to have happened, this was several hundred million, right? So we were even open to the concept of liquidating some of our thing just to make sure that we take a much larger company on.

But again, it just didn't fit in with our line of growth. And just to show you that we are not being too conservative or anything like that. And we're also preserving some of that cash because if

we go for an acquisition like that, there needs to be a larger check price as well, and which we are not shy of writing, that's what we are trying to say.

C. C. Paarthipan: To add it in one line, probably when they invest actually \$300 million that kind of money, the overall actually equity will expand. So, some percentage which is said will be reduced to the promoters, that's exactly what I was trying to convey.

Garvit Goyal: Understood. And just one last thing on USA operations. We saw year-on-year decline in the PBT there despite a top line growth of 25%. So is there any specific reason for that, sir?

Vivek Partheeban: I would request Sathya, CFO of CSL, to answer this because we have not really seen a decline at least, yes.

M. Sathya Narayanan: Thanks for the question. This is Sathya Narayanan here. So, if you look at the CSL plus CSU consolidated, what we have been tracking now, the Q2 PBT is around INR 20.2 crores as compared to last year INR 17.13 crores. So, it has actually increased.

Vivek Partheeban: So, it's not only that. So, CSU, if you look at it, it's literally nine months old, right? So, I think it's far too early to consider anything or compare anything on a quarter-to-quarter basis, please.

Garvit Goyal: Got it. Maybe I have some doubt, but I will take that offline. Thank you very much

h and all the best for the future.

Vivek Partheeban: Thank you.

Moderator: The next question comes from the line of Aditya Pal from MSA Capital Partners.

Aditya Pal: Thank you so much for the opportunity. First of all, I want to congratulate Mr. Vivek and also would like to extend my congratulations to Mr. Ashok for becoming Vice Chairperson in the company. Going to the question part. So my main doubts were mainly around Caplin One Labs. So now that our injectable facility is also online in oncology, how should one read the asset turns and increase in revenue, say, over the next two years from that facility? And also, when you're answering, if you can also touch upon how are we in terms of the regulatory time lines getting this facility audited?

C. C. Paarthipan: Okay. See, as I told you before, our growth actually, which has come only from the smaller geographies. Now that we are moving to the larger geographies, whether it is South America or Caplin Point Laboratories Limited

November 06, 2025

Page 10 of 22

North America. So, it may take a little time actually to complete the registration and some of the products which are in the form of OSD, whether it is oncology or general product, we'll have to go for actually biostudies also. So, it takes time to complete the registration.

But the biggest advantage is the markets are big. Although we have not been concentrating much on actually the institution business, the opportunities have come to us for the institution business also in the recent past in the smaller geographies, too. And we have found it's very lucrative. The same thing will happen in the larger geographies, too. The reason being the larger geographies are dominated by the big players.

First, it's multinational. Next, it's actually Indian top companies. And our size is a midsize. So we are not trying to compete actually with somebody of our actual size. We are trying to go with actually the big sized company, which means their overheads will be high.

They will always quote the higher price in the tender, even if it is a private market. That means the opportunity for us for growth is multifold. It's a question of time before we really make it. In every market, what is important for generics? Generic actually is nothing but a commodity business.

Only thing we should not be the commoditized characters in the sense you should not have a model which should be commoditized. If your model is actually that you cater to a particular segment with variety and actually novelty and quality generics at affordable cost, you still have a say with the middle of the pyramid and the bottom of the pyramid. So, we are very sure that we'll continue to grow, but it's a question of time its little here and there, that's it.

Aditya Pal: No, I completely understand, and I also understand the broader business. My question was more to do with the oncology facility, because if I see, the oncology facility has come online, we are already doing OSD doses and now our injectables have also come online. We are targeting both the existing markets as well as regulated markets. We have a very good gross block over there, close to around INR 96 crores with around.

C. C. Paarthipan: I think I was able to give you the answer.. Is it okay to give the answer now?

Aditya Pal: Yes, yes. Just either you or CFO sir can answer that. I don't mind.

C. C. Paarthipan: I'm Paarthipan talking to you. Yes, I can tell and of course Vice Chairman also will add to it. As I told you before, the business that we do today is more like a vertically integrated business, something similar to the big boys. The only difference is the volume of the business is high, but the model, especially in some countries is very unique.

In some countries, of course, you have to follow them also. But while following them in the tender, we have an added advantage. Advantage is our price w

ill be like our price may be slightly lesser than the big boys, but it will be much more effective and much more profitable for us.
Caplin Point Laboratories Limited
November 06 , 2025

Page 11 of 22

So we will not only concentrate on the smaller geographies to start with, we'll go for the bigger geographies also in future, whether it is oncology product or general product or injectable products. And everywhere the products are sold.

In some areas, it's more of a private market. In some areas, in the private market itself, you have to go for leading chain. In some areas, you have to go with the small chain. In some areas, the tender, if you keep the goods next to the customer, right from the government to the private customers will come to you. That's exactly the model we have been doing for the last 20 years. In the last 20 years, unlike other companies of our size, we are in a position to have a cash flow and liquid assets is mainly because of this model. So, markets doesn't change, but the model, when there is a change in the model, model attracts the customer to come to your place. So, whether it is an oncology product or actually other products. The only difference, suppose if the product cannot be sold through pharmacies, then you have to sell through clinics. Then what is needed is you'll have to go actually, you'll have to appoint somebody who will go and tell the doctor, here is a company which has got a warehouse and so on and so place, and we have got all these products in our warehouse.

The doctor himself will say, either I will place the order online or you come next visit, I'll buy it from you. This is the model which is happening everywhere for generics.

Aditya Pal: Understood. Sir, also, I just wanted to understand now with regards to our API facility upgradation as well as oncology facility that is injectable phase that has been completed. So just wanted to understand the accreditation. Now where are we in terms of obviously, the healthcare authorities would have accredited. But what about EU GMP or US FDA,

Vivek Partheeban : Yes. I think we are going ahead with, Aditya, in the beginning is we are first going to go for our INVIMA inspection, which is what we have done in our Pondicherry facility also. So this will happen hopefully early next year.

In fact, we have an INVIMA inspection happening once again for our injectable section in Pondicherry for general category products because many of the semi-regulated markets, the ampoules sell a lot more than the vials, which is what we do in Caplin Steriles.

Having said that, we are also going to be applying, in fact, we've already applied for the audit of our oncology facility as well. They've not yet given us a date, but we expect that to be sometime next year, post which, of course, we are not sitting idle, right? So once the facility has come on stream, we are doing exhibit batches for products that we have developed.

And once the INVIMA approval comes through, we will be filing all those products. So, from a pure time line angle, for the existing markets, we are already doing business for the larger ones such as Mexico, Colombia, Chile and all of that, this will probably start by Q4 of next year.

Aditya Pal: Understood. Just one last question before I come back in the queue. So now that we are filing the product registration, either be it ANDA, or be it with CEPs, or be it with other geographies, Caplin Point Laboratories Limited

November 06 , 2025

Page 12 of 22

and we are attaching our own API to that, especially in the general section because our oncology API is yet to come online.

So how should one read that in terms of our gross margins, because we are already posting really strong gross margins, at least for the last 4 quarters. So how should one read that?

Vivek Partheeban : I would probably put it in a slightly different manner. So of course

, definitely, gross margins, I

think, over a mid to long-term will be enhanced because we have our own API. But more importantly, what happens is because we are into injectables and ophthalmics, the amount of API that goes into a product is very, very less, okay?

So, we don't really occupy a large percentage of anyone's value chain because it's not like OSD where you have 500 milligrams in a tablet or 700 milligrams in tablet. In most injections, it's like 10 milligrams, 20 milligrams and stuff. So many times, what happens is the API vendors, they prefer to supply their products, they give preference to the larger buyers, which are the OSD players. So, for us, making sure that we have API available at all times is going to be very, very important.

Number two, which ensures continuity of supply, right? And #2, the compliance factor is also in our hands. In the past, we've been burnt a little bit by some API player that goes into warning letter or things like that, by which case, our approval also doesn't come through. So, these are all things that can be avoided in addition to the cost. Cost is something I feel you will look at it

from more of a mid to long -term perspective.

Aditya Pal: No, makes a lot of sense, And this also clarifies the way Caplin is looking at things, and really hopeful for the company, and wishing you and the team all the very best.

Vivek Partheeban : Thank you so much .

Moderator: The next question is from the line of Karan from Anubhuti Advisors.

Karan Dubey: Sir, my question is regarding the hedging policy of the company. As we are well geographically diversified, so how do we manage this currency risk?

C. C. Paarthipan: Yes. See, the currency risk actually in places where we have our warehouses is managed this way. See, currency risk actually in a country that cannot be managed by us because you know very well, this is something in the form of an international issue.

But when you keep your goods in the warehouse, even if the receivables actually take a beating because of currency risk, you have an advantage of actually increasing the price of the goods that are in the warehouse and sell it actually to offset the loss, which has happened because of the currency risk.

Karan Dubey: Okay. So do we enter into any derivatives contract or so.

Caplin Point Laboratories Limited

November 06 , 202 5

Page 13 of 22

C. C. Paarthipan: No, we don't. Of course, we don't because currency risk is universal, which you know very well. And then because of the currency risk, we never lost anything in a big way.

Vivek Partheeban : Yes. In addition to that, two more points also is , please remember that almost 35% of our products goes out of China, which can technically be called as like export, right? Yes. So we sort of have a natural hedge a little bit. So we've not gone for any hedging.

A couple of the countries where we operate in, the local currency itself is the US dollar. So that also helps out. Yes.

Karan Dubey: Okay. So, for FY25, I'm just looking at our annual report. So, in the annual report, we had the foreign exchange earned is INR 720 crores and foreign exchange used is INR 25 crores. Export is INR 720 crores and import is INR 25 crores. So, it shows that we are facing some currency risk

D Mur alidharan : I've understood the question. What is reported in the annual report is pertaining to the standalone market. The exchange, the exposure and the import currency outflow and the inflow does not belong to the group as a whole.

What our Chairman, Mr. Vivek was explaining was the group as a whole, right? So Caplin standalone market here , doesn't depend much on imports. So naturally, the 25% is absorbed by cash outflows, right? So, the INR 725 crore .

Karan Dubey: Yes. O n a consol basis, it acts as an actual hedge. It will match this imports and export number.

C. C. Paarthipan: I would like to add one more thing. O

ur business model is such actually that we don't import

APIs except in actually CS F. Most of our business that happens from China is exporting formulation directly to Latin America through our subsidiary. I don't know whether that helps actually to understand your ratio.

Karan Dubey: Okay. No,. Because from last, I guess, from 12 quarters, I have seen the numbers, we have this INR 47 crores of translation gain. So that's the reason I have raised this question.

D Mur alidharan : That is pertaining to the foreign exchange translation, the term of the subsidiaries across the globe. Whatever is happening in India is taken to the P&L, whatever is happening in terms of the revaluation of the receivables, revaluation of liabilities, and I think the rest of that goes through the OCI route because we can't consider that as an income. So that's gets reversed in the next quarter .

Karan Dubey: It's OCI . Yes.

D Mur alidharan : Its OCI. So, the P&L INR 11 crores what we talked about PAT does not include that figure, right?

This is a notional thing which is valued on 31st of every quarter or 30th of every quarter and then reversed on the 1st of next quarter. And what happens that quarter the next quarter is the

Caplin Point Laboratories Limited

November 06 , 202 5

Page 14 of 22

next quarter's thing . As we said, as Chairman also said, we have not lost INR 1 on account of currency rates. Rather, we have been gaining substantially over the period , that's what it is.

Karan Dubey: Okay , understood . Thank you.

D Mur alidharan : Thank you very much.

Moderator: The next question is from the line of Harsh , an Individual Investor. Please go ahead.

Harsh : So first of all, congratulations on another good quarter. So I'm sort of new to the company and

the sector. And I was just going through our company, and I mean, what exactly is our edge, because we enjoy very high margins compared to our competitors. Is it just because we are forward integrated or we are asset-light, what essentially gives us that edge? Or is it maybe our product portfolio is such that we have higher pricing power, etc?

C. C. Paarhipan: No, I would like to actually tell you something here. As I started in course of my actual speech, see, generic business is generalized. It's not customized only to us. What is customized is the business model. We went to places like Central America, that is Latin America, 20, 21 years ago.

And we made it a point to go to countries where there were not many Indians and Chinese present, this is one of the reasons actually. We entered and we increased the number of registrations very fast. Today, we have 500 to 600 products actually in most of the geographies where we are present today in the smaller markets.

And over a period of time, if you can give good quality product at affordable price, people who buy the products, you also know, not that actually, we also will go to doctors every time. If you want some products to be bought, you can as well buy it from the pharmacy also.

Even diabetic people, if everything is controlled with the diabetic medicine, will not go to a doctor, you will buy the same medicine by going to the pharmacy. This is something is the same case everywhere in the world. So the people who bought our medicines continue to go to the pharmacy and buy.

And doctors who are also happy with our medicines, although it's generic, they started prescribing actually generics in this part of the world. So there is nothing extraordinary technology. The one if you have to say very important, we were early to the market. We went for an end-to-end model.

Like today, we have liquid oral suspension tablet, capsule, ointments, powders, injectables, everything actually not only in India, but we also source from China, because we can't compete Chinese in some areas like cephalosporins and penicillin. We identify the best company,

we

source it from that, test it on our quality control laboratory in China and export to Latin America.

Like various factors that has really contributed to what we have today.

Caplin Point Laboratories Limited

November 06, 2025

Page 15 of 22

If you look at other companies, most of the companies which are doing well, you will not be able to find one company which has made money in a nonregulated market in generic. That's because no company has to take a risk actually, it is risk to go to these types of smaller geographies.

If you sell your product in a smaller geography, you will become very visible in the market and the guy actually who has been doing well, the local, you'll lose business. He will try to do all kinds of trouble, so this trouble has been actually handled by the family, the promoter of the company, who took all these struggles, and the blessings that you see in the form of profits and cash flow.

Harsh: So essentially, but now as we enter into more competitive markets with Chinese and Indian players, now our plan is essentially to have a backward integration in order to retain margins. Is my understanding sort of correct?

C. C. Paarhipan: Yes. In some markets, the backward integration may work. As our Vice Chairman said, it all depends upon the product. If the constant of actually raw material is much lower in the form of grams or kilos, there's no point in manufacturing that product as a backward integrator.

But actually, if you look at some of the products which are tablets or capsules, it sells in huge volume, then of course, you have to manufacture in tons and tons.

But here in most of our products and injectables, you have to manufacture in only tens and tens, not in tons and tons. So it all depends at the end of the day. I know this is vertically integrated model helps, volume differs based on the products that we promote.

Harsh: Understood. Thank you.

C. C. Paarhipan: Thank you very much.

Moderator: The next question is from the line of Shrinjana Mittal from MS Capital. Please go ahead.

Shrinjana Mittal: Hi. Thank you for the opportunity. I have two questions. One is I understand that the tariff situation is in the flux right now and it's not very clear. But just wanted to get an understanding of what is the current situation as per your need and especially given that we are trying to set up front end. So, if you can just throw some light on that, that would be wonderful.

Vivek Partheeban: So, as I mentioned, status quo remains on the tariff situation. The generic products are not tariff. And in whatever the information that we've received over the last 7 or 8 months with this new administration, nowhere it was mentioned that generics will be subject to tariffs. So status quo remains, and even if something like that happens, we're in the same boat as everybody else, right?

So I don't think we would be at an unfair advantage compared to anybody else. I think there is nothing to really report on over there.

Caplin Point Laboratories Limited

November 06 , 202 5

Page 16 of 22

Shrinjana Mittal: Understood. Second is just a bookkeeping number. Sathya -ji, if you can help us with the Caplin Sterile EBITDA number for this quarter, that would be great.

Vivek Partheeban : Sathya, can you take this?

M. Sathya Narayanan: Sure, Vivek. Thank you. See t he EBITDA for Q2 FY26 is INR 37.2 crores.

Shrinjana Mittal: Understood, thank you.

Moderator: The next question is from the line of Deekshant Boolchandani from DB Wealth. Please go ahead.

Deekshant Boolchandani: Congratulations on the good numbers, sir. First question is you were traveling to China as you spoke in the last quarter. And we already have a plan in place to do our backward integration better and set up a better distribution channel , so that we can expand our market. And you have said that , we can expect the 20%, 25%

growth in the next, let's say, 2 years. Yes, w hat about further than that?

What is it that we are looking at? Because we are a visionary company. And what is it that we are looking at after that?

C. C. Paarhipan: Okay. I would like to convey something here very important. See, we started with actually marketing and markets. That's what has brought us to where we are today. And then as both of us told in course of our conversation, the asset -light model has created actually the assets that you see, which are in the form of completion, some are actually , work in progress.

So, it takes time for us to complete the projects. And then when it comes to US FDA and other regulated market, it's not that easy for us to actually delegate and get it done. It's possible. But again, we don't want to take a chance because we have to stay here and then also travel.

So, there is a huge opportunity in the market. There is also opportunity by staying actually in a facility, which gives us good returns , in the sense , we never expected that we would do actually in our front end in US so faster. And now that as the Vice Chairman said, we are in the process of acquiring brands, acquiring ANDAs.

The more and more ANDAs when it comes to us, by the time in one year, or one and half year, we will complete the next phase of, this one, injectables. Currently, we have 6 lines. We are going for one more line in the Phase I and Phase II here. Our Phase III is going to be the CO L, that is again, injectable for the US market. We'll have 5 lines then.

Once , you have 5 lines, as I told you in course of my speech, we will be 1 among the 4 or 5 actually top injectable exporting company in India, which means we should do well. What I have seen in China, they're extraordinary in innovation , but coming to injectables, probably they must have felt why export injectables and lead a very tough life and make less money probably that's the way as it looks because after the erosion of prices .

Caplin Point Laboratories Limited

November 06 , 202 5

Page 17 of 22

They are focusing more on actually innovative products in the form of biosimilars and some of the products like semaglutide, all that kind of th ose thing. So now what we are doing is , when the semaglutide kind of a stuff with peptides, if you see India, you don't see many API peptide companies in India. Whereas when we went to China, there was a time we paid \$500 per gram for semaglutide.

The same company, one of the biggest in the country has come down to \$150. I've seen actually a seller for \$50 with the same quality, which means when we will look at it, which one is going to be good to us, we will buy from there. Which one, of course, we are not in a position to innovate. We will associate with actually with, what do you call, start -up for the midsized company.

In India, biosimilars are only in the hands of a few companies who are at the top, maybe 7 to 10 companies. In China, the government supports the start -up and midsized companies, there are plenty of companies, maybe 500 to 600 companies. The only issue, we have to stay there for a month or so to understand , because these things you need to understand, actually go for a deep actually patterns, to understand the deep patterns of what is happening in China.

Then , we'll have to create a pattern of our own business, which will actually take us to the next target. There is an opportunity in China, in US, in Latin America, in every market, there is an opportunity. How are we going to position ourselves, what kind of p roducts? We need to understand the why first and then how later ?

Deekshant Boolchandani: Okay. So just to dig a bit deeper, sir. One, it's amazing and inspiring what you're doing at the

age of 70, sir. It's really inspiring.

C. C. Paarthipan: Thank you so much.

Deekshant Boolchandani: But just talking about peptides, sir, so what is the lar

ger idea that we continue our trading

business from China , or do you think that there is a possibility for us to integrate and create our own peptides? Because I mean, it's really looking at US markets and even European markets, the adaptability of peptides after the whole GLP -1 thing, it seems like it's inevitable now that that will be the next frontier of growth for a lot of pharma companies.

Now , we have probably the contacts in China to like trade it pretty well. and as you said that \$50 per gram is what you see in some time, I don't know the time. But like are you thinking to manufacture it and be a manufacturer in India, US or like just trade it for now?

C. C. Paarthipan: No. Currently, what we are planning is , we are planning to go for a formulation of actually peptide. But again, as you rightly said, we are not 100% sure that we will make huge money and all. Those days have gone now. Maybe one or two, it happens, it all depends upon the technology with luck.

Those days Japanese are skilled at bringing nature with technology together instead of man versus nature, rather the union of two. So like that luck and technology is a union of two, sometimes you know it brings you actually profitability.

Caplin Point Laboratories Limited

November 06 , 202 5

Page 18 of 22

Sometimes if you don't have the luck, somebody else actually has already gone and the number of players are more , automatically the price erosion comes in. That's why there's nothing which you will say in the form of this technology will make it big. I hope you would agree with me.

We all talk of AI , and how far actually, we are still in the artificial general intelligence. We have not reached to the level of artificial human intelligence. Is the human intelligence going to replace the common sense and the hunch of a person who comes with an idea that idea gets executed into business?

We have to wait for 10 years, I think, or at least 10 years. So, there are many things to know in the form of opportunity and challenge. And it's not that we know the answer to everything. We cross the bridge when we reach that. Man y a time it happens like that. But we make it because as long as you don't borrow money and you don't go by borrowed wisdom , when your hunch works and you also see the patterns, the bright patterns and dark patterns.

And as I told you before, the deep patterns, if you are in a position to understand the deep patterns and it helps the bright patterns that happen ed in our life , that's how I look at it.

Deekshant Boolchandani: Sir, last question. Firstly, very insightful, but last question. So now you're saying that the 20%, 25% growth, do you think it's going to happen in FY28, H1 or H2? That means , can we expect it in, let's say, 18 months down the line?

C. C. Paarthipan: No, it is 24 months after, but it will definitely happen , the reason one, see, I don't want to repeat again and again. You know also we have enough cash, which means enough cash and the equity of the promoters also is something not in the form of 15% and 16%, 17%.

And I never expected somebody would come to my door and tell me, I can invest \$300 million.

Our ticket size is only minimum \$300 million. And we have found something in US . Is it a good attractive opportunity for you, they asked us, but we found it's not an attractive opportunity.

So the idea of telling this one, if we continue to do well the way we are doing, and we are sure of actually doing well, the reason being , we are going for hard assets, we are also going for asset - light products. We are also having actually primitive products, which cannot be replaced by biosimilars.

The reason is , do you think for pain and headache and all other things which is helpful in the form of all these penicillins and cephalosporins , will be replaced by the latest product. The latest products are going to help only to the rich and rich. Othe

ewise, the governments have to buy actually.

I'm talking of biologicals actually. The government has to buy and subsidize to the poor. So if someone can cater to actually the bottom of the pyramid or the middle of the pyramid, they'll continue to do well. The only thing which can actually create issu e is, as I told you before, if the robots come, and robots replace actual human being and if I'm not in a position to use the robot and manufacture my product, especially the cheaper generics, I will not be comfortable.

Caplin Point Laboratories Limited

November 06 , 202 5

Page 19 of 22

That's why much in advance we are going for actually facilities in overseas, be it actually in Mexico, be it in Guatemala, maybe we may go for one facility in US also because the world is moving towards protectionism. We will do it also. We have enough resources. We also found opportunities coming our way because there are not many peers.

It's not that in all humility I'm telling there are not many peers of our size who have the fundamentals that we have today. And we have the exposure in Latin America and North America, who have the exposure of actually having office and doing business from China for the last 20 years.

So we are very sure two years, maybe 18 months, I don't know, but definitely after two years, we will do well. We will always focus on the bottom line because, top line is quantity bottom line is sanity.

Deekshant Boolchandani: Sir, last question. you have been saying that margins will improve now? But do you think that in 24 months, we can expect like going close to those 40s number on our operating margin, or like is it going to be 100, 200 basis point improvement?

Part B of this question is what about our cash conversion cycle, because now that we are creating the whole supply chain, do you think that the cash conversion cycle will be the same? Will it improve or will it deteriorate? And if you could quote some numbers here as well?

C. C. Paarthipan: For the next two years, as I told you, of course, we may not have an extraordinary growth. The growth will be there the way it is. Sometimes it may mute. Quarter-to-quarter, we cannot give you a guarantee to you very honestly, but after two years, the fundamentals which you have seen in this company will be much better also. The reason being we are not actually focusing on the smaller geographies.

We are going to focus on the bigger geography. And when we go for some of the unique products from China, which we already started, we will take it to our existing geographies, although it's a smaller market. They also will absorb these types of products, and the profitability will be higher actually in the smaller geography also for specialized products.

Deekshant Boolchandani: So, you think 40% operating margin is possible in two years?

C. C. Paarthipan: After two years, yes, it's definitely possible, if the markets are not commoditized totally, because that's one thing you know. And then if the rulers don't come with some policy like what has happened today to some other industry, that's the reason today, probably individual excellence has to outpace or outscore actually the politics.

So, what is that you are trying to do? How are you going to question yourself, if one country is not going to help you? Maybe if you have some issue for 6 months or 1 year, you have to bounce back in other countries, that's the kind of business which we are doing now.

So, I'm sure even that one country, some countries, there is an issue, they are not going to actually do something to us because we may be the last one in terms of getting into that country, but it

Caplin Point Laboratories Limited

November 06, 2025

Page 20 of 22

will be the last one to get affected and the least one to get affected. This I'm very confident, that's the question.

Deekshant Boolchandani: Yes. And on

the cash conversion cycle, because that is one of a concern that I'm...

C. C. Paarthipan: That of course to be very honest with you, this I'm not a finance guy, I'll leave it to actually CFO, what actually you are trying to convey. Yes, please. Are you with me, Mr. Murli and Sathya?

C. C. Paarthipan: See, our focus all this year, as I told you, 75%, 70%, 75% private market, which we control. Because what we can do is if I don't get money from my customer, I can stop the supply so that you will come to me, because he cannot find an alternative where you will get actually 150, 200 products because I cannot control the government.

What I can control is my actual price at which I sell at a higher, actually, this thing, with a higher profit. But what they do is sometimes the government may delay the payment. But they won't deny. You'll never had that kind of a loss in the past. Yes, there's a delay in the process, it may go to 120 days or whatever it is, maybe a little more or less, all these things, which is very difficult to say because the priorities are too many now.

And we are trying to focus on something which is very, very important in the form of increasing the sale, increasing the cash flow, increasing the profit. In the process, once or twice it can happen. So that's why I said the next two years is not going to be the bedrock of our future business. –The bedrock actually is in the form of work in progress. Once it starts rectifying, you will see something different.

D. Muralidharan: Sir, one more thing, I just want to add is that, while our forward integration has given us the gross margins higher and then the value addition and then what is going into our PBT and then the sales, the moment you say you are forward integrated, our inventory takes 90 days before it to be sold. So, the high end from here today, it takes about 60, 75 days.

C. C. Paarthipan: There are so many, can we tell him some of the factors which are important because of actually

the turbulence that is happening next to Yemen and other turbulence in the form of tariff turbulence, the containers movement has got affected and it takes more time to reach the destinations.

So, if I get the government's order, sometimes they say we like to supply this within so and so date. If it is delayed, then the payment also gets delayed. So there is some challenges which we cannot avoid because of the geopolitical and geoeconomic scenarios.

Deekshant Boolchandani: So, in a nutshell, it would be fair to assume that maybe it would remain the same or maybe a little bit, a 10% deterioration in our overall cash conversion cycle can happen, if we are trying to get for higher sales and margins right now. But nothing you could.

C. C. Paarthipan: Yes, nothing to. It may go a little up or less, high or low, but that's not going to result in actually inventory loss or loss of actually not receivables. Those things are not going to happen because we don't do that kind of a business.

Caplin Point Laboratories Limited

November 06, 2025

Page 21 of 22

Deekshant Boolchandani: Of course, no, sir. I was just trying to understand the...

C. C. Paarthipan: No, I fully understand. Your questions are worth actually asking. No issues.

D. Muralidharan: Also, one more thing is that we have not done any borrowing, right? So the longer the cycle, the interest cost will eat into the profit. So that should be our own cash accruals and we are managing both Cap ex and Op ex for our own cash accruals. And we don't depend on any borrowing. We hope to be so for the near future as well.

So, the slightly longer working capital cycle should not really impact the company's performance. What we should be looking at is higher the turnover and higher the margins and looking at inventory there, here, receivables there.

Deekshant Boolchandani: Yes. So, there must be return on equity and return on capital employed would be the same

because the margins and volumes will take care of it.

D. Muralidharan: No, that is arithmetic, but business will grow.

Deekshant Boolchandani: Yes, got it. So please continue to inspire us like this.

Moderator: Yes, no but please continue to inspire us like this. And congratulations to our company and wish you the best.

C. C. Paarthipan: Thank you so much.

Moderator: The last question comes from the line of Aditya Pal from MSA Capital Partners.

Aditya Pal: Hi, thank you so much for taking up the follow up. Sir, just missed asking last time when I was speaking is that when you're talking about acquisition, first of all, a very good thing in terms of utilization of the free cash. Just wanted to understand your thought process. What is the kind of capability or product or geography that you are looking to acquire the asset for?

C. C. Paarthipan: Yes. See, as the Vice Chairman said, it has to be in the form of actually something chain of distribution. Why a chain of distribution? When you have your warehouse, say, assume that in Mexico, people will think of establishing a factory. I even also told you that we are going to for a factory.

We will not invest in the factory in a big way. We are thinking of a factory, which is not going to be highly capital intensive. It will be very cost effective. But 50-60 products without even actually doing bioequivalence and bioavailability will get it registered. And then in fact, another son of mine who also has become Vice Chairman recently is staying there.

He has been working in the market. So why I said this thing, why actually even Vivek said it's good to go for a distribution. Only a distribution company will be in a position to tell us where all they are marketing their products. So that this company will give us actually the exposure of without even going to the market and understanding the market mechanics in 1 year or 1.5 year. So first is that one.

Caplin Point Laboratories Limited

November 06, 2025

Page 22 of 22

Second, if some company in actually China or somewhere, we will not invest big because China is for the Chinese. At the end of the day, if Chinese is interested in taking care of that factory and they will allow us actually to do the marketing, we have to look at the kind of investment, we'll not go for something big.

We'll go for a start-up or a midsize, which can also give us the biological product, which the big companies are manufacturing today. At the end of the day, it's not the size of the company, it's the quality of the product and the amount of products which we are capable of selling and if he is in a position to supply that one, that's the kind of actually acquisition which is interested.

The third one, you are also aware that some of the companies which manufacture control drugs

are drugs which are actually to be manufactured in U.S. to supply to the U.S. citizen, that kind of acquisition. So anything which is meaningful, it is not the place. It is actually the quality of that organization, which will be a good fit for our company, is the right acquisition for us.

Aditya Pal: Understood. So good thing is largely the bigger piece of acquisition will be the continued vertical integration strategy and then the smaller things is could be a product or capability.

C. C. Paarhipan: It can be a part of actually vertical integration, it can be a part of actually some in the form of product ANDA, maybe some brands in countries like Latin America, Mexico and all, if you find some brand which is very good and there is no deterioration in growth, if it is an incremental growth in the form of a brand OTC, also can be a good asset because that will give us, when you buy a product in OTC, you see, going to generate, and we will come to know where all people buy.

If someone has bought that particular product, that gives an opportunity for me to actu

ally knock

the door of that particular retail shop, which has been buying that product. So this will be like a breadwinner. The other products will piggyback on the product to the market.

Aditya Pal: Understood, understood. Makes a lot of sense.

C. C. Paarhipan: Thank you so much.

Aditya Pal: Thank you.

Moderator: Thank you so much. As there are no further questions, I now hand the conference over to the management of Caplin Point Laboratories for closing comments. Over to you, sir.

Vivek Partheeban : Thank you. Thanks to 360 ONE Capital and Julie and yourself for hosting, and thanks to all the participants and their wonderful questions. We'll continue to be in touch. Thank you so much.

Moderator: Thank you, sir. Thank you, everyone. On behalf of 360 ONE Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2026

Page 1 of 17

"Caplin Point Laboratories Limited
Q3 FY26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : M R. C.C. PAARTHIPAN – CHAIRMAN
M R. VIVEK PARTHEEBAN – VICE CHAIRMAN
D R. SRIDHAR GANESAN – MANAGING DIRECTOR
M R. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
M R. SATHYA NARAYANAN M. – DEPUTY CHIEF
FINANCIAL OFFICER

MODERATOR : M S. CANDICE PEREIRA

Caplin Point Laboratories Limited
February 05, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Limited Q3 FY26 earnings conference call hosted by Dolat Capital Markets Private Limited. As a reminder, all participants line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Candice Pereira from Dolat Capital Markets Private Limited. Thank you and over to you.

Candice Pereira: Thank you, Iqra. Good evening everyone. I, Candice Pereira on behalf of Dolat Capital, welcome you all to the Q3 FY26 conference call for Caplin Point Laboratories. Today from the management team, we have with us Mr. C.C. P aarthipan, Chairman; Mr. Vivek Partheeban, Vice Chairman; Dr. Sridhar Ganesan, Managing Director; Mr. D. Muralidharan, CFO and Mr. Sathyanarayan M., Deputy CFO.

I now hand over the call to the management for the opening remarks. Over to you, sir.

Vivek Partheeban: Thank you, Candice. Thanks everyone for taking time out to attend our earnings call for Q3 FY26. So, well, please note that a copy of all our disclosures are available on the investor section of our website, as well as on the stock exchanges. And note that anything said on this call which reflects our outlook for the future or which should be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges.

Also do note that the audio on conference call is copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press media or social media without specific written consent of the company. I would like to hand over the floor to our chairman for his opening remarks please.

C.C. Paarthipan: Thank you. Good evening and welcome you all to our investors call. I think that most of you must have gone through our press release but my colleagues will also highlight the salient features of our performance.

Vivek Partheeban: Okay. Thank you, chairman. So while we wait for his line to get cleared up, I'll provide a little color on the latest developments, especially when it comes to the regulated markets specifically Caplin Steriles and also Caplin Steriles USA, we've had another good quarter of growth in the US focused entity rather, and with the growth in both product revenue and also profit share and milestone revenues and it is a good mix of 75:25 at the moment with product revenue bringing in 75% and milestone and profit share bringing in about 25%.

This trend has been very consistent in recent quarters. And there were a few questions that were raised by investors themselves when we decided to take the front end route and then launch our own label over there, but this goes to show that, this was a decision, in hindsight, was a good one.

Caplin Point Laboratories Limited
February 05, 2026

We have also been receiving consistently good number of approvals from the US and the latest one was a complex suspension injectable product named, Methylprednisolone that we got an approval within first cycle, quite glad to share that our approval timelines are between 14 to 15 months on average compared to industry timelines of about 20 months.

We've also had first cycle approvals for emulsion injections and emulsion ophthalmic products as well. And this not only goes to show the prowess that we have in R&D and regulatory domains, but both these products that we've had recent approvals for have been launched in the market and has been

consistently garnering higher market share quarter on quarter.

So, even from a productivity and execution standpoint, we've been delivering. We also have another ten products pending review with FDA and we expect these products to come through within the next few months, so we'll be having close to around 65 ANDAs approved under Caplin's name within a short period.

So, with all the new approvals coming through, obviously

it looks like it's going to be a hectic next few months.

But in a good way. We have also acquired around 14 ANDAs from outside over the last few months. And we are actively working on bringing these to market sometime in the next year. So

not only 2026, but 2027 also looks like it's going to be an exciting year for Caplin Steriles, because of all the activity that is happening with new products getting approved and launched

and also some other acquired products being activated.

We understood that our vial lines, which are line one, two and five are going to be busy over the next few quarters. So strategically from a development pipeline what we have done is, we've started focusing more on line three and line six when it comes to scale up and submission batch

products. Line three is our ophthalmic line and line six is the latest one that we've activated which is a pre-filled syringe and cartridge product line.

In the next 12 months we expect to complete at least 12 to 13 products in this range in the ophthalmic and also pre-filled syringe range. That should come up for approval sometime by end of next year, which gives us good hope that 2028 also is going to be quite full of activity when it comes to product launches and revenue.

In addition to this, to ensure that we are investing consistently into unique capabilities in the sterile space, we are getting into the blow-fill-seal range of products, so we've just placed an order with one of the best manufacturers in the world from Europe named Rommelag for this machine. It's a state-of-the-art completely integrated machine that is capable of manufacturing products at very high levels of compliance and speed.

In the blow-fill-seal range, we have taken on around 14 products for development in this space.

And we expect the first products from this line to get approved sometime in late FY27, FY28 as well. So, the last range that we're getting into is again in the sterile space, which is ophthalmic ointments, which is also sterile in nature. So once this is done, we will be catering to pretty much the complete gamut of all sterile products from Caplin.

Caplin Point Laboratories Limited

February 05, 2026

And to cater to this significant pipeline of products that are being developed, we are fast tracking our completion of Phase 3, which is internally what we call as Caplin One Lab's unit 2, which will be housing eventually eight product lines, of which we are going to start by early next year with at least five lines active. Out of the five lines, two are already completed, three more will be completed by September to October of this year.

Taking into account all of this growth and development, we knew that compliance is something that we need to consistently innovate on as well. So of course chairman will cover that in his remarks, but in the midst of this all we've completed our EU GMP audit and also a Saudi FDA audit with no critical observations. And we're happy to inform that our consistent compliance record stretches out even further and it's going to get better.

One word on the US label. As I said in the beginning, we are very pleasantly surprised with the progress that we are making with our US label. We are nearly at \$10 million in revenue since inception last year. And we have been able to do this without slashing costs and we've just been disciplined with the strategy of keeping the products closest to the customer.

And the general shortages and supply chain efficiency that we are able to

also demonstrate is bringing

these revenues in. This is how we have built our Latin American business, which is by keeping products closer to the customer. And the same thing is continuing on in the US as well for Caplin

Steriles and Caplin Steriles USA, we expect double-digit, high double-digit, revenue growth next year onwards.

Couple of more updates from our side is that our Vizag API plant which is going to be by and large used for backward integration of filing our own DMFs for our ANDAs that are in the market has already scaled up three critical APIs. And we are targeting at least two to three more APIs to be scaled up on a monthly basis from this site and expect our first DMF filing from this site by end of this year.

Finally our oncology injectable plant is also geared up for exhibit batches which will be starting this month. Out of all the acquisitions of ANDAs that we had done, four of them are oncology injectable products as well and we also have an organic pipeline of 12 more products that we are working on.

All of that will be scaled up for submission within this year. We expect to have the first few products going for filing within the end of this year. So, that's basically what covers the regulated market side of it. We can check if chairman's line is better now.

C.C. Paarthipan: Good evening once again. Now let me focus on only on the two major steps that we've taken recently. Number one is our video SOP, which is also known as a visual SOP, acts as a visual hammer to replace the verbal cues. Our video SOP will convert invisible execution into inspectable evidence for compliance. In pharma manufacturing, non-compliance is not a learning failure or a training failure, it's an execution visibility failure.

Pharma factories run on SOPs which is a traditional textbook one. Compliance is demonstrated in seconds, which leads to issues. Hence Caplin converts current SOPs into visual scripts that shows best practice actions in step-by-step details.

Caplin Point Laboratories Limited

February 05, 2026

Page 5 of 17

We also included regional languages for our factory workers. We further have plans to use videos to celebrate the best performing operators as role models. The remote control online monitoring tracking of who has done what in the night shifts, which will not only be monitored by our own factories, but also by our Latin American team where it is daytime. We make video viewing mandatory before operating the machines.

The other advantages of visual SOPs are as follows: number one, it will help networking with many companies of our size for outsourcing of products that we don't manufacture, especially from China. Number two, the CMOs will get the advantage to view the entire manufacturing at our facility online through the video SOP, and it helps them to understand our practices and timelines for the delivery.

It will also help engineering department to replace the models as FAT, SAT, IQ, OQ, PQ, which is nothing but factory acceptance test, site acceptance test, installation qualification, operational qualification, performance qualification. The video will help actually the new employees to do the requalification, preventive maintenance and predictive maintenance. The guys who do this FAT, SAT, IQ, OQ and PQ, even if they leave the company, the new guys who enter a factory will use the videos and do the requalification and predictive maintenance.

We'll also add AI governance architecture to our video SOPs in future, and we have already filed patent for this. In the next two years, we will also have 14 to 15 injectable lines, as you know well, will be up and running. And our culture will not be merely in our words, but will be in our facilities. Our people will also follow four non-negotiables, which are integrity, quality, safety and productivity.

Now number two, we recently recruited two erstwhile senior inspectors of Colombian INVIMA as our executives,

mainly for audit readiness in all our factories. They are doing the mock audit in line with the US FDA guidelines as the guidelines of regulatory bodies are almost similar. Our onco facility and CPI are expecting the INVIMA audit in April, and these professionals will play a vital role in ensuring integrity and quality there.

They have inspected many biosimilar facilities in China, South Korea and Russia, and their contact with these companies will also help us actually to find an opportunity for outsourcing. We are for asset-light models from China. Now we'll go for an asset-light model for the specialties in places like Korea, Turkey and Russia, too.

Biogenerics will definitely help us actually to improve our bottom line over a period of time.

Hence, the video SOP will act as a tool for networking with the companies mainly in China and Korea. We also understand that to achieve our goals, we must change the current version of ourselves. And it's not about doing more activities, it's all about doing right activities. Hence, the two right activities are the one that I highlighted now. Thank you very much.

Vivek Partheeban: Thank you Chairman. I request our CFO to throw some light on the numbers before we open up the floor for questions.

Caplin Point Laboratories Limited

February 05, 2026

D. Muralidharan: Thank you, Mr. Vivek. Good evening, everyone, who has taken time off to take part in this call of Caplin Point Laboratories for the third quarter ending December 31, 2025. Results for the nine months ended are very gratifying. The group has achieved good growth across all financial parameters. And we are happy to say that we have compared ourselves to the peer group ones which have been announced till date, and we are in good stead, and we are comparatively higher than many of them reported in terms of the profitability and growth.

Now coming to the operating revenue. The revenue grew by 10.6% Y-o-Y and total income grew by 11.2% Y-o-Y. Nine months revenue is close to the entire year revenue of 2023-24.

Growth in other income of INR 16.47 crores has primarily come from deployment of incremental cash. As I told in the last meeting also, we have a mandate for investing at least INR 300-plus crores Y-o-Y additionally over and above what we invested in the past.

This year, the mandate is even more stringent to invest about INR 400-plus crores into the financial instruments. So COGS has grown only by 9% in spite of the increase in turnover. If you see the last three years, the COGS as a percentage of revenue has come down from 43% to 39%.

Opex grew only by 6%, way below the revenue growth and opex as a percentage of total revenue stood at 24.46% as against 25.62% for the corresponding period, and you will be glad to know that it has come down from 27% in 2023-24 to 24.46% in the current year. Both factors whatever I mentioned have resulted in a growth of 17% way above the revenue growth in EBITDA margin and it is at 38.5% as against 36.5% in the last year corresponding period.

Capitalization of about INR 62 crores primarily in CSL has absorbed additional depreciation of INR 5 crores and PBT again grew by about 17.8%, –INR 500 crores to INR 589 crores stands at 35.2% and happy to say that this is higher than the entire year of 2023-24, which was INR 565 crores. Then PAT again is INR 477 crores higher than the PAT of INR 461 crores achieved in full year of FY24.

All the above positive factors have resulted in growth of 20.5% in PAT. PAT stands at 28.5% as against 26.3% in the last year. It will be pertinent to note that we have been promising around 25% as the target PAT. We are well above that.

And coming to the balance sheet, net worth stands at INR 3,338 crores as on December. Cash and cash equivalents is at INR 1,381 crores as against INR 1,180 crores after the investment of INR 180 crores in capex. CWIP stands at around INR 195 crores majorly accounted by One Lab

injectables facility, which is under final stages of completion and the OSD plant, which we are setting up near our facility in Pondicherry.

Inventory as we have been saying, the closest to the customer is the winning point for Caplin, and it stands at about 67%, including the transit goods. 55% are there in our warehouses and 12% in transit reaching any time now. Receivable stands at 121 days as against 118 days even though we've been promising 120 as a benchmark, it's slightly more because last 10 days of December, we couldn't get the remittances inward because of Christmas vacations.

Caplin Point Laboratories Limited

February 05, 2026

But that has been more than compensated by more remittances in the month of January, and we hope to get back to the old level by March, if not by June.

And the cash flow from operations stands at INR 368 crores, as against INR 284 crores in the previous period, the corresponding period. And free cash flow, as I said, after INR 180 crores in capex, stands at INR 188 crores for the nine-month period ending December 2025. I think these are the few points which I thought would brief you. Those results have been with you for a while now, and we'd be more than glad to take any questions. So, over to you, Mr. Vivek. Thank you.

Vivek Partheeban: Thank you. So, we can open up the floor for questions now, please.

Moderator: Thank you very much. The first question is from the line of CA Garvit Goel from Serene Alpha. Please go ahead.

Garvit Goyal: Good evening, sir. First question is on Oncology's API facility. It is getting further delayed, sir.

Earlier we were speaking about Q1 FY27 and this PPT, we have mentioned Q3 FY27. While I understand that we are doing the capex via internal accruals and all, but sir, these delays are now going beyond the normalcy.

I'm sure like an efficient and experienced capital allocator like you, this must be in your mind because ultimately we have to grow the business. So for that we need the assets at the right time. So what is your view on it, sir, like why are these delays happening on a consistent basis? So that's my first question.

C.C. Paarthipan: Okay. Delay, yes, it has happened. But in the current context, what is important actually is not the delay, it's not opportunity denied actually. It is not a denied opportunity today. If it is fully

completed and that too when we get into the next level that too for the regulated market, this facility should be ready for the US FDA actually.

And we are also planning to go for 10 to 12 like injectables at the time of filing the form and invite the US FDA inspector for the audit. Hence you are aware that sometimes the facility completion, it takes its own time. It may be because of various reasons. The reason one here, I would like to say like this, the ecosystem in Tamil Nadu has not been extraordinary like, what do you have in Hyderabad or Bangalore or Vizag or Ahmedabad or Mumbai. Hence it also gets delayed, that's one reason.

At the same time, as you rightly said, the money is not borrowed. There is nothing in the form of actually interest loss. I won't say there is an opportunity loss also because sometimes it is for the greater good which is difficult to understand. What is not obvious many a times actually it will create some tangible opportunities also.

Vivek Partheeban: One other point also, Garvit, is the API unit is going to be only for backward integration. But remember that we're not really relying on our own API as the first source. This is going to be a second source. So even if the API units get delayed by a further two to three quarters also, which will not happen, but even if they do happen, it's not going to materially affect the company because our R&D and our filing continues to happen despite it being our own API or from external API.

Caplin Point Laboratories Limited
February 05, 2026

Page

8 of 17

Till this point, 100% of all the filings and approvals we've received are from external API. So please remember that this thought process of getting into our own API is strengthening our supply chain, but by no means it is going to have any material impact immediately.

Garvit Goyal: When you say the ecosystem is not extraordinary, like what kind of challenges are we facing? Can you further elaborate that?

C.C. Paarthipan: Talent, whether it is in the form of consultancy or in the form of some project heads actually. People who come, you know, they don't stick. See, if you want to give me an example. See, at one point of time you know ours is a turnaround story. Today, we are the number one company in Tamil Nadu.

There are companies which are now 10-12 years ahead of us. In fact, you know, they started the company much, much earlier to us. Still they have not even reached 50% of our sales also. I don't want to mention the name of the company. Since you asked me, I have to answer that way.

Garvit Goyal: Understood. And secondly on the growth part, first nine months our sales are up by 10% to 11% which is well below our last three-year average of 15% which we used to use as a benchmark in the recent calls. Even if I see your fixed assets, these have doubled in last 2.5 to 3 years, but our top line is up by only 50% against that. So why are we slow in growing our top line, sir?

I agree that base has become high, but I'm not asking for like we should grow 30%-35% on this higher base, which I understand from the earlier concalls, earlier interactions as well, but not even doing 20%-25% despite having strong capex and we earlier speaking about entering into the new markets and new products approvals that we are getting on the continuous basis. So I'm not able to understand why it is taking us like so much time to ramp up on the assets or the capex or the efforts that we have made over the last two to three years, sir.

Vivek Partheeban: Yes. See, we've been very consistent with our messaging that the next 18 to 24 months is going to be a gestation and a consolidation phase for us, right. So there are multiple things that we are working on. Number one, our entry into the larger markets of Mexico, Chile, Colombia. Number two, our oncology business is still at a very nascent stage. And number three, our US label and our US B2B business is getting consolidated right now.

Now remember, we're not in the domestic market where the minute you come up with a product you can directly go and then start making sales, right. We're all in either emerging markets or regulated markets where things take at least three to four years for some amount of gaining maturity. So we feel that FY28 and beyond looks very exciting for the company on all fronts, on all these fronts that I was talking about which is larger markets of LatAm, US space and oncology, etc. So we need to be a little patient but during this time we have been able to consistently still grow at low double digits in our US business which is gaining much more traction and showing growth of almost 25%-30% and we're also able to consistently put away significant amount of cash into our reserves where we are building up a war chest where if there is even an outsized inorganic opportunity that comes through, we will not be shy to do that as well. So I don't think we are slowing down by any means.

Caplin Point Laboratories Limited
February 05, 2026

I would say that we are consolidating and FY27-28 and beyond could be something that is very interesting for us all to look forward to.

Garvit Goyal: Got it, sir. And regarding on the margins front, is there any further scope of improvement in the margins?

Vivek Partheeban: I think we're at a PAT of 27%-28%.

Vivek Partheeban: I am not sure, if too many peers with in this range, Garvit, yes, but regardless of this, I think once we start firing on all cylinders on t

hese newer initiatives that we take up, there is a potential for that to go up as well. I don't deny it, but I think at 28% for us to stabilize this and maintain itself would be an excellent achievement. Yes.

Garvit Goyal: Understood. So more probably because margins are at peak and for next 18 months we are speaking about lower double digit sales growth, so bottom line should be more or less in line with the sales growth only. Is that understanding correct?

Vivek Partheeban: The bottom line will remain where it is, I mean I think there might be one or two percentage points up or down, but that 26% to 29% PAT is something where we are comfortable with and we expect that to continue.

Garvit Goyal: Got it. Thank you very much, sir, and all the best for the future.

Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity. I have three questions. Firstly on the buyouts we made for few ANDAs on the oncology side, if you can give some sense what amounts we have paid for the ANDAs I think we got?

Secondly, what will be the timelines do the site transfer and the commercialization take, and from the \$473 million addressable market size, what sort of potential market share Caplin Steriles can gain?

Vivek Partheeban: Okay. So some of this information is of confidential nature, so I won't be able to go into too much details of it. But what I can give out is we are very, very prudent in how we spend our cash. And that includes these acquisition targets also. The one clue I can give you is that we sort of try and make it a point that any acquisition of an ANDA that we do is always equal to or lower than the cost of actually filing that ANDA itself.

So you may draw your inferences from that. In addition to that, the timelines wise what happens is we need to do the site transfer by way of what you call as a Post-Approval Supplement, a PAS. Now we need to run at least one batch of that product and then put that in stability for three months and then apply for the PAS which is six months.

Caplin Point Laboratories Limited
February 05, 2026

Page 10 of 17

So all put together, we expect some of these products to come to market by early next year, late this year or early next year. And finally when it comes to the market share, out of the 14 products there are two of them that are fairly large in size, but they're also extremely tricky because they need completely dedicated lines, dedicated units etc.

We might not be doing that in-house. We are very actively scouting for contract manufacturing companies for that. We've narrowed it down to two, both in Europe and we are in late stage discussions for tech transfer to their side.

So in general, I think you can always expect the first couple of years to have about single digit market share as and then when we consolidate and then when we have a larger portfolio of products to offer, then that slowly starts inching up towards the double digits in terms of market share.

Ahmed Madha: Sure. That's very helpful. On the Mexico and Chile business, we have made lot of progress in terms of approvals, building the pipeline, getting the inspection and the plant everything ready. If you can give some sense how far are we from meaningful top line generation from those markets and what sort of progress we have made in terms of commercialization and getting the top line ready?

Vivek Partheeban: Yes. When it comes to again Mexico and Chile, I would still put the same timelines, at about 18 to 24 months is when we can start to see it firing on all cylinders. Of course when it comes to both these markets, typically they are a little bit tender heavy as well, right?

Especially Chile, but there again we are trying to get into the private market which is what the base of our business in Latin America is

and we've been, more than 80% of our revenue from LATAM come from the private market which is what we are trying to do the same in Mexico and Chile as well.

Chile is a little bit further ahead compared to Mexico because we've been in Chile for some time now, but mostly on tenders. Now we are getting into the private market. And the same for Mexico in 2026 as well. So I would still say that 18 months is a good timeline for us to see something meaningful on the top line to the parent company.

Ahmed Madha: Sure. Lastly on the P&L, if we look at the operating cost, it has been very stable for last few quarters. We have made progress in the top line growth gradually. and I'm just curious to understand that despite the new plants coming in both the plants which got commercialized I think in the last three-four months, I'm assuming and top line growing gradually, the cost has been broadly steady state. Would you like to help us understand what sort of explains that?

D. Muralidharan: Yes, correct. So a couple of years back when we were in the same meeting we were asked for the lower turnover relative higher cost, right? We built the infrastructure, we built the periphery we as rightly said the employees have all been recruited for the enhanced capacity. So also as mentioned by one of the previous speakers that most of the projects are under final stages, nothing had been put to operation yet.

Caplin Point Laboratories Limited
February 05, 2026

Page 11 of 17

So the initially you capitalize whatever that pre-operating expenses are getting capitalized and then once the product or projects are put on projects are put on steam and then start commercial we will see the impact on the opex.

And as we have mentioned in the past also, previously our sales are on FOB basis to most of the countries and about one and a half years back we have converted them into freight. The freight cost as a percentage of turnover has also come down.

D. Muralidharan: Okay. So as mentioned, the infrastructure has been created, the manpower has been recruited, facilities are created for the enhanced capacity. Once these projects go commercial, we will not see any big spike in the expenditure as such. So, that is one of the reasons why even though the top line is growing the operational expenditure is not growing in tandem.

Moderator: Thank you. The next question is from the line of Shrinjana Mittal from MS Capital. Please go ahead.

Shrinjana Mittal: Hi, thank you for the opportunity. Just one quick question if Mr. Sathya you can help me with Caplin Sterile's EBITDA number? That would be very helpful. Thank you.

Sathya Narayan M.: Yes, sure. Thank you for the question. for the quarter ended December 2025, the EBITDA for CSL consolidated is INR 31.09 crores.

Moderator: Thank you. Next we have a follow up question from the line of CA Garvit Goyal from Serene Alpha. Please go ahead.

Garvit Goyal: Hi, thanks. Sir, is there any further material update on the inorganic acquisitions that we are evaluating right now?

Vivek Partheeban: Nothing to report at this point, please. So, if there is something material definitely we will update as and when necessary but nothing is at very late stages or anything like that at this point.

Moderator: Thank you. The next question is from the line of Richa from Equitymaster. Please go ahead.

Richa: Yes, sir, I wanted to understand like I'm new to the company, in the last concalls I've gathered that, you had a INR 1,000 crores capex plan of which half was nearing completion and other half was expected to happen over two to three years. Part of it is backward integration. If you could give some clarity how much has already been incurred, what is the plan for next two years and what kind of asset turn you are expecting over this capex?

D. Muralidharan: So what we've capitalized so far is about INR 153 crores and INR 124 crores is in WIP. This is adding up to about

INR 280 crore. And what we have further advanced about INR 88.54 Crores. INR 385 crores is already spent, the rest is to be spent in the next 12 to 18 months.

Richa: Okay. And asset turns also if you could give some clarity.

D. Muralidharan: No, asset turn depends on when these projects get capitalized and start earning revenue, madam.

Caplin Point Laboratories Limited

February 05, 2026

Page 12 of 17

Richa: I understand. Let's say over three to four years, I was asking that, you know, because some of it is going into backward integration as well. So it might look very different from your historical turnover. So at maturity in three to four years, what kind of asset turns do you expect over this capex?

D. Muralidharan: It'll be difficult to predict as of now because our asset turnover is not direct denominator versus numerator because as chairman also put it, we are into asset-light model also. We are working with various CMOs, CDMOs and whatnot, and then that will give me a top line where without

any contribution from the plants. And also we are investing heavily into R&D.

So which would not directly go into the commercial operations. So our existing products are or the company is a mix of both asset-light model, R&D heavy and then project based. So it will not be lower than what we are today.

Vivek Partheeban: And also I think much of it will depend on the kind of products that we do and the market positioning for those products at the time when they come to market etc. So typically for a multi-product facility, typically for a company that focuses on different kinds of markets, that asset turn is something that is difficult to really pin down, please. I think it's more if I'm not wrong, I think it's more applicable to an API industry rather than formulation.

Richa: And sir one more thing, like how should we look at the tax rates? Are they going to stay where they are or inch up?

D. Muralidharan: Yes, tax rates we have some avenues and we are at about 20%-21%, we expect that to be around that in the coming years as well.

Moderator: We have the next question from the line of Ketan, an Individual Investor.

Ketan: First of all, I'd like to place my appreciation for the chairman and his entire team for doing a fantastic job. I've been invested in this company for the past few years and I've seen that, you know, Q-o-Q you guys are delivering revenue growth, margins, cash, everything is fantastic? Sometimes I feel it is too good to be a true story, but I mean it is what it is, so really, my appreciation for the entire team. Now coming to my query, my question is for the nine month is it possible to provide the revenues for the Chile market?

C.C. Paarthipan: Chile market what is happening there is as has been told actually by Vivek, this is a market where you know is all tender heavy. Like 75% to 80% is tender and 20% is private market. And very recently we told our guys to actually focus on private market and the first month itself they have done some \$100,000 the business although it's not huge, it's really good actually for a market where people focus only on the tenders.

So hopefully the revenues are there but the issue is, this market being a tender market. And then the import duties are very high. And the payments also from the government it comes little late compared to some other countries. Starting from this month or next month they are likely to do around \$200,000 to \$300,000 of remittance.

Caplin Point Laboratories Limited

February 05, 2026

Page 13 of 17

We are likely to get it from Chile, that's what I've been told by our people in Chile. Chile takes time, but once we complete the OSD, we have completed more of injectables, injectables goes only into the institutions.

Private market of course as you know well, we should sell more of OSD and other products, that of course know now only we are submitting some products for registration. Ho

pefully in the

next one-two years we will do very well in Chile.

Ketan: The other query I have is on the US margins. Now when I look at your segmental figures, for the nine months, you know the figure is about INR 323 crores for the US market revenue, and the profit before tax is 34%. So, I just wanted to know that right now the margins look about 10% odd, but going forward is this likely to inch up? I mean in terms of the margins for the USA business. Is it likely to go up in the next few quarters and few years?

C.C. Paarthipan: Yes, coming to US business, I would like to say something afterwards, Vivek will actually brief the whole thing. If you look at actually injectable facilities whether it is in China or US, always big boys game. In two years, we will be in a position to complete 14 to 15 lines exporting products to US, which is of course, it's not that easy, and we'll be one among the four maybe three or four from India.

And I've also seen companies which are very advanced in China in the form of producing biosimilars and lot of biologic products, hardly one or two company concentrate on US market. It is also true, compared to other markets, this is not that actually lucrative, but why we'll have to get into this market because this is the biggest market in the world. If you can create many lines like 14-15 lines, then what will happen you are part of the big boys game.

It is not that we are going to compete with the big boys, but what we will do is, we will have to increase the number of lines, to tell you honestly that I hustled my way out of the person I used to be. I used to be a person in charge of marketing, I didn't know anything about actually manufacturing. I had to play different role for the last three-four years, and now I understood actually that we will be in a position to handle even 13 to 14 lines also over a period of time.

Once we get into that stage, maybe you know which I spoke in the form of video SOP and other things, I am sure now one more in addition to that we are also going for women empowerment, most of the women in the rural areas, they are totally deprived actually, and then the economic independence makes all the difference to them.

And the men in rural areas are different from the women, so the women on one side actually

very disciplined, they come to work and they do their work also, only thing you'll have to teach them. We are trying to teach them through video SOPs. Once that happens as I am 100% sure, this market, especially the US market will start fortifying us in such a way it has happened to some other big companies of India.

Vivek Partheeban: Yes. Thank you chairman. And when it comes to margins Ketan, how we look at it is see out of this INR 320 crores of revenue from the first nine months, is all from the existing products itself.

Caplin Point Laboratories Limited

February 05, 2026

Page 14 of 17

And some of these products are what others would call as slightly commoditized kind of products, so despite that we've been able to have a fairly decent EBITDA number and a fairly decent PAT number.

But, remember all of these acquisitions that we have done for the ANDAs all this R&D work that we do, everything gets expensed out, we don't capitalize anything, so there is a bit of a drag because of the plans that we have for the future. Over a period of time, especially when some of these newer products etc come through, you will start to see the bottom line numbers go up. In fact, even now I think we are comfortable with where they are, but this will definitely start to go up. And FY27-28 and beyond as chairman said when we have 13-14-15 lines, your expenses start to cap out after a bit, and every additional revenue that you have, will be a direct impact to the bottom line positively, you know. So we'll have to wait it out a little bit. We are happy with where it is today because

we know that this is in addition to all the drag that we've had in terms of the R&D and the inorganic ones etc, so it should only go up from here.

Ketan: Thank you. Thank you for the responses. And once again, my deep appreciation to the entire team at Caplin Point. Kudos to you all. Keep up the good work. Thank you so much.

Moderator: Thank you. The next question is from the line of Sachin Kasera from Svan Investment Managers. Please go ahead.

Sachin Kasera: Good evening to the entire team at Caplin Point. As mentioned by the previous participant, congratulations to the team for the consistent performance that you've delivered, even in difficult times in the last few years. So that's a great job. Just coming back in terms of the current opportunity and the growth that we're talking of.

So the presentation mentions that Chile will be among the top five markets in the next two to three years. So can you just quantify or give a some sense if not an absolute number, so when we say top five markets are we talking like \$10-\$15 million type of revenue, some sense on that, when you say the top five markets for us in the next two to three years?

C.C. Paarthipan: \$10 to \$15 million per year definitely is possible. Maybe you know we will even actually go beyond that one. That is for sure. If you look at one or two companies who are from India, they have been doing a very good business, but again you know they all have more of OSD in the form of like 80 to 90 products whereas we have more of injectables.

You are aware that you know we manufacture injectables for the US market. And we are also focusing on OSD now, plus our oncology facilities also in the next two months will start the commercials. We are planning we are also doing some studies for oncology products which of course we will submit for registration. So we'll definitely do well actually in Chile that is for sure. It's a question of time before it happens.

Sachin Kasera: And can you comment a bit about Mexico? We have mentioned about putting up a facility also there. So what type of investments are we looking at the Mexico facility, and that will be primarily for serving the markets of Mexico or will that facility also serve markets other than Mexico?

Caplin Point Laboratories Limited

February 05, 2026

Page 15 of 17

C.C. Paarthipan: Mexico there is an advantage for the local industry. They give 10% to 15% advantage to the local factories for the supply of tender business. That's one of the reason we are keeping this facility there. Second these are the products actually, where the transportation cost also is quite high because ointments and others. We may even go for liquid orals also there.

We'll basically be transporting water from one continent to another continent. So, it's ideal to start a factory in this part of the world because the cost of production will not go high, because of the other factors which I mentioned now. Second we also get an advantage of supplying to the tenders with 10%-15% additional margin.

And third we always believe in catering to the private market especially to the bottom of the pyramid. I'm just waiting for the first inspection to be completed here from the USFDA. After that I will go there to Mexico and see how exactly the market responds. Initial work, I always

used to do it, afterwards the Vice Chairman who happens to be my son used to take over. I'm just waiting for that to happen.

Sachin Kasera: But any sense in terms of the type of investment we are looking in Mexico, broad range in terms of the capex plan there?

C.C. Paarthipan: The investment may not be very high for ointments and liquid orals. It will be in the region of INR 100 to INR 125 crores. It will not be more than that, and most of these products there is nothing in the form of bio-availability or bio-equivalence studies. So once we complete the project, we'll be in a position to get into the market immediately.

Sachin Kasera: Sure. My next question is regarding GLPs. You have mentioned that we are developing our own GLPs and some of them, we are doing some sort of a tie up with Chinese companies. So next three to four years what is the type of opportunity do we see that, can it be like a very meaningful contribution to our overall revenue and profits?

C.C. Paarthipan: In the next are you mentioning about the next three-four years?

Sachin Kasera: Yes.

C.C. Paarthipan: We will definitely do well in the next three to four years time. The kind of investment which we make, it is not an investment which is very shallow, like, we are investing in hard assets. The assets actually will definitely fructify over a period of time. Already we have around 50 dosages in our CSL. And then in the next three-four years, you'll have 100 plus maybe 125 ANDAs. In addition to that you will also go for global dossiers from that facility. And then we are also in the process of completing another facility, I am talking of the APIs, both API, that's for captive consumption. It'll be a vertically integrated company like any other big company. The only difference is most of the big companies their API volumes are quite high whereas ours is for the captive consumption. But these big companies also, they slowly move actually from one area to the next area. But the companies of our size, they will not get into the space, there will be hardly few companies.

Caplin Point Laboratories Limited

February 05, 2026

Page 16 of 17

If you look at injectable companies, most of the companies that you see in India, either they are big or people who are into CMO business. We are not into CMO business, we are like big companies.

We are following the footsteps of the big companies for manufacturing as well as filing the ANDAs, filing the dossiers also for ANDAs. So we are sure to actually do very well not only in US but also in Latin America and rest of the world too.

Sachin Kasera: Sure. Thank you. But sir my question was more to do with GLPs.

Vivek Partheeban: Yes. So when it comes to GLPs Sachin, we are entering into the smaller markets in Latin America to begin with. And we are doing something very unique which we will reveal that as and when the right patents and everything are set up, but at this point I would say that it's a little bit of an unknown space you know because what happens is the GLPs have been very extensively used in the developed market.

So in the developing markets we are just slowly starting to see some amount of usage. And only now I think this year all the patents and everything except US will expire. So we will start to see a little bit more clarity on how these products going to get picked up. Of course in India, one of them has picked up significantly more than the other one.

And the truth is, it is moving in a different direction in our opinion. But again, this is a conversation that takes a long time. I would say that we would be in the second wave of people that start to commercialize it, not in the first wave. To be honest with you, that might actually

work out better for companies like us to be in the second wave rather than the first wave.

Sachin Kasera: Sure. Just one question on capex and also linked to that in terms of our overall in-house versus outsourced production. So once we complete this capex of INR 1,000 crores, from what I understand, right now we have a model whereby we partly manufacture in India and partly we get it outsourced from China. So do you see how do you see that mix changing? Will it remain the way it is right now or in the next three years, is there going to be a change in terms of the mix between what we produce in India versus what we get it sourced from China?

C.C. Paarthipan: I would like to say a few words on that one. If you look at China, we will never be able to compete with them in cephalosporin and penicillin area. And we've been s

ourcing products of

penicillin and cephalosporin from China and we will continue to source from them. If you look at again biosimilars, they are much much advanced, even GLP products, the API at one point of time it was actually \$500 semaglutide. Today it has come down to \$80.

So this is a market where they can change the economies of scale. And some areas we will not be in a position to actually compete with them, it's better to join somebody, whom we can't compete with. That's one. Second how the change will come maybe in five years from now, the most important thing one has to worry

about it actually not this one, how the AI will impact the industries.

Caplin Point Laboratories Limited
February 05, 2026

Page 17 of 17

If robot can replace 100 to 200 people, the manufacturing actually in US and the manufacturing in India will be one and the same, probably the cost wise, because Indian if you do it for India, then of course know export may not be that that's the reason what we are doing now.

We are slowly you know trying to also create so me facilities in countries where they may allow actually robots without any hesitation. So these is one thing which is the most important one than any other things because we are also thinking of fill-finish biosimilars, we are also thinking of various areas where you know India is positive, of course India-centric products. We are trying to do China-centric products, we are following the asset-light model.

Sachin Kasera: Is it fair to assume that 60-40 which is in-house versus outsourcing, probably could become like 65%-70% in-house and 30% outsourcing because we are doing almost INR 1,000 crores capex.

So that should mean that going ahead we are able to produce more in-house rather than outsourcing.

C.C. Paarhipan: You're right, you're right. It will happen, it will happen. But again what we will do is the outsourcing part from China, we don't want to reduce it. The reason being, we are outsourcing from big companies, and then we are outsourcing again actually products which cannot be actually manufactured that cheaper in India, coming to that cephalosporin and penicillin.

And even if you want to go for a biosimilar facility, it is better to test the waters in the form of fill-finish rather than going actually for a factory from the scratch. So we will have some collaboration with the Chinese partners and continue to do the business in the form of asset-light model. What you said is true, this 60-40 may even go actually 70-30.

Sachin Kasera: And just one last question, once we complete this INR 1,000 crores capex, are we going to look at another round of large capex or then for the next two-three years the capex intensity is going to come down?

C.C. Paarhipan: See, what will happen probably is you know we'll have to think of actually meaningful inorganic growth after that. This can be in the form of acquiring the products, can be in the form of acquiring a distribution company which will help us in the private market. It can be in the form of some acquiring some companies where there'll be a value addition for Caplin Point. But not too much in terms of manufacturing, manufacturing capex will go down.

Sachin Kasera: Great, Chairman. Thank you so much and all the best.

C.C. Paarhipan: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for the closing comments.

Vivek Partheeban: Thank you everyone, thanks for taking time out to join the call. And it was excellent interacting with all of you as usual. We hope to stay in touch with each and every one of you. Thank you.

Moderator: On behalf of Dolat Capital Markets Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Page 1 of 18

"Caplin Point Laboratories Q4 FY26 Earnings Conference Call"

May 14, 2026

MANAGEMENT : MR. C.C. PAARTHIPAN – CHAIRMAN
MR. VIVEK PARTHEEBAN – VICE-CHAIRMAN
MR. ASHOK PARTHEEBAN – VICE-CHAIRMAN
DR. SRIDHAR GANESAN – MANAGING DIRECTOR
MR. D. MURALIDHARAN – CHIEF FINANCIAL OFFICER
MR. M. SATHYA NARAYANAN – DEPUTY CHIEF
FINANCIAL OFFICER

MODERATOR : MS. JULIE MEHTA – 360 ONE CAPITAL MARKET PRIVATE
LIMITED

Caplin Point Laboratories Limited
May 14, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to Caplin Point Laboratories Q4 FY26 Earnings Conference Call hosted by 360 ONE Capital Market Private Limited.

As a reminder, all participant lines will be in listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing star and then zero on your touchtone telephone. Please note that this conference call is being recorded.

I now hand the conference over to Ms. Julie Mehta from 360 ONE Capital Market Private Limited .
Thank you and over to you ma'am.

Julie Mehta: Thank you Farah , and good afternoon , everyone. On behalf of 360 ONE Capital, we would like to welcome you all to the Q4 FY26 Conference Call of Caplin Point Laboratories Limited.

Today, we have with us Senior Management of the company represented by Mr. C. C. Paarthipan – Chairman ; Mr. Vivek Partheeban –Vice -Chairman ; Mr. Ashok Partheeban – Vice -Chairman ; Dr. Sridhar Ganesan – Managing Director , Mr. D. Muralidharan – CFO and Mr. M Sathya Narayanan – Deputy Chief Financial Officer .

I would now like to hand the conference over to Caplin Point Management for the Opening Remarks .
Over to you , sir.

Vivek Partheeban : Thank you , Julie. Thank you , everyone, for joining and welcome to our Q4 & FY26 Results & Earnings Call .

Please note that a copy of all our disclosures are available on the investor section of our website as well as on the stock exchanges , and also do note that anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio will be made available on the company's website as well as the exchanges.

Please do note that audio conference call is copyright material of Caplin Point and cannot be copied, rebroadcasted or attributed in press or media without specific written consent of the company.

I would like to now hand over the floor to Chairman for his Opening Remarks.

C.C. Paarthipan : Thank you. Good evening and Welcome to our Investors Call.

Let me first list out the differentiation that we have created in the last five years :

Caplin Point Laboratories Limited
May 14, 2026

Revenue doubles from INR 1,085 crore s to INR 2,300 crore s in FY25-26. Liquid assets tripled from INR 928 crore s to INR 2,726 crore s. Free cash reserves tripled from INR 470 crore s to INR 1,471 crore s. EBITDA, PBT and PAT increased by 2.5 x. Investment in capex stands at INR 900 crore s in the last five years. The gross contribution improved due to operational efficiency.

Currently, we are building new factories for injectables. All the machines for the new factories are imported mostly from Germany and Italy. In the next two -to-three years, we will have 17 injectable lines for USA and other regulated markets of the world.

Our factories will be digitalized. Every machine that enters the factory , will have Video Master to make the qualifications easier and also for operational efficiency.

Our Video SOP, for which we filed the patent has some unique features. It is visual before verbal.

We do not depend on one QA or one QC or one production or one engineer. The knowledge will be stored in the video library.

Our Visual SOP ecosystem is both kinetic and non -kinetic. The kinetic side involves cameras, screen, voiceover, online monitoring, and dashboard.

And on non-kinetic side, visual intelligence, behavioral discipline, institutional learning and memory, compliance consciousness, operator confidence, and quality mindset. For example, China 's rise is a kinetic and a non-kinetic story.

Th

e present world affects the following APIs, solvents, freight, and lead time to destination, currency swings, energy unpredictability. However, our model of keeping the goods next to the customer in the last 20 -years has produced these compounding effects. Hence, we always keep the goods in our subsidiary warehouses for a minimum of six -months stock in the form of stock in the warehouse, stock -in transit, and work -in progress. This anti -fragile model has really helped us for the best fundamentals even in ROW markets of lead time in the last five years.

Now , that we have substantial ANDAs, in addition to that, we also buy for our business. In the next three years, we will have maximum products registered in the highly regulated markets such as USA, Mexico, South Africa, Brazil, Chile, and Colombia.

Further, we have increased the number of women employees in our shop floor, which ensured the discipline. The discipline that resulted due to women empowerment also guaranteed the integrity and quality, which are very, very essential for regulatory inspection. The financial freedom for the rural women made them comfortable at their home and also in our shop floors. We always arranged to pick them up from their houses for all the shifts, which ensures their safety too.

Caplin Point Laboratories Limited

May 14, 2026

During volatile periods, the cash becomes the strategic oxygen. Our cash flow helps us to build new factories, and we are also buying, as I told you before, more and more ANDAs for the U.S. market, and we have been trying to buy a distribution company either in Chile, Mexico, or Brazil, and we are sure that we will be able to reach the maximum products in this region. That way, it will help our distribution company in case if we buy, that will actually take us to the nook -and-corner of the private markets of these countries.

This one is not the mainstay for big companies, hence the focus of our business will be more on private markets in addition to the tender businesses.

We will also focus more on R&D for hormone injection and inhaler areas, which are unique in the regulated markets.

Further, we are also on the lookout for a meaningful acquisition of a facility as we have enough cash resource in our system.

Let me also convey that I read actually in (BS) Business Standard 1000 of March 2026. They mentioned that we, Caplin, stand at 673 among the 1,000 listed companies of India, which comprises of all segments in addition to pharmaceuticals. They also mentioned that we stand at 42nd position among the pharmaceutical companies. When I looked into the details, I have found that 16 companies above us had lower profits than us. The statistics is based on the top line, not on bottom line or cash flow.

Finally, when our revenue doubled and the liquid cash and liquid assets tripled, we never had the extraordinary fundamentals that we are creating now. We only have one US FDA factory with three -old lines and two -new lines. Now that we are going for a massive infrastructure expansion, as I told you that we would have 17 -lines of injectable in the next two -to-three years.

And we would also have automation, digitization, and visual SOPs.

More ANDAs and more registration in the regulated markets of LATAM, entering in countries like Brazil and South Africa also , will increase the prospects of our business.

The variety of injectables in the form of liquid injections, ophthalmic, PFS, BAGS, BFS, Fill-Finish, LYO, Onco injectable, hormone injectable, will be there in the next two to three years' time, and will

also take us to the next orbit, which is for sure.

Finally, as you all know well, business in the formative years is the puddle of unknown, unknowns.

Caplin Point Laboratories Limited

May 14, 2026

Page 5 of 18

When you develop the credence for your business over a period of time and you establish the KPIs through vide

o SOPs, then it is simply going above and beyond. That is the deliberate growth. Thank you very much.

Vivek Partheeban : Thank you, Chairman. Now I request Ashok to give us a few comments.

Ashok Partheeban : Thank you, all, and welcome to our Investor Call.

I will be talking about our Latin American facts and a few points about how we have been growing in Latin America :

I would like to start with Chile, which is our newest market. We have 135 -products to the tune of \$10 million for the next 18 months to be supplied. We have also received 135 -registrations in Chile so far. We have submitted around 40 more products.

Our private market is the most important in all the countries where we are. So, as Chairman mentioned, we have two candidates that we are looking to offer to buy. There are two solid distribution companies that reach no ok and corners of the country in Chile.

We have these two candidates because they actually have their own sales team, they have their own logistics team also. So, we are currently doing bio -studies for more than 40 -different products that are of very good margins and have a very few players in Chile.

I would like to move on to Central America where we have been present since 2002. So, a peculiar thing about Central America and what happened during COVID was that a lot of independent pharmacies started growing a lot. And during COVID, what they basically did was they just started opening pharmacies wherever they could find a space because a lot of people were going out of jobs and they put their savings into the businesses. So, we made sure that all these individual pharmacies survived. And if we did a recent enquiry into it, we found out that the shelf space for Caplin products are 41% in these individual pharmacies.

So, while we were talking about this with the board, we want to start a liquid manufacturing facility. And the reason for this is once we register all these liquids, our shelf space in these independent pharmacies will go from 41% to 57%.

We are also getting into Brand Marketing in Dominican Republic, Guatemala, and Nicaragua. We chose the central nervous system line where we already have bio -equivalence for more than 12 -products, and we will be starting with that in September of this year.

Caplin Point Laboratories Limited

May 14, 2026

Page 6 of 18

Going forward to Mexico, our biggest market in Latin America so far, we have received 25 -registrations so far. We participated in eight different products for a two -year tender, which we won all of them.

We also participated in an Oncology tender with a partner of ours from China who gave us four different products and we won those products too. We plan to do a sale of around \$4 million in the coming two quarters in Mexico.

As you all know, we already purchased the land in Mexico to build our first -factory in Mexico also, because we get a 16% advantage over price when you participate in the tenders in Mexico.

We will be having liquid ovules, suppositories, and blister packing facility for tablets and capsules.

This is the update from my side, and I would like to pass it on to Vivek. Thank you.

Vivek Partheeban: Thanks, Ashok.

I will just take a few minutes to very quickly brief everyone on our progress in the US, which is continuing to be one of the most important pillars of our growth and long -term strategy.

As many of you would have seen from the results, FY26 has been a very strong and meaningful year with progress on almost the all parameters. From a few years ago, we were a cash -burn EBITDA negative company. Today, we completed around INR 470 crores with EBITDA that sort of mirrors or comes very close to the parent company's numbers, which have been benchmarked amongst the companies of our size. So, we're very happy and proud to report that.

On the product front, this has been a standout year for us. We have received approvals fo

r 10 -ANDAs

in the last four quarters, and we have also acquired another 15 ANDAs with five in Caplin one in May, taking our total tally as on date to 60 -ANDAs as of this morning.

Importantly, this expansion is not just in numbers, it is also in depth because we cover the entire

gamut of sterile products. We have products which is in vials, in pre-filled syringes, in IV bags, in three-piece dropper bottles for ophthalmic, we are now getting into cartridges, we are also getting into blow-filled seals.

Not only are we showing good progress with the products that we have been doing, we are getting into uncharted territory for Caplin Point as we get into some of these complex technologies.

In addition to the US, we will start seeing some meaningful revenue out of non-US markets in the coming few years as well because we have already filed 54 products globally in non-US markets such as Canada, Europe, Australia, South Africa, etc., we will start to see some progress there.

Caplin Point Laboratories Limited

May 14, 2026

Page 7 of 18

From a capacity standpoint, as the Chairman said, we are building Phase-III. It is at a very advanced stage and we are also expanding capacities internally in Phase-I and II with the expansion of our IV bag line to 3x the capacity. It is a very niche area where we have multiple products already approved. As we get into the slightly more complex platforms, this opens up new opportunities for us when we put up our retail arm of the company shortly. So, this, I think, would be a good time to touch upon Caplin's own label in the US.

A lot of people are very skeptical about Caplin launching our own label because our B2B business was doing so well, people were a little bit skeptical saying that this might distract our partners and this might probably show some degrowth. But very happy to say that in our first full year of operations, we have nearly touched INR 100 crores in revenue. We were about 11 million plus in revenue with our own label, and we have done this with no degrowth whatsoever in the B2B business as well. We had launched 30 products under our own label in the last year, and another 15 products are going to be launched in the coming year. We have weekly ordering from the four largest wholesalers in the US and pretty much most of the large IDMs that do business in injectables are our customers right now as we move from strength to strength.

I would say that in summary, our US business is transitioning from a phase of foundation building to one that is scaling and growing in depth. So, with a very strong pipeline, expansion of capacities, entry into complex technologies, etc., we are very well positioned for sustained and profitable growth in the years ahead.

I would like to request our CFO to throw some light on the numbers before we open up for the questions.

D. Muralidharan: Thank you, Mr. Vivek. Good afternoon to all who have taken time off to take part in these investors call post FY26 Results.

The results have been highly gratifying, and we are pleased that we have done well in all these across all parameters. Numbers are already there with you for a couple of hours now and we would be glad to clarify your queries on the results.

Instead of going over the numbers again, I would like to present distinct financial points of Considerations:

- One, there is an exceptional balance sheet compounding effect has happened in this year. Our net worth expanded by about INR 745 crores during the year to INR 3,331 crores from INR 2,886 crores in the previous year. This is 26% in one year. That is a signal for intrinsic value creation by the company.

- Massive forex translation reserve uplift is a written value that has accrued to us in the form of net worth also. So, forex asset is INR 177 crores against liability of INR 22.2 crores. So,

Caplin Point Laboratories Limited

May 14, 2026

Page 8 of 18

as you all know that we are 100% export-oriented company and assets outnumber the liability. So, this has resulted in FC TR movement of about INR 141 crores which has gone directly into the reserve of the company.

- And then third point will be, as already Chairman put it, Cash-Rich and Zero Leverage. We are continuing to strengthen our balance sheet with INR 1,471 crores in cash and INR 2,726 crores in liquid assets. This strength provides us significant strategic flexibility as Chairman also put it that we are on the lookout for meaningful acquisition.

Earnings Quality and Cash Conversion:

CFO remained strong at INR 523 crores, representing 80% of the cash conversion of PAT. This shows profits are real cash, not only in goods. Profit growth of 20% ahead of revenue growth of 13%. Profitability grew materially ahead of revenue growth, reflecting operating leverage and improving business mix.

Before capex, I would like to inform the investors that our capex R&D spend this year has been at almost 5% of our turnover. And this is the first time we have crossed INR 100 crores in R&D spend.

And capex peak rate for the last year was INR 248 crores.

And just a summary of the ongoing project, out of the INR 1,000 crores what we have envisaged, we have capitalized INR 154 crores. CW IP was INR 144 crores primarily representing what is our oncology injection plant, which incidentally has been capitalized in the month of April post our MOH approvals .

And advances what we have faced, we have talked about the enhancing of the line capacities. We have already paid an advance of INR 109 crores for various imported equipment. And the balance about INR 500 crores will be incurred in the next 18 -to-24-months from out of our own cash generation.

Then fixed assets turnover ratio, people were asking it last time. So, glad to inform this is about 3.91x.

And the inventory held in market and WIP, which has a potential of raising about INR 900 crores in terms of sales. So , our strategy to keep the inventory closer to the customer and then is paying high dividends. This is ex clusive of course inventory in the US factory and the warehouse there.

In summary, FY26 was not only a growth year, but also a year of strong balance sheet compounding. Net worth increased by INR 745 crores. Operating cash flow above INR 500 crores. Liquidity pool strengthened to INR 2,726 crores by remaining virtually debt -free.

This is all from me for the first instance. We will be more than glad to take any questions.

Caplin Point Laboratories Limited

May 14, 2026

Page 9 of 18

Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Aman Soni from Seven Alpha. Please go ahead.

Aman Soni : Yes. Hi . Thanks for the opportunity and good evening and congrats for a good set of numbers. The question is on the growing cash genera tion. How does management is going to prioritize between the inorganic opportunities and the incremental capex and the higher shareholder payouts?

C.C. Paarthipan : As I told you before, the inorganic opportunity, in fact, we are waiting in the wings. It can be in the form of actually buying the AND As, which, of course, we have been doing actually . We are waiting for more and more opportunity on that aspect. And as I told you, the distribution company will also open up a bigger opportunity for us for the private market, especially in Latin America. And see, going for the sake of acquisition, I would not advise us to go for actually acquisition without going for a meaningful acquisition. That will be a vanity. I do not think it is advisable. And as I told you, what is important today, especially in the OCA world, we are going for the completion of the facilities. And we will be completing most of the facilities that are injectable, there are hardly three or four companies who woul

d have 16 or 17 -lines of injectable actually in India. When we complete all these injectables, we are aiming to go for US and the other major markets. That means that is a great opportunity, which will open up in the form of not only for our own products to be sold in US, but also in the form of CMO. Second one is we are concentrating more on R&D for complex products. This is one of the things which is very important as you know well. And the third one, we are increasing the registration in many of the larger geographies. These are a few things which are very important.

Aman Soni: Got it, sir. Secondly, on the receivables part, receivables have grown materially ahead of the revenue or revenue growth. So , is this timing -related thing or any other reason for that, sir?

D. Muralidharan: Yes, as we have mentioned in the press release also, while the assets results , which I talked about improving my net worth , that also increased my receivables. So, out of 136 -days, what we reported, 11-days is attributable to this FCTR, which is non -interest receivable , but it is not shown to me in the P&L . So, but for this, my receivables would have been 125 days . We have been prompting on 120 -days. As rightly said, timing also is one of the factors . Last quarter, we have won a big tender in Salvador, and a lot of supplies have gone into that thing, which are in the process of being received in the market, and the receivables will be collected by end of Q2. So , this is a big tender, and most of the supplies have gone during February, March, and then we are in the process of recei pt today. So, this is one of the factors that also contributed to the increasing receivables.

C.C. Paarthipan : I would like to add one more. The currency in El Salvador is US dollar. And when I was working in this Latin American market, I used to see Colombians giving a lot of credit in Ecuador, where the currency is dollar. The currency of Colombia used to get wea kened, and actually deliberately, they used to give credit more so that their earnings also more because of the depreciation of their own currency. Here, of course, we do not want to do that way. Even if the delay that happens from El Caplin Point Laboratories Limited

May 14, 2026

Page 10 of 18

Salvador is going to contribute to actually in the form of increased profit for our company, as you

know well, the dollar actually is getting strengthened and the rupee is getting weaker. In no way, this is going to affect our bottom line also.

Aman Soni: Understood. And just last question on the outlook for FY27, in terms of the top line and specifically on the kind of margins, these are very exceptional margins we are doing. So, how much structural are these margins going to be?

D. Muralidharan: We will continue to do well. As I told you in the course of my speech, the best is yet to come, maybe the best will come after two to three years. If you look at actually the past, in the last five years, I do not want to repeat again actually what all tripled, what all doubled and all you have seen. So, the next three to five years is going to be the best period for Caplin Point. And of course, we will do well actually, but it is difficult to tell anything on a quarter-on-quarter basis or on a yearly basis. Whatever we say, everything actually is happening in the form of building the factories or whatever it is, because you do not see many companies of our size building so many factories without a debt. And after having invested in the capex, still we have enough cash flow that will also help us to go for inorganic growth, as you mentioned. But we are waiting for actually that kind of opportunity. It will happen. When it happens, whatever you expect in the form of the growth can come even in actually six months or one year also, if you go for an inorganic actually opportunity. But again, we do not want to simply grab anything and

do everything, but rather we would prefer to wait and actually go for something which is meaningful.

Aman Soni: Yes, got my answer, sir. Thank you very much and all the very best.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Thanks for the opportunity. I have a few questions. Firstly, the revenue growth in the LATAM Africa business, I mean ex-US has been pretty strong, and in the last few quarters, we had it close to high-single-digit, mid-single-digit growth, and this quarter is relatively exceptional. So, can you give some sense what has led to high growth in the specific geography?

C.C. Paarthipan: See, sometimes markets fluctuate. And whether it is B2B or B2C, generic business is based on supply and demand. We know we have an advantage of keeping the goods actually in the warehouse. If the profitability is not there in our sales, we will not sell. Selling for the sake of selling does not make any difference to the company. Sometimes you wait and actually do it. Sometimes, of course, we bundle it and sell also. At that point of time, there is a possibility that profit may come in single-digit also. But overall, if you look at it, as you rightly said, the overall profitability for the year 2025-26, I think it is fairly good. Am I right?

Ahmed Madha: My question was from the front of revenue growth. If I look at the revenue growth of non-US piece of the company, that revenue growth percentage was in single-digits for the last few quarters, and we Caplin Point Laboratories Limited
May 14, 2026

Page 11 of 18

have spoken on the call that it will take a couple of years for us to jump up, and you have been doing a lot of initiatives on Chile, Mexico, and the other markets. So, the question was that this growth is higher in this quarter. Is there any specific factor which explains it?

C.C. Paarthipan: I can even highlight. See, today we do not have a dearth of order. The facilities we have are running actually at the optimum capacity. If you look at actually our business, you will see at least 40% to 50% of it is in the form of actually outsourcing for the LATAM market. Especially when we go for outsourcing, it is not easy to get a good facility where you can do the outsourcing very effectively. That is also one of the reasons for us to actually limit the top line. But at the end of the day, what is important, whether it is a Latin American growth or US growth, overall only you will have to look at it. The Latin American growth will start flourishing actually after we complete the registrations, mainly in the markets like Mexico. Now that, as Ashok told, the business of Chile will start from this year, and it will start actually increasing manifold over a period of time.

D. Muralidharan: What you are referring to is the growth from INR 432 crores to INR 470 crores this quarter, especially. Just as I was answering the previous question on the debtors. It has a bearing on this as well. So, we did supply a lot of material close to about INR 50-55 crores in the quarter to the Salvador. The tender was valued at about 1.6 million, and most of the parts have gone from India. That is the reason this growth in Latin America is showing a better than normal growth, and the US has grown about 20%. Mix is slightly distorted, but this is the reason.

C.C. Paarthipan: Yes, tender business, of course, we had to rush and then export everything. Probably that is the reason why you are telling. Okay. I did not get it properly.

Ahmed Madha: Okay. Fair. And on the US side, this year, I mean, we have done exceptionally well in terms of growing the business and having our own labels. From here on with whatever AND As we have acquired and organic approvals, we have got about 10 of them, is it fair to assume the growth rate of 20%, 25% that sort of a run rate in the US shall continue till

we reach a larger number?

Vivek Partheeban: Yes, we are very confident that current numbers can be sustained. In fact, we are confident that it can

grow from here even further. Again, the most important thing, as what Chairman was saying, is we are not seeing a dearth of orders. In fact, we have an order book that is full for another six months almost. And to an extent where some of these lower margin s, very high -volume products, we are not even taking them onboard. So , I think we are certainly on track to see a very strong next year for CSL, in fact, very strong next few years for CSL with all the capacity coming through. When it comes to our own label, the target we have set for ourselves is to double what we did last year. And I am fairly confident that we should be in a position to achieve that.

Ahmed Madha: Would you like to sort of give a range of number , what sort of growth we can achieve, at least for the next year? I know you do not give guidance.

Caplin Point Laboratories Limited
May 14, 2026

Page 12 of 18

Vivek Partheeban: So, when it comes to what current growth was, I think it was close to 30%. I think we can see another 25% to 30% next year on the overall Caplin Steriles business. When it comes to our own label, we did close to INR 100 crores. So , the idea is to touch or go very close to INR 200 crores for the coming year.

Ahmed Madha: You have spoken about considering an acquisition even last quarter and similar this quarter , and you spoke about obviously buying ANDAs and that sort of profile, but considering the amount of cash balance we have, what profile of acquisition we will consider apart from buying ANDAs, which I am assuming would not be a large ticket size , so if you can give some sense of the profile of a company we are looking for?

Vivek Partheeban: When it comes to acquisitions, there are many things. See, of course, being a listed company, all of our reserves, surplus, everything is in public domain and for everyone to see. So, you would not be surprised when I tell you that almost on a weekly basis, we receive a few opportunities, right , there are some opportunities that come in the US, there are some that come in Latin America , one or two, in fact, come for the domestic market as well. So, the ones that we will be targeting is, similar to what Chairman was saying, is good distribution entities, especially in the countries where we are very early or we are very new, or in the countries like the US where it makes meaningful sense in terms of the knowledge that we gather. And when it comes to ANDAs, I am looking at it personally, we will be very opportunistic in terms of what we can acquire because we need to sort of strike the right balance between making sure that we launch all our approvals on time , and at the same time not run into any sort of dearth in the pipeline. Because typically for most companies, including ours, the R&D outstrips the capacity, right? So , in injectable, an area of high criticality in terms of compliance and manufacturing, scaling up is not as easy as it is in oral solids. So, taking that into account, we will be very opportunistic in terms of acquiring some ANDAs in place of doing exhibit batches for the new products and stuff like that. That is what we have done in the last year. We are actively working on another one right now . Hopefully , that should get over the line in the coming weeks.

Ahmed Madha: Sure. Thank you so much and all the best.

Moderator: The next question is from the line of Chirag from MS Capital. Please go ahead.

Chirag: Hi, good afternoon. Thank you for the opportunity and congratulations Chairman sir for a strong set of numbers. I just wanted to first ask a question on the Central American, Latin American operations , and we have a chance to hear from Ashok ji right now also. So, if you can just elaborate a little bit on the operations in the

Central American region ? A couple of annual reports ago, we heard that you have almost 14,000 daily touch points. How much has that grown to? We also believe that there is a split between smaller wholesalers around 60% , direct pharmacy 20%. Could you just overall give us a view of the operations in the Central American market, if that is possible?

Caplin Point Laboratories Limited
May 14, 2026

Page 13 of 18

Ashok Partheeban : Every time we open a new country, obviously, the number of points that we touch actually increases. So, we opened Chile this year in a very big way. And obviously, so there are four big chain pharmacies in Chile. And on top of that, 30% of the pharmacies are also independent. So , we obviously do not reach all the independent pharmacies right now through our own sales team, but we reach them through distributors that we sell to. And I cannot give you an exact number on how many points we have grown by , but what we are doing is, as I said, our shelf space in these individual pharmacies that we sell to Latin America is about 41%. What we are trying to do is strengthen our shelf space to get to 50 % , 55% where we are completely indispensable to these pharmacies. Does that answer your question?

Chirag: Yes, that was helpful. And Ashok ji, if you can also give us a little bit of understanding on what proportion of our customers would be still distributors or middlemen ? What proportion would come from pharmacies, institutions, or smaller wholesalers?

Ashok Partheeban : Okay. So, in the whole of Central America, the business that we do, about 18 % to 20% is institutional, which is government , the rest is completely private market. So , what we do have to do in Central America, in these countries, is you have to have two co -distributors at least so that they reach to those pharmacies that cannot fill in the everyday ticket sale, which is, let us say, we only do around about 300-products , a pharmacy that does, let us say, a sale of \$150 per day cannot buy all the 300 -products, though they have to buy through our co -distributors. So, in each of these countries, we have two or three strong co -distributors , they sell around about 10% to 12% of our sales, and the rest of it all is us going directly to the pharmacies.

Chirag: Understood. Just to clarify, you said 10% to 12% through those distributors?

Ashok Partheeban : Yes, 10% to 12% of our sales is through the co -distributors , 20% is through the government, and the rest is all directly to the pharmacies. And when I say the rest, it all includes the chain pharmacies also.

Chirag : Understood. Very helpful. Thank you. The second question is just doubling down on a previous participant's question on the receivable days. I understand, Chairman sir mentioned that a part of that is just FX change between the time the sale was booked and, I guess, the closing of the books. And that still brings us down to 125 -days, which is at least 25 days higher than what we have seen in the past. Is this how we think the new normal would be? And is this a strategic call, or how do we understand that?

Vivek Partheeban: Yes. So, Chirag, in the past as well, we have been giving the messaging out that we are comfortable with somewhere around the 100 to 120 -days range. Now, we are still within that range pretty much, but as CFO and Chairman were saying before, we have entered into a tender in one of our Central American markets, a very highly profitable tender by the way, where we needed to make sure that the supplies were done within 60 -days. And it was a fairly large tender as well. So, those numbers

Caplin Point Laboratories Limited

May 14, 2026

Page 14 of 18

sort of moved it up by five, six days. But typically, I think we are happy to be anywhere between the 100, 110, 120 -days, and that is a sweet spot for us. But the larger picture that I want everybody to really see is we have been consistently a

ble to invest hundreds of crores into our own capex , our own distributions. And despite all of that, we are still increasing our reserves and surplus by a considerable number every year. So, you can imagine that even if we do see another five days or 10 -days increase in the future, we are going to be okay with it , because when that money comes in, more often than not, it comes in at a higher exchange rate compared to what it was previously , right? So, the cash flow, I would say that we are benchmarked amongst peers. We are probably among the most other companies in the same segment. So, we are not worried about that. Anywhere between, like I said, 100 to 130 -days even is probably still okay for us going forward.

C.C. Paarthipan : Just to add to what Mr. Vivek said, our history of writing -off debts have been virtually negligible and close to zero. We have not had any bad debts in the past which we did not recover. There was only a delay, but not writing off . And most of these receivables now attributing to a higher number is from government. So, for sure, we will receive, give or take a few weeks here and there.

Chirag: Chairman, thank you .

Moderator: The next question is from the line of Richa from Equity Masters. Please go ahead.

Richa : Thank you for the opportunity. Sir, my question was on what is happening around the world, the Middle East tension ? I know that is not your core market, and being closer to the customer helps to overcome the short -term disruption. But how do you think, if at all, this could impact the business or margin or prices, or maybe because of economic slowdown in the end geography, if it could have any impact on your business and any vulnerabilities that you may want to highlight?

C.C. Paarthipan : Yes. I would like to actually give you an answer on this. In fact, if you look at our past business, in fact, we increased the business , our profitability and everything actually went up only after COVID and during COVID. So, what is happening today, as our Prime Minister said, is something closer to COVID. So, we all have to actually follow the frugal ways and he started advising , he is very, very correct. But , as a businessman, we should not allow the crisis to go waste. And how we are managing it, as I told you before, for the next six months, we do not have to produce any products that we have to sell in the market in Latin America. And the same way, even in our U.S. market, the goods are already available there in the U.S. warehouse. In addition to these six months, we have also bought raw materials. Yes, there is some increase in the prices, but it is not going to impact us. The reason being, when the prices go up, if you have already agreed actually to a price to a customer in the form of a B2B business or an LC, then of course, what happens is, you will have to honor the commitment, and then that is how you lose money. In our case, we are selling actually through our own subsidiaries, through our own warehouses. So, that is not going to create any major impact to our business. On the contrary, this will open up the opportunity. The reason being, a), these smaller geographies where we are today in Latin America, the big players are only into brand marketing. I

Caplin Point Laboratories Limited

May 14, 2026

Page 15 of 18

am talking of multinational s. Second, small companies, they do not have anything in the form of actually stock -and-sale. They all actually sell it to some importer. So, they will be very worried if they supply to the importer, they may or may not pay. The reason being, most of the transactions today happens on credit. Nobody actually pays cash for a generic . But if you have your own warehouse, if you have people like, we have more than 700 people working in the whole of actually Latin America. So, it helps us to collect the money. We are there for the last 20, 22 -years. And coming to currency c

risis also, Guatemala is very stable. There is nothing in the form of no fluctuation in the currency. And coming to Nicaragua and Honduras, maybe slight fluctuation in the form of 3 % to 4%. The rest of the markets are like El Salvador and then Panama, Ecuador, the currency is dollar. So, it is not going to create any issue. Costa Rican currency also stable. Chile also for the last four, five years, the currency is stable.

Richa: Yes, thank you so much and all the best.

Moderator: The next question is from the line of Prince from Family Office . Please go ahead.

Prince: Thank you for taking my question. So, going forward, can the company maintain around double -digit revenue growth rate in pharma and the PA T margin between 25 % to 29 % during the year FY27, FY28 and FY29?

Vivek Partheeban: So, as I have explained previously, we remain very confident that the business will continue to do well. We need to be patient for the next 12 -to-18 months, actually, because there is a period of stabilization in pharmaceuticals. So, with all the things, when it comes to pharmaceuticals, especially in the regulated market, things take a lot more time because your product development to approval itself takes around two years -plus. So, as we enter into the larger markets of Latin America and the US, things are going to take a little bit longer. But once it starts fructifying, I think it will be a very sticky business. 18 months and beyond, we feel that these numbers are going to get back to what they were before. I am talking about Latin America. So, what we are seeing today in terms of the bottom line is , please take into account that we have certain segments of our facilities that are not breaking even yet. If you are talking about our API unit, and if you are talking about Am aris Clinical, which is basically completely backward integration. So, despite all these drag s on our bottom line, we are still looking at 27 %, 28% PA T and 38 %, 39% EBITDA, which in my opinion, at least from whatever I have seen in our size segment, nobody else has these numbers. So, with all these dra g, if we can continue to maintain these numbers, you can imagine that 18, 24 -months beyond, these are going to be definitely maintained at the same level or potentially even inch up a little bit. So, I hope we have answered tha t.

Prince: Thank you very much . All the best.

Moderator: The next question is from the line of Ahmed M adha from Unifi Capital. Please go ahead.

Caplin Point Laboratories Limited

May 14, 2026

Page 16 of 18

Ahmed Madha: Yes, thanks for the opportunity again. Just one question on forex gains. Can you quantify what was the gain on foreign exchange booked in Q4 as well as for financial year, if CFO sir can help?

D. Muralidharan: We have had about INR 20 - 21 crores of realized gain over the year. The remaining about INR 40-50 crores will be unrealized gain, which is reflecting in the receivables.

Ahmed Madha: Out of INR 116 crore s other income, what number will be roughly forex gains for the full year, if you can give just one number?

Vivek Partheeban: We can even write that to you, Ahmed, so that we do not take everybody's time.

Ahmed Madha: Yes, no problem. Just another question , considering your answer on the volatility part, but considering the volatility and RM costs in general, obviously a lot of forex volatility. And assuming we are net beneficiary of the INR depreciation, but overall, considering everything, are we able to manage the current supply chain, raw material volatility, or has there been any issues considering we have a fair amount of depende ncy on China , how would you judge the current situation, if you can give s ome remarks on that?

C.C. Paarhipan : Our business in the form of outsourcing is much lesser compared to actually what we used to do in China and all. There was a time it was more of a natural hedging. Now that, of cour

se, I think it is in

the region of 2 0%-30%. And coming to the volatility, see , the global economy is drowning in debt rather than water. That will happen. But coming to us, what is happening to the big companies need not happen actually the same way to a company where the fundamentals are unique or the business model is unique. If you try and do something which is unique, then, of course, you will not allow this crisis to go waste. That is what I told before also. Prices are going up . No doubt. Definitely it is going

to go up also. When it happens, it is the model that makes actually you to make money or lose money. The moment we understand that the price of a material which we bought is higher, we also actually design the price at which we have to sell the product in the market. That is why we do not face any major issues, to be honest with you.

Vivek Partheeban: And just to quantify, obviously, with regards to input materials like glass and plastics and all of those things, we keep getting increases from the suppliers. Of course, we fight all of them back and then try to rationalize it to the lowest amount possible. But just to give you an idea, the highest impact product for us that we have been doing, especially for the US, is less than 1.5% to 2%. The COGS I am talking about, that has gone up by. So, we have not yet seen any major negative impact in the form of input materials going up significantly.

Ahmed Madha: That is it. Thank you so much.

Moderator: The next question is from the line of Pavan Kumar from RT Capital. Please go ahead.

Caplin Point Laboratories Limited

May 14, 2026

Page 17 of 18

Pavan Kumar: Sir, can you comment on the capex that is expected in FY27 and FY28 and what would that we spent on?

Vivek Partheeban: When it comes to capex, the residual capex that we have is the phase -III of our injectable plant. We call it internally as POL -2. And also, two other ones, which is we are constructing a much larger capacity oral solids and derma facility in Pondicherry next to what we call our CP -1 plant, our existing plant. And thirdly, we also will be completing our oncology API plant. In addition to this, we are drawing up plans for our building in Mexico, it will start by Q3 or Q4. When it comes to exact numbers, CFO, any numbers you can shed some light on?

D. Muralidharan: Yes. As I mentioned during my opening remarks, also, although we would envisage the capex plan of close to INR 1,000 crores, INR 510 crores remain to be spent, the rest have been spent, they are raised in the form of CWIP, the capitalization is INR 150 crores and INR 143 crores is WIP, and we paid advances to the extent of INR 109 crores for various lines that are being imported. This yields about INR 510 crores. It can vary. This INR 510 crores will be spent over the next 18 to 24 months. This is the plan as of now. And we expect this does not contemplate the inorganic growth, it does not contemplate Mexico, it does not contemplate Chile, warehouses, and the quality control lab, which we are planning right now. These are all not even a point for the drawing table right now. So, once we get some clarity, probably we will update in the next quarter. So, INR 510 crores for sure will be the amount that is already identified and will be spent in the next 18 to 24 months.

Pavan Kumar: Okay, sir. Thanks.

Moderator: The next question is from the line of Julie Mehta from 360 ONE Capital. Please go ahead, ma'am.

Julie Mehta: Thank you for the opportunity. Firstly, congratulations on a great set of numbers to the entire team at Caplin. So, my question basically caters to the US business. So, the US business has now picked up decent scale and size. So, if we want to understand the growth breakup, how much of that would be organic and how much do we still have to account for through the new launches, be it the ones coming in or the pipeline or

the ANDAs that we are yet to acquire? And if you could also share the EBITDA margins for CSL for Q4 and FY26?

Vivek Partheeban: So, on the breakup in revenue, I would say that more than 90% of the revenue has come from the older products that were already in the market. So, the 10 - ANDAs that were approved over the period of the last 12 -months, we have launched a couple of them, but the majority of it, especially the larger ones, are in the process of getting launched in the next few weeks. In addition to that, I would also suggest that the 15 -ANDAs that we acquired from outside, we are in the process of launching them, which will only happen this year. So, you can assume that, like I said, around 90% of all the growth that you have seen is from the products that were already launched in the market. This is actually a good statistic as well, because when most other companies, I think are somewhere in the region of their average earnings per ANDA, I believe, if I am not wrong, is somewhere around

Caplin Point Laboratories Limited

May 14, 2026

Page 18 of 18

800, 1,000 to a million, whereas ours is more than 50% higher itself. And of all the products that we have approvals for, we were just discussing about this yesterday, literally just one product is the one that we have technically taken off the market, because there were no sales. Every other product continues to show good sales, and we continue to receive repeat orders. And when it comes to the EBITDA margin for CSL, I request CFO to answer this thing.

M. Sathya Narayanan: Sure, thanks, Vivek. Thanks for your question. The EBITDA of CSL for the financial year 2025 -26 is INR 142 crores, which is 30%, as compared to INR 102 crores last year, which is 27.9%.

Julie Mehta: Okay. Sir, for the Q4, if we could get a specific number?

M. Sathya Narayanan : Yes, it is 33%.

Julie Mehta: Okay, that is helpful. Also, since you are almost on a last leg of capex now, so do we have any plans for capex going forward in the next two to three years, or will that largely be maintenance and nothing that major?

Vivek Partheeban: As we just discussed, we have taken on close to INR 1,100 crores of capex , of which 50% is done, and then the other 50% will be completed in the next 18 -24-months. This does not take into account the ones that we are going to be planning in Mexico, Chile, etc. , So, ye s, there is still certain amount of residual capex that needs to be completed. In addition to that, I will just give you some statistics.

Last year, we were able to add close to INR 400 crores to our surplus , right? That is ov er and above what was spent in terms of capex . So, if you were to do some numbers over the next 18 -24-months, you can assume that despite the capex that we will be putting up, the likelihood is that our reserves and surplus w ill continue to rise even further.

Julie Mehta: Okay, that is really helpful. Thank you.

Moderator: Ladies and gentlemen, that was the last question. I now hand the floor over to the Management for closing comments.

Vivek Partheeban: Yes, thank you to 36 0 ONE Capital Market and Rohit and Julie for conducting and thanks to everybody took time out to attend our call and we hope to stay in touch with in the future as well.

Thank you.

C.C. Paarhipan : Thank you very much.

Moderator: On behalf of 36 0 ONE Capital Market Private Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines.